

HDFC Bank Ltd. (HDFCBANK)

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Call: Jul 2022

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

July 21, 2022

BSE Limited The National Stock Exchange of India Ltd
Dept. of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex
Mumbai 400 001 Mumbai 400051
Scrip Code – 500180 Symbol – HDFCBANK

Dear Sirs,

Sub: Transcript of Earnings Call for the quarter ended June 30, 2022

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings call hosted by HDFC Bank Limited ("the Bank") with respect to the financial results of the Bank for the quarter ended June 30, 2022, has been made available on the Bank's website at the link - <https://www.hdfcbank.com/personal/about-us/investor-relations/financial-results>.

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,

For HDFC Bank Limited

Santosh Haldankar
Sr. Vice President (Legal) & Company Secretary

Encl: Transcript of the Bank's Q1 FY2023 Earnings Call held on July 16, 2022 CIN: L65920MH1994PLC080618
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"HDFC Bank Limited Q1 FY2023
Earnings Conference Call"

July 16, 2022

MANAGEMENT : MR. SRINIVASAN VAIDYANATHAN – CFO – HDFC BANK

July 16, 2022

Page 2 of 22 Moderator : Ladies and gentlemen good evening and welcome to HDFC Bank Limited Q1 FY20 23 Earnings Conference Call on the Financial Results presented by the management of HDFC Bank. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after a brief commentary by the management. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Srinivasan Vaidyanathan , Chief Financial Officer, HDFC Bank. Thank you and over to you, Sir.

Srinivasan V: Thank you Faizan , appreciate . Good evening and warm welcome to all the participants. We can get started with provide the context on the environment that we operated in the quarter, so that gives the backdrop of what was going on. Much of this quarter has been about inflation and price surges as you know. Energy and fuel have been at the center, supply chains have been disrupted, which created a major demand in supply gap. As we progress further in the year, we will keep a careful watch on the development . We see opportunities in the marketplace in the current environment supported by dynamic fiscal and monetary policy. Activity indicators released during April to June quarter indicates that economic activity continues to hold up well despite global risk . GST collections, manufacturing PMI, IIP, credit, rail freight, services PMI, etc., etc., show robust opportunities in the economy. The RBI raised the policy rate by 90 basis points in the quarter taking the repo rate to 4.9. The Monetary Policy Committee also voted to remain focused on withdrawal of accommodation in a calibrated fashion to ensure inflation remains within the RBI 's upper bank while supporting growth. Accordingly , we have responded with appropriate lending rate increases. Now let us talk about the five themes at a high level now. On the distribution expansion that is the first thing , we added 36 branches during the quarter and 250 more are in various stages of read

iness to be rolled out. We have 15,618 business correspondences, an increase of 277 over prior quarter. Gold loans are now processed at just over 2000 branches as against 1340 branches in the prior quarter. It is well on the way to be a
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Page 3 of 22 product offering in most of our branches. Payment acceptance points have grown to 3.2 million a year -on-year growth of 42 %. Wealth management is now offered in 357 locations through hub and spoke model, we have expanded to 141 new locations in the quarter. This is in accordance with our plan to take this to deeper geographies in over 900 locations in the current financial year . In commercial and global banking, SME is now offered in 640 districts in our drive to expand the SME market share. Next, let us talk about a few comments on the customer franchise building. During the quarter , we added 10,900 plus people and 29,000 people over the past 12 months. Our people have acquired 2.6 million new liability

relationships in the quarter, exhibiting a phenomenal growth of 59 % over the same time last year and 10% over prior quarter. We have also acquired 1.9 lakh MSE accounts in the quarter. On cards, we have issued 1.2 million new cards during the quarter highest ever with a 47 % growth over prior quarter. Total card base now stands at 17.6 million.

Moving on to next, our focus on the granular deposit. Deposits at 16,04,000 Crores increased by approximately 46 000 Crores in the quarter as against an addition of approximately 11000 Crores in last year June quarter. Deposits reflected a year-on-year growth of 19.2 %. Retail deposits increased by approximately 50 ,000 Crores in the quarter up 19 % year-on-year and 3.9 % sequentially . CASA deposits recorded a strong growth of 20% year -on-year ending the quarter at 7 ,34,000 Crores with a CASA ratio at 45 .8%. Term deposit grew by 18.5 % year-on-year ending the quarter at 8,70,000 Crores.

Next moving on to advances. Total advances were 13 ,95,000 Crores growth of sell downs we grew 22.5 % year on year. Our retail advances growth continued during the quarter as well. Retail advances grew 21.7 % year-on-year and 4.9 % quarter -on-quarter. Excluding auto and also two -wheeler loans , which face supply chain disruptions during the quarter , the year-on-year retail growth excluding these two were 25 %. Card spends have grown by 24 % over prior quarter. Payment business advances, payment business loans have grown 27 % over prior year and 4.4 % over prior quarter . The bank has a market share of 22.4% in cards, 48.9% in card receivables, 27.7% in card spends and 47% in merchant acquiring volumes.

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Page 4 of 22 Commercial and rural banking , which drives our MSME and PSL book continued its momentum with a year -on-year growth of 28.9%. In the wholesale segment with the rate dislocation, we let go assets aggregating to 40 ,000 to 50 ,000 Crores. Despite that , the book grew 15.7 % year-on-year and lastly on technology and digital. As promised , the bank commenced digital launches to enable smooth customer experience. MyCards, which is a micro services architecture that is stateless and deployed on cloud making it highly scalable. This has emerged as a preferred service tool for our customers , it has simplified login and self -service features. We now have over 2 million registered card users , a growth of 1 million over prior quarter. We had 33 million customer service addressed digitally during the quarter on this platform. This micro services architecture design principle de-risks and removes clutter on our digital platform and enhance customer service. Xpress auto loans is an end -to-end digital service, which enables instant and hassle -free car loan disbursements for existing and new bank customers. 60% of our loan decisioning through this service are processed in less

less than five minutes

with the disbursements taking less than 30 minutes . Within a month of launch, Xpress auto loan s volumes have already reached more than 5% of our new car loan volume. HD FC Bank One our customer experience hub has been launched recently on multiple channels, email, social care, SMS, and WhatsApp and enhances our customer relationship management using AIML and conversational BOT enabling round -the-clock self -service capabilities with human interaction. We are continuously adding features to our SmartHub Vyapar app and see a significant increase in its adoption across our customer base. We now have more than 1.15 million customers since its launch on-boarded on this platform. In Q2 that is the current running quarter July to September we are poised to launch further digital initiatives such as PayZapp 2.0, customer on-boarding journeys across more products such as FDPL, Balance Transfer EMI, etc., implementing customer experience hub across additional service and sales channels such as phone banking and tele sales . For enhanced customer service and relationship management , we continue to work on developing applications for Q3 implementation for instance Payzapp revamping net banking, revamping corporate net banking, and launch of new mobile banking app in Q4. In Q1 , we received a total of 231 million visits on our website averaging 28 plus million unique customers per month, which is a year -on-

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Page 5 of 22 year growth of about 20 %. Business growth continued to gain momentum across diverse products and segments driven through relationship management and enhanced digital offering. Balance sheet remains resilient, average LCR for the quarter was at 108 % and was at 120 % as of June quarter . Capital adequacy ratio is at 18.1 % with CET1 at 16.5 % including profits for the current quarter.

Let us start with the net revenues. Core net revenues were at Rs.27181 Crores excluding trading and mark -to-market losses , which grew by 19.8 % over prior year and 2.4 % over prior quarter driven by advances growth of 22.5%, deposit growth of 19.2 % and total balance sheet growth of 20.3%. Net interest income for the quarter at Rs. 19,481 Crores grew by 14.5% over prior year and 3.2% over prior quarter. The core net interest margin was at 4.0 . Based on interest earning assets, the net interest margin was at 4.2 %.

Moving on to details of other income. First fees and commission income was at Rs.5360 Crores and grew by 38 % over prior year and were lower 4.8% over prior quarter as a seasonally strong fourth quarter. Retail constitutes approximately 92 % of fees. The fixed and derivatives income at Rs.1259 Crores was higher by 5% compared to prior year. Trading and mark -to-market losses were 1312 Crores primarily owing to spike in benchmark bond yields witnessed during the quarter. The mark -to-market losses come from our AFS, HFC and Government of India securities, corporate bonds, and pass -through certificates . Prior quarter was a negative 40 % and prior year was a gain of 600 Crores . Other miscellaneous income of 1080 Crores includes recoveries from written off accounts and dividends from subsidiaries excluding trading on mark -to-market losses total other income at 7700 Crores grew by 35% over prior year.

Operating expenses for the quarter were at 10502 Crores, an increase of 28.7% over prior year due to a low base of prior year COVID wave two impacted quarter and increased by 3.4% over prior quarter. We added 725 branches and 2329 ATMs since last year taking the total network strength to 6378 branches, 18 620 ATMs and 15 294 business correspondence managed by common service centers. Core cost to income ratio for the quarter excluding trading and mark -to-market losses was at 38.6 %.

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trajectory improved with continued retail growth our core PPOP grew 14.7 % year-on-year and 1.7 % sequentially. Our pre-provision operating profit was at 15 368. Coming to asset quality, the GNP A ratio was at 1.2 % as compared to 1.4% prior year. Out of the 1.28%, about 18 basis points of standard thus the core GNPA ratio is 1.1. However, these are included by us in NPA as one of the other facilities of the borrower as a NPA, but we will talk about 1.28 we will have to anchor with that . As you have seen in the past several years , agricultural segment has a seasonal impact in June and December cycle. GNP A ratio excluding NPAs in agriculture segment and a one off was at 1.03% ; prior year was at 1.26% and prior quarter was at 1.01%. Net NPA ratio was at 0.35% prior year was at 0.48 % and proceeding quarter was at 0.32 % . The slippage ratio for the current quarter is at 0.5 %, which is 7200 Crores excluding the seasonal agri and one -off slippage, the slippage in the current quarter was approximately 38 basis points call it 0.4%. During the quarter recoveries and upgrades were approximately 3 000 Crores of 22 basis points. Write -offs in the quarter were 2400 Crores are approximately 17 basis points. There were no sales of stressed or written -off accounts in the quarter. The check bounce rates across the products in June continues to remain lower than the pre -COVID levels for almost all of the retail products. The restructuring under the RBI resolution framework for COVID -19 as of June end stands at 76 basis points 10 750 Crores . In addition, certain facilities of the same borrower which are not restructured is approximately 13 basis points are 1850 Crores that totals to 89 basis points. Provisions reported were around 3200 Crores as against 4800 Crores for the prior year and 3300 Crores during the prior quarter. The provision coverage ratio was at 73%, there were no technical write-offs, our head office and branch books

are fully integrated. At the end of current quarter, contingent provisions and floating provisions remained close to prior quarter at 11,100 Crores, general provisions were 6500 Crores. Total provisions comprising specific floating, contingent and general provisions were about 170% of gross non-performing loans. This is in addition to the securities held as collateral in several of the cases. Floating contingent in general provisions were about 1.25% of gross advances as of June quarter end.

Now coming to credit cost ratios, the total annualized credit cost for the quarter was at 91 basis points prior year was at 167 basis points, prior July 16, 2022

Page 7 of 22 quarter was at 96 basis points. Recoveries which are recorded as miscellaneous income amounts to 23 basis points of gross advances for the quarter as against 14 basis points in prior year and 26 basis points for prior quarter. Total credit cost ratio net of recoveries was at 68 basis points compared to 1.53% in prior year and 70 basis points in prior quarter. The reported PBT at 12180 Crores grew by 18% over prior year. Net profit after tax for the quarter at Rs. 9196 Crores after factoring in the trading and mark-to-market losses of 1312 Crores in the quarter grew by 19% over prior year. That is after taking the charge for 1112 Crores grew by 19%. Now some highlights on HDBFS on an Ind-AS basis. HDBFS opened 29 branches in the quarter taking it to 1403 branches spread across more than 1000 cities, 1008 cities and towns. Branch addition continues to supplement the digital investments. Customer base grew to 9.8 million with 7.7% additions during the quarter and an increase of 35% over prior year. The uptick in disbursements in March quarter was sustained in the quarter ended June 2022 at 9000 Crores though disbursements in Q1 are traditionally lower as compared to March quarter. This disbursements ref

lect a growth of 130% year-on-year. The total loan book as on June end stood at 61814 Crores, secured loans comprising 76% of the total loan book. Net revenue for the quarter ended June 30, was at Rs.2194 Crores a growth of 13% over prior year and 2.4% sequentially. Cost to net income for the lending business was at 37%. Provisions and contingencies for the quarter were at 398 Crores as against 422 Crores for prior quarter and 870 Crores for quarter ended last year same time. Stage 3 as of June end stood at 4.95% after factoring in 1.18% impact of new RBI guidelines issued in November reflecting sustained healthy collections. The PCR secured and unsecured book stood at 48% and 92% respectively. Profit after tax for the quarter ended June was 441 Crores as against 89 Crores for last year same period. Earnings per share was Rs.5.58 and book value per share was at 125. The company remains well capitalized with a capital adequacy ratio of 20% and well positioned to sustain improvement in disbursements across segments. HSL, HDFC Securities Limited has a wide network of 216 branches across 147 cities and towns in the country. HSL has increased its overall client base to 3.99 million customers as of June end, an increase of 41% over prior year. The total reported revenue for the quarter was at 432 Crores as against 456 Crores in prior year. Net July 16, 2022

Page 8 of 22 profit after tax was at 189 Crores against 251 Crores of prior year. Earnings per share in the quarter was 119.5 and book value per share was at 1061. In summary, over 152,000 employees across the bank dedicated their tireless service to focus for customer engagement, product delivery and service providing highest standards of banking experience, which results in the quarter's number of advances growth of 22%, deposits growth of 19%, core operating profit excluding the bond losses of 14.7%, delivering a consistent profit after tax growth of 19% after factoring in the bond losses of 7312 that I alluded to earlier.

Again from a return on asset point of view 1.8% excluding the impact of the trading and mark-to-market it is slightly over 2% with an ROE of 17%.

Earnings per share reported in the quarter is at Rs. 16.6 book value per share increased in the quarter to 450.6.

With that can I request Faizan to open up the line for questions, please.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mahrukh Adajania from

Edelweiss . Please go ahead .

Mahrukh Adajania : Hello Sir, my first question is on your CRB loans of course the Q-o-Q growth excluding agri has been good at 4% however we have been talking about doubling the booking in three years. So that would probably require a higher run rate of growth. So how do you see the outlook panning out for growth in CRB and also if you could throw some color on you said that you probably gave up some corporate loan growth in the commentary. So what was that about , that is my first question then I have two more .

Srinivasan V: First let us talk about the CRB loans that you talked about . This year the loans had a robust growth of about 28%, 29% year -on-year in the quarter and we do have aggressive plans across various segments in CRB both on the MSME side as well as on the agri side on both sides where we have a significant growth. This growth I think we talked about it maybe a month ago in another forum that growth is predicated on one geographic expansion, we want to be present in more districts in the country to be able to capture the supply chain and the distribution chain flows. That is part of what we are trying to do to be present everywhere so that we capture all of

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Page 9 of 22 the chain , distribution chain , supply chain not just a part of it that we work

with various other wholesale clients we are able to capture in wholesome not part. So that is part of what we are doing. The second aspect of that is also in terms of agri again its distribution expansion moving from about 1 lakh villages that we do today as a step we want to go through close to 2 lakh villages that is again part of how we want to operate and get to. There are enough opportunities we see that they are good and that can come only by where we put our salespeople , we put our relationship people in the local place where the customer is , that is part of the distribution . The second thing is the relationship management, which is in -addition to having a physical, we also want to have our relationship now because most of the CRB is about relationship management and we are expanding more, adding more people into that, so that we could get the right kind of a relationship to have that both from acquiring customers as well as broad basing the products that we could deliver to them, yes we are confident that segment is poised for growth and again we are not talking about it in an isolation, this is going to ride on the country 's macro growth that means we need the tailwind of the country growth also to be going up and with the MSME being almost a third of the GDP participation that is where we tend to we are focused on doing that and from a market penetration point of view again I think we told you how that growth is going to come from last time somewhere we talked which is we have only about 20 % to 25 % penetrated in the banking system itself. So the rest of them are outside of the banking system, they need to move in here and this is part of our both physical as well as the RM expansion strategy is to capture them and bring them into the banking system . On the wholesale loans bit something which I did not get what was the question on the wholesale.

Mahrukh Adajania : No you said that 40 to 50 is or maybe I heard it wrong you said 40000 to 50000 Crores was given up because of competitive rates or something like that.

Srinivasan V : Good point, yes, I did mentioned that and I specifically mentioned that I know that you will pick it up and ask, which is see there was a rate dislocation in the quarter sometime around starting May the rate started to move up there was a rate dislocation immediately after our bank and so also others started to move up on the rates and we did that and as we move up on the rate, there were some customers who were offered lower

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Page 10 of 22 rates by certain other market participants and we do not want to cut back on our rates to keep them. We said that is fine because we do have a relationship, we do continue to have relationship with those customers with 40000, 50 000 payment and that we continue to have except that we did not endeavor by price to keep in creasing those shares. So we said that is fine to let go, let somebody else can take it at a lower price than where we do and that is what I alluded to .

Mahrukh Adajania : And Sir was that PSU bank s or private bank .

Srinivasan V: It is broadly across everywhere so like not going to the details, but it is

across the banks.

Mahrukh Adajania : And can you please quantify the slippage figure as in the absolute amount if you can.

Srinivasan V: I think I gave the 7200 or something I did mentioned that is the 50 basis points or 0.5 %.

Mahrukh Adajania : And how much of that would be from restructured .

Srinivasan V: I did not give that, but I think I alluded to that the slippage amount has got it agri and at wholesale one off which contributed almost to little more than 10 basis points so net of that it was 0.4 of 38 basis points I alluded to, the some of them not the agri piece but the other piece is the part of the restructuring.

Mahrukh Adajania : Sir and my last question is

on this merger dispensation. So we did see a press release on RBI approving the merger and it said terms and conditions . So were there any dispensations and if not when would one hear about dispensations applied for and also any clarity on HDFC Life stake .

Srinivasan V: Two things last one is about the conditions of the dispensation . The no objection from RBI is on our application and that the conditions I think we mentioned somewhere the conditions are for example I will give you some nature of some of those things how you can think about , when the merger happens the banking regulation shall apply across all the portfolios and all the business lines. So that is part of both that the kind of giving you
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Page 11 of 22 flavor of some of those conditions that is one and there are some entities that will merge and the licenses of those entities that will merge have to be surrendered and then intimated to RBI . So that kind of those are some examples and then when we apply and get approvals from various other authorities we need to take those approvals to get back to the regulator with those approvals and when we go to shareholders whatever is the shareholder resolution and the approvals we get it back to the regulator. So you can see that these are, I will give you some flavor of how to think about this condition, but you alluded to what about the dispensation or the glide part of the portfolio and so that is not what it is, that is something separate and that is handled as an item different from the application per se and we continue to work with the regulators on that aspect.

Mahrukh Adajania : Got it Sir. My last question is on EBLR repricing, so basically your reset for retail and corporate loans will be what three months, one month .

Srinivasan V: Three months or six months , mostly I think it is three months.

Mahrukh Adajania : Got it Sir, that was very, very helpful. Thank you so much.

Moderator : Thank you. The next question is from the line of Hardik Shah from Goldman Sachs. Please go ahead .

Hardik Shah : Hi! Sir, congratulations for a good quarter. My first question is on the MTM loss. Can you share some color on AFS mix modified duration and under what circumstances one can use the IFR .

Srinivasan V: Thank you for bringing this up. See the AFS book broadly you can think about this at three components , broadly three components . One is the corporate bonds; the other is the participation certificate primarily in priority sector lending participation certificates and the third one is the Government of India 's security. These are the three broad components which are there. Most of these the other aspect that you asked about is the modified duration and how you think about it. See about for two years you can think about it is the tenure of the duration and that is the time it takes to pull this too far. So from that sense we expected in a couple of years we drift back over this time period. The other aspects of the investment fluctuation reserve and what it means to these things. The investment fluctuation
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Page 12 of 22 reserves an appropriation of profit to set some results up and we have investment fluctuation reserves which are slightly more than 2% and at the discretion of the bank at some point in time we can utilize this, but we have not chosen to utilize investment fluctuation reserves and because it is slightly more than 2% it has to be I think regulatory 2% so there is no point getting in and given that this pulls back to par in a couple of years ' time and we are quite not comfortable to pull down the reserves and use it right

now.

Hardik Shah : Got it thank you Sir. My second question is on the growth side. Growth on retail has been impressive, so what are your thoughts on its sustainability given the inflation concerns that you alluded to at the start of the call.

Srinivasan V: Again another good point thank you. See the retail growth ever since we came back with a credit policy getting back to pre-COVID level. If you see over a period of two, three quarters having been quite good, the December quarter was close to 4.5, the March quarter was close to 5 similar rate and the June quarter is 5% sequentially. So year-on-year it is now cross the 20% mark the year-on-year because of the base, because we kept going down and now we are starting to build up sequential momentum is there. Within the retail book if you look at the one that I called out for the vehicle segment has been hampered by various supply chain issues. Despite that it did grow well, we did have quite a good growth, but then if you put that to the side and give more time for that to grow the retail excluding that vehicle segment grew by almost 2.5% year-on-year so it is again a solid growth. Then the other aspect of how to think about the environment and the growth, we do see good amount of demand across most of the products from unsecured product to secured product to mortgage product to home loans and across everywhere we do see that including the gold loan and so on. I think we have published that list of various products and the growth rate, so you can see that it is balanced across. Card loans, let us talk about credit cards the last time they want to mention. The card loans will have a very good spend into the 4% or so sequential spend increase again discretionary if you look at the discretionary spends has gone up even more and most this growth in the card spend is driven lot of by discretion and it is discretion of course you can take it as also seasonal in the summer months or holidays months a lot of travel, entertainment, hotels and so on and so forth they are all coming back to life and you are July 16, 2022

Page 13 of 22 seeing pick up, huge pick up on that. The second aspect of the spend is that is the spend translating into loans and which to some extent it is, but to a large extent it still needs to come more it is still not fully there from a loan growth point of view it will take some more time I think over five years what the prior quarter sequential is 4.4% is the sequential growth rate in payment terms. For it to pick up and go further, we will have to wait for our people to utilize their credit lines fully still the credit line utilization on cards is that I call it at 70% to 80% of the pre-COVID level. So a lot of credit lines utilization still left to go, and the liquidity in the hands of the customers is also there, these customers from a relationship point of view about five times our customers have for the 80,000 Crores of payment business balances that we have five times that we have liabilities from the similar customer segments. So we do see that people have good amount of money and line utilization to happen. So we expect that with the pickup for that is taking place right now we need to give some more time for that to do and similarly on the revolve rates you do not, but I am sure another person would be thinking about asking so I would allude the same thing. Their revolve rate pickup also has not happened yet, first spend their needs to happen which is happening now, two, three quarters we are seeing spend happening, spend translating into loans slightly picking up sequential 4.4 picking up then the next thing is that the line utilization happens and then comes the revolving to come with that. So we are a few quarters away to get there.

Hardik Shah : Got it as a follow-up to that what are your thoughts on the sustainable revolve rate going forward in the industry.

Srinivasan V: See as the economy starts to pick up and people spend which you are beginning to see

discretionary spends you are seeing is happening once the discretionary spends happen you will see that the people will get back to the previous. See over a period of two years both either in our bank or in some other bank people who were call it for lack of some other chronic revolvers that means habitually revolving for more than six months, nine months out of the 12 months have come down because either they are

having a bad score in the bureau or they are having a bad score with us and we have utilize their limits so we are not entitled on the limits are not given because we want to be cautious. So we need to wait for the things to come back and then they will start to spend and the revolve , we are quite

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Page 14 of 22 confident that the customer base that we have and the type of spend that they do we will get back to what we have seen in pre-COVID from the spend habits and revolve kind of attitude on that .

Hardik Shah : Got it. Last question on deposit rates , you have been taking the rates higher. So how should we think about this in the next few quarters as how much like the bank would consider taking and how is the competitive intensity increasing on that front.

Srinivasan V: The pricing which we are talking about more the time deposit pricing because the other cards of course nothing and the savings account is being stable. The time deposit we have slightly only increased over the last month to two months and I have taken it up all the way what has happened and the way we think about the pricing is there are two elements to it. One, customers, we are able to get to the right kind of a customer to have the deposits and what is the price sensitivity of the customer to get those volumes. So that is always a kind of what we do engaging with our front line who in turn engages with the customer, but we get that intelligence and discussion in ALCO to say how we are able to get those volumes at kind of a price point that we can get and the second aspect of our determination of the price is also competitively pricing like competitively pricing means looking at certain other banks to see that we are relevant in the market and we do not want to be price leaders by pricing up anything , but at the same time we have to be competitive within certain range that is how these are a couple of considerations we do and we discuss within the ALCO as a team and decide how we want to pitch ourselves to the customer.

Hardik Shah : Got it. Thank you for your time Sir and congratulations again for a good quarter .

Moderator : Thank you . The next question is from the line of Kunal Shah from ICICI Securities. Please go ahead.

Kunal Shah : Hi! Srini and team, thanks for taking the question. Firstly again just coming on with respect to the RBI 's approval, so any indication with respect to HDB Financial , so when we look at it in terms of the scheme of arrangement it says it has approved so would be hear further with respect

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Page 15 of 22 to HDB and HDFC Life or it is more or less there within the arrangements scheme .

Srinivasan V: Good, thank you the other question I did not address . First the RBI approval is no objection to The Scheme of Amalgamation that has been filed. The Scheme of Amalgamation does not have a role for HDB there. HDB is a subsidiary , existing subsidiary of the bank and continues to be there and so the scheme of amalgamation does not have anything to do with HDB and so that is, if anything we need to do, the separate conversation is the separate process and so on. So it is not combined with this scheme, we find the scheme and the scheme does not have anything to do with HDB. HDFC Life is currently a subsidiary of HDFC Limited and it is envisaged that a merger that it will be a subsidiary of the bank. There are two things in t

his, one as RBI regulation a bank holding life insurance has to be 30 % or below or 50 % or above currently HDFC Life holding is about 47.8% or so that is a 2% plus percentage point increase that is required and that is part of another kind of a regulatory approval that we have sought that we can go to 50% plus and whatever the regulator finally tells us we will have to comply with that. So that is part of what we are waiting for , it is a continuous dialogue that happens to see how we can get to more than 50 % either we get or HDFC Limited will get to 50 % plus before consummation of the merger transaction. So that is on HDFC Life.

Kunal Shah : But there are no timelines in terms of where can we expect, so the process is still on the communication is still on.

Srinivasan V : That is correct.

Kunal Shah : And secondly in terms of the overall PSL or maybe as we look at in terms

of the build up towards the merger , so couple of points, one is in terms of the branch expansion we have been highlighting that 1500, 2 000 odd branches could be added maybe the Q1 was not maybe we had not seen that much of a branch addition. So when do we expect is it post like consummation of the merger or do we see that run rate or we will start preparing for it from this fiscal and it will be more back ended and second related question is on the PSL build up. So should we say that whatever PSL certificates were bought in , in FY2022 and RIDF investments which have gone up from 9000 to 45 000 Crores that was maybe with respect to July 16, 2022

Page 16 of 22 the earlier requirement and we will start building up further to meet up with the HDFC Limited's merger how should one see that.

Srinivasan V: Thank you again for that branch build up what you asked about. Yes, this quarter the branch build up was lower 36 or so, but we have about 250 branches in various stages of getting to be implemented . We are not going to wait for anything the branch build up is an organic process irrespective of any kind of an outcomes branch buildup is the right thing to do for the bank from a growth point of view that is where we are embarked on and we see opportunity. Branches that I think we talked about it again in the past branch has got two aspects to it , one you have a branch which develops the brand in the vicinity of where the branch is and draws in customers through brand attraction. The second thing is the branch is the congregation of our sales force, if we do not have branch you are going to have a sales office, you can call it that we would open x thousands of sales office. So we rather open x thousands of sales because the kind of a travel that sales relationship managers need to do in their outreach to meet a customer or a prospective customer we want to keep it to 1 to 2 kilometers rather than to 4, 5 or 6 kilometers it gets in better productivity and gets in better influence to consummate that transaction right. That is part of what we have envisaged everything. So the branch buildup will happen it is not waiting for anything, it is a question of a process to get that implemented, it is in progress to happen. So even in this financial year you will see some substantial branch accretion that happens. The second aspect that you touched upon is the PSL, and you touched upon the RIDF on PSL. See PSL there are several strategies to grow here, organic buildup of loans PSL eligible loans is the best method to do because it gives fantastic returns, it gives great returns going through our credit filters because we tried and tested credit filters it gives you the best returns that you can and the returns far more than the average of the bank. So we are quite enthused to do PSL organically to the extent it comes through our credit list. In the past year and two years when we have had muted retail to some extent the PS

L component is also lower because we did not get the retail as much, but as we are now opening up more retail and going you see that the PSL comes back organically still it is only one of the components because we do not leave other components on the table we want all of them for example organic is one where I think we have said that it is little July 16, 2022

Page 17 of 22 more than call it in 30 % to 35 % or a little more than two-thirds to 70 %-75% we get through organic and then there are other tools that we always use and we want to continue to use them one is the PSL certificates we get that too. the other one is the RIDF is also something where there is always a trade-off that is done what is the organic that you can build within your credit filters and if you go outside of your credit filters what sort of credit cost are you going to end up and so thereby what returns, what is the cost of the PSLC, what is the cost of RIDF and so this is always an equation that happens almost in a quarter few times that you balance this to see where is the break even and which is the right way to go about. So that is how decisions are done and when we did not do retail we have done more of the other things that will happen and then we do more of retail there will be more of organic that comes up. So that is how we think about the PSL. Kunal Shah: Sure so PSLC what we bought 100000 Crore maybe with HDFC it is that there is a scope for this to go up substantially from here on because 80 000 has already gone up to 1 lakh last year and maybe with this requirement I

think there will be more and more maybe purchase of PSLC which could happen.

Srinivasan V: See purchase again as I told you these are the three, four elements that happens right PSLC, RIDF, organic PSL growth and we do participation certificates so that the several components are happening and we have to balance the cost towards the returns that each one gives. So there is no one particular target if you ask me do you know whether this 1 lakh Crores is going to go to x or y there is no predetermined formula that we operate, the formula is which gives you the best return what is the break even on indifference point between various instruments that is what drives the decision and that is as you know is a dynamic decision because the price in the market is dynamic, is not a fixed price and so that is how that is determined periodically and then the outcomes is what you are seeing.

Kunal Shah : Sure, thanks a lot.

Moderator : Thank you . The next question is from the line of Adarsh from CLSA.

Please go ahead .

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Page 18 of 22 Adarsh : So just on the cost side any sense, it clearly is you are an investment made in branches and employees . So any path towards cost to income over the next couple of years .

Srinivasan V: Good, thank you for asking , but one thing normally resist from giving forward guidance on many things . But let me talk through so you will get an idea of what previously we have talked and our thought process so you will factor that. One from a top line point of view the growth is picking up, you have seen that over a period of time that the top line growth, the top line means I meant the volume growth was anyway there, but the mix is also we will see like this quarter and similarly last quarter the mix is also changing to get that the top line revenue interest income , our interest income growth component also moving up you are seeing that come up, that gives you a little more kind of a confidence and an opportunity to make the right kind of investments that you want because we want to feed that from a growth point of view that is one from a balancing point of view. The second thing is in terms of the credit situation. So we have come after a pandemic credit kind of a scenario as the credit

gets benign which is

already you are seeing some benign credit environment and when I say credit benign means I meant from credit cost that is benign. We have that is part of what you have seen is mix of investments, making investments in people when the credit costs have been below what we have seen historically what we have seen before the COVID we have taken the opportunity to make those investments in expenses both people , technology as well as on branches. So these are the two considerations we have always given how to make those investments for the future by using the credit benign conditions and how to make an opportunity of the top line growth so that you can balance the expenses. Now coming to the last aspect which is the crux of what you are saying what is the cost to income on how we should think about. If you go back to the pre-COVID our cost to income has been 39.6 the full year before the COVID 39.6. You can call it 39 and call it 40. We have always said that as the retail picks up, retail is an upfront cost and the top line comes with the lag and comes over a two, three year period so you put the cost in and it comes over two, three years period, that is the nature of that retail once you want to grow retail that is the way it happens and you are seeing that pick up and we have said that through the COVID period even when we wanted to spend we did

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Page 19 of 22 not have the opportunity to spend and we have been saying that we have been waiting for that opportunity to spend to get that retail back up and now that is chugging along and so the cost to income on an overall basis call it 40 or so which is the pre -COVID quarter -to-quarter variations will happen and if you ask Sashi , I think he has told in the past in certain other meetings that quarter -to-quarter variations can happen because it is a question of the timing, but over a period of a year or two years if you see you can touch 40 but over a medium -term three to five years this is something as a forward guidance normally which we do not do but from a

cost to income what we see as an opportunity we said it will get to the mid 30s and which is what we said pre-COVID but COVID has put halt to that changing the composition of the product mix as well as our spend mix and as we get back to normalization and execute we should get back to that kind of a trajectory over time .

Adarsh : On asset quality ex agri's, safe to say that things are trended absolutely in the right direction .

Srinivasan V: Yes.

Adarsh : So what is the risk there given credit cost to income as of now it looks like it is most of the segments and what is foreseeable in future

Srinivasan V : You talk about the credit right you talk about the NPA .

Adarsh : No.

Srinivasan V : Ex of agri it has been quite good if you see at an aggregate level and that it has got a component of the business as usual which is extremely benign because it is originated with a very tight credit conditions and it has also got a component of the restructuring some of them that to whom we are given the opportunity to redeem themselves to come back to normal life and some of them have taken that opportunity on the restructuring and used it to come back to normal life some of them who still struggle get into NPA, but on a combined basis you are seeing that it continues to get benign and better another one, two quarters you should see it is even more benign.

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Page 20 of 22 Adarsh : This is useful and that is it from my side. Thanks for answering my questions.

Moderator : Thank you. The next question is from the line of Abhishek Murarka from HSBC. Please go ahead .

Abhishek Murarka : Hi! Good evening Srini and team and congratulations for the quarter. I have two questions, one on NIM and one on Opex. On NIM the repo hike that has

opened in May, June when does it fully translate into yields would it be by the end of August or September and also if you can share the EBLR repo, non-repo and fixed and floating breakup for the loan book that would be useful.

Srinivasan V : First on the NIM the repricing starts, it started in May and there is a cycle, there is at least a three -month cycle and some of them are a six-month cycle in terms of what happens. So that is on the NIM and so it is not just that, it has also got to do with the deposit cost. So just the repricing on the repo or receivable, it also happens in the cost of funds, but then we do expect that the tailwind of the rates going up and if you think about the second aspect on the NIM that you asked in terms of the fixed and the variable about 45 % of the book is fixed and the 55 % is floating rate and some of them out of the 55%, 48% which is 27 %, 28% of the total book is repo and a quarter 13%, 14% of the total bank book is achievable . So that is the kind from a mixed point of view, pricing point of view you can think that is how it moves on.

Abhishek Murarka : So just extending that for the NIM outlook of course you know that there would be a certain amount of uptake in term deposit rates as well. So just generally would we still expect a retail and CRB proportions to rise in the loan mix and the expansion that you see in the yields sort of outpacing the TD uptick. So do we expect these two things to continue for the next three to four quarters .

Srinivasan V : From a NIM point of view it is also rightfully you are focused on the mix because that is what makes it right because individually things can go if the mix do not come it takes a little more longer time. The mix as we speak now is still at 45-55, although the retail grew at 5% and the corporate was zero and the CRB was 2.7 % sequentially. The mix is more or less the

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Page 21 of 22 same, one quarter does not take it, it takes a few quarters for the mix and last quarter we put out the chart in terms of how long it took for the mix to come retail 55 % how long it took for that retail to come to 45 % and there is the chart year-by-year it shows how long it took. So while on the way up it could be faster because the rate of growth on the retail and the demand in the micro environment we see on the retail is higher so it could be faster ,

but yes both the inherent demand we see in CRB and in retail is quite good and high and one other thing I want to be cautious and tell you to just because we think we see good demand if there is a great demand in wholesale we are not going to turn down the wholesale loan just because that the NIM has to come up, at the end of the day what matters in terms of this decision is does it give good returns at the end of the day ROA, ROE does it provide the right kind of return if it does it goes through, but from an inherent demand point because I did mention this because March the same conversation happened and we saw the whole sales come in with a greater vigor for a growth in March quarter and when it came I was not able to go back and say by the way we talked about retail and CRB having a faster growth rate inherent growth rate but the wholesale has come to decline wholesale, so we said we should go with the whatever is the demand which is the one we like the customer, we like the credit right pricing gives you the return should go and so that is the kind of a decision making that happens but inherently retail and CRB are having a good amount of demand.

Abhishek Murarka : Got it, thank you and the other question is on Opex. So can you share some sort of targets on how much you want to hire for the rest of the year and also what is your tech spend this quarter as a percentage of overall Opex where is that trending.

Srinivasan V : Two things, one in terms

of the hiring there is no predetermined that hiring depends on the productivity we measure all products, all geographies, branches, non-branches, customer segments, in terms of the productivity, which means the RM on the sales force give to the customer or to the sales unit. So it depends on the productivity that comes and continuously we drive the productivity up. So we have a model best-in-class model and we have a best tool and we periodically look at who and where it is sub-optimal and we drive the productivity. So that is part of how we do and the people addition we do as necessary to meet those opportunities when the July 16, 2022

Page 22 of 22 productivity is saturated we do need to add to get the more volume. So we are not shy of adding because it brings in better volumes and better relationships then your other aspect in terms of the technology, yes, I think in the past we have said the technology spend to total expenses 8%, 9% or so that is stable over a longer period of time that is the kind of range in which it operates. For quarter-to-quarter it can move around, but broadly that is where it is.

Abhishek Murarka : So it would be in that 8% to 9% range this quarter as well.

Srinivasan V : Yes, quarter-to-quarter it can be different but broadly that is where it goes.

Abhishek Murarka: Okay got it Srinu thank you that was useful and all the best for the following quarters.

Moderator: Thank you. Ladies and gentlemen, this would be the last question for the day given the time I would now like to hand the conference over to Mr.

Vaidyanathan for closing comments.

Srinivasan V : Thank you Faizan and thank you to all the participants who dialed in today.

If you still have more questions or need any clarifications feel free to get in touch with the investor relations team, we will be happy to engage. Thank you with that we will sign off for today.

Moderator : Thank you. Ladies and gentlemen, on behalf of HDFC Bank Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2023

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

January 20, 2023

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051
Scrip Code - 500180 Symbol - HDFCBANK

Dear Sirs,

Sub: Transcript of Earnings Call for the third quarter and nine months ended December 31, 2022

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings call with analysts and investors held on January 14, 2023, with respect to the financial results of the Bank for the third quarter and nine months ended December 31, 2022, has been made available on the website of the Bank at the link:
<https://www.hdfcbank.com/personal/about-us/investor-relations/financial-results>.

This is for your information and appropriate dissemination.

Thanking you,

Yours truly,

For HDFC Bank Limited

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"HDFC Bank Limited
Q3 FY'23 Earnings Conference Call"
January 14, 2023

MANAGEMENT : MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL OFFICER – HDFC BANK LIMITED

HDFC Bank Limited
January 14, 2023

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Classification - Public

Classification - Public Moderator: Ladies and gentlemen, good evening, and welcome to HDFC Bank Limited Q3 FY '23 Earnings

Conference Call on the Financial Results, presented by the management of HDFC Bank. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the brief commentary by the management. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Vaidyanathan, Chief Financial Officer, HDFC Bank. Thank you, and over to you, sir.

Srinivasan Vaidyanathan: Okay. Thank you, Tanvi. Good evening. Welcome to all the participants. Greetings of the New Year. Now let's start with some context on the environment that we operated in the quarter that gives a background of how we operated.

High frequency indicators suggest that domestic economic activity held up in Q3. GST collections continued to be robust, remained above INR 1.4 lakh crores since May '22. In December, GST collections stood at INR 1.5 lakh crores compared to INR 1.3 lakh crores in the prior year December. Manufacturing PMI has remained in the expansionary zone and is at 57.8 as of December and also the services PMI is at a six-month high of 58.5 in December. Healthy trend in government capital spending also bodes well for industrial activity, spent almost 60% of budget estimates during April to November versus 49% in the prior year. On the consumption side, we had our cards issuing spend growing at the rate of 27% year-on-year, reflecting good consumer demand. Rabi crop sowing looks encouraging, up 4.5% above last year's level.

As you know, the RBI raised the policy rate by 35 basis points to 6.25% and kept the policy stance unchanged at withdrawal of accommodation. There are risks stemming from the possibility of global slowdown. Reopening in China amidst rising COVID cases in many parts of the world and continued geopolitical tension. However, strong consumer demand and boosted by fiscal spends and higher Agri produced from rabi crop are likely to keep the Indian economy stimulated. We estimate the GDP growth to be around 7% for the financial year '23. Let's go through certain things at a high level.

On the distribution, we added 684 branches during the quarter, taking the total to 841 branches in the year so far. Gold loan processing are now offered in 3,938 branches, an increase of 978 branches in the current quarter and up 3x over March '22. Payment acceptance points growth has picked up pace as a smarter platform with momentum taking the total to 3.99 million year-on-year growth of 45%.

Wealth management is now offered in 691 locations. Through hub-and-spoke model, we have expanded by 189 locations in the quarter. On the CRB side, our SME businesses are present in more than 90% of the districts. Rural business reach expanded to 1.51 lakh villages and is on track to reach the objective of 2 lakh villages.

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Classification - Public In the customer franchise building process, during the quarter we added 5,863 people and 32,478 people over the year. Our people have acquired 2.6 million new liability customer relationships, exhibiting a healthy growth of 12% over prior year. On cards, we issued 1.2 million cards during the quarter, total card base is now 17 million.

We progress in our pursuit to focus on granular deposits. The deposits total amounted to INR

17,33,000 crores, an increase of 3.6% over prior quarter and up 19.9% over prior year. In retail deposits, we added INR 67,000 crores during the quarter and INR 258,000 crores since prior year. Retail now constitutes about 84

% of our total deposits and have been the anchor of our deposit growth.

CASA deposits recorded a strong growth of 12% year -on-year, ending the quarter at INR 762,000 crores, with the CASA ratio of 44%. Retail CASA grew by 14% and retail total deposits grew by 22% year -on-year. Retail current account which constitutes 70% of our current account deposits grew by 14% year -on-year, while our wholesale current account grew by 4% year -on-year.

Time deposits registered a robust growth of 27% over the prior year, ending the quarter at INR 970,000 crores. On the advances, it ended the quarter at INR 15,06,000 crores, grew by 1.8% sequentially and 19.5% over prior year. This is net addition of approximately INR 27,000 crores during the quarter and INR 246,000 crores since prior year. Gross of sell downs, IBPC, we grew advances by 23.6% year -on-year and 3.3% quarter -on-quarter.

Our retail advances growth was robust, domestic retail grew by 21.4% year -on-year and 4.7% quarter -on-quarter. CRB, which drives our MSME and PSL book for most part, continued its momentum with an year -on-year growth of 30% and quarter -on-quarter growth of over 5%. Wholesale segment witnessed a strong year-on-year growth of 20%. Corporate Bank initiatives across new -to-bank PLI, MNC and supply chain finance, continue to be a focus, allowing to diversify revenue pools from new customers, products and sectors. We expect demand from loans from NBFC telecom PSUs, retail and infrastructure sectors to sustain.

On the digital front, the bank continued its momentum on the technology and digital transformation agenda to provide greater customer experience, through our digital and enterprise factory. Progress on the key digital initiatives in the quarter, SmartHub Vyapar our one -stop merchant solutions app has further enhanced with the addition of new features in the current quarter such as instant QR, a revamp of ETB journeys and enabling onboarding of new -to-bank customers digitally. As of December end, over 1.9 million small businesses are on smarter platform, the platform is adding more than 80,000 merchants per month.

HDFC Bank One, the customer experience hub, the solution which transformed our on -premises contact center into a singular centralized service platform has now been further expanded across more locations in India now at seven locations. It enhances our customer relationship management process using AML and conversations BOT enabling round -the-clock self-service. With the rollout of HDFC Bank One, we have witnessed significant improvements in our

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Classification - Public customer engagements such as 39% reduction in case resolution time and a 64% reduction in turnaround time and an average reduction of 324 seconds in handling time in our care centers.

Express car loans is a first of its kind end -to-end digital service, enabling instant and hassle -free car disbursements. This channel contributes now 17% of our new car loan volumes. PayZapp, in the previous quarter, we launched PayZapp 2.0 to a closed user group, as we mentioned before. In this quarter, this was made available across the bank personnel, as well as app stores for early adopters. We have received encouraging response from the users of PayZapp 2.0. The existing 31 million registered users on the erstwhile PayZapp will be progressively transitioned to the new app. In Q3, we received a total of 315 million visits on our website, over 100 million unique visitors over the quarter at a year -on-year growth of around 30%, reflecting enhanced engagement in our digital properties.

Our continued investments in expanding our distribution network by adding people and branches combined with our focused digital offering and relationship management to fuel growth. Balance sheet remains resilient, LCR for the quarter was at 113%, capital adequacy

ratio is at 19.4% with

a CET1 at 16.4%, including profits for the nine months ended 31st December '22.

On the revenues, which ended the quarter at INR 31,488 crores, on a reported basis grew 18.3% year-on-year. Core net revenues were at INR 31,236 crores excluding net trading and mark -to-market income grew by 22% over prior year and 8.2% over prior quarter, driven by an advances growth of 19.5% and deposits growth of 19.9%.

Net interest income for the quarter at INR 22,988 crores, which is at 73% of net revenues, grew by 24.6% over prior year. The core net interest margin for the quarter was at 4.1% and this excludes one -off interest income on income tax refund of about 5, 6 basis points. Prior year and prior quarter were also at 4.1%. On interest earning asset basis which appears to be industry norm, the core net interest margin was at 4.3%, again at the similar levels to prior quarter.

Moving on to details of other income. Fees and commission income constitutes about 3/4 of the other income was at INR 6,053 crores and grew by 19% over prior year and 4% over prior quarter. Retail constitutes approximately 93% of fees. FX and derivatives income at INR 1,074 crores was higher by 13% compared to prior year of INR 949 crores. Net trading on mark -to-market income were positive INR 261 crores. The mark -to-market gains are mainly from AFS investments.

Prior quarter was a negative INR 253 crores and prior year was a gain of INR 1,046 crores, which were then opportunistic from our investments portfolio. Other miscellaneous income of INR 1,112 crores includes recoveries from written -off accounts and dividends from subsidiaries. Excluding net trading and mark -to-market income, total other income at INR 8,238 crores, grew by 15% over prior year.

Operating expenses for the quarter were at INR 12,464 crores, an increase of 26.5% over prior year. We added 1,404 branches and 1,769 ATMs since last year. As I said, we added 684

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Classification - Public branches during the quarter, 841 branches during the year, taking the total network strength to 7,183 branches. Cost to income for the quarter was at 39.6%.

Moving on to PPOP, our core PPOP grew by 19% year -on-year. Our Pre -Provision Operating Profit was at INR 19,024. Pre -Provision Operating Profit for the quarter is 6.78 times the total provisions. Coming to the asset quality, the GNPA ratio was at 1.23% compared to 1.26% in prior year and 1.23% in prior quarter. Out of the 1.23% about 17 basis points are standard, thus the core GNPA is at 1.06%. However, these are included by us in NPA as one of the other facilities of the borrowers in NPA. GNPA ratio, excluding NPAs in agricultural segment was about 100 basis points. Prior year was at 104 basis points and prior quarter was at 103 basis points.

Net NPA ratio was at 33 basis points, prior year was at 37 basis points and preceding quarter was also at 33 basis points. The slippage ratio for the current quarter is at 42 basis points or about INR 6,600 crores. The slippage ratio for the current quarter excluding Agri, which is a seasonal. December quarter impact was at 35 basis points or about INR 5,300 crores. During the quarter, recoveries and upgrades were INR 3,100 crores, approximately 21 basis points. Write -offs in the quarter were INR 3,100 crores or approximately 21 basis points. Sale of NPA of about INR 200 crores in the quarter.

Moving to the restructuring. The restructuring under the RBI resolution framework for COVID - 19 as of December end stands at 42 basis points, about INR 6,400 crores. In addition, certain facilities of the same borrower, which are not restructured is approximately 8 basis points of INR 1,100 crores plus totals to 50 basis points. The COVID restructuring in the prior quarter was at 62 basis points. Now moving to the provisions, the total provisions

reported were INR

2,800 crores as against INR 3,000 crores in the prior year and INR 3,200 crores in the prior quarter.

The provision coverage ratio is at 73%. At the end of current quarter, contingent provisions and floating provisions were close to prior quarter level at INR 10,800 crores after utilization of approximately INR 200 crores. General provisions were INR 6,600 crores, contingent provisions were INR 3,400 crores and floating provisions were INR 1,451 crores. Total provisions comprising specific floating contingent and general were about 166% of gross non -performing loan. This is in addition to the security held as collateral in several of the cases. Floating contingent and general provisions were about 1.15% of gross advances as of December end. Coming to the credit cost ratios. The total annualized credit cost for the quarter was at 74 basis points, prior year was at 94 basis points and prior quarter was at 87 basis points. Recoveries which are recorded as miscellaneous income amounted to 21 basis points of gross advances for the quarter as against 25 basis points for prior year and 22 basis points for prior quarter.

The total credit cost ratio, net of recoveries was at 52 basis points in the current quarter as compared to 69 basis points in prior year and 64 basis points in prior quarter. The profit before tax was at INR 612 crores. The net profit after tax for the quarter was at INR 12,260 crores, grew by 18.5% over prior year. Now some highlights on HDB Financial Services, this is on an Ind -

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Classification - Public AS basis. The momentum in disbursements continued across all three business segments during

the quarter, registering a healthy growth of 41% year -on-year, 18% sequentially. Customer franchise grew to 11.2 million customers, adding 2.6 million over last year. HDBFS has started to augment the distribution network and opened 14 branches in the current quarter, aggregating to 1,421 branches spread across 1,020 cities and towns. The loan book as on December end stood at INR 65,100 crores with a secured loan comprising 73% of total loan book.

Net revenue for the quarter was INR 2,233 crores, growth of 12.7% over prior year. Provisions and contingencies for the quarter were INR 313 crores compared to INR 540 crores for prior year and INR 351 crores for prior quarter. Credit cost for the quarter were at 195 basis points as against 358 basis points for prior year and 225 basis points for prior quarter. Quality of the book continues to see sustained improvement.

Stage 3 as at December end, saw a significant improvement and stood at 3.73% as against 4.88% in the prior quarter, reflecting sustained healthy collections. Provision coverage on Stage 3 book stood at 57%. The PCR on the secured and unsecured book stood at 54% and 85%. Profit after tax for the quarter was INR 501 crores against INR 304 crores for the prior year and INR 471 crores for the prior quarter. HDBFS ROA stood at 3.12% and ROE stood at 18.8%.

Earnings per share in HDB for the quarter was at INR 6.34 and book value per share as of quarter -end was INR 137.52. HDBFS remains well capitalized with total capital adequacy ratio at 20.5% and continues to step -up disbursements leveraging strong distribution spread across 1,400 plus branches. Now coming to HDFC Securities. HDFC Securities Limited added nearly 0.9 million new clients in 12 months to December, taking the client base to 4.3 million.

HSL has a network of 210 branches spread across 147 cities. Digital offerings continue to enjoy good traction in the market, which around 93 % of active clients utilize the services using the digital platforms of the company. The total reported revenue for the quarter was INR 505 crores for HSL against INR 536 crores in the prior year. And net profit after tax was INR 203 crores as against INR 258 crore

s in prior year. Earnings per share in the quarter was INR 128.1 in HSL and book value per share is at INR 1,114.

Now in summary, tailwinds from the economic momentum, fiscal and monetary policies have provided conducive environment for growth, by delivery of our full suite of products and services. Our results reflect robustness across various parameters, continued momentum in deposits growth at about 19.9% and retail deposits growth of 21.6%, advances growth of 19.5%. Core operating profit growth, net of trading and mark -to-market income was 19%. Profit after tax increased 18.5%, delivering the return on asset of about 2.2% and return on equity of over 18%. Bank's earnings per share reported in the quarter is at INR 22. The book value per share stands at INR 479.80. With that, may I request the operator to open up the line for questions. Thank you.

Moderator: The first question is from the line of Kunal Shah from ICICI Securities.

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Classification - Public Kunal Shah: So firstly, with respect to...

Srinivasan Vaidyanathan: Kunal, just one second. The team told me that I have to correct two things. I think, I was referring to the profit before tax is INR 16,218 crores, I think was referring somewhere. And the contingent provisions, I said INR 3,400 crores or something it is INR 9,400 crores, that's all I just want to -- because I was referring wrong places. Now go ahead, Kunal.

Kunal Shah: Sure. Yes. So firstly, on opex and particularly the employee cost side, no doubt we have added quite a lot of employees over last couple of quarters. But was there any other extraordinary within that wherein maybe the sequential growth was also quite high and both as well as year -on-year, so if you can highlight on that part? Yes.

Srinivasan Vaidyanathan: One is that normally the third quarter is the seasonal with a lot of activity in that time period.

That's number 1. Number 2, on the people cost, apart from adding of people both for business growth and branches, there is also another tranche of ESOP and RSU that would come in, that's about I think INR 250 crores or INR 300 crores approximately, that would come in, that's part of that, it's a business as usual. I wouldn't call it a one -timer, that's part of the business which is embedded there, which would be compared to prior year. And even prior quarter because the ESOPs were effective October and the RSUs were also effective about end October or something. So those part of the cost which is there.

Kunal Shah: So INR 250 crores to INR 300 crores odd?

Srinivasan Vaidyanathan: Correct. Yes.

Kunal Shah: Sure. And secondly in terms of the other interest income, particularly around about say INR 800 crores odd. So, what does that actually pertain to? Because I think that's what is driving the NII, otherwise broadly when we look at it in terms of the advances investments and the expenses,

then NII growth seems to be round about 22 -odd percent? Yes.

Srinivasan Vaidyanathan: See the other interest income if you look at the class 41 or something that has got certain income that comes from no n-lending. It could be income on RIDF deposits kind of thing will be there.

That's one. On the other one, I think, I called out, which is about 6 basis points is the interest on tax refunds.

Kunal Shah: Interest on?

Srinivasan Vaidyanathan: Tax refunds, I T, income tax refunds.

Kunal Shah: Yes. Tax refunds. Okay. So that quantum would be around about 300 pointed out, so 6 odd basis points is what they highlighted. Okay, got that.

Srinivasan Vaidyanathan: Above 300. Yes.

Moderator: The next question is from the line of Suresh Ganapathy from Macquarie Capital Securities.

Please go ahead.

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Classification - Public Suresh Ganapathy: Yes. Srin, so tw

o questions. One is on deposit accretion itself. So, if you look at Q2, the deposit accretion is INR 600 billion or if you look at purely in retail deposits, it's INR 670 billion and the previous quarter was INR 680 billion on overall deposit. The initial guidance was that eventually you want to take it to INR 1 trillion with every quarter showing an improvement, but that has not happened in 3 Q.

In fact, 3Q has shown a decline over 2Q in terms of absolute accretion of deposits. So, what's happening here, are we on track to get that INR 1 trillion accretion? Any color on that would be great, Srin.

Srinivasan Vaidyanathan: Good point, Suresh. Yes, indeed, our objective was to take that 60,000 to 68,000 to 80,000 to 100,000 as we go. And yes, this quarter, if you look at retail came in with INR 67,000 crores.

The retail came in quite well. Yes, it didn't come in as much as what we thought. We had expected that it to be 80,000 or above, north of 80,000 or above, but it came in at 67,000. Within this kind of right away, we did put in audacious goal and in terms of how we want to get there and achieve. And it came in at 67,000.

But we are still the mindset on the drive and the distribution network and leveraging of our existing relationships are in full core. And we believe that in this quarter, more consumer spending has happened broadly in the country, and we see that in our own customer base too. If you look at our cards, as an example, card spend, the retail card spend growth is 27%. So, people are spending in other things that they want to do. So that's part of what has happened. But we are still getting on track to be growing that sequentially up.

Suresh Ganapathy: And the next two questions, is first on margins. Your margins are flat Q -o-Q or Y -o-Y also for that matter, whether you look at repo on assets or interest earning assets. My point here is Srin, bulk of the deposit rate hikes have actually happened between September to December. You can see actually all banks. even Post, the SBI and even yourselves included have hiked deposit rates quite aggressively.

So, if you have not seen a margin expansion this quarter, especially when deposit rate hikes are yet to flow through, what happened next quarter when some of the deposit repricing? Or at least the incremental flow will be at a higher rate. Do you think you can sustain the current level of margins or there could be any margin pressure?

Srinivasan Vaidyanathan: Again, very nice and very correctly you're asking that. It is correct that to expect that deposit pricing factoring in as we go along would start to increase because if the prices have started and it will have a full quarter impact, and if there is one more rate hike and there will be further coming in on the deposit costs. But along with that, the loan pricing also happens.

Our position is more or less is kind of a balanced. When the deposit pricing goes up, we also get up on the pricing on the assets. So, if you look at some of our -- MCLR is a good indication to see while that not all loans are there, but it's not an enormous amount of retail loans go off MCLR. And then there are certain other SME type loans that also based off the MCLR.

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The third thing, the margin pickup, I think over a period of last four, five quarters we have been

saying that the margin is a function of the mix of products. To the extent deposit goes up, the asset yield goes up to keep the margin constant or thereabouts within a small range. But the margin going into the middle to the higher end of the 4, 4.5 is a function of the mix of wholesale and retail.

Still despite retail growing 5%, up sequentially, the mix is still 45 retail, 55 wholesale, the Basel classification is still at 45, 55, right. And couple of few years ago before COVID, few years ago it was 53% to 55% retail. So that list needs to change for the margin to move up. But the other question that you asked is the margin under pressure? Yes, we are cognizant that we need to keep up on the yield to keep pace with the deposit cost that goes up.

Suresh Ganapathy: And lastly, anything you've heard from RBI with respect to any of the statutory relaxations or any other relaxations that you have thought? If not then, what do you think could be the timeline to hear something on that front?

Srinivasan Vaidyanathan: Not yet, Suresh, not heard yet. But we would expect it within the next month or two there is no particular timeframe, this is not particular schedule. For context, is that the merge process is progressing, the NCLT final hearing is on 27 January. And so there upon once it's adjudicated, and then there are certain other processes regulatory processes to go through. So, we do have some time that this would take and we are hoping that in this interim period there will be something.

Moderator: The next question is from the line of Mahrukh Adajania from Nuvama Wealth Management Limited.

Mahrukh Adajania: Yes. So I had a question, partly linked to Suresh. So, your asset growth for the quarter was just 3% Q-o-Q, whereas you know at the time of the merger or at the Analyst Day, the guidance was achieving 18% Y-o-Y, even on a merge balance sheet basis. Should does that stay? And were there corporate loan exists at the end of the quarter?

Srinivasan Vaidyanathan: So there are two aspects. You touched upon how to think about the loan growth and then we've talked about the wholesale growth at the end of the quarter. The way you think about the loan is not quarter-to-quarter. That is why we give kind of a indication to look back to see how the bank has grown the loan book over a period of time. You can look at a three-year block or a two-year block or a five-year or a 10-year block. Whichever blocks you look at, it would be, call it 2.2 -- every five years, 2.2x or 2.3x, or thereabouts, which is back to 18% to 20%, that is what I think your memory says, because that is the historical thing.

So, quarter-to-quarter there can be variations. But in this quarter, if you see, still it is 19.9% -- 19.5% and the growth of the IBPCs alone grew 23.5% -- 23.6%, I think it was.

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And whereas the loan has to come and catch up over time. So, we took a stance saying that, from a pricing point of view we will wait for the price to come up. We don't need to. And so, the wholesale was minus 1%. The bond spreads went up anywhere from 30 to 60 basis points, the market bond spreads widened.

So, we do have to wait and see how the loan starts to catch up on the yield from an opportunity point of view. Where the other banks in the country or the financial market participants would appropriately start to price and looking at how the bond spreads are moving. So, it's a question of a quarter-to-quarter timings will be there.

Mahrukh Adajania: But my broader question was that, if you see some of the economies have already downgraded growth forecasts for India. So, what is your sector growth assumption for FY'24? And then of course you would grow above the sector to justify your 17% to 18% year-on-year growth for the next year and then maybe for the next

two to three years? So, is it just a tactical call based on pricing? I think there is adequate growth to grow 18% with quarterly variation? Is that a fair assumption?

Srinivasan Vaidyanathan: Yes. It's a fair assumption, it is a tactical thing. We see good demand for loans, more than over INR 30,000 crores, INR 40,000 crores of loans, we did not go through. We didn't want to go because the price has to catch up with what we are seeing on the bond market and it didn't catch up, so we let go.

And we do see good demand in the NBFC segment in the PSU or in the retail and infra segment, we do see good amount of demand coming. And we are also getting on to the new product lines that I mentioned too again driven through PLI or other aspects, we are also into those.

Mahrukh Adajania: So would you have a call on the sector growth rate for FY '24? I mean, any such loan growth?

Srinivasan Vaidyanathan: No, maybe.

Mahrukh Adajania: And sorry, just one follow-up. Basically, what would be the quantum of tax difference INR 350 crores, what would it be?

Srinivasan Vaidyanathan: What is it?

Mahrukh Adajania: Interest on tax?

Srinivasan Vaidyanathan: Yes, six basis points would be approximately INR300 crores, yes. That was it. It is not tax, its interest on tax.

Moderator: The next question is from the line of Saurabh Kumar from JP Morgan.

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Classification - Public Saurabh Kumar: Srini, so three questions. One is, could you comment on what's your revolve rate on the cards

business? And your spends have gone up. I just want to see what the revolve rates are? The second is what will be the LCR both for the average and period end? And lastly, just coming back to this NIM, so this cycle, HDFC Bank has shown lower NIM sensitivity versus if I look at your private sector peer group.

So, would it be fair to say, as rates -- if they were to go down maybe in second half of the year, we should again see lower sensitivity on NIMs today? That will be three.

Srinivasan Vaidyanathan: Saurabh, for asking. On the revolve rate, we haven't seen any pickup in revolve rates. So we're still at 65%, 70% of the pre-COVID levels. We don't see a pickup in revolve rate. Actually, this quarter is slightly down by a one percentage point or so, and understandably third quarter normally goes down because we see higher level of card spends that happen due to various festivals and events.

So you will see that there are more transactors into that mix. So, 1 percentage point change doesn't make, but we are not seeing the pickup in the revolve rate. So that is still far lower than what it used to be in the past. So that's one on the revolve rate. Yes, we do, we are confident that the industry will come back, the revolve segment will come back.

But again we analyze that between what we call the occasional revolver who revolves between 1 to 3 months and 4 to 6 months and 6-plus months and so on. But the cream of that would be somebody who revolves 6-plus months, actually that is not moving at all, it is not.

And you will see that somebody, 1 to 3 months going up or down a bit, but that is again more temporary that happens in this not revolving happens. So, we're not seeing that yet. The second aspect that you touched upon is the LCR. I think, I did allude to 113% LCR in the quarter, so that's close to average EOP, whatever you call it, the 113% of the LCR. You asked about the net interest margin in the context of in the second half, what happens when the rate moves?

See, you can think about our net interest margin over the last three years. Go back to before the rates started to go down. And during the kind of a COVID period or in the current period last year to year and half period. If you look at it, it operates normally between the 3.94 to 4.4, 4.5. And the function of the NIM going up or down, it's about

the mix of products. More retail

composition in the portfolio gets you higher NIM and comes with higher cost and also comes with higher credit costs such credit cost can come with a slight lag.

So that's the model in which it operates. And otherwise, the cost of funds or the yield, other than the lead and lag effect will move more or less. Quarter-to-quarter some variation, because of the lead and lag effect. But otherwise, it is pretty tight from a match to mix, point of view. So, if the rates were to go down in the second half and it would be the -- still will continue to manage the net interest margin in a stable manner around that historical range.

Moderator: The next question is from the line of Hardik Shah from Goldman Sachs. Please go ahead.

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Classification - Public Rahul Jain: Yes, Srini. This is Rahul Jain on behalf of Hardik. Two, three questions. Number one, again coming back to deposit growth. I mean for the whole industry itself; the growth is not really showing any acceleration and banks and all have kind of increase the rates. There is clearly pressure from alternate channels. So do you want to hazard a guess as to the banks need to touch the savings rate also in this in the next couple of months to push on the deposit mobilization?

Srinivasan Vaidyanathan: I do. I certainly don't want to take a guess, but that is you know that that has been something that over a longer period of time has remained more or less within a small range. So that's not

something that generally has happened, but again, the way that we don't lead with this. But will follow the leader on that front. But still you know that we priced slightly above than the largest bank player in the country on the savings.

Rahul Jain: So, I mean, what measures can banks take or eventually the loan growth have to take a knock, because the CD ratios are don't have much of a scope, I mean, it can still go up by couple of percent. But how will you all kind of manage the whole growth versus deposit dynamics?

Srinivasan Vaidyanathan: See the growth of deposits, one, of course, the market itself grows at certain rate. And the goal is to grow faster than the market to gain the share. So, like for example, our share is slightly under 10% and gross at call it 80 to 100 basis points in the last year. And similarly, over a five - year period, you would see that it's about 400 plus basis points market share gains.

So that's -- and we strive to get that by expanding our distribution to get closer to the customer with a better relationship. So that's it is all about getting the customer in and deepening that relationship, it takes 21 to 24 months for the customer maturity cycle to peak.

And so you want to get the customer in and work with the customer to get that the maturity to be peaking. That's the only thing. And with the market share slightly under 10%, so it's a long runway to go and get that.

Rahul Jain: Understood. The second question is on the cost side. So, you opened about close to let's say 700 branches in this quarter. How many more you would want to open let say in this quarter and whatever cost that are to accrue with regards to branch expansion, has that already reflected in the numbers or will be some spillover into the fourth quarter as well? Plus, of course, whatever you will open up in this quarter in terms of branches?

Srinivasan Vaidyanathan: Yes. The branches that we intended to open call it 1,500 to 2,000 branches, we probably will open. And in the pipeline, we have at least another 600 odd branches in the pipeline to go. And then we keep adding into that. Again, it's not a function of whether we know which locations and how many we want to open. It's a question of getting the least consummated in an appropriate manner and getting the fitment done on time. It's just a function of that. So ye

s, we are pursuing that branch build strategy and we have little more than 600 in the pipeline to go, in the shorter time period, it will come. From a cost point of view, those cost will mostly come in the following quarter and to the extent that it goes into later part of the quarter, then the cost will mostly spill into the following year itself, because the cost maybe a month or
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Rahul Jain: Let's just maybe one more. On the priority sector, did we do any buyouts in this quarter? How are we placed on that front? Because the growth is remaining strong and any update from RBI on the potential exemption that we applied for the merger?

Srinivasan Vaidyanathan : No, we haven't heard as I was saying that we would expect at some point in time, maybe there is the 27th NCLT meeting and from then on there are a few other regulatory things to go through, before the effective date and maybe in the interim period there will be next year. So there is no target date or a timeframe set on that, and we hope to hear as soon as possible on that.

But on the other question that you asked, in terms of the priority sector, yes, we do buy in the market, different products, one is to do with the core growth, which is a significant push. The core PSL growth is about 35% up year -on-year. So that the total loan is about 19.5% year-on-year and the core PSL, which means the on books PSL that we originate and has grown at the rate of 35%, so far, that's one.

So that means, it gives good ROA and that is the priority and that is the push. And then there are other opportunities that we go and tap too, which is the PSLC or the IBPC or the RIDF, which is again that's a continuous evaluation that happens between the alternative cost of various such strategies and then that is how we use that.

Rahul Jain: But do we have any significant shortfall out there or we are okay, I mean, with growth picking up in the core PSL book?

Srinivasan Vaidyanathan : The shortfall or excess gets determined more at the end of the year in terms of how we do and that is where it comes, but if you look at what we have done over the past several years, typically, the overall PSL, it's 40%. That's certainly we are always there and even now we are there, in the mid-40s plus. It's a question of how do we get to the right kind of a composition on the agricultural and the micro.

These are the two things that you focused to get there. And which we always endeavor a look for organic growth because it is tough to get organic growth. And then where we can't get, we go to the market to see how we can get PSLC or IBPC. And even if that doesn't work, we evaluate whether RIDF is another choice on to that. So all of these get worked and normally it is an annual

type of a target and goal.

Rahul Jain: Can I squeeze in one more small question if you don't mind, on consumer behavior, our lending has been strong, the personal lending, personal loans, growth has been strong quarter on quarter. But we see their inflation continues to remain high, the EMIs have gone up. So how do you think about this portfolio shaping up over the next couple of quarters?

Asset quality seems to be strong, but do you think growth may take some knock because of these factors or we are seeing some revolver shifting to the EMI loans, which one is getting clubbed

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Classification - Public here? So just wanted to understand how this piece is going to evolve over the next couple of quarters?

Srinivasan Vaidyanathan : So we still see quite an amount of -- that's part of their retail spend, if you see retail card spend

if you see, almost 27% retail card spend growth, which is quite good. Similarly, if you look at the acquiring business spend that was also in the 20s, good robust acquiring. So you are seeing people are spending. I'm talking about this quarter. That is happening. And another thing, if you see, there is enough liquidity also there with the kind of a customer, I'm talking about our customer base.

If you take our cards customer base, I think last time I alluded to and it is true now too, which is the card customer liability balances in the bank is over five times. So that means if there is 100 of our card receivable balance at an aggregate level, the deposits from that bunch of customers is like five times that? So that means -- and pre-COVID, I think it was, we said, it is less than three and half times or four times. So people have built up liquidity and it seems to be there, among our customer base. And we do see a good amount of spend happening.

Rahul Jain: So that should continue, even the personal loan book should continue to grow. It's what I understood?

Srinivasan Vaidyanathan : You've seen the personal loan book in the quarter grew close to mid-20s, like 24% or something you've seen growing. Similarly, even the sequential growth you're seeing good amount of sequential growth even on the personal, yes, 6% sequential, 23% year-on-year on the personal loan, you're seeing that growth.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: Hi. Srini, I have two, three questions. Firstly, if you can provide some color on the credit card acquisition strategy? We recently talked about like doing 1 million cards per month. How are you planning to achieve this and the timeline for it?

Srinivasan Vaidyanathan : One, we acquired 1.2 million cards in the quarter. And I don't think we have said 1 million per month if anything that's more of a strategic call. But I can tell you that we are at about 1.2 million in this quarter and the prior quarter was slightly under 1 million for the quarter. That's the kind of rate at which we are acquiring cards.

Nitin Aggarwal: This was there in the media very recently, so I thought of clearing this. But no worries. Secondly, like this quarter we have consumed small amount of contingent provisions. So what is your approach to utilization of these provisions going ahead?

Srinivasan Vaidyanathan : See every quarter as we have said in the past, we evaluate what to do and if there is a kind of a minor release, it happens, or a build that happens. But broadly, if you think about how to think about it, which is also I think one of the notes we have given the COVID, one of the important kind of drive that we build the reserves and even before COVID, we built on certain another economic considerations. I wouldn't say that is all behind us.

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Classification - Public So if you look at certain markets, in the East of the country or in the West of the country, the covid cases are far higher, far, far higher and it's spiking. And I am not wishing that we follow what we followed last time with a lag of three or four months, I'm not wishing, but we got to be watchful to see how that turns out. So we keep evaluating how this turns out and that's all we keep the provisions on books.

Nitin Aggarwal: Right. And lastly on the liability, this quarter we have reported like a pretty strong TD growth almost 6% Q-on-Q. So can you share some color as to what has been the mix of savings deposits, which have moved to TDs or alternately when you talk about INR 67,000 crores of retail deposits. So, during the quarter, what will be the mix of SA and term in these incremental deposits?

Srinivasan Vaidyanathan : So, I think, mix of both, given you the savings account growth, I think, it's about 13-odd per

recent

in the quarter. Time deposit growth is about 27% or so. The current account growth year-on-year is 8%. But however, I did mention that the retail current account which is the granular current account, which is a big focus for us is at 14% year-on-year growth, however the wholesale current account decreased by 4% in the quarter.

So the CASA ratio is 44%. The long-term CASA is about 40% or 39%, 40% in the long term. And if you think about the time deposit last year FY'22, the whole year the time deposit grew by only 7%. So it's a question of the customer preference and the rate cycle that happens and that's all the growth, and I gave you the rate of growth across each one of these products.

Nitin Aggarwal: Sure, Srini. I will work that out.

Moderator: The next question is from the line of Kunal Thanvi from Banyan Tree Advisors Private Limited.

Kunal Thanvi: So I had two questions. One was the employee addition. Can you throw some light on the breakup of employee addition in terms of branch related and others? And within others, what are the areas where we are adding employees? Because last nine months we have added around 25,000 employees, how much work to do with new branches and how much is non-branch?

Srinivasan Vaidyanathan: See, the most of the staff additions will be in frontline. Frontline means either they are in retail asset sales, which entails because you know that after a couple of years of slowdown we did pick up, so retail asset sales. Branches also add in out of the 30 odd thousand, more than call it 60 odd percent would be simply directly branches. And then when I say assets, it is both cards and retail assets, both of them would also be there as part of the growth.

So yes, we have about, call it 84% or so of our people in the customer facing role, that's where most of the -- in some manner or the other, I gave you two, three examples of liability branch products or asset sales product or a card sales type of product. But that's the kind of growth where in the frontline handling the customer in some manner or the other, either in relationship management or in sales, that's where predominant growth comes from.

Kunal Thanvi: Sure. And the second question was on, if you look at our fee income, the share of credit cards and payment products have been gone to 34% for this quarter. So can you throw some light on

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What is that sustainable number one should look at?

Srinivasan Vaidyanathan: Again, it depends on yes, the payment business was 32% of the total fees last quarter, 33%, in this quarter. So it is more or less in that kind of it. And normally in the third quarter you would expect that it contributes slightly higher than what it used to contribute historically. And last year third quarter was an aberration because of certain other things I alluded to at that time from a coming-off the restructuring. A lot of these risk-related type of fee, where people check bounce fees or the late payment fees or the over credit limit fees, et cetera, et cetera.

They all came down, because they are all risk-related fees. And with the curtailment of all of those last year in the COVID period, they were down. But otherwise, there is no particular outlook I can give, it's a function of customer behavior on these things. But yes, it has gone up from 32% composition to 33% here, and again depends on the seasonality and the promotions we run period-to-period.

Moderator: The next question is from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: Hi, Srini. Okay. If I were to just ask one clarification. What is the accounting treatment of IBPC?

And when HDFC mortgage book customers who had to come down to your bank, how

does the

pricing of those loans move? Because they have a different interest rate regime and banks have a different interest rate regime.

Srinivasan Vaidyanathan: On the accounting literature, I think it's in a public document somewhere in terms of what that is and we can take it offline or one of our finance team can talk to you to, to show you where it is. So it's a very simple thing, you'll see.

M.B. Mahesh: Sir, in the sense, do we have to move to EBLR or do they have a choice to continue where they are?

Srinivasan Vaidyanathan: This is on the mortgage, you are talking about, right?

M.B. Mahesh: Absolutely.

Srinivasan Vaidyanathan: Your second aspect of the question in terms of the mortgage. There will be a one-time change that we will do when the migration happens. We are working through that my integration process, and once it is integrated, we'll exactly communicate with the customer how that will move.

And then of course at any point in time customers have a choice. Even today they have and in future they will have a choice to pick the external benchmark or whatever they need.

M.B. Mahesh: So just on the first question then, on the IBPC part. Does that increase in sale of loans through IBPC, have any impact on the NII or the fee income line?

Srinivasan Vaidyanathan: There will be NII depending on whether the IBPC is done at a price above the cost of funds or

below the cost of funds and so on.

M.B. Mahesh : Correct.

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Classification - Public Srinivasan Vaidyanathan : And similarly there will be some impact on the IBPC. Yes.

M.B. Mahesh : And how was it this quarter, if I had to ask that?

Srinivasan Vaidyanathan : IBPC will have some impact, so if you look at our loan growth, 19.5%, growth of IBPC, the loan growth is 23.5%.

M.B. Mahesh : On the NII line?

Srinivasan Vaidyanathan : On the NII line there will be some impact. It could be at any point in time, could be 0 to 5 basis points or 10 basis points at any time.

M.B. Mahesh : And if you can give a clarification, what is the definition of a retail current account?

Srinivasan Vaidyanathan : So retail current account is the customers managed out of the branches. Wholesale customer is normally a big corporate or a wholesale customer relationship managed, whereas in a branch managed, that is what we call the retail. Example, it could be a merchant around the corner somewhere or it could be certain another institution, which the branch is managing and opening and maintaining that account.

Moderator: The next question is from the line of Pranav Gundlapalle from Bernstein Private Wealth Management.

Pranav Gundlapalle: Just a quick question on the NIM. You explained how the change in loan mix is driving the change in NIMs, so that's clear. But within a given segment, have you seen a change in your risk footprint over last two, three years, which can also explain, at least part of that linkage? Then if we look in personal loans, going to add safer segments or would the corporate going to add safer segments, anything you see of that sort play out?

Srinivasan Vaidyanathan : Pranav, your line is echoing, I didn't get it all. I know the question is about the NIM from two, three years and something, but I didn't get it exactly. If you can slowly repeat, I'll try to.

Moderator: Pranav, if you're wearing any headphones or earphones, we would request you to speak to the handset directly.

Pranav Gundlapalle: Okay. I'll please try it once again. My question was, you explained about how change in loan segment, explained the change in NIM that you've seen. Is there a change in relative riskiness of the between the segment itself? Have you seen a shift to a safer or less risky segments within personal or any particular segment?

Srinivasan Vaidyanathan : I got it. You are asking about the relatively, of

course, yes, absolutely, because the change in our composition that we saw when the wholesale moved from 45% to 55%, from a total composition, we did see a significant improvement in the quality of the customer. These were very highly rated corporates. Our wholesale customers, wholesale book is at about an average internal rating, call it about 4.3 or so is equivalent to AA rating, yes, the quality of the book.

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Classification - Public And one other thing is also it comes with a lower risk weights, anywhere from 20%, 30% and retail comes to the 100% risk weight. Yes, it comes with a different type of risk metrics. And that is why, when the wholesale comes, it will come with a lower margin, cost to income which is very low, virtually no marginal cost to income. And credit cost, our experience on the credit cost has been that you will see that hardly any credit cost that we report on this segment. So whereas on the retail, come with a higher margin, higher cost of origination, higher cost of maintenance.

It will come with the credit cost; credit cost can come with a lag too. So that's part of the model.

But one thing is from a returns point of view, if you think about the returns, more or less they will be matching, from a ROA, you will see that, call it approximately 2% could be 2.1%, 1.9%, but approximately 2%. Irrespective of the segment in which we operate, we manage to optimize the ROA, because if the margin is low, cost is low, credit cost is low. And so you get to the margins and get to the returns that you want to get. That's how we manage that. And so over a period of when the shift has happened, you see that the ROA remains pretty stable.

Moderator: Ladies and gentlemen, we have come to an end of the time allocated for the call. I would now like to hand the conference over to Mr. Vaidyanathan for closing comments.

Srinivasan Vaidyanathan : Thank you, Tanvi, and thank you to all the participants for joining in today. Any further questions, comments or anything, the team is available and at some point in time we can connect

over the next few days. Thank you. Have a great weekend. Bye -bye.

Moderator: Thank you very much. On behalf of HDFC Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2023

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

April 18, 2023

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051
Scrip Code - 500180 Symbol - HDFCBANK

Dear Sir / Madam ,

Sub: Transcript of Earnings Call for the year ended March 31, 2023

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings call with analysts and investors held on April 15, 2023, with respect to the financial results of the Bank for the year ended March 31, 2023, has been made available on the website of the Bank at the link:

<https://www.hdfcbank.com/personal/about-us/investor-relations/financial-results>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Yours truly,

For HDFC Bank Limited

Santosh Haldankar
Company Secretary

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"HDFC Bank Limited
Q4 FY '23 Earnings Conference Call"
April 15, 2023

MANAGEMENT : MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL OFFICER – HDFC BANK LIMITED

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Moderator: Ladies and gentlemen, good evening and welcome to HDFC Bank Limited Q4 FY '23 Earnings Conference Call on the Financial Results, presented by the management of HDFC Bank.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after a brief commentary by the management. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Vaidyanathan, Chief Financial Officer, HDFC Bank. Thank you and over to you, sir.

Srinivasan Vaidyanathan: Okay, thank you Tanvi. Good evening and a warm welcome to all the participants. Let's look at the key macro indicators observed during the quarter before we get to the details on the earnings.

Various indicators suggest economic activity was holding up well in Q4. GST collections continue to be robust. March '23 recorded 13% growth year-on-year. Full year '23 GST collections recorded a growth of 21%. Manufacturing PMI at 56.4 has remained in the expansionary zone since July '21. Services activity is holding up well. Services PMI at 57.8 continues to remain strong.

Healthy trend in government capital spending also bodes well. Q4 '23 year-on-year growth of 18% and full year government capital spending growth of 22.8% bodes well. Payment system indicates business activity continues to be robust with 15% growth in RTGS, NEFT transactions value and a 51% growth in UPI payments. On the consumption side consumers are moving towards higher value products driven by changes in technology and regulations.

We have seen customer preferences towards SUV, MPV type of segment and higher capacity two-wheelers. Two-wheeler and passenger vehicles witnessed continued improvement. During the quarter, our retail card issuing spends also showed robust growth of 31% year-on-year. Rabi crops sowing is progressing well with approximately 3.3% improvement to last year's level.

IMD is forecasting normal monsoon this year which also bodes well for the semi-urban and rural activity.

Global financial market volatility could weigh in on domestic growth. Going forward, there are risks stemming from possibility of global slowdown, continued geopolitical tensions and any further deepening of foreign banking prices. We estimate India's GDP growth at 6.8% in financial year '23 and expected to be over 6% in financial year '24. Let's go through certain key themes. On the distribution expansion, we added 638 branches during the quarter taking the total branch addition in financial year '23 to 1,479. The total branch network of the bank stands at 7,821.

On the payment acceptance points, the bank has 3.9 million year-on-year growth of 30% as adoption of Vyapar app builds momentum. We witnessed upwards of 75,000 new additions per month during this year. Wealth management is offered in over 923 locations through hub and spoke model. We have expanded by 232 locations in the quarter. In CRB, our SME businesses are present in more than 90% of the districts. Rural business expanded to 1.65 lakh villages and

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Classification - Public is on track to reach the objective of over 2 lakh villages. Gold loan processing is now offered in 4,182 branches, a threefold increase over March '22. In the customer franchise building, we acquired 2.6 million new customer liability relationships during the quarter and 10.6 million relationships in the year. With over 83 million customers, we will continue to engage in thereby enabling us to broaden base and deepen our relationships. In order to position us for this customer engagement, we have added 3

1,600 people over the year and 6,300 during the quarter. On cards, we have issued 1.4 million cards during the quarter.

The total cards space is now 18 million. On the website, our registered traffic during the quarter received an average of 132 million visits per month with over 106 million unique visitors over the quarter and year-on-year growth of around 74%. Our focus on granular deposits continues with total deposits amounting to INR18.8 lakh crores, an increase of 20.8% over prior year and 8.7% over prior quarter. During the quarter, we added deposits of INR150,000 crores. Retail constitutes about 83% of total deposits and has been the anchor of our deposit growth. Retail deposits grew 23% year-on-year and 7% sequentially.

During the quarter, we added retail deposits of INR107,000 crores. Wholesale deposits constitute 17% of total deposits. As of March '23, these grew 10% year-on-year and 15% sequentially. Term deposit registered a robust growth of 30% year-on-year ending the quarter at INR10.5 lakh crores. Savings deposits recorded a growth of 10% year-on-year and 5% sequentially ending at INR5.6 lakh crores. Current account deposits grew 14% year-on-year ending at INR2.7 lakh crores. Overall CASA deposits grew 11% year-on-year ending at INR8.4 lakh crores resulting in a CASA ratio of 44%. Retail CASA deposits grew by 13% year-on-year. On the advances side, advances at INR16.1 lakh crores, grew by 16.9% over prior year and 6% sequentially.

This is an addition of approximately INR94,000 crores during the quarter and INR224,000 crores in the year. Growth of IBPC advances grew by 21% year-on-year and 6% quarter-on-quarter. Incremental credit to deposit ratio was at 62% for the quarter. CD ratio as of March end stood at 85%. Our retail advances growth was robust. Domestic retail advances grew 20.8% year-on-year and 5% sequentially primarily driven by strong performance in personal loans and home loans.

In the CRB, which drives our MSME and PSL book continued its momentum with the year-on-year growth of 29.8% and quarter-on-quarter growth of 9.7%. Wholesale segment grew 12.6% year-on-year and sequentially 4.5% primarily driven by demand from NBFCs, telecom, PSUs and retail sectors. On the technology update, launches PayZapp 2.0, which was rebuilt from ground up is available to public at large. SmartHub Vyapar continued to add new features to our one-stop merchant solution app. The app has garnered tremendous growth with three-fold increase in active users and more than three-fold in merchant transactions value. As of March end, over 1.5 million small businesses are on this SmartHub platform.

Express Car Loans is an end-to-end digital lending journey platform facilitating instant and hassle-free car loan disbursements to existing as well as new-to-bank customers has been witnessing HDFC Bank Limited April 15, 2023

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Classification - Public tremendous response from customers. Express Car Loan volume now contributes 20% of our new car loan volume.

We are focused on investments in expanding our distribution network combined with our focused digital offering and relationship management which continues to fuel growth. Balance sheet remains resilient. LCR for the quarter was at 116%. Capital adequacy ratio is at 19.3% with CET1 ratio at 16.4%.

Let's start with revenues. Net revenues for the quarter were at INR32,000 crores grew by 21% over prior year driven by gross advance growth of 21% and deposit growth of 20.8%. And net revenues for the year ended March 31, 2023 were at INR1,18,000 crores, grew by 16.3% over prior year. Net interest income for the quarter at INR23,352 crores, which is 73% of net revenues grew by 23.7% over prior year. The core net interest margin for the quarter was at 4.1% versus prior year of 4%. Prior quarter was also at 4.1%. Full year core net interest margin was at 4.1%.

On interest earning asset basis, the core net interest margin for the quarter was at 4.3% again at similar levels to prior quarter. Full year core net interest margin based on interest earning assets was at 4.3%.

Getting to the details of other income, total other income at INR8,731 crores was up 14.3% versus prior year. Fees and commission income constituting about three-fourths of the other income was at INR6,628 crores and grew by 17.7% over prior year and 9.5% over prior quarter. Retail constitutes approximately 94% of the fees. FX and derivatives income at slightly above INR1,000 crores was higher by 25.6% compared to prior year of INR804 crores. Net trading and mark-to-market income were at negative INR38 crores for the quarter. Prior quarter was a gain of INR261 crores and prior year was a gain of INR48 crores.

Other miscellaneous income of INR1,130 crores includes recoveries from written-off accounts and dividends from subsidiaries. Excluding net trading and mark-to-market income, total other income at INR8,769 crores grew by 15.5% over prior year. Operating expenses for the quarter were at INR13,462 crores and increased 32.6% over the prior year. Operating expenses for the year ended March '23 were at INR47,652 crores, an increase of 27% over the prior year. In this context, it is pertinent to note that we added 1,479 branches and 1,597 ATM since last year.

Cost to income ratio for the quarter was at 42% and for the full financial year was at 40.4%. Moving on to PPOP, for the quarter grew by 13.8% and our pre-provision operating profit was at INR18,621 crores. Pre-provision operating profit for the quarter is 6.93x of total provisions in the quarter. Coming to the asset quality, the GNPA ratio was at 1.12% as compared to 1.23% in the prior quarter and 1.17% prior year. Out of the 1.12%, about 14 basis points are standard, thus the core GNPA ratio is at 0.98. However, these are included by us as one of the other facilities of the borrower is an NPA. Net NPA ratio was at 0.27%, prior quarter was at 0.33% and prior year was at 0.32%.

The slippage ratio for the current quarter is at 28 basis points or about INR4,900 crores. During the quarter, recoveries and upgrade were INR3,300 crores or approximately 22 basis points.

Write-offs in the quarter were INR2,400 crores or approximately 17 basis points. No sale of

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Classification - Public NPA accounts during the quarter. The restructuring under the RBI resolution framework for COVID-19 as of March end stands at 31 basis points or INR5,000 crores. In addition, certain facilities of the same borrower which are not restructured is approximately 6 basis points, INR970 crores, thus totals to 37 basis points. The COVID restructuring in the prior quarter was at 50 basis points.

On the provisions reported were around INR2,700 crores as against INR2,800 crores during the prior quarter and INR3,300 crores in the prior year. The total provisions of the current quarter included a build-in contingent provision of approximately INR300 crores. The provision coverage ratio was at 76%. At the end of current quarter, contingent provisions and floating provisions were approximately INR11,150 crores, contingent provisions at INR9,700 crores and floating provisions at INR1,450 crores. General provisions were at INR7,000 crores.

Total provisions comprising specific floating contingent and general were about 176% of the gross non-performing loans. This is in addition to the security held as collateral in several of the cases. Floating contingent and general provisions were 1.12% of gross advances as of March quarter.

Now coming to credit cost ratios, the total annualized credit cost ratio for the quarter was at 0.67%. Prior quarter was at 0.74% and prior year was at 0.96%. The total credit cost for the full year was at 0.74%. Recoveries

which are recorded as miscellaneous income amount to 23 basis points of gross advances for the quarter against 21 basis points prior quarter and 26 basis points per prior year.

The total credit cost ratio net of recoveries was at 44 basis points in the current quarter as compared to 52 basis points in the prior quarter and 70 basis points prior year. The total credit cost ratio net of recoveries for the full year was at 53 basis points.

The profit before tax was at INR15,936 crores, grew by 22% over the prior year. Net profit after tax for the quarter at INR12,047 crores, grew by 19.8% over the prior year. Net profit for the year ended March '23 was INR44,109 crores, up 19.3% over the prior year.

Now some highlights on HDBFS, this is on Ind AS basis. HDBFS has continued to augment its distribution network and opened 71 branches in the quarter taking it to 1,492 branches spread across 1,054 cities and towns. Customer franchise grew to 11.9 million customers adding 2.8 million over last year.

The momentum and disbursements continued across all three business segments during the quarter registering in a healthy growth of 53% year-on-year and 20% sequentially. The total loan book as of March end stood at INR70,000 crores registering 14% year-on-year and 7.6% sequentially. Net interest income for the quarter ended March 23 was at INR1,424 crores, a growth of 6.6% quarter-on-quarter.

Provisions and contingencies for the quarter were at INR268 crores against INR313 crores for the prior quarter and INR422 crores for the quarter ended March 22. Credit costs for the quarter were at 1.6% as against 2.78% for last year March quarter and 1.95% for the December 22

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Classification - Public quarter. Stage three as of March end continues to improve and stood at 2.73% against 3.73% as of December end. Provision coverage ratio on stage three book increased to 65%.

The provision coverage ratio on secured and unsecured book stood at 62% and 96% respectively.

Profit after tax for the quarter ended March '23 was INR545 crores, a growth of 27.7% year-on-

year. Profit after tax for the year ended full year ended March 23 was at INR1,959 crores compared to INR1,011 crores in the previous year, a growth of 93%. Annualized ROA and ROE for the quarter ended March 23 stood at 3.25% and 19.5% respectively. For the full year ended March '23, ROA and ROE stood at 3.07% and 18.7% respectively. Earnings per share for the quarter was 6.89 and book value per share was at 144.5 in the subsidiary HDBFS. HDBFS remains well capitalized with the total capital adequacy ratio at 20.05% and continues to step up disbursements leveraging a strong distribution spread across 1,492 branches. Now a few on HSL. HSL has a network of 209 branches spread across 147 cities and towns.

HSL increases customer base to 4.5 million as of March end. HSL's digital offering continued to enjoy good traction in the market and during the quarter around 94% of active clients utilize the services offered through company's digital platforms. For the quarter March 23, HSL's total revenue were at INR486 crores against INR510 crores for last year same quarter. Profit after tax was at INR194 crores against INR236 crores for the same quarter last year. Net profit for the year ended March 23 was at INR777 crores against INR984 crores for last year. Earnings per share in the quarter was INR121.95 and book value per share was at 1,131. In summary, our results reflect robustness across various parameters driven diligently and passionately by our people resulting in continued momentum in deposit growth of 21% and within that the retail deposit growth which grew at 23%. Gross advances growth of 21% and net advances growth of 17%.

Operating profit grew by 13.8%. Profit after tax increased by 19.8% for the quarter and 19.3% for the year. Profit after tax on

a consolidated basis increased by 20.6% for the quarter and 20.9%

for the full year. Delivering the return on asset in the quarter of about 2.2% and return on equity of about 18%. Earnings per share reported in the quarter is at INR21.6 at the standalone bank level and INR22.6 at the consolidated bank level. Book value per share on a standalone bank is at INR502 and at a consolidated bank it is at INR519. The bank's board has recommended a dividend of INR19 per equity share subject to shareholders approval. Now with that may I request the operator to open up the line for questions please.

Moderator: Thank you very much. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Yes, hi. Srin, my first question is on deposit growth. Two to three quarters ago you had laid down a good roadmap on your quarterly deposit mobilization and you overachieved that in the fourth quarter. So how do we view deposit mobilization in the next three to four quarters? If you could give us some similar roadmap. That's my first question?

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Classification - Public Srinivasan Vaidyanathan: Okay, let me finish that and then you come back again. Deposit, if you see the quarter had a

growth of INR1,50,000 crores but the more important thing is to look at the retail growth, INR1,07,000 crores is the retail growth and it had a very good mix of time deposits and savings account and current account within that retail mix. So that is what you determine as a core growth. The rest can be transient, up and down can happen, but it is in track, it's in line with what we had been planning for and what we had been driving to for the quarter.

So I just wanted to make it clear that it's not about the INR1,50,000 for you to keep in your mind but it is more that INR1,07,000 retail which is the core part of what the growth is. And if you, from there if you take it to say how one should think about it, yes, that's part of the execution and the teams are geared up to continue to execute the strategy of getting one, the new customer on board at 2.6 million in this quarter, little more than 10.5 million in this year. So that's part of the growth model is to bring in the new customers.

The new branches are for the future. I don't want to talk that the new branches are bringing in today's deposit but that's for the future to have that sustainability of that growth over a period of time. So it is about new customers, it is about working with the existing customers with the greater engagement which you see that the time deposit growth of about 30%, again that is coming through the engagement, that's where that is getting delivered to. I would say that we are on track to keep building upon this.

Mahrukh Adajania: Okay. And just in terms of, was there any interest on tax refund during the quarter?

Srinivasan Vaidyanathan: No, nothing of any significance.

Mahrukh Adajania: Okay. Thanks a lot. I'll come back. Thanks.

Srinivasan Vaidyanathan: No, if you have anything, you go ahead now.

Mahrukh Adajania: Yes. So my other question was just on CV. So if you look at your commercial transportation, the growth obviously in this quarter has been very strong. It's almost 11% on a sequential basis

and it has been very strong even in the last few quarters, probably stronger than industry levels as well. So what drives it and how do you think about it going ahead?

Srinivasan Vaidyanathan: It is an important segment for us. One, the entire commercial and rural banking that includes the CTG is an important element of how we drive this. And this is more, we operate in the segment which is slightly above where our subsidiary operates. And it is an important focus both from a LCV or ULCV and across various size segment that is also important to us. We are also focused on making a holistic product

offering, which is not just a lending for financing these vehicles.

It is also about getting working capital financing for them. So we are making certain new initiatives there to get the holistic relationship so that the logistics ecosystem, as we call it, which you have heard from Rahul Shukla over the past one or two quarters, that is getting initiated to execute. It is an important and it is a big growth segment for us and it is a priority sector.

Mahrukh Adajania: Okay, thanks a lot. Thanks.

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Classification - Public Moderator: Thank you. The next question is from the line of Kunal Shah from Citi India. Please go ahead.

Kunal Shah: Yes, hi Srini. So firstly, the question on operating cost, so that is the significant rise in this quarter, both on a year-on-year basis and on a full-time quarter. So any one option, the employee cost, like say the ESOP or RSU is what you highlighted in the last quarter as well. And what should be the trend which we should look at it, maybe for say FY24 in terms of possible income as well as cost to assets?

Srinivasan Vaidyanathan: Yes, Kunal, thanks for that and expenses. Yes, just to touch upon you, you touched upon the ESOPs and RSUs. Yes, that will continue. And you know that in the prior quarter, it was not a full quarter impact of the ESOPs and RSUs because that went out later in October or November.

So apart and then now you had a full quarter impact of that, but it is not a one-time, that is an ongoing, that is one. To the branches, we opened 600 odd branches last quarter towards the end that comes in. And then even this quarter, we have opened up a little more than 600 branches. So that is also an ongoing impact that comes in.

And the way you think about the cost is, which we have in the past said, as you build a retail or you build a retail deposit franchise and you start to get back into the higher proportion of the retail asset franchise, there will be upfront cost that comes in, which is what you are seeing. The cost to income for the full year at 40.4 are currently 42. If you go back in line that is in 19, for example, it was close to 40, the cost to income was 40. And we had mentioned that our cost to income will go past 40, 41 and the quarter can touch 42, we will operate at that level.

And if you operate at that level, there is an opportunity why, what presents to us this opportunity is from the benign credit environment. So if you look at the credit, 10 basis points of a better credit, when that opportunity is taken and invested in expenses that is about one and a half percent to cost to income. That is about one and a half percent. And so if you think about it, we do see that the credit cost benign conditions now and in some time to come. And so our goal is to get this maturity, both on the branches and the productivity curve up for the people that we have added 31,000 people over the year and 6,600 people in the quarter to get them up the curve and be productive.

And as things normalize, the revenues starts to come in. That is the ramp up on the volumes that we are trying to do to get that in, so that it pays through the revenue and the credit as the maturity, the new cohorts come in and get to be, the new cohorts get to a mature state. Credit cost normalizes to pre-COVID levels, not to the COVID levels, to pre-COVID levels. So you get to a stable return on asset. You continue to operate in that 1.9 to 2.1 type of a range on return on asset. But it took this opportunity on the credit to invest in the expenses. So that is how you think about that.

Kunal Shah: Sure. And this ESOP expenses, so what would be the quantum for the full quarter?

Srinivasan Vaidyanathan: The full quarter, the ESOP and RSE is close to INR400,000, no, INR400 crores or INR300 crores, close to INR300 crores.

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Classification - Public Kunal Shah: Okay. And secondly, with respect to the deposit growth, so was it more skewed towards

the last

fortnight significant part of it, or have we seen the impact of it in terms of the, maybe the overall cost of deposits? So obviously it will not play out in this 4Q, but over a period with this kind of a deposit traction, what would be maybe overall the margin trajectory? Maybe because we have not seen any improvement over the past three quarters. So should it sustain or we see some professional margins going forward?

Srinivasan Vaidyanathan: Okay. Yes. Two aspects to it. One of the deposits as such. Yes. See, to the extent that there are some wholesale deposits, they will be chunky and they will come and go depending on how the wholesale business deals with their balance sheet. So that is part of one that happens, but the core retail is something that is what I alluded to in the prior question, that is what we drive to. The rest tries to come and fill in and go. The next aspect of it that you asked about how to think about margin. Our margin operates in a very narrow band. And it is narrow band because the modified duration of the book, call it about 1.2 years, 1.3 years thereabout.

And within a reasonable lead and lag effect, which can have 10 -20 basis points at any time or 10-15 basis points any time it can move up or down. But right now, you are seeing some lead effect. The cost of funds will come. Already in this quarter, the cost of funds has moved up. I think we put up a chart to show sequentially both the yield movement as well as the cost of funds movement.

Moderator: This is the operator here, please hold while we reconnect the management line. It seems to be disconnected. We have the management line reconnected, so you may proceed now.

Srinivasan Vaidyanathan: Yes, okay. Sorry Kunal, I do not know where I dropped off, but I was talking about the margin as such. Yes, there is a lead effect that happens when the asset pricing starts to move in front and the cost of funds on the deposit starts to lag. There is some lag on that one, but still our margin, as we said, operates in the range of 3.94 to 4.3, 4.4. Given the mix still of the wholesale mix, which is still pretty high in the book at 53, 54% wholesale mix. We are at the lower end of the range. But whether 5 -10 basis points, any quarter can move up or down, it can happen. 5 -10 basis points is nothing. It can change, and it's essentially the effect of the lead of the lag that can happen there.

Kunal Shah: Sure. So, this 13 bps is a kind of an expansion in the deposit cost. I think that should accelerate in 1Q in terms of the increase of the incremental data, which can be there?

Srinivasan Vaidyanathan: Yes. If you ask me whether all of the deposit increase has already fully come in, I would say no, not yet. It will come. Not because we are changing any rates in isolation. No. It is simply a function of as the book starts to reprice, the lag effect, it comes in. But still, from a margin, similarly, we price the loans too. Some fixed rate loans go out and we bring in new fixed rate loans at new rates.

And so, it's a continuous effect. 5, 10 basis points always possible. But we have been very stable in that range of 4, 4.1 for some time.

Kunal Shah: Okay. Yes. Thank you, and all the best.

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Classification - Public Moderator: Thank you. The next question is from the line of Hardik Shah from Goldman Sachs. Please go ahead.

Rahul: Yes. Hi, Srini, this is Rahul here. Can you hear me?

Srinivasan Vaidyanathan: Yes, Rahul. Yes.

Rahul : Yes. Hi. Good evening. And thanks for the commentary and good numbers. Just had two, three questions. Going back to the previous question on margins. So, just thinking through about the repricing of the

floating book and the new fixed book that you have onboarded within the last six, nine months in the time the rate cycle started. So, when do we see the full benefit of that play out? So, floating book would be getting repriced pretty much as we speak. But the new fixed rate book that you onboarded, when does that start to show up in the yield number? And when is that inflection point now that the RBI has paused the rates? So, how much more repricing benefit we can get is essentially my question.

Srinivasan Vaidyanathan: Yes. No, you can get more. The fixed rate book, call it two, three years it runs. The fixed rate book runs two, three years and that's called 44% of the book, 45% of the book round number, that is the fixed rate. And it has started and it will continue for some time. But at the same time, the cost of funds will also come in and catch up. So, if you look at our margin as such, what is the rate play in the margin is minimal, rate play in the margin. That's why we talked about the modified duration 1.2, 1.3 years that keeps that in a very narrow band and only some lead lag effect comes in. What is more from a margin point of view is the structural change in the composition of the book, where the wholesale book, which was 45, 46 before COVID went all the way to 55.

And now it is like 53%, 54%. And as that starts to wear off and come down in the retail, which is accelerating right now, all the investments that we are doing, retail that is accelerating, as that starts to come, you will see the structural thing can come up. And when that comes up, the credit cost also comes to normalize. If you go back, when the margin is 4.3, the credit cost is 100, 110 basis points. So, what you get on the margin, you pay to some extent on the credit cost. But that is why if you look at the return on asset that remains at that stable level of 2, 2.1.

Rahul : Understood. So, okay, fair enough. The second question was actually on the cost to income. So, given that next year, credit growth will be slower than what we had last year, but we will still be making the investments that we have talked about. So, do we have another year before it peaks out or 42 is where you would call it out as a peak cost to income?

Srinivasan Vaidyanathan: No, I would not say that we have peaked out. But over a period of a year, if you say, maybe that is the level we would like to run. But quarter -to-quarter can go up and down a bit. That's why even in this quarter, I have been saying that if you look at only one quarter, up, down, possible. Depends on What's out there, what we have done, both from a volume booking point of view, or any of the marketing activity point of view, or the card spend activity point of view, whatever we do, that can keep going up or down. But largely as the lapping, we started the branch in March '22. Right now, one has gone by and then the second year has gone by.

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Rahul : That's helpful. Just two more small questions. This credit card on book balances, the growth has been appears to be quite tepid. What could be the reason behind it? I understand revolves may not be improving, but can you just throw some more light, the EMI book growth within the card space or the revolves, how are they behaving?

Srinivasan Vaidyanathan: Yes, see, it is also normally, I think, from a quarter point of view, the fourth quarter is normally

lower coming off a big festival type of a spend in the December quarter, the pay downs happen. That's one. Number two, yes, you already alluded to the revolvers or the revolving balances, we don't see it going up yet, not yet, we don't see that up. Three, we also measure the funding that the card customers provide. And the card customers provide funding, which is more than five times the card balances, the card ANR that we carry. So enormous liquidity, enormous funding, deposit funding is kept by those customers with us. So naturally pay downs are happening. The spend I told you, spend is quite robust, 30 odd percent growth in spend.

Rahul : Yes, but the profitability may be substantially lower than what you earned in the past, because the interest yielding balances have structurally come down. So I am just thinking from that standpoint?

Srinivasan Vaidyanathan: Two things on profit, I don't want to leave that question or leave that comment open on profitability. See, the profitability, again, one has to look at it over a cycle on profitability. And two, certainly not quarter -on-quarter on profitability. Number two, always there are levers that get operated on. That means what is it that you earn and what is it that you can spend, that is something that we always constantly look at to match. And what are those levers? You've seen some of those levers on the spend side, where the revenue is somewhat lower because of lower revolver or other things, then you spend appropriately on the other side, on the expense side. But there are still, at this time, when the spend is going up, we do want to encourage and we do think that the revolver will come. And while it does not yet come, we are putting those investments out there in various programs, card programs.

Rahul : The last question, I just want some comments from you. RBI allowed this pay later or pre - approved credit line on UPI. We understand you already have that product on your website. We saw that. Can you just throw some light as to what is the incremental thing that RBI has done? And since you've already been running this product, how many customers you have and do you see this as being a large product proposition that can be in the future?

Srinivasan Vaidyanathan: See, the product always was there. I think now that EMI type is something that is also coming in. It's too early to say whether this particular UPI channel is going to be a big driver into that.

But we already have various other channels, our brand channels, our VRM channels, and our direct marketing channels that trigger this quite a lot for us. And so, we will have to see whether

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Rahul : Thank you, Srini. Thank you for being so generous and patient in answering my questions. Thank you so much.

Moderator: Thank you. The next question is from the line of Saurabh Kumar from JP Morgan Chase & Company. Please go ahead.

Saurabh Kumar: Hi. Good evening, Srini. Sir, just two questions. One is on this other asset, the growth rate in the other asset is very high. So, will this be due to the RIDF shortfalls? And the second is, now that we're coming closer to the merger, so HDFC Bank standalone C D, incremental CD is obviously pretty good. But on a pro forma basis, it's still near that maybe near that 100, 800 and so on. So, from a growth perspective, will you look at like LCR? And will there be like a target under which you can get the LDR below 1 00%?

Srinivasan Vaidyanathan: Yes. A couple of things. You aske

d about other assets. Other assets has got, I think, INR135,000 crores to INR1,45,000 crores or something movement in a quarter, slightly INR10,000 crores or something. There'll be part RIDF and part various other things that go through it. And similarly, I would urge you to look at other liabilities too, which also has moved from INR85,000 crores to INR95,000 crores, I think. That also has moved up by about INR10,000 crores. So, there are several things that go into that.

But over a period of a year, if that's what you're thinking about, yes, there is a component of RIDF, which is part of that, which has moved up. Call it INR40,000 crores of RIDF, which is there. And that's part of what we have laid out our strategy is to, we always optimize between various components of what is available in the market on PSL.

And this is one of the things that is available. And we tap into that too. The second aspect that you asked about the CD ratio, I guess, right, on a pro forma, how do you think about the way you think about the CD ratio is that day one, whatever happens is inevitable. So, when you add A plus B, it shakes out to whatever the CD ratio comes out to. But from then on, how you look at it is, what is the incremental CD ratio. And to the extent that the incremental CD ratio operates in a range, which is below the bank's current range, that's where we go and catch up and bring it to the current level where we are. So, that's how we are thinking about it. Day one is inevitable, but over a period of time, as the maturity profile of the book in HDFC Limited, their borrowing matures.

We replace it with deposits, we get to a better place, over a period of, call it three to five years.

Saurabh Kumar: Very clear, Srini. Would you have the pro forma LCR or will that come after HDFC reports?

Srinivasan Vaidyanathan: Not yet. We'll have it in due course of time as we progress more towards the effective date. HDFC Bank Limited

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Classification - Public Moderator: Thank you. The next question is from the line of Adarsh Parasrampurua from CLSA Limited. Please go ahead.

Adarsh Parasrampurua: Hi, Srini and team. Thanks for the question. The question is, again, on opex, we've delved into the branch and distribution expansion. But somehow, if you just track the overhead per branch or the employee cost per employee that is also going up, right?

You are adjusting for the distribution increase. So, just wanted to have a handle on that because usually I would think that as you add the incremental branch, the cost lesser, the fixed overhead that you are adding is cheaper than the average cost. So, just wanted to understand that why the cost increases are materially about the distribution expansion that you are saying?

Srinivasan Vaidyanathan: One is, it is important that we are making investments in branches as well as people, right? The 31,000 people or the 6,600 sequentially, that also adds to the cost. It is there. And the productivity of all of these comes in, then you see that in the revenue and then that evens out, right? You have to wait. But if you look at the branch productivity itself, look at the deposit per branch, it is up. INR250,000 crores, INR260,000 crores per branch, that productivity is also up. So, it is not just about whether the cost per branch is up or some, it will be up because if the inflation in the country is operating at the rate of 6% to 8% or the pay increases are happening at that kind of level, the cost will go up. But it is a question of getting that productivity driven up to pay for it through the volumes and revenues.

Adarsh Parasrampurua: Got it. Okay. And we just continue now. I think the pressure of inflation and depreciation is a little lower. So, would you expect that pressure to be lower because then you probably have an

opex growth which more mirrors the distribution

and the employee expansion rather than being a higher number than that?

Srinivasan Vaidyanathan: It is too early whether the, what effect on the inflation comes through to the expense, it is too early on that one. But a gain, I will tell you to look at from a cost -to-income point of view that it moves in that range of 42 something. And then as we progress over four quarters, six quarters, it starts to keep coming down.

And I think among various things while we do not talk forward looking in any of those aspects, but from a cost point of view, we have said that over a period of time, you should get back to the mid -30s as the productivity starts to come in.

Adarsh Parasrampur: Got it. And Srini, my last question is on the PSL part. We did have some shortfalls, the RIDF went up. If you can, obviously there was a question on other assets as well. So, if you can follow the RIDF where it was, where it ended and given how you have achieved PSL now, would you expect that the incr ease in RIDF will moderate, will stop, if you could just indicate directionally where we are headed and what was the status of PSL compliances at the year?

Srinivasan Vaidyanathan: Okay. Adarsh, if you think about whether where will RIDF go or something, s ee, this is the dynamic equation that one solves. Because that is how you optimize it. The goal number one, is to go organically build. And distribution reach that we are going after, I alluded to our CRB business in more than 90% of the districts and at 1 .65 lakh villages wanting to go to more than

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Classification - Public 2 lakh villages. They are all in the direction of how we organically grow. That is the number one from a prioritization point of view. Do it yourself. It gives you better return. You manage that on a sustainable basis.

Then everything else is a filler depending on what is available and you optimize that through whatever is the least cost. And all of them are in play from PSLC to RIDF to IBPC to all of them are in play in terms of how we manage that.

Adarsh Parasrampur: Any factual data around how your PSL is set up and what your RIDF book was last year and now? Only the factual number?

Srinivasan Vaidyanathan: I just checked with the team, I think it will eventually get published in course of time. You will get access to it and the team will publish that. It is coming.

Adarsh Parasrampur: Perfect. This is helpful. Thank you.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. The next question is from Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla: Good evening and thank you for the opportunity. So for FY '24, would you broadly expect similar branch and employee additions as FY'23?

Srinivasan Vaidyanathan: FY'24 branch addition. At this moment, we expect to continue the speed at which, not necessarily every quarter evenly, but the speed at which we have done over the last 15 months to 18 months, we will continue. We do this, we take stock of this every quarter to see one, availability and the market potential, identification of the market where we need the potential.

That is one exercise that we do. And the second exercise we do is that look back to see the performance of what we have already done and how that is progressing on the curve.

But yes, as of now, the approach is to continue with that, but subject to evaluation every quarter in terms of that, the trajectory that we are continuing is indeed the trajectory that is yielding those results that we have planned for.

Manish Shukla: Sure. Recently, you had cut some of your short -term MCLR rates. Could you explain what is the trigger for that?

Srinivasan Vaidyanathan: See, the methodology, how you apply Tenor Premia is something that we modified or we got that to a place. And it is in the front -end and we do not have much volumes in that e

nd. And that

is part of what, this is not something that captures big volume from an overall sense point of view. One other thing is that MCLR loans, the floating rate MCLR loans, is 6% of our total book and very little into the front -end bucket t here.

Manish Shukla: Sir, you said 6%?

Srinivasan Vaidyanathan: 6% is the floating rate MCLR book, but in the front end where you alluded to, very little is there.

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Classification - Public Manish Shukla: I understood. Just going back to the deposits part, as you rightly mentioned, the newer branches

would probably have not contributed as much. So, just trying to understand what is driving these numbers because you are obviously not paying the highest rate in the market. Everybody is chasing deposits and yet your numbers are meaningfully ahead of all your peers in terms of absolute deposit mobilization. So, just trying to understand what is it that you have done differently this year, which is driving this kind of growth for you.

Srinivasan Vaidyanathan: Okay. See, there are a few things. I can talk two, three things I will mention, several things, but I guess we will continue and we have mentioned this in the past, so you will recollect. One is you need to leverage the branch network and the brand to bring in new customers.

Let me give you that in 2018, we got in 3 million customers in liability relationships. In '19, 4 million. In '20, 6 million. In '21, 7 million. In '22, 8.5 million. In '23, 10.5 million. So, you need to bring in new customers and that is what we have done to ramp up. So, when you bring in new customers, like the way the branch maturity is connected similar to the branch maturity, the customer maturity also takes about 24 months.

So, if we need to harvest the potential of the customer to be the primary banking and get the balances, I cannot bring the customer today and get the balances today. When I bring the customer today, we get some balances today. It is about getting the potential of the customer we got in two years ago, three years ago to do the work now. Our RMs engagement to get that now. So, that is one. Customer is important and I gave you an idea of the ramp up on the customers that we have done and we continue to do that to keep that pipeline open and running. That is one on the customers.

Two, from an execution mindset and our RMs focus, we did that sometime March, April last year in '22, where we said we want to amend our scorecard to ensure having element of a time deposit cost with a 14%, 14% penetration in our base for time deposit. We said it is a low penetration, we have enormous room to go for it and we do not need to pay for it.

In fact, if anything, we are slightly, we are at or slightly below certain other players. And if you look at the time deposit growth in the recent quarter, I think it gave about 30% or so growth in the time deposit, the growth that we have had.

And let me tell you another way to even think about it and that is how the frontline is driving it. It is about, call it from 7,000 odd branches and call it maybe 50 deposits, such deposits a month at a ticket size 4 lakhs -5 lakhs type of granular time deposit. 50 such deposits, 7000 odd branches, INR4 lakhs -INR5 lakhs you get per customer. Then that is a drive and then you got all the RMs that we are having and the sales people we are having in the branches to go get that engagement.

So, it is better engagement, it is the granular across all branches unleashing this to say this is an important element to increase the penetration. Our penetration has, we have grown 30% but still it is about up by 50 basis points. We have a long way to go to increase that penetration. We will be relentless in getting that full relationship of the customer through this. I gave you one or two examples of what we are trying to drive here.

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Classification - Public Manish Shukla: Okay, understood, very clear. Now last question, what are the milestones and timelines with

respect to the merger now?

Srinivasan Vaidyanathan: With respect to the merger, if you see 28th or so we had the NCLT order that we got. We made the application to SEBI as it relates to the change in promoter and giving notices to mutual fund holders. So, we have gone to SEBI to get their permission. We have also gone to IRDA from a change of promoter on the insurance side. So, we are awaiting what they need to come back and give us the nod to go. That is one.

And then once all of this is there, then we circle back with RBI to take it to the final stages. We think from a timing point of view, it is June, July, possibly July is where we think the time frame as we speak given where we are on various things.

Manish Shukla: Alright, okay. Thank you for answering the question.

Moderator: Thank you. The question after this will be the last question, due to paucity of time. The next question is from the line of M B Mahesh from Kotak Securities. Please go ahead.

M B Mahesh: Okay, good afternoon. Just two questions on my side. One is in your expectations looking at the current deposit rate, how does the cost of funds move in your balance sheet over the next few quarters?

Srinivasan Vaidyanathan: Okay, so with the current deposit mix, the cost of funds will start to inch up as the 30% growth that we have had in time deposit in the recent quarter starts to fully come in. So, the cost of funds

will go up only because of the mix of deposits, not because of the rates. And similarly, the yield on assets also needs to go up. That is part of how we are pricing to say that we need to realize. So, again within the narrow band, yield lag effect happens.

Right-hand basis point can change in any time, in any quarter. But again, we operate in that narrow band. As I told you, the modified duration is quite matched on point two or so on both sides.

M B Mahesh: Okay. Yes, in terms of the questioners, we look at about 20 odd basis points increase sequentially and also in the previous quarter. That is quite a good performance. So, that is why we are just trying to understand as to whether this 20 moves closer to 30, 40 or is it a number closer to the current range?

Srinivasan Vaidyanathan: I do not want to venture into giving a forward looking to say what sort of a volume and mix will come as we go into the April to June quarter. But again, it operates within that range, narrow range or margin 4.1 plus minus 5-10 basis points. That is where it operates.

M B Mahesh: So, second question, Srini, if I look at the fee-income line, the growth in retail asset driven fees as well as when you look at the cost line, the DSA related fees, both of them seems to have slowed down or has grown very slowly. Is it any indication of the situation on the ground or you think that the volume still is quite impressive when you look at the retail businesses?

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Classification - Public Srinivasan Vaidyanathan: No, it is not something indication on the ground. We do see a good amount of demand. I think a

little bit too in terms of the customer preferences in terms of higher value chain type of products.

That is what we see. The example I gave you was the SUV and PV type, right, or higher horsepower two-wheeler type. Those are all for that matter a 5G phones rather than a normal phone.

So, these are some of those things that are happening in the market where people are, and also the producers, the manufacturers are also looking at high value, high margin type of a products.

So, it is not some, we see good amount of demand that is there. So, it is for us that it has to pass through our credit filters and then we

are there to take it.

M B Mahesh: So, in your sense that there is no slowdown in demand at least at this point of time?

Srinivasan Vaidyanathan: Nothing material from that sense that it is about the customer segment. That is all. And I can tell you even our subsidiary customer segment, which is a couple of markets below the bank segment has also shown enormous attraction in terms of the disbursements and volume growth there.

M B Mahesh: One final clarification, there was a recent RBI guideline on expenses that one can charge on the various fee-income lines. How comfortable are you with respect to that guideline? Because it is still a white paper. Just trying to understand your perspective about this?

Srinivasan Vaidyanathan: On the penal charges. Yes. I think within reason we operate, some minor things can happen, but then again the penal charges are in the direction of where we would like to operate and where some minor things we need to throw up we will do, but it is within our realm of how we are operating.

M B Mahesh: Perfect. Thanks a lot sir.

Moderator: Thank you.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you, ladies and gentlemen. I now hand the conference over to Mr. Srinivasan Vaidyanathan for any closing comments.

Srinivasan Vaidyanathan: Okay. Thank you. Thank you all for joining us today. We continue to be available over the next several days and if anything else that you would like to know more, we would be happy to engage and talk. Thank you. Have a great evening. Bye-bye.

Moderator: On behalf of HDFC Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

July 22, 2023

BSE Limited The National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051
Scrip Code - 500180 Symbol - HDFCBANK

Dear Sir,

Sub: Transcript of Earnings Call for the first quarter ended June 30, 2023

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings call with analysts and investors held on July 17, 2023, with respect to the financial results of the Bank for the first quarter ended June 30, 2023, has been made available on the website of the Bank at the link: <https://www.hdfcbank.com/personal/about-us/investor-relations/financial-results>.

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

Yours truly,

For HDFC Bank Limited

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Company Secretary

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"HDFC Bank Limited
Q1 FY'24 Earnings Conference Call"
July 17, 2023

MANAGEMENT:MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
OFFICER – HDFC BANK LIMITED

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Moderator: Ladies and gentlemen, good evening and welcome to the HDFC Bank Limited Q1 FY '24 Earnings Conference Call on the Financial Results, presented by the Management of HDFC Bank.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after a brief commentary by the management. Should you need assistance during this conference call, please signal an operator by pressing star and then

zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Vaidyanathan, Chief Financial Officer, HDFC Bank. Thank you and over to you, sir.

Srinivasan Vaidyanathan: Okay, thank you, Dorwin. Good evening and a warm welcome to all the participants. I want to briefly start and give a minute update on the merger. Effective July 1, as you all know, HDFC Limited has been merged into the bank. Consequently, all subsidiaries of HDFC Limited have become subsidiaries of the bank. Earlier today, with the support of BSE, NSE, NSDL, CDSL, all HDFC Limited shareholders, as on the record date, have received shares of HDFC Bank. This concludes the 15 months journey for the bank and all the regulators involved, and we would like to take this opportunity to thank them for their continuous engagement and support. HDFC brand built over 47 years will now be proudly owned by the bank. It is a privilege to add-on and engage with the 6,000 institutional investors and 7 lakh individual shareholders. HDFC Limited has excelled in nurturing trust in their customer engagement over four decades of operation. We'd like to harness this bond with the home loan customers by leveraging our exhaustive distribution reach and comprehensive digital platform to upsell a complete bouquet of the banks and subsidies products across pay, save, invest, borrow, insure and trade, like the savings account, personal account and so on, including the credit card and SIPs. Seamless integration to aid a sustained and optimal execution is undertaken, involving merging products and processes expertise, creating learning opportunities by focusing on customer engagement and experience, onboarding 4 million customers with over INR6 trillion portfolio, onboarding 4,

150 talented professionals bringing in knowledge and culture.

Now let's look at the key macro environment during the quarter before we review the earnings. Stronger than expected GDP growth in the March quarter has boosted sentiment. Various indicators suggest economic activity continued to be strong in the recent June quarter. GST collections have been robust in the first quarter at over INR5 lakh crores, growing by 12% year-on-year. Manufacturing PMI at 57.8 and services segment PMI standing at 58.5, augurs well and shows robustness. Again, the current account deficit narrowing to seven quarter low adds more strength.

Payment systems indicate business activity continues to be robust with 14% growth in RTGS and NEFT transactions and 44% growth in UPI payments. On the consumption side, the passenger vehicle and two-wheeler sales showed robust growth reflecting strong consumer demand. During the quarter, our retail-issued card spends have shown robust growth of 30% year-on-year and 10% sequentially.

The uneven distribution of monsoon has adversely impacted sowing. Excessive rains in North India have inundated fields already sown, while lack of rainfall in East Central and South Western regions has delayed sowing. Overall, we continue to see healthy domestic demand conditions, resilience in services exports and push from government through capex expenditure. These factors are estimated to result in India's year-on-year GDP growth rate of 7.7% in Q1 and greater than 6% in the full year '24, after a stronger than expected GDP growth of 7.2% in FY '23. However, weather-related uncertainty with the rising likelihood of El Nino causes risk to rural recovery and inflation, which remains high.

Let's go to the key themes. On the distribution, while we added 39 branches in the quarter, we added 1,482 branches over the last 12 months, which now stands at 7,860 branches. On the payment acceptance points, we have 4.6 million, year-on-year growth of 37%. That includes 2.8 million merchants accepting through the SmartHub Vyapar Platform. On the CRB side, our SME businesses are present in more than 90% of the district, expanded to 1.7 lakh villages reach and is on track to achieve the objective of over 2 lakh villages.

Gold loan processing is now offered in 4,336 branches, an increase over June '22, a twofold increase over June '22. In the customer franchise building, we added 2.4 million new liability relationships during the quarter with now over 85 million customers it provides a base to engage enabling us to broaden and deepen our relationships. In order to provide for this engagement, we have added 29,000 people over the last 12 months and 8,500 people during the quarter.

On cards, we have issued 1.5 million cards in the quarter the total card stands at 18.4 million. Our website continues to receive enormous traffic. We received on an average 109 million visits per month with over 89 million unique visitors over the quarter at an year-on-year growth of 42%. Focusing on the granular deposit which continues, deposit amounted to INR19.1 lakh crores an increase of 19.2% over prior year. On the back of a fantastic quarter in March '23, where we added INR1,50,000 crores, we further built on this enhanced base during the June quarter, with an addition to deposits of INR30,000 crores. Retail deposits added in the quarter was rupees INR38,000 crores. Retail, which has been an anchor of our deposit growth constitutes about

83.5% of our total deposits getting more granular compared to 82% in prior year June. Retail deposits grew at the rate of 21.5% year-on-year and 2.4% sequentially. Wholesale deposits constitute 16.5% and these grew 9% year-on-year but were lower 2.5% sequentially. On a pro-forma merged basis, retail deposits grew by 20.6% year-on-year. This is a pro-forma merging -- on a pro-forma basis, merging the June deposits of HDFC Limited I'm talking about, and the retail constitu-

tes 83% of the total pro-forma.

Now moving to advances, growth of IBPC advances grew 20% year-on-year. Net of IBPC advances at INR16.3 lakh crores grew by 14.7% versus prior year. This is an addition of

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approximately INR16,000 crores during the quarter and INR2,22,000 crores in the year. Credit to deposit ratio as of June end stood at 84%. Our retail advances growth was robust. Domestic retail advances grew 20% year-on-year and 4% quarter-on-quarter, primarily driven by strong performance in home loans and personal loans.

Commercial and rural banking, which drives our MSME PSL book continues its momentum with an year-on-year growth of 29%. Wholesale segment grew 11% year-on-year, but de-grew 1.2% sequentially. The bank's advances growth of IBPC grew by 20.1% year-on-year. When we include HDFC Limited's individual home book, the pro-forma core loan growth for the merged entity is 18.7% year-on-year.

Technology, we continue to focus on the technology agenda. HDFC Bank One, the customer experience hub, over 12.5 million unique customers have interacted through the platform accounting to over 22 million interactions. On the PayZapp, handled transactions volume above 13 million during the quarter, with more than 1.6 million monthly average logins and 1.5x increase in customer spends. Express car loan volume now contributes 30% of our car loan volume.

We continue to be focused on these investments and expanding both the distribution as well as the digital footprint and thereby driving the relationship management for growth. Balance sheet remains resilient. LCR for the quarter for the bank was at 126%, prior quarter was 116% and prior year was 108%. LCR on a pro-forma basis that is including the estimated HDFC Limited book as of June 30, based on the merged entity was at over 120%. Capital adequacy ratio is at 18.9% and CET1 is at 16.2%.

Net revenues for the quarter were at INR32,829 crores, grew by 26.9% over prior year driven by gross advances growth of 20% and deposit growth of 19%. Net interest income for the quarter at INR23,599 crores, which is 72% of net revenues grew by 21% over prior year. The core net interest margin for the quarter was at 4.1%. On an interest earning asset basis, the core net interest margin was at 4.3%.

Getting to the details of other income, which was at INR9,230 crores, fees and commission that constitutes two-thirds of the other income was at INR6,290 crores and grew by 17% over prior year. Retail constitutes approximately 93% of fees and commission. FX and derivatives at INR1,309 crores was higher by 27%, compared to prior year. And net trading and mark-to-market income were at INR552 crores for the quarter. Prior quarter was a negative INR38 crores. And prior year was also negative slightly above INR1,000 crores. Other miscellaneous income at INR1,079 crores includes the recoveries from written-off accounts and dividends from subsidiaries. Operating expenses for the quarter were at INR14,057 crores, an increase of 33.9% over prior year and an increase of 4.4% over prior quarter. In this context, it is pertinent to note that we added 1,482 branches and 1,732 ATMs since last year. In the medium to long term, distribution reaches the key. This is what will provide funding through better engagement.

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Cost to income ratio for the quarter was at 42.8%, reflecting the cost of investments, which from a timing point of view has been chosen during the benign credit environment to capture the market opportunity. This will moderate and revert to below previous levels after the breakeven and payback from the investment starts to flow through. PPOP for the quarter grew by 22%. Our Pre-Provision Operating Profit was at INR18,772 crores.

Coming to asset quality, the GNPA ratio was at 1.17%, compared to 1.12% in prior quarter and 1.28% in prior year. Out of the 1.17%, about 14 basis point are standard. Thus th

e core

GNPA ratio is 1.03%. GNPA ratio excluding NPAs in agricultural segment, because agricultural segment has got the seasonality in June and December, so excluding the agricultural segment, GNPA ratio was at 0.94%. Prior quarter was also at 0.94% and prior year was 1.06%.

Net NPA ratio was at 0.30 and net NPA ratio excluding NPAs in agricultural segment was at 0.23. Again, same as prior quarter, which was also 0.23. The slippage ratio for the current quarter is at 35 basis points or about INR5,800 crores. The slippage ratio for the current quarter excluding agricultural segment was at 26 basis point, about INR4,200 crores. During the quarter, recoveries and upgrades were INR2,650 crores or approximately, 16 basis points. Write-offs in the quarter were INR2,100 crores or approximately, 14 basis points. There was no sale of any NPA accounts in the quarter. Restructuring under the RBI resolution, COVID framework as of June ends, stands at 27 basis points, about INR4,265 crores. In addition, certain facilities of the same borrower which are not restructured is approximately 5 basis points or INR800 crores.

On the provisions reported were INR2,850 crores, against INR2,700 during the prior quarter and INR3,200 in the prior year. The provision coverage ratio was at 75%. At the end of current quarter, contingent provisions and floating provisions were approximately INR11,150 crores, same as last quarter. General provisions were at INR7,150 crores. Total provisions comprising specific, floating, contingent and general provisions were 171% of the gross non-performing loans. This is in addition to the security held as collateral in several of the cases. Floating, contingent and general provisions were 1.12% of gross advances as of June end.

Now coming to credit cost ratio, the total annualized credit cost for the quarter was at 70 basis points. Prior quarter was 67 basis points and prior year was 91 basis points. Recoveries which are recorded in miscellaneous income amount to 19 basis points of gross advances for the quarter. The total credit cost ratio net of recoveries was at 51 basis points in the current quarter, compared to 68 basis points in prior year and 44 basis points in prior quarter. The profit before tax was at INR15,912 crores, grew by 30% over prior year. Net profit after tax for the quarter at INR11,952 crores, grew by 30% over prior year.

Some highlights on HDB Financial Services. This is on Ind AS basis. The total loan book as of June end, stood at INR73,568 crores, growing 5.1% sequentially and 19% year-on-year.

Secured loan comprises 72% of the total loan book. Disbursements for the quarter were higher
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by 42% over prior year. Customer franchise grew to 12.8 million with 7.3% additions during the quarter and an increase of 29% year-on-year.

Distribution network was augmented by 89 branches in the quarter, taking it to 1,581 branches spread across 1,100 cities and towns. Net interest income for the quarter was INR1,501 crores, an increase of 5% quarter-on-quarter and 13% year-on-year. Provisions and contingencies for the quarter was INR267 crores, against INR398 crores for the quarter ended last year, June. Quality of the book continued to see sustained improvement. Gross stage 3 as of June end improved to 2.5% against 2.7% as of March '23, and 4.9% as of last year, June. Reflecting sustained healthy collections, production coverage on the stage 3 books stood at 66%. The profit after tax for the quarter ended June increased to INR567 crores, against INR545 crores for the last quarter and INR441 crores for last year, same quarter. ROA and ROE for the last quarter stood respectively at 3.2% and 19.4%. Earnings per share in HDB was at INR7.16 and book value per share in HDB is at INR150.5. HDB remains well capitalized with a total capital adequacy ratio of 19.8% as of June end.

And a few sentences on HDB, on HSL, our securities company that h

as added nearly 0.6

million clients in the last 12 months, taking the client base to 4.6 million. HSL has a network of 207 branches across 147 cities and towns. Digital offerings continues to enjoy good traction in the market. Around 93% of active clients utilize the services during the digital platforms of the company. HDFC Securities has introduced HDFC SKY, a low-cost broking platform, which is targeted at all kinds of customers, millennials, investors, traders, providing easy, do-it-yourself, seamless execution with a high ease and competitive flat pricing policy.

The total reported revenue for the quarter was at INR497 crores, against INR432 crores in prior year. And the net profit after tax was at INR189 crores, almost flat to prior year. Earnings per share in the quarter in HSL was INR119, and the book value per share at HSL is at INR1,153.

In summary, our results reflect consistency of delivery, diligently executed to result in continued momentum and deposit growth at 19%, and retail deposit growth within that, which is 21%, 21.5%. Gross advances growth of 20% and the net advances growth, net of IBPC of 16%. Profit after tax increased by 30%, delivering return on asset in the quarter over 2% and ROE of about 17.3%. Earnings per share reported in the quarter is at INR21.4 at the standalone bank level and INR22.2 at the consolidated bank level. Book value per share, standalone bank is at INR525.4 and at the consolidated bank level is at INR542.7.

With that, may I request the operator to please open-up the line for questions, please?

Moderator: Thank you very much. We will now begin the question-and-answer-session. The first question is from the line of Suresh Ganapathy from Macquarie. Please go ahead.

Suresh Ganapathy: Yes, hi. I have two questions, Srini. One is on credit growth and deposit growth. The other is on merged company profitability. So, let me first touch the deposit growth aspect. So, I know quarterly there can be fluctuations, but your Q-o-Q standalone deposit growth was about

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INR30,000 crores, 1.6%. But I'm looking at the system number. Apparently the system seems to have added INR9 trillion of deposits of 5% Q-o-Q. So somehow I feel on an incremental basis for the quarter, you might have lost a lot amount of market share, anything specific which affected this quarter's deposit mobilization?

Srinivasan Vaidyanathan: So Suresh, there is nothing specific as such. Typically Q1 is of all the quarters is a slow quarter. Across various parameters, it's a slow quarter. From branches to, deposits to, loans to, if you go back historically and see, the first quarter contribution is in single digit, typically on an average if you see, there will be sometimes where it is in double digit, but typically single digit is what it contributes. That is one.

And two, I know that if I take you back a quarter or two ago, that it is not about one quarter, you should look at how extraordinarily it got built in March, and then we sustained it. That means we did not lose that over and then we built on top of that because it was not a small feat and at least INR50,000 crores came through in March quarter, more than what one would have envisaged and we kept that and we built on top of that. And particularly the retail, if you see, we built 38,000 in retail. Typically the first quarter, you see the current account going down and savings account to some extent moderates due to spend.

We've seen 30% increase in spends. Our issuing card customers' spending increased 30% and 10% up sequentially on spends, card spends on the retail cars. So some of these factors typically contribute, but then more important is that we're confident that the building blocks that we put in place for such enormous growth remain, and confident of getting that to fruition over the next few quarters.

Suresh Ganapathy: Okay. The other question is on advances. You reported in the 3Q update, March gross number

excluding wholesale of HDFC Limited to be growing at 15%. But apparently in the call, this time, you said it's actually grown at 18.5%. That is if I just take the retail HDFC and add the gross advances of the stand-alone entity, the number is 18.5%. What number to go by? Because what is then the 3Q is 15.5%, merge growth excluding home sales.

Srinivasan Vaidyanathan: Yes. See, the gross bank, we put that up on page 23 of the earnings deck that we published earlier today to be helpful on that. The bank's gross of IBPC grew by 20%. And HDFC's individual loans, the mortgage individual loans grew by 14% year-on-year. So combined just the bank loan and the individual loans because that's, these are the categories of loans that are managed for significant opportunities and growth. That's grown at 19%, 18.7%. That's a growth.

The HDFC is non-individual loans, de-grew by 18% year-on-year, 18% de-grew year-on-year, and which we know that there have been management actions driving that de-growth and we will evaluate over the next two quarters in terms of what is the stable level before we start to build. We will get to understand it better before we get that to be building. That is down 18%. So that is why including that it is a 16% growth. All loans on a gross basis in the 16%.

Suresh Ganapathy: Okay, so yes, there's some confusion with the 3Q. Okay, no problem. And finally, are you confident that on a merged basis, when you deliver the September quarter results, you can

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sustain the current levels of ROA reported? I mean, you exited of course this quarter with 2.1%. Last year also, fully the number was 2.1%. How confident you are based on your initial assessments?

Srinivasan Vaidyanathan: Yes, the level of confidence is pretty high. Typically, I think, Sashi had alluded to in some other context that we're looking at 1.9 to 2.1. That's the range at which we'll oscillate. Quarter-to-quarter, if there is a timing on certain things, particularly if there is anything that we do, we'll be timing, but otherwise, broadly it is the 1.9 to 2.1 that he alluded to before. That is where we are confident of driving to deliver.

Suresh Ganapathy: Okay, thank you so much.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. We have the next question from the line of Mahruk Adajania from Nuvama. Please go ahead.

Mahruk Adajania: Yes, hi. So my first question is on opex. Basically, this happened even in the last year's first quarter. So the opex growth in the first two quarters on a sequential basis is 4% to 5% and then as branch adds pick-up, basically the opex ratio or the opex growth, not the ratio, but the opex growth scales up to 7% Q-o-Q, 8% Q-o-Q and that's last year this happened because the branch adds were significantly high in the second half right 600 branches to 700 branches in each

quarter of the second half. So how do you look at the standalone opex going ahead? You know HDFC's business moves at a steady state opex, but your own opex, as you go on adding branches, do you see the 8% sequential growth coming back? I'm not talking more in terms of cost to income, but the Q-o-Q growth, because Yes.

Srinivasan Vaidyanathan: No, that's not. The 8% Q-o-Q is essentially the build-up of the branches that happened there. And so the way, we try to pace it in such a way, if you think about what happened there, we started the quarter and our goal was to start building the distribution. So we created a lot of capability to build branches. And then, as we were confident, because to think about it, what we mentioned, which is we're trying to take the benign credit environment as an opportunity to see how we invest and during this time period, run through the maturity and try to get that when credit normalizes, when the credit reverts to mean, which is the historical mean, call it 90 basis points, 100 basis points, 110 basis points, somewhere around that basis points. That's the kind of

, when credit reverts, before the credit reverts to mean, we need that maturity cycle to come to fruition. So we are waiting for that to see. And as we saw, we started to accelerate and go. And then as time goes by, you'll see that the base comparison starts to lap. And then after that, you see a moderate level. So we have still not seen the lapping of the growth from a base comparison point of view because we started to some extent in the September quarter to a large extent in the December quarter and as we saw the credit bending further down because look at that credit cost last year June quarter was 91 basis points.

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This quarter is 60 basis points. So as we saw that coming in, we started to implement that. That's essentially in fact not all of the credit cost is getting reinvested, but we are taking that opportunity and the environment to do that.

Mahruk Adajania: Got it. And my next question is on loan growth and incremental deposit growth. So just in terms of loan growth, we had kind of indicated doubling of the book. Do we see that starting FY '24? Because the run rate is a bit softer in the first quarter. So the merge balance sheet has grown 13% after including everything and if you exclude IBPC then it's grown 16%. So do we -- can we see a 17%, 18% growth as we end the year? Would that be a fair estimate?

Srinivasan Vaidyanathan: Yes, Mahruk, yes. See, if you think about any time period, a three-year period or a five-year period typically, which we look at 2.3x, 2.4x it moves up, which indicates about 17%, 18% kind of a growth. And that's over a period of a longer term, five, three, five years' time period. But over a shorter time period, yes, somewhere we have done 15%, 16%, somewhere we have done 18%, 19%, but 17%, 18% is the kind of, our capacities are built and that is how we are gaining traction to be at that level from a consistency of growth point of view.

Quarter-to-quarter it differs, but yes, when you are asking about the full year, that is the kind of level at which. The non-wholesale, the non-retail book in HDFC Limited will receive evaluation. And as we see, and as we deem fit in terms of growth rate, whether it takes a quarter or two before we start to pump-in with that, we will see. But at least, yes, on an overall basis, we're confident that there is enough credit demand. It is for us to see which one we want and what time we start to build in. And at the right price, I want to mention that.

Even during this quarter, there were several opportunities on loans. You look at our wholesale loans, 11% year-on-year or minus 1.61%, close to minus 2% quarter-on-quarter. We were not shy of not participating in certain loans. If the price is not to our liking, we do not need it. But we need the relationship. We keep it because around which we build several other segment relationships. But yes, that is broadly that is where we are operating.

Mahruk Adajania: Okay, got it. And sir, what would be the, would you be able to quantify the CRR and SLR of Limited, HDFC limited at the end of June? Would that be possible?

Srinivasan Vaidyanathan: No, see the, it starts to kick-in, I think in the next fortnight, it would start to kick-in. And we provided you the high level in terms of how we're carrying liquidity to both, to support the growth and support all the results that are required. The bank standalone LCR is 126% on a combined basis, which was 116% last quarter, 126% now, on a combined basis, Pro-forma combined, a little more than 120% after accounting for what is required for CRR and so on. So yes, quite comfortable with the position there to meet the regulatory requirements.

Mahruk Adajania: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citi. Please go ahead.

Kunal Shah: Yes, thanks for taking the question. So firstly, on the retail deposit side, so last time it was quite encouraging of INR1 trillion. And we have

highlighted that on a quarterly basis, we

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would want to add that kind of a number. Obviously, Q1 has some kind of a seasonality. But

given the capacities which are being built and the investment in franchise which is being done, what is the average kind of a retail deposit accretion which we can see over next six to eight-odd quarters?

Srinivasan Vaidyanathan: See Kunal, what we feel, we don't give one forward looking statement, but at least I want to indicate what we have previously said, which is yes, we have built capacities to be at that kind of a level and that is where, that is when you look at it over a period of time, yes, there has been a quarter where it is lower. Again, there are seasonality, it is low, because there are times in this April to June quarter, where typically it is low because people are away, customers are away, schools are out, many things happen in this quarter. And, but our goal and our drive is to be at that kind of a level that we previously indicated, and this will come back up and where we try to drive that forward.

Kunal Shah: Okay, so INR1 trillion was the indication, so we should drive that back to INR1 trillion-odd level?

Srinivasan Vaidyanathan: Yes, thereabouts, that's what we had indicated that that's the level at which we'd like to operate.

Kunal Shah: Sure, and in terms of credit growth, what you highlighted 17% to 18-odd percent, that is again, maybe not taking into effect IBPC. So is that a fair, or maybe this 13%, which is there post IBPC is what you are indicating to be like 17% to 18-odd percent sustainable one?

Srinivasan Vaidyanathan: See, IBPC is typically a very transient book. And transient means it comes in, it goes out and comes in back in. IBPC is not a full sale. You manage it quarter-to-quarter. There are a few objectives that we achieve from a priority sector obligations point of view, or from a liquidity point of view, there are several considerations that go into doing that. But when we think about the loan, 17%, 18% are historical that we have done, 2.3x, 2.4x, doubling every four years to five years, it is on a total basis.

Kunal Shah: So when do we actually expect this number to moderate? Maybe obviously this will move out, it's a transient one, but what is the kind of number which we can look at in terms of the IBPC because that also breaks at least the overall balance sheet number?

Srinivasan Vaidyanathan: We don't have a target for IBPC, it is opportunistic. And as I told you, the purpose, not only opportunistic from a balance sheet point of view and the market demand, but there was also a good amount of demand in the market. There are certain other institutions, which are wanting to put assets on. And we get a good price, we pass it on. And second thing is that if there are, when we look at the priority sector requirements and our ability to what we need to do, and if it's an opportunity to let that go with somebody else, that is also something. So there is no particular target we have. It completely depends on, it is opportunistic, it depends on what the market is on pricing and priority sector pricing opportunities.

Kunal Shah: Sure. And one last question in terms of any integration cost that would be incurred once there is a merger or there is no integration cost?

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Srinivasan Vaidyanathan: No, there will be integration cost in the form of stamp duties and in the form of certain other costs that we will have. But they are, as we said, within reason, nothing substantial, but within reason it will be. We will call that out separately after we complete it.

Kunal Shah: Okay, but that's not a meaningful one, which will...

Srinivasan Vaidyanathan: It's not a big mover of the overall financials.

Kunal Shah: Thanks. Okay, thanks a lot and all the best.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. We have the next question from the line of Saurabh Kumar from JPM

organ. Please

go ahead.

Saurabh Kumar: Hi, good evening, Srini. Just two questions. One is on deposit re-pricing. So this quarter, quarter-on-quarter, your interest costs are up quite sharply, 15%. So can you help us understand where you are in terms of your term deposit rates on balance sheet versus incremental?

And the second is -- basically on this, on the HDFC mortgage book. So fair to assume that in six months, this book completely moves out, moves into EBLR? These are two ones, thank you.

Srinivasan Vaidyanathan: So second question I didn't understand. Mortgage book, what is this?

Saurabh Kumar: This will all be repo-linked now. This is all EBLR-linked and HDFC Limited.

Srinivasan Vaidyanathan: Okay, I got the question now. Okay. First, the deposit pricing, yes, if you look at the deposit pricing over a period of time, the SA deposits haven't moved, as you know, not just for us, in the entire market it is what it is. It is the time deposit. Our deposit cost that you're seeing is simply a function of the mix that has happened, which is rightfully we are targeting to get the holistic customer relationship or deeper customer engagement. That is why the time deposit, last year grew 29%. This quarter grew 26.5%-time deposit. So it's a function.

So then the next question is, is growing this time deposit at what rate? It is a market rate. If

you look at our deposit pricing, it is more or less at or slightly below some of the competitors' pricing level. So, we are not pricing to gain any deposits. We are trying to price it at or slightly below competitor's level, we want that engagement. So we're not shy of that, that it is a cost, but because it gives better engagement and it gives a little more duration on deposits and we are okay with that. So that's how you think about, it is not a lead pricing to get deposits, that's not what we are after.

If you see any table at any point in time when you refer, across various tenors, that's what you will see that. And of course, we have pitched slightly above state bank for most of the tenors except for some short end where I think state bank could be priced higher for whatever reason.

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But other than that, more or less in the private sector side, the top two or three or four banks were more or less there on pricing.

On the mortgages you asked about the EBLR, yes, it will move to repo-based pricing. But when it starts off, it starts off with no difference to the customer. Because at the end of the day, customer is whatever is the benchmark in which you do, even today, yesterday, or last year, the customer had a choice to finance anywhere the customer wants. So the price is to be pitched at a level, which is again like the time deposit that I spoke about, competitively priced, and with some differentiator in terms of engagement and better relationship with the customer that is how we are approaching it. So yes, it will move to EBLR repo-based loans.

Saurabh Kumar: Why I ask this is, basically in future, will HDFC's NIMs will have slightly higher volatility than what it had in past, because now you have a large, potentially, external benchmarking focus. We'll just try to manage things through cycles.

Srinivasan Vaidyanathan: Okay, Yes. See, if you look at how HDFC Limited managers managed, and that is the same book that we are taking over along with the same people and with a similar kind of a risk, philosophy and structure, the margins were moving in a narrow band. It was moving in a narrow band because from a duration point of view, they were fairly hedged on the duration from an interest rate risk.

That is why when the repo rates went up, you did not see an HDFC Limited spread or the NIM jumping out of page. Because the risk management was keeping it in a very narrow band. So in the up cycle or down cycle, it's a narrow change that will happen, but cannot go off. That's part of how the duration is managed. And that w

ill be how it will continue to be managed that way.

Saurabh Kumar: Got it, thank you, Srini.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. We have the next question from the line of Rahul Jain from Goldman Sachs. Please go ahead.

Rahul Jain: Yes. Hi. Good evening, Srini.

Srinivasan Vaidyanathan: Good evening.

Rahul Jain: So just a first question going back to one of your statements that, you're sort of making use of declining credit cost in investing in capacity build-up. So how long can this trend continues? We've seen structural decline in credit cost so far along. Is there any more leg room available out there to bring the credit cost down from here, or how do you see that play out?

Srinivasan Vaidyanathan: Okay, it is a very good question. Thank you. There is no crystal ball when the credit reverts to mean, but there will be reversion to mean. When that reverts to mean, that is part of the risk management art. Our credit will tell us few quarters ahead of time, which is what happened, right? When we started to build those branches somewhere, November, December '21, we were looking at how our risk management was viewing, how the cycle is coming along, and

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then we started to get onto those branches. So March '22, we added a little more than 500 branches. And then from then on, we've been on that cycle of building.

So we will, our risk management will evolve and tell us in terms of how the cycle is going to turn out when. And it is nothing but it's a function of maturity. It's not about the quality of the book. The quality of the book is sound now, it was sound then, and it will be sound in times to come. It's a question of maturity cycle of the product and of the credit and when that reverse, reversion begins, that is when we start. But still, by the time the reversion begins, we are confident that we will lap the base effect comparison cycle.

That is where we want to get this through so that the base effect starts to kick-in, the maturity cycle starts to come in 18 months, 24 months, break even, and it starts to contribute to the topline and then hopefully, the reversion to meet stops. So that's the kind of process that we are going through on that. I hope it helps for you to think through how long it can.

Rahul Jain: Yes, so just to paraphrase, I think you've got sufficient degree of visibility at least for this year that current cost can keep compensating for enhanced investment and capacity build-up. You

know, that's a fair understanding, right?

Srinivasan Vaidyanathan: Yes, that's a fair understanding and normally 18 months, 24 months breakeven to pay back. So if you started this in December '21, January '22, that's where we started, 18 months' time that you see and by the time the base effect is also in.

Rahul Jain: Makes sense, that's very helpful, Srin, thanks. The second is on the segmental growth. So we saw PL quarter-on-quarter growing, I think, had a pretty, slow sequential quarter, whereas home loans have picked-up. Is this because of your calibrated risk stance that PL has to slow down and the secured portfolio has to grow up, or it is just a quarterly phenomenon?

Srinivasan Vaidyanathan: It is simply a quarterly, Rahul, I think in some other place I alluded too. First quarter is typically a very slow quarter. If you look at three, five years' time period at an aggregate level on loans too, little more than mid-single digit to somewhere little, mid to low double digit, that's the kind of first quarter contribution to the full year. So it is normally slow, but we still see a good amount of underlying demand, which is there. And even as we speak, you didn't ask about this, but as we speak now as this quarter has begun and moving on, the mortgages now post-merger, what we get anecdotally from various sources within our bank, and as we see some of the logins, it has to translate into full loan disbursements.

The mortgage logins are 20% on a combined basis, 20

% more than what we have seen before.

So we have seen good amount of traction build up there. So it's a question of timing when it realizes into the balance sheet, but there is a good demand that is coming through.

Rahul Jain: Yes, actually, I was quite curious about personal loans in particular, because the Y-o-Y growth also for the last few quarters have been under indexing versus the broader systems PL growth.

So, I was quite curious, is this more of a conscious strategy that you're not trying to grow this portfolio or gain more share or?

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Srinivasan Vaidyanathan: Good, thanks for asking that. People sometimes have asked us, the market grows personal loan at 30% or 35% or whatever high 20s and so on and why we are not growing, we are at 18% or 20% or 22% kind of rate what's going on. See, that's the level at which our risk management looks at how to calibrate and get that growth across. There are opportunities to do 2x that from a growth rate point of view, but I leave that respectfully to our credit to determine at what pace because every growth gets monitored, evaluated, post the disbursements into the Bureau to see learnings are incorporated. There are several processes they follow to calibrate it and go. And I wouldn't second guess them in terms of demanding for higher growth than what they allow.

Rahul Jain: That's helpful. This one last question on the PSL and RIDF. Any incremental color? Did you have to buy any more RIDF this quarter or was it self-sufficient for the full year? Can you just throw some color around that, please?

Srinivasan Vaidyanathan: See, I wish I could tell you how much we will buy, but I want to be careful about the price in the market and not spook up or down. But at the same time, we are conscious of the requirement. We are at an aggregate level more than what is required. We always look for subcategories that we want to build. And over a long period of time, we want to be self-sufficient. That is the reason for our geographical expansion, going into deep villages and so on.

That's over a period of time, that we need to be self-sufficient ourselves. But in the short term, yes, all of those activities, which is buying PSLC, RIDF as a compensatory where we think that the price is not appropriate in the market. IBPC that provides PSL or the securitization which is the pass-through certificates that give qualifying assets. We are in addition to organically building, we are in the market for all of those all the time.

Rahul Jain: Got it. Srin, just one last question if I can squeeze-in on the merger related costs. I mean, is there going to be any one-off that we should expect, any qualitative color that you can give around, as you move to consolidate the numbers between you and HDFC Limited for the second quarter or whatever, during the year? Anything that we should be aware of?

Srinivasan Vaidyanathan: Yes, there will be some merger related cost. I think, in the previous, some time, one or two questions ago, I did hear from Kunal asking the same in terms of the merger cost. There will be, it would be something within range and manageable, the stamp duty cost and certain other costs that requires to effectuate the merger, we will be spending that, we have spent or we will be spending that, but it is all there all within reason and nothing out of the page in a big manner.

Rahul Jain: And apart from cost, there is nothing much that can spring up on account of...

Srinivasan Vaidyanathan: No. Apart from cost, there could be some capital assets that we will put in from an infrastructure point of view, and then over a period of time, it will depreciate certain assets for capacity building, but other than that, some costs will be incurred, but they are within reason and range.

Rahul Jain: Fair enough, very helpful. Thank you so much for answering the questions.

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Srinivasan Va

idyanathan: Thank you.

Moderator: Thank you. We have the next question from the line of Abhishek from HSBC. Please go ahead.

Abhishek: Yes, hello. Good evening and thanks for taking my question. So Srini, the first question is on this wholesale book of INR1.1 lakh crores which you are running down, the HDFC non-individual loan book, what part of that book remains to be run down still or now is it at a steady state and you are probably looking to build from here?

Srinivasan Vaidyanathan: Okay, good point. See, it has come down 18% or so over the last 12 months. Part of the management action in terms of how as we entered into the merger, a lot of rationalization and we came down 18%. It will receive, I don't have one number where we will settle and start to grow, but that's part of how our businesses evaluate, look at those relationships because you know that in our wholesale book that we have, which is the INR4-odd lakhs or INR4 trillion, something that we have, our wholesale book, it is simply not a lending-based value proposition, it is a full relationship-based value proposition, which is lending with cash management, with the trade and FX, and with the salary accounts, and with the supply chain distribution accounts.

So it's intricately connected across all the business segments we operate. Again, here, we are evaluating all of those things, and we would like to grow this book at some point in time, but at this moment, it is getting evaluated for what is the kind of a positioning across various segments that we need to do.

Abhishek: So Srini, the reason I'm asking this is this obviously affects your headline growth, right? And there would be part of this which you may have your mark that, this is not the kind of business we want to do. So if we can get a sense of that, then we know X of that how much we can grow?

Srinivasan Vaidyanathan: It's not that we don't want to be in the business, we very much want to be in those businesses. The construction financing is very intricately connected to mortgage lending. We will be there, we will be nurturing and growing that. It's a question of evaluation and it's a question of picking-up the right kind of relationship for a broad-based across various segments diversification, then we need to go. So there is some level of that review that needs to happen. So there is not a chance that we are thinking of that we will not be in this segment. We will be. It's like it's the auto dealer financing, which we are very, very well embedded in, very similar in the mortgage business. We have to be in the construction business to get that insight into the development. So we are able to finance the mortgage through that process, we will be there. The other book is the LRD book, LRD book we do that and the bank already grows that and we, this will add on to that and we will continue to grow on that.

So the only thing that we would not be doing is land financing types, which we will not be doing or some of the project financing that doesn't meet the regulatory requirements, we will not be. Other than that, very much part of the growth. So I don't want you to take away saying

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that this is a rundown book, it is not. It is a core part of the book to grow the other retail mortgage loans.

Abhishek: Right, and the part that you do want to do, the land financing and the project financing bid, does that run into let's say, north of INR10,000 crores or it's within that?

Srinivasan Vaidyanathan: See, first you take it and come, but it could be INR5,000 crores, INR10,000 crores, whatever. We are evaluating that in terms of what is it, what part of that we cannot or we shouldn't want to be there.

Abhishek: Got it. The second question, Srini, is on deposits. Now the reason or the point I'm trying to get to is your incremental deposit market share requirement is roughly 25%. And if I look at a longer period acquisition rate, you're

going at 20% incremental market share. So there's still a 5% gap. Now, incrementally, would you have to raise rates? Because you've kept your rates at or below competition mostly. But now you have this incremental requirement, right? And it can't just be fulfilled through your investments in branches? So how do you think about your rates on the TD side versus let's say, or going forward, and will that lead to stickier rates on your cost of funds and therefore some more pressure on NIM? How do you think about that?

Srinivasan Vaidyanathan: Okay, Yes. Okay, Yes, no, good things. Two things alluded to. One is the market share. See, we don't drive a business targeting a market share. So I want you to get off that thought process saying that internally we are thinking of what should be the market share and drive that. No, we don't look at that at all. We look at what is our funding requirement and how do we use our building blocks to get that. So I just want you to keep in mind. So there is no

particular mindset target of what we need to go there from a market share point of view. But coming to the second aspect, which is more important, hey, if you need time deposit, what sort of a pricing? We have stated in the past, and that's how not just in the last one year to two years, but for a longer period of time, the bank has demonstrated discipline in pricing. We never lead by pricing to get any volumes, and it is simply based on relationship. And this comes by a few things, right?

We have built a brand over a period of time, we need to reach the customer, we need to be closer to the customer that is the thought process we have and not just in the last one year, two years, over a period of time if you see that's how the branch got built. We had 2,500 branches in 2013, 4,500, 4,700 branches in 2018, then went to 7,000, 7,800 and growing. The branch strategy is not something that we decided recently. We are accelerating to some extent on that, but it is about the distribution of the reach that is required, which is what we are building. The third, once you have all this, you need to get the customers in. And we have built so far getting in 85 million customers and out of the 4 million customers from HDFC Limited, we have opportunity to operate with more than 2.5 million, 3 million of them to bring liability relationships. This quarter, we added 2.4 million new liability relationships, so you need customers. And then we work on the customers, both the new account value as we bring in customers, we get in certain balances, and then the change in balances of the existing customers, we work through engagement to see how do we deepen that to get more balances.

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And one of the ways in which we have recently got a change in balances of the deposit from customers is time deposit. We have seen that our penetration has been low at 14%. We moved that needle to 14.5% right now, but the denominator has also changed. We have more customers now. So while we have grown 29% last year, 26% in the recent quarter, still it has made a difference of only 50 basis points higher from a penetration. We have a long way to go. And if you look at the pricing, which is where you started this question, how far pricing is influenced by this, you can be any point in time, if you look at the pricing, our deposit, time deposit pricing was some of the peer benchmarks. If you see, they're pretty closely aligned. We don't lead by price. I want to leave the thought there. This is part of the ALCO discussion in terms of how we engage with the customer and how pricing is not the lead consideration for getting any deposits.

Abhishek: Got it. Thanks. And just squeezing-in one quick question on your calculation actually, so the ROA that you show in your PPT, that's 2.1%, is that calculated on quarterly average balances? Because when I calculated it comes to 1.9, so just trying to reconcile that differ

ence?

Srinivasan Vaidyanathan: No, I don't know how you calculate daily averages, but whatever they are, but you cannot get 1.9. You send your numerator and denominator we will tell you where there is an issue.

Abhishek: Okay. I'll take it offline.

Srinivasan Vaidyanathan: Yes, please.

Moderator: Thank you. The next question is from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla: Good evening and thank you for the opportunity. Firstly, Srini, are you able to still quantify the crystallized liabilities of HDFC Limited at the time of the merger?

Srinivasan Vaidyanathan: Yes, the liabilities that get crystallized about INR6,36,000 crores is what is moved to the bank, that INR6,36,000 includes the deposits, which is on page 23 of the earnings deck that we showed. That includes the deposit, but INR6,36,000 crores is what is moved along with the assets.

Manish Shukla: Sure, that's helpful. Secondly, on the merged basis, the loan to deposit ratio is at about 109%. How and when do you think you can break it down to the 100%? Basically I'm saying that in terms of the incremental funding requirements, how do you think, you bring deposits?

Moderator: Sir, sorry to interrupt, but the line for you is not very clear. I request you to please use the handset while you're speaking.

Srinivasan Vaidyanathan: Okay, I will get to Manish. Manish, I will get to that. See, on the -- you asked about the deposits -- credit to deposit. Yes, instantly because of the merger, it goes up. On an incremental basis, if you see, last year was 72% incremental credit to deposit. This quarter is 50% something incremental deposit. But the way we think about and operate is that on a pre-merger on an average, it was 84%, 84%, 85% credit to deposit.

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We are operating at about 80% or so, that is the kind of a thought process from a credit to deposit ratio. So even if we want, instantly it cannot be brought down because there is a maturity profile for the borrowing that we have. So it will take three years, four years for that to come down to a level at which the bank has historically operated. And so we have to wait

for the maturity profile to go and get replaced with the deposits.

Manish Shukla: So this gap would essentially be funded via affordable housing bonds or other kind of rates, right?

Srinivasan Vaidyanathan: Because the maturity profile, it will both run down on an incremental basis is what you need to look at. And then it will play out where it comes back in three years, four years down to normal.

Manish Shukla: Got it, understood. Thank you.

Moderator: Thank you. The next question is from the line of Pranav from Bernstein. Please go ahead.

Pranav: Good evening, Srini. Thanks for the session. I will just go back to the IBPC issue, Srini. The question is, if you had, instead of going down the IBPC route, if you had kept the loans on the balance sheet, what would have been the loss in terms of numbers, is it ROA which would have been impacted, or is it your LCR, or is it your PSL management? Or in other words, what did you, or what would you have to sacrifice to report a better headline number?

Srinivasan Vaidyanathan: No, it is like this, when you do IBPC sell, in which case, which is what we have done, you have taken the loans off the balance sheet. And so the baseline for priority sector lending goes down. So you are reducing the obligations on which you need to have the directed lending at some point in time in the future. So that's something very important on that front.

Then the second thing is that from a pricing point of view, if there is some better pricing and there is a demand there, it gives you certain pick-up in the spread on that. So these are a couple of concerns, and then liquidity, of course. You get some cash and you can deploy it. You can, essentially it's leveraged again. You got the money, you can get more loans that you want, and you're able to lev

erage further. So that's the kind of thought process we deployed to do this.

Pranav: Perfect, thanks, Srinivas, that's very helpful.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. Ladies and gentlemen, we have come to an end of the time allotted for the call. I would now like to hand the conference over to Mr. Vaidyanathan for closing comments. Over to you, sir.

Srinivasan Vaidyanathan: Okay. Thank you, Dorwin. Thank you, all the participants, for participating. It was good and quite a dialogue that happened. Further questions, and those of you who could not complete questions or haven't had that opportunity to get on the line due to time constraints, we'll be open to having a conversation at some point in time. Please get in touch with our Investor

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Relation, Bhavin or anybody else with whom you are previously connected. We'll be happy to have any dialogue. Thank you, bye-bye.

Moderator: Thank you. On behalf of HDFC Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Oct 2023

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

October 21, 2023

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051

Dear Sirs,

Sub: Transcript of Earnings Call for the second quarter ended September 30, 2023

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings call with analysts and investors held on October 16, 2023, with respect to the financial results of the Bank for the second quarter ended September 30, 2023, has been made available on the website of the Bank at the link: <https://www.hdfcbank.com/personal/about-us/investor-relations>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

Yours truly,
For HDFC Bank Limited

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"HDFC Bank Limited
Q2 FY '24 Earnings Conference Call "
October 16, 2023

MANAGEMENT : MR. SASHI DHAR JAGDISHAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – HDFC BANK
LIMITED

MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
OFFICER – HDFC BANK LIMITED

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Mod erator : Ladies and gentlemen, good evening, and welcome to HDFC Bank Limited Q2 FY '24 Earnings Conference Call on the financial results presented by the management of HDFC Bank. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Srinivasan Vaidyanathan , Chief Financial Officer, HDFC Bank. Thank you, and over to you, sir.

Srinivasan Vaidyanathan: Okay. Thank you. Thank you, Nee rav. Good evening, and a warm welcome to all the participants. Our MD and CEO, Mr. Sashi Jagdishan, has joined us today to provide an overview of the business before we get into the quarterly results. Sashi, over to you to get started, please .

Sashidhar Jagdishan : Thank you, Srini. Thank you for allowing me to steal your talk time. I'll keep it as brief as possible. This being the first results post the merger, I thought of sharing my thoughts. It's such a pleasure to connect with you all afte r a very long time. As you know, we just consummated one of the largest mergers in recent times with seamless integration of people, process es, and systems. And that too, without any external help. This showcases the power of our execution. The day one mer ged balance sheet was audited by the 31st of August, and the team disclosed this to the world at large around mid -September.

The presentation, which they did to the analysts brought out some of the one -offs on account of the debt -funded liquid assets to m eet the liquidity coverage ratio, the LCR, as per banking norms. As you know, sometimes the assumptions and cash flows that an NBFC does is going to be -- is different from that what a bank would do. And so therefore, there was some amount of buildup of liquidity to meet those liquidity coverage ratio norms and also provide an extra cushion to take care of contingencies. As luck would have it, there was an incremental CRR, which was announced, and this c ushion came in extremely handy.

Obviously, it came with a cost, which is approximately 25 basis points between the liquidity buildup and the ICRR impact. I think Srini will talk about it more in detail in this call. The presentation also brought about the day one adjustments to equity, w hich was one of the asks of all you -- of this fraternity to say what will be the day one equity and with all the adjustments that one would do on merger. I think a lot of people probably mistook some of them to be destroying of value of the equity, but it 's not. If you look at it deeply, and I'm sure most of you would realize that these are all accounting and timing differences, which means that these benefits will accrue over time from here on.

A lot has been spoken about the non -retail book of erstwhile HDFC Limited. Surely, there was a bit of an incremental spike in an account , which w as standard, but had to be restructured. And as per the norms, when you restructure , even if it's a performing asset, it tags -- it gets tagged as an NPA. Yes, there could be some tail remaining from this book, which could slip into substandard in the future, but the impact to the overall bank's gross NPA will not be significant at all.

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Classification - Internal In fact, I can categorically say that the bank will not incur any incremental costs or losses on account of this book into our P&L going forward. And this is something , is because of the realizable value of security, the provisions that we have made is go ing to be adequate enoug

h to

cover some of the exposures that we have inherited.

A lot of questions and question marks come about what we are planning to do on the construction finance. It is going to be extremely important. It's going to be an important part of our mortgage business.

We have just absorbed the contours of this book. You will now start to see the construction finance book growing steadily from here on. And that will sort of help in building not only the top line but also some of the margins back. If you have seen the results, which has been released a couple of hours ago, I think it showcases the execution capability, which is what we're known for, which is what we have constantly spoken about as well and even demonstrated.

Let's look at some of the key metrics. Look at the deposit accretion of INR 1.1 lakh crores. That translates on an apple-to-apple basis of a sequential growth of 5.3%, which if you analyse it, it's upwards of 20%, 21%. And mind you, this is, almost 83% to 85% of that is retail. One would wonder and one -- probably one of the questions that you may have is what happened in June, which I think we may have explained, but let me articulate it slightly better is that when the liquidity cushion was being built on the other side, that is in HDFC Limited, we decided that we will not roll over some of the large ticket deposits even for a few basis points as well. So we let some of them go and that is masked, these outflows in the large ticket deposits, the non-retail deposits masked the core momentum in the retail ones. So we are very sanguine and very confident that funding is never going to be an issue, and you will see the kind of execution that we are capable of going forward as well.

Look at the loan growth. We have also accreted on an apple-to-apple basis, INR 1.1 lakh crore s during this quarter. These are high-quality assets, whether it is corporate, whether it is CRB, the commercial /rural / MSME book or the retail book - extremely high-quality book where we're extremely comfortable from the quality of the book now and into the future. But look at the kind of sequential apple-to-apple growth rate. At 4.9%, it's an annualized growth rate of 19.6%. So when you look at these two metrics, it's very strong, very healthy numbers, which is what we have mentioned several times over that even on such a large scale that we -- the bank will have the energy to continue to grow at a pace that we have done in the past even on such a larger book.

The NIMs. You know, I think the presentation in mid-September called out that there will be, kind of an impact, because of the liquidity cushion and the incremental CRR impact of about 25 basis points. We had said that we will -- the core margins on a total asset basis, on a pure arithmetic should be somewhere between 3.7 to 3.8 %. So when you adjust for this 25 basis points, we are at a lower band of the 3.65 %. That's all right. I mean, that's something that we -- I'm sure, with time, we will recoup some of the margins as we substitute the high-cost bonds with deposits and the changing mix of our business, loans mix more-and-more towards retail.

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Classification - Internal Look at the Return On Assets. Despite that, I think the company maintained the Return On Assets around the 2% mark and the ROE at the 16.2% mark. So the top-line growth and the profitability has been intact, and it is something that will only improve going forward. This being the first quarter, we wanted to ensure that the fabric of HDFC Limited's profits on mortgages is maintained, especially in the retail mortgages. We wanted the teams to settle down and we wanted them to slowly but surely start to energize themselves and galvanize the home loan disbursement momentum.

We have mentioned in the early release that they did the highest ever retail mortgage

loans of

170,000 in numbers and a INR4 8,000 crores of disbursements, the highest ever. This demonstrates that this is a start, this is the tip of the iceberg. It's just now a matter of time where we now will start to sweat the franchise, both the distribution and the customer franchise to take this forward. But what is going to be exciting is when we launch our digital journeys for bundling products during this quarter. That will be incremental in terms of icing on the cake.

So the innate strength of the institution to galvanize energy, to execute consistently even on a larger base is what we have demonstrated year after year for 28-plus years. As one can see, in the recent results, the bank is poised to silently deliver the core growth that you have just seen in this quarter, and I'm very confident and sanguine that it will continue to do so quarter-after-quarter even on a larger scale, maintain the profitability in the range of 1.9% to 2.1% as in the past.

So without much ado, I just wanted to tell you that we are extremely excited about this merger, and we will slowly but surely demonstrate to the world that how we will execute the way we have done in the past.

So over to you, Srin. Thank you so much.

Srinivasan Vaidyanathan: Okay. Thank you. Thank you, Sashi, for those opening remarks. Now let's get on to the main highlights. I want to start with the macro context that provided a good healthy tailwind in the quarter, right? We continue to see good domestic demand conditions and push from government through capex. You know well that the GST collections were healthy and manufacturing services PMI are in the expansionary zone, the key logistics indicators were quite healthy and good. RBI kept its rate unchanged at 6.5%. And as we look ahead, we see the environment is good for robust growth. Our estimate of the GDP growth for this year FY '24 is 6.3%, which will demonstrate that it's one of the fastest growing economies of the world.

Now if you look at some of the key factors in the bank's growth journey, on the distribution footprint expansion, our branch network stands at 7,945 outlets as of -- branches as of September 30. Overall, there has been an increase of 1,446 branches over the last 12 months, including 85 branches in the quarter. In addition, we are operating over 400 branches of erstwhile HDFC branches as -- under the bank banner now and are progressively developing other banking product capabilities as we go through the year.

Payment acceptance points are currently at 4.9 million, a year-on-year growth of 43% as adoption of Vyapar app builds momentum there. In the CRB, which runs the SME businesses,

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In the customer franchise building, we added 2.7 million new liability relationships during the quarter. Our base -- customer base stands at 91 million, including those added in the merger. This provides the opportunity to further engage and deepen customer relationships. In order to position this for greater engagement with those customers, we've added 16,000 people during the quarter.

On cards, we issued 1.7 million cards in the quarter, taking the total base to 18.8 million. The granularity on the deposit focus continues with total deposits currently at INR21.7 lakh crores, grew by INR1.1 lakh crores in the quarter on a comparable basis, 5.3% sequentially. Term deposits have been the bedrock of this growth given the interest rate scenario and the customer preferences, aggregated to INR13.6 lakh crores, registering a healthy growth of 7.8% sequentially.

Savin

Current account deposits stands at INR5.7 lakh crores, and grew by INR9,000 crores or 2% sequentially. Current account stands at INR2.5 lakh crores and that's INR18,000 crores over prior year. Retail of which current account constitutes 72% and grew by 3% sequentially. So we are focusing more --and-more on the retail current account as we go along because as the corporate or -- the wholesale current account gets managed professionally through various treasuries, the retail current account offers the biggest opportunity there.

Overall, CASA deposits ended the quarter at INR8.2 lakh crores, resulting in a CASA ratio of 37.6%. This is after the impact coming from the merger, which came from HDFC Limited, the term deposits that got added into our base.

On the advances side, the gross advances at INR23.5 lakh crores reflects a sequential momentum of about 4.9%. Retail advances grew 3.1% sequentially. CRB advances grew 9.7% sequentially. The Wholesale segment grew, excluding the non-individual loans of HDFC Limited, grew 5.8% and the non-individual loans of the HDFC Limited is now at INR1.03 lakh crores compared to INR1.09 lakh crores as of the beginning of the quarter.

We continue to pursue the technology and digital kind of a foray. PayZapp 2.0 currently has 3 million registered users and handles a daily volume of 2.5 lakh transactions. SmartHub Vyapar platform handles monthly transactions of INR19,000 crores and provides monthly disbursements of INR650 crores. Xpress Car Loans brings and contributes almost 30% of our car volumes. HDFC Bank won the customer service hub, the AI-driven channel platform serving contact centers nationwide, serving 30 million engagements as interactions with 15 million customers monthly through e-mail, social care, WhatsApp and chat banking and phone banking services. Balance sheet remains resilient. LCR for the quarter was 121%, absorbing the 4-plus percentage points coming from the ICRR. Capital adequacy ratio is at 19.5%, with CET1 at 17.3%.

Let's get to the net revenues for the quarter, which were at INR38,093 crores, grew by 33% over prior year. Net interest income for the quarter at INR27,385 crores, which is 72% of net revenues

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Classification - Internal grew by 30% over prior year. The core net interest margin for the quarter was at 3.65% on total assets and 3.85% on interest-earning assets after absorbing the debt funded cost for additional liquidity and merger management, the reported net income -- net interest margin for the quarter was 3.4% on total assets and 3.6% on interest-earning assets.

Getting to the details of other income. Total other income was INR10,708 crores. Fees and commissions constitutes two-thirds or 65% of other income, was at INR6,936 crores and grew by 19.5% over prior year. Retail constitutes 92% of fees and commission, demonstrating the granularity of the fees and commission income. FX and derivatives income at INR1,221 crores, was higher by 12.8% compared to the prior year. Net trading and mark-to-market income was INR1,041 crores for the quarter. Prior quarter was INR552 crores and prior year was a negative INR387 crores.

Other miscellaneous income of INR1,510 crores includes recoveries from the written-off accounts and dividends from subsidiaries. On the operating expenses for the quarter, which were at INR15,399 crores represents the cost to income for the quarter at 40.4%. Our pre-provision operating profit was at INR22,694 crores and represents around eight times the total provisions from a coverage point of view.

Coming to the asset quality, the GNPA ratio was at 1.34% as compared to 1.41% on a pro forma as of July 1 that we mentioned and last year as you know, it was 1.23%. Out of the 1.34% as of this quarter end, we have about 22 basis points which are related to restructured accounts, which are restructur

ed accounts in erstwhile non-retail HDFC Limited, which are current and performing but have been classified as NPA according to the extant guidelines.

Net NPA ratio was at 0.35%. The slippage ratio for the current quarter is at 32 basis points, about INR7,800 crores. During the quarter, we had recoveries and upgrades that were INR4,500 crores at 22 basis points. Write-offs in the quarter were INR3,250 crores, approximately 17 basis points. There were no sale of NPA accounts during the quarter.

On the provision side, the total provisions reported were around INR2,900 crores against INR2,850 crores during the prior quarter and INR3,250 crores in the prior year. The core specific loan loss provision was around INR2,500 crores against INR2,700 crores in prior quarter. The provision coverage ratio was at 74%. At the end of current quarter, contingent and floating provisions were approximately INR15,600 crores, general provisions were INR10,100 crores. Total provisions comprising specific, floating, contingent in general were about 156% of gross nonperforming loans. This is in addition to securities held as collateral in several of the cases. Floating, contingent, and general provisions were about 1.09% of gross advances as of September end.

Now coming to credit cost ratios. Total annualized credit cost ratio for the quarter was 49 basis points, prior quarter was 70 basis points and prior year was 87 basis points. Recoveries which are recorded as miscellaneous income, amount to 16 basis points of gross advances for the quarter as against 19 basis points for the prior quarter. The total credit cost ratio, net of recoveries, was at 34 basis points in the current quarter compared to 51 basis points in the prior quarter and 64 basis points in prior year.

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Classification - Internal The profit before tax was INR19,790 crores and grew by 39% over prior year. After INR1,000 crores write-back of tax provisions no longer required consequent to favourable appellate orders.

Net profit after tax for the quarter was INR15,976 crores, which grew by 50% over prior year.

Now a few sentences on our subsidiaries before we get to the summary. HDBFS is on Ind AS basis, disbursements were at INR14,150 crores, higher by 43% over prior year. Loan book at INR7,800 crores, grew 5.8% sequentially. Customer franchise grew to 13.6 million customers with 6.3% additions during the quarter. Quality of the book continues to see sustained improvement with gross stage three at 2.38% as of September against 4.88% in the prior year.

The provision coverage of Stage 3 book stood at 68%. The profit after tax for the quarter was INR601 crores compared to INR471 crores from prior year. The ROA and ROE annualized in the quarter was 3.2% and 19.6%, respectively. The earnings per share in the quarter in HDBFS was INR7.59 and the book value per share in HDBFS is at INR158.

Now getting to a few other subsidiaries, HDFC Life, on an IGAAP basis, the profit after tax for the quarter ended September increased to INR377 crores compared to INR326 crores in the prior year. In the HDFCAMC, again, this one on an Ind AS basis, profit after tax for the quarter amounted to INR438 crores, registering a year-on-year growth of 20%. In HDFC ERGO, this on an IGAAP basis, because they are different standards, profit after tax for the September

quarter increased to INR236 crores compared to INR177 crores in the prior year, registering a growth of 33%. Securities / HSL has a network of 2,203 branches and the net profit after tax was INR214 crores as against INR191 crores for same time last year.

I want to take the opportunity to provide a quick update on ESG. We further strengthened the integration of ESG and climate change risk assessment into our credit appraisal process for corporate borrowers. We also have finalized a sustainable

finance framework to classify loans

and advances as green, social, and sustainable in alignment with International Capital Market Association principles.

Now getting to the summary. Our results reflect the robustness in growth after consummating the merger, 5.3% sequential momentum in deposit growth, 5.7% sequential momentum in retail deposit growth and advances growth at a sequential increase of 4.9%.

Profit after tax for the quarter at INR15,976 crores increased by 50% versus prior year. The consolidated profit after tax for the quarter is at INR16,811 crores, delivering the return on assets in the quarter of about 2% and return on equity of about 16.2%. Earnings per share in the quarter on a stand-alone basis is INR21.1 and at a consolidated bank level, it is INR22.2. The book value per share on a stand-alone bank level is at INR534 and at a consolidated level, it's at INR553.

With that, may I request the operator to open up the line for questions, please.

Moderator : Thank you very much. We will now begin the question-and-answer session. First question is from Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: My first question is on margins. So of course, you've explained that is the ICRR and the excess liquidity on Limited book. But would there be any other adjustments in the NII while moving

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Classification - Internal from Ind AS to Ind GAAP for HDFC. Like for instance, HDFC's NII in Q2 FY'23 was around 45 billion, 46 billion, right? So, would that be restated significantly under Ind GAAP?

Srinivasan Vaidyanathan: Mahrukh, maybe we will have a session about what the Indian GAAP and Ind AS would be.

There are several differences that happen. I'll give you, for example, there's several of them : on the nonperforming loans, in Ind AS, you accrue for interest. In IGAAP, you don't accrue for interest, if the loan is nonperforming. That is an example, actually, right? so there are several differences that happen -- and so -- and the time has elapsed and the profile of the balance sheet, including the interest rate structure of the balance sheet is different now versus what it was at that time. So they are not comparable as such. They are different regulatory regime, different accounting standards, different regulatory regimes and the composition of the balance sheet is different.

Mahrukh Adajania: Correct. But most of the margin decline from pro forma 3.7 to 3.4 is largely excess liquidity and ICRR or...?

Srinivasan Vaidyanathan: See the way you think about it is that the balance sheet is funded with debt, right? There is a level of additional borrowing that has been exercised and that is debt borrowing that has come on. And debt borrowing comes in at a cost that is north of 8% or so. So that's part of how there is a transition post the merger, as part of the merger management, we carried additional, one way to describe this is additional liquidity. But if you think about what is there, where does it reflect? It reflects in the cost of funds. So that's where the cost of funds is higher.

Mahrukh Adajania: Got it. Makes sense. Sir, my next question is on the tax rate. So, given that there were favourable decisions and that's why the tax rate fell, does it normalize to 25% next quarter or...?

Srinivasan Vaidyanathan: Yes, there is this onetime effect if you take it out, whatever is the normal tax rate, if you look at last quarter of the past year, we've been around 25%, 24.9% 25%, thereabouts. That's where we have been. So, there's no difference from that, yes.

Mahrukh Adajania: Okay. And sir, just one last question. Sir, so do you see margins -- how long would it take for margins to come back up to 3.6, 3.65 %, like two to three quarters, would the exit margin for FY '24 be at that level? Or would it take longer?

Srinivasan Vaidyanathan: Ma

hrukh, I think Sashi alluded to say that there are a few things, right? One is the utilization of this to a better mix of loan originations, particularly focused on the retail shift, is something that would bring this to a normal level over a period of time. Then there are other choices to make.

But given that these are -- this funding is the longer-term funding that we've chosen, as part of the merger management, we need to get through by building assets which are of a better yield.

Srinivasan Vaidyanathan: Got it. Thanks. Thank you.

Management: Thank you.

Moderator: Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

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Classification - Internal Kunal Shah: Yes. Thanks for taking the question. Sir firstly, maybe what Sashi highlighted earlier that in

terms of the rundown in the wholesale portfolio of erstwhile HDFC, is it more or less done? Or should we see it getting towards...?

Srinivasan Vaidyanathan: Kunal, if I request you to slightly come closer to mic and speak up, I can hear, but not as great.

Kunal Shah: Yes sorry. Now if it's better. So I was just saying whether this rundown in wholesale portfolio, is it largely done? Because earlier we thought that it can come down to INR80,000 crores - INR90,000 -odd crores from INR1.3 lakh crores. But in the opening remarks, you said like it should largely be done and now we should see the growth coming through in the construction finance portfolio?

Srinivasan Vaidyanathan: See, that is the kind of a direction. If you think about it, it (eHDFC Ltd wholesale book) has got three components. One component is to do with the construction finance, which from a bank positioning, and strategically, would feed into the retail, we want to grow this portfolio, right? We have the risk assessment framework - we want to grow within the framework that we have. The second component of the book is the LRD book, Lease Rental Discounting. That book is also a growth-oriented book and will be assessed and grown. The third component is a small component of a corporate loan book that will be assessed as part of the overall exposure to various corporates that we have, and we'll take a decision about, what is the overall exposure. Yes, the direction, what Sashi alluded to is on the construction finance. And it equally applies to LRD too, but all of this is in the context of overall exposure to corporates that we have.

Kunal Shah: Sure. Got that. And secondly, in terms of other income, was there any one-off maybe pertaining to IGAAP transitioning for HDFC or this is like now the overall fee income trajectory, which we should see, and there is no one-off in this line item now?

Srinivasan Vaidyanathan: So the fee income that you saw, which is INR6,900 crores -- yes, INR6,936 crores, yes, that is a normal level of fees. And if you look at how we have in the past seen, the fee, which is a 65% of the other income is the fees, right? And this fee line has got multiple from asset origination fees to liability product fees to payment transaction type fees to wholesale banking fees to third-party distribution fees.

There are seasonalities - up and down. It happens because there are certain quarters where you see for various considerations, it could be tax considerations, or for origination consideration, it goes up or down. But when you look at it over a period of time, historically, this has been in the mid- to high teens, right? That's where the fee component has moved.

And that's where I will tell you to look at it, is if you look historically, that's the range of which had. This quarter, if it was 19% -odd, again, quarter-to-quarter, there's seasonality. But when you look at a year, two years in the past, it's mid- to high teens.

Moderator: Kunal Shah, sorry to interrupt you. May I request you

to join in the queue again.

Kunal Shah: Sure.

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Classification - Internal Moderator: Thank you. Next question is from the line of Parag Thakkar from Anvil Wealth. Please go ahead.

Parag Thakkar: Yes. So first of all, I would like to congratulate the entire team for bringing up the deposit number to such a good number, about INR1 lakh crores. I think it requires a lot of efforts and you all did it brilliantly, especially in the quarter when it was a merger quarter. And we had this onetime ICRR hit plus this liquidity hit. So overall, I'm very, very happy with the performance.

First of all, I would like to congratulate you all. And second, let me say that 1.92% to 2.1% ROA is possible. The growth rate above 15% or 17%, 18% of the merged entity is also possible, right?

Srinivasan Vaidyanathan: Parag, firstly, thank you for the recognition, and we appreciate. These are the things that keeps us charged and ensures that we drive to the best potential both the market has to offer and the people here are capable of delivering. Thank you for those compliments. Now getting to the question that you asked in terms of the growth rate, see, more than thinking about the forward-looking growth rate, but growth rate is underpinned on two things: one, market rate of growth.

Typically, in the past, we have seen the market rate of growth anywhere from 10% to 12%, depending on the year, you will see rate, the nominal rate of GDP times 1 or 1.1, 10% to 12% is what you will see. And what we have always endeavoured and that is what historically we have delivered is premium on that, right, 5%, 6% thereabouts - the premium on the market rate of

growth is what we delivered. That is where the market share gains come from that additional growth rate over the market that we do. And so now take this to, what is the kind of a market share gain? If you see over a period of a three years, five years, if you see, it's about 400 basis points or thereabouts market share gain, either side of the balance sheet. That's a similar type of market share gain.

And when you gain that, currently, if you look at the recent times, the share in the market -- market share gains is faster than what it was five years ago, meaning the larger distribution and the bigger the scale, the opportunity space for gaining more market share is available, and that is what in the recent times that we have done. So that's -- I want to leave the thought process there. This is how we think, and that's how we are capacitated to drive.

Parag Thakkar: Got it. And sir, you have opened around 2,200 branches in the last two years. So when do they start showing productivity, your opex to asset ratio will -- should come down, right, logically because they will become more productive now in terms of gathering deposits as well as advances?

Srinivasan Vaidyanathan: Yes, sir. It will come over time. But as we keep adding more and more new branches, one weighs the other. But if you look at two years ago branches, very important that you touched upon, if you look at what we opened about two years ago and look at that cohort. And when we look at that cohort of branches about how they are performing, right, our model shows that, it should be breakeven in two years' time and about 90% -plus, slightly above 90% of the branches have broken even in about 20 -21 months. We have another 10% of the branches to breakeven. And when that does, that's the average of, call it, 22 months to 24 months breakeven. So they are all following a scripted model in terms of how they deliver.

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Classification - Internal We are confident that, all of them start to pay back sooner. But we continue to add branches, right? That's why when you see a part of the cost is -- when there's

a credit opportunity, credit

costs as you heard, it's at about 49 basis points. And if you look back, what is the -- how does it -- where does it revert to mean, right? At what level does it revert to mean at some point in time? Call it, 80, 90 basis points or in the pre-mortgage book, we would have said that it is 90, 100 basis points is the mean, where it can revert over a period of time, whenever this normalizes, benign conditions normalize, maybe with the margin, it is more closer to the 80 basis points or something reversion to mean.

But the point to mention to you is that, for every 10 basis points of credit cost opportunity that we take from a timing point of view, right, within the return framework, ROA framework, we take this opportunity on a timing to invest. It's about 1% to 2% of cost to income that gets invested there. And so that is what -- and we are trying to say, as we make those investments, it should start to pay back. So we can now look at those ones which are more than two years old, and those cohorts are performing well. And we're now starting to look at the last 12 months' cohorts, and we will keep tracking them as we go.

Parag Thakkar: Correct. Sir, just one last question because everybody is concerned, now that you have gathered deposits of more than INR1 lakh crores, that concern is gone. But till last quarter, everybody was concerned about how we'll fund. And as Mr. Sashi rightly pointed out in the beginning that, we are not concerned about the funding part now. But going ahead, so for example, we have Credila, we have a stake in HDB Financial Services. Anyway, we have mandated to list right by FY '25.

And that will also unlock some value. And of course, that will provide us some funding also. So just -- can you just throw some light on direction of monetizing the stakes in various entities which we have in order to fund our growth. Because that much pressure will be lesser on the deposit engine, right?

Srinivasan Vaidyanathan: Yes. Your points are well taken, and appropriate timing, those will be considered for either, but of course, at the right kind of value. Yes, your thought process are right and from a timing point of view and from a consideration point of view, it will all depend upon the appropriate valuation.

Moderator: Thank you.

Parag Thakkar: Thanks, sir.

Srinivasan Vaidyanathan: Thanks you.

Moderator: Next Question is from the line of Atul Mehra from Motilal Oswal. Please go ahead.

Atul Mehra: Yes. Hi, good evening and thanks for the opportunity. Sir, I have just one simple question. In terms of the non-retail NPA for HDFC Limited, how much of this was unanticipated at the time of the merger? And how much of it is in terms of already anticipated and built for the -- in the swap ratio that we had. Maybe if you can throw some color on that? Thank you, sir.

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Classification - Internal Srinivasan Vaidyanathan: Okay. Yes. See if you look at the book and look at this book over a period of six quarters, at

least now, it has been on a decline, right, which is -- this book has been assessed from a bank risk assessment perspective. And it has been -- there has been a degrowth that has been happening.

So go back to the June '22 quarter, it was flat. And then from then on, there was a minus 4% or a 5%, then a minus 6% and a minus 7% and so on. And the recent quarter is a minus 6%. So the risk assessment, we want that book. Sashi mentioned it, we want to grow that book.

But before you grow the book, we have to assess in terms of the exposure for kind of facility and so on, so that you are balancing the risk over a period of time. And that's what has happened.

And we are at a stage where we feel comfortable with the quality of the book as we see now with the provisions of approximately what we described, we had provision coverage ra

tio at 74%

or the contingent provisions we have at 66 basis points and it's all post-merger, it's not just premerger, encompassed well. And we are looking at a book that is strongly positioned.

Atul Mehra: Right. Got it, sir. Just one clarification on the same point. Did any of -- in terms of the incremental stress come as a surprise to the internal management like to the bank management?

Or this was something that you had already anticipated while you had worked out the numbers at the time of the merger?

Srinivasan Vaidyanathan: See, the risk assessment is a dynamic risk assessment. That is why on every quarter basis, you see certain things slips and certain things recover and upgrade. And it is a continuous process.

What is true at a point in time is not true at every point in time. It keeps changing.

Atul Mehra: Right. Got it, sir. Thank you and all the best. Thanks.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. Next question is from the line of Suresh Ganapathy from Macquarie. Please go ahead.

Suresh Ganapathy: Yes, hi. I had just two questions. One is Sashi said, 83% to 85% of that INR1.1 trillion is retail deposits, right? So it's about INR85,000 crores is what you mobilize out of INR1.1 trillion. Is that right?

Srinivasan Vaidyanathan: That is right, 83% is retail, yes.

Suresh Ganapathy: Yes. So seen it as INR85,000 crores, which is the effective number absolute, what would be the Basel III LCR quarter-on-quarter addition? The reason why I'm asking is last quarter, it was INR66,000 crores. I want a like-for-like quarter-on-quarter addition for the Basel III retail deposits because this number seems to be way different from this INR85,000 crores. Is it possible to share that number?

Srinivasan Vaidyanathan: I don't have it offhand; we'll look at it and share, but Suresh, just to say that the Basel classification is different, right? And there are different factors that apply in that classification.

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Suresh Ganapathy: Okay, fine. And last question is on the synergy itself, right? Of course, these are very early days.

We have seen pickup -- slight pickup in mortgage growth and also what your subsidiary reported numbers and apparently, the counter share has gone to 70% in your bank branches, HDFC Life.

So just wanted to understand on the qualitative aspects, what are the things where you have already started seeing, not in terms of, as I said, quantifiable, but better traction. It could be anything like cross-selling of loans or products? Anything that you can give us would be great?

Srinivasan Vaidyanathan: Suresh, we are focused on a few things. One, they are our subsidiaries, and we work very closely.

And the engagement level has gone up significantly before the merger and certainly after the merger. And one is about the sales process itself, right, in terms of -- so customer comes in into a branch and works with an RM or an RM visits a customer for various sales processes.

The sales support has significantly enhanced, in terms of making the product features and the product kind of dynamics much more articulate to the customers. So that is the process. And not only at the -- when you go into one of the metro regions, you will find that it is at a top notch. But the process has to be broad-based across the country, which is bigger very well. That's one, right, in terms of getting that.

The second is also getting the -- closing it out from an immediate turnaround time point of view.

That has also been a great deal of a focus to ensure that a customer doesn't need to wait to get the product consummated, you're able to

turn around quite fast. That gives enormous confidence to the RMs to pitch a product to a customer.

Because you know that it gets -- the turnaround time is pretty soon, pretty fast, and the product will be in the hands of the customer that we could consummate. So there have been some of these qualitative or kind of a relationship process that is enhanced and it will pay results as we go along.

Moderator: Thank you. Next question is from the line of Abhishek from HSBC. Please go ahead.

Abhishek: So the first one is, can you just quantify the LCR now on a merged basis. And also how much of the HDFC Limited deposits were retail as per the LCR classification, if you can share that number, it will be useful?

Srinivasan Vaidyanathan: I did give out, the LCR was at an average 121% after absorbing the ICRR for most of the quarter. Your second aspect of the question was to do with the retail component?

Abhishek: Of the HDFC Limited deposits that came in .

Srinivasan Vaidyanathan: I think the retail component was slightly above two third, it's merged into the total organization, there is no particular special tracking that we look at as -- this is HDFC Limited, and this is HDFC Bank kind of thing, it's all part of one.

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Classification - Internal Abhishek: Got it. And in terms of conversion of HDFC Limited loans from the current PLR to repo-linked,

what percentage has been done? And yes, what's the progress on that?

Srinivasan Vaidyanathan: Abhishek, a lot of that has done -- has been done, right? And it's available for the customers who are in the bank -- bank customer could view it in the system on the screen when you log in, you can see -- but yes, it has been done.

Abhishek: I think we had a December deadline for it, right? So we should be -- like the entire book would be on repo now or by December anyway, it would be on repo, the most of it?

Srinivasan Vaidyanathan: Well, no, it is -- the December deadline is for various customer communication and customer assertion and so on and so forth, which we are working through various alternatives to accomplish.

Moderator: Thank you. The next question is from the line of Rajiv Pathak from GeeCee Holdings. Please go ahead.

Rajiv Pathak: So I think in the opening remarks, you alluded to like a 25-bps hit on the margins because of the ICRR and the excess liquidity. So you would have taken approximately say INR1,900 crores a quarter of this hit. So now this will, from next quarter start getting normalized, right? So next quarter, we should be tracking a median of 3.85% and then maybe inch up to 4% over the next 3, 4 quarters? And on the loan growth, do you think a 4.5%, 5% quarterly run rate is possible going forward?

Srinivasan Vaidyanathan: Yes. Rajiv, we don't give forward-looking guidance in terms of what we will grow, but we can point to past and give the kind of how we have done and how we are capacitated to repeat what we have done. But in terms of the margins that you talked about, we did allude to that there is an impact due to the merger management and thereby, funding certain liquidity requirement to transition and come and it has been debt funded.

And so it's not a short-term debt funded to enter and exit. And so that's -- it will take some time.

And even Sashi alluded to that in terms of how we grow it in the form of better mix, higher yielding retail products to grow. And I also mentioned about that and which is how we will approach to get that.

Moderator: Next question is from the line of Saurabh Kumar from JPMorgan. Please go ahead.

Saurabh Kumar: Sir the excess liquidity that you're referring to sir, this will be the difference between LCR and organized...

Moderator: I'm sorry, we again lost your audio.

Saurabh Kumar: Will that be the excess liquidity you will referring to?

Srinivasan Vaidyanathan

an: Saurabh, we lost you, man. If you come back again, we'll hear you.

Moderator: The next question is from the line of Piran Engineer from CLSA.

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Classification - Internal Piran Engineer: Sir, firstly, could you quantify your SLR ratios as of quarter end?

Srinivasan Vaidyanathan: No, we don't say what it is, but we can tell you we carry more than what is required. So there is a mandatory SLR of 18%. We carry more than that. That's part of the -- that's not something that we talk about.

Piran Engineer: Okay. Fair enough. And sir, just secondly, on the branch opening. Just wanted to understand, last 2 quarters have been a bit weaker than expected. Why is it that branch opening is always back ended?

Srinivasan Vaidyanathan: Very, very important and good. See, what happens in the branch process. So it's very important -- you asked a very important thing. For opening up a branch, there are a few things that go into it. One is our marketing team. Second is our credit analytics team: scans the geography in the country to determine our presence and certain other banks' presence in the vicinity and maps it with the potential, potential not just of deposits, but potential of even advances.

There's a third, marketing looks at what is our market share. That means if you look at our distribution market share -- is about 4.5%, which means our branches are 4.5% of country's branches close to getting to be -- close to 5%, but still 4.5% of country's branches. And our deposit market share is slightly above 10%.

So we have a 2x of deposits to distribution market share. So we look at see where we are more, where we are less and what is the vicinity of the catchment area where we can get the deposit concentration into our bank. So this analysis is done. And then there are two other constituents that enter at this stage.

One is our infrastructure team that tries to scout around to see, is there a property available? Our credit analytics both from a liability and asset analytics have given something. Our marketing is proposing a particular location to go for it, our infrastructure team will come and say whether they can get it or not get it.

Because it's the availability space, which is the biggest constraint. So I'm able to articulate that it is not about we know where we want to open the branches. It is the right kind of property of the branch space, that is availability, that is a constraint.

Now once that is done, enters our legal to ensure that the landlord who is leasing the property to us has got the title and it's appropriately there so that we keep up our image that it's a property that somebody is appropriately owning and we are able to lease it. So these are several of these that go in.

And when we go through this process and get there, it gets bunch ed up in the second half than the first half. That's what we have seen over the last 2 years, that we have seen too. As much as we would like it to be even through the year, there are other constraints of availability, and that makes it tough for us to get there.

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Piran Engineer: Okay. Just lastly, in terms of personal loans last couple of quarters, especially this quarter has been a slowdown. Just wanted to understand how much of it is deliberate versus market-led competition?

Srinivasan Vaidyanathan: Yes. I believe the market is quite good and underpenetrated. We have enormous, I think, the preapproved base, and we published that in the May month also where

our pre-approved personal

loan base is pretty high. And the demand is quite good. So no question about that. In terms of the growth rate, we have about 15%, 15.5% year-on-year growth rate.

We expect that -- yes, it has been in the -- sometimes it's been in the 20s, sometimes it has been in the high teens. But in the recent times, it has been in that 15%, 16% range. But we are confident that this is a strategic growth area for us. And the more customers we bring in and more they go through the seasoning process and monitoring process, we get the canvas even more opened up for an opportunity on personal loan.

Moderator: Next question is from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla: Srini, you acquired about INR6.35 lakh crores of liabilities from HDFC Limited. What would be the average cost of those liabilities?

Srinivasan Vaidyanathan: That includes the borrowing you're talking about, right?

Manish Shukla: Yes, borrowings plus deposits, it was INR6.35 lakh crores.

Srinivasan Vaidyanathan: Manish, I will direct you to what we have published. The cost of funds is up by about 80 basis points at an aggregate level. Most of that is driven through the incoming, you'll be able to see that. You'll be able to deduce and work it out. We have published the cost of funds at an

aggregate level.

Manish Shukla: Understood. And of these liabilities, roughly, if you can give an approximation of the maturity over either the next 6 months or 12 months, if you have it? What proportion of these liabilities will mature?

Srinivasan Vaidyanathan: That also, I think HDFC Limited has published as of May or June -- the team can point you to the right place where it is.

Manish Shukla: No, no, we have it as of March, but during June quarter, they added a significant amount of liabilities, which is why I wanted to know as of June. We have it as of March?

Srinivasan Vaidyanathan: They are longer term, Manish.

Moderator: Thank you very much. Ladies and gentlemen, we have come to an end of the time allotted for the call. I would now like to hand the conference over to Mr. Vaidyanathan for closing comments. Over to you, sir.

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Classification - Internal

Classification - Internal Srinivasan Vaidyanathan: Okay. Thank you, Neerav. We appreciate all the participants dialling in today and spending time

with us. We are available through the week or through the next week, whenever you all need any other clarifications we can provide, we'd be happy to. You know the contact of our Investor Relations team, Bhavin Lakhpatwala or others. Please stay in touch and get to us whenever you need to. Thank you. Bye -bye.

Moderator: Thank you very much. On behalf of HDFC Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Oct 2023

(no extractable text — likely a scanned image PDF)

Call: Jan 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

January 23, 2024

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051

Dear Sir /Madam ,

Sub: Transcript of Earnings Call for the third quarter ended December 31 , 2023

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings call with analysts and investors held on January 16 , 2024 , with respect to the financial results of the Bank for the third quarter ended December 31 , 2023, has been made available on the website of the Bank at the link: <https://www.hdfcbank.com/personal/about-us/investor-relations>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

Yours truly,
For HDFC Bank Limited

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HDFC Bank Limited
Q3 FY24 Earnings Conference Call
January 16, 2024

MANAGEMENT : MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL OFFICER – HDFC BANK LIMITED

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Classification - Public Moderator: Ladies and gentlemen, good day and welcome to HDFC Bank Limited's Q3 FY '24 Earnings Conference Call on the financial results presented by the management of HDFC Bank Limited.

As a reminder all participant lines will be in the list en-only mode and there will be an opportunity for you to ask questions, after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing start then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Vaidyanathan, Chief Financial Officer, HDFC Bank. Thank you, and over to you, sir.

Srinivasan Vaidyanathan: Okay. Thank you N eerav. Good evening and a warm welcome to all the participants. There is an earnings presentation deck published on our website. Please refer to it as appropriate. As you get to it, in the meantime, let's cover a brief on the macroeconomic environment that operated during the quarter before we review the earnings. We continued to see healthy domestic economic activity driven by robust government spending, primarily in capital expenditure, improvement in domestic manufacturing and resilient services sector performance.

As you know, the GST collections grew 13% year -on-year.

Manufacturing and services PMI continued to remain in the expansionary zone . On the consumption side , improved consumer demand driven by sector spending resulted in robust growth across various sectors.

RBI kept its rate unchanged at 6.5% and retained its stance unchanged at "withdrawal of accommodation and modestly reduced its inflation forecast in the second half of the year. As we look ahead, the economic environment is poised for strong growth. India's year -on-year GDP growth for FY'24 is estimated at about 7%. And for FY'25, GDP growth rate is expected to be around 6.5%, continuing to be one of the fastest -growing major economies in the world.

Let's go through the key factors of the bank's growth journey. Advances can be referred to on page 7 and 8. Gross advances are at INR 24.7 trillion as of 31st December, reflecting the sequential momentum of INR1.1 trillion or 4.9%. Retail advances grew 3.3% quarter -on-quarter, primarily driven by strong performance in the mortgage business.

Retail mortgage disbursements of INR460 billion during the quarter , grew 18% over prior year. In the CRB business, it continued its strong momentum, registering a quarter -on-quarter growth of 6.7%. Wholesale segment, excluding non -individual loans of eHDF C grew 1.9% sequentially. Non-individual loans of eHDFC aggregated to INR0.99 trillion compared INR1.03 trillion as of last quarter end.

Focus on deposits continued. Looking at Pages 7 and 9, total deposits as of December end amounted to INR22.1 trillion, primarily comprising of retail deposits, which is at 84% of total deposits. Retail deposits, which are the bedrock of this franchise, grew well over INR530 billion or 2.9% during the quarter, while non -retail deposits reduced by INR118 billion quarter -on-quarter resulting in total deposit growth of INR411 billion or 1.9% during the quarter.

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Classification - Public Current account deposits ended the quarter at INR2.6 trillion, registering a growth of INR80 billion or 3.2% sequentially and INR280 billion, 12.3% over prior year. Savings deposits as of December end at INR5.8 trillion grew INR99 billion or 1.7% sequentially and over INR4 40 million or 8.3% year -on-year.

Overall CASA deposits ended the quarter at INR8.4 trillion, resulting in a CASA ratio of 37.7%. Term deposits aggregated to INR13.8 trillion as of December end and grew by INR232 billion or 1.7% during the quarter.

On the distribution footprint

expansion, referring to Page 10, it reflects our branch network, which stood at 8,091 outlets as of December end. Overall, there has been an increase of 908 branches over the last 12 months. During the quarter, we added 146 branches, which is at the rate of 1.6 branches per day.

Payment acceptance points are at 4.8 million, a year -on-year growth of 25% as adoption of Vyapar App built momentum. In CRB, our rural business reach expanded to ~210,000 villages, a growth of ~60,000 villages over last year.

In the customer franchise building, we added 2.2 million new customer liability relationships during the quarter and around 7.4 million relationships so far in the current fiscal year. Our customer base stands at 93 million customers. This provides an opportunity to further engage and deepen our relationships.

In order to position us for greater engagement, we have added ~41,000 employees over the last 12 months and ~10,000 during the quarter.

On cards, we issued 1.6 million new cards in the quarter. Total card base stands at 19.9 million.

You'll see on page 11; balance sheet remains resilient. LCR for the quarter was 110%, capital adequacy ratio was at 18.4%, Tier 1 ratio at 16.8%.

Let's start with net revenues on pages 12 and 13. Net revenues for the quarter were at INR396 billion, which grew by 25.8% over prior year. Net interest income for the quarter, which is 72% of net revenues, and is at INR285 billion, grew by 23.9% over prior year. The core net interest margin for the quarter was at 3.4%, and on an interest earning asset basis, net interest margin for the quarter was at 3.6% and was flat to prior quarter.

Getting to details of other income on Page 15. Total other income at INR111 billion. Fees and commission income, which is almost close to two-third of the other income was at INR69 billion and grew by 15% over prior year. Retail constitutes approximately 94% of fees and commission. FX and derivatives income at INR12 billion was higher by 12% compared to prior year of INR11 billion.

Net trading and mark -to-market income were at INR15 billion for the quarter, prior quarter was at about INR10 billion. Other miscellaneous income of INR15 billion, includes recoveries from written -off accounts and dividends from subsidiaries.

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Classification - Public Referring to Page 16 on operating expenses for the quarter, which were at INR160 billion, an increase of 28% over prior year. Cost -to-income ratio for the quarter was at 40.3%. Cost to assets was at 1.9%.

Coming to the asset quality on Page 17 to 19, the GNPA ratio was at 1.26% compared to 1.34% in prior quarter and 1.23% prior year. Out of the 1.26%, about 15 basis points are standard, but the core GNPA ratio is at 1.11%. However, these are included by us in NPA as one of the other facilities of the borrower is in NPA. Net NPA ratio for the quarter was 0.31%. Prior quarter was at 0.35%.

The slippage ratio for the current quarter is at about INR70 billion or 26 basis points. Last quarter was at about INR78 billion. During the quarter, recoveries and upgrades were INR45 billion. Write -offs in the quarter were at about INR31 billion. There was no sale of NPA accounts during the quarter.

On the provision side, total provisions reported were around INR42 billion. And excluding the contingent provision, it was INR30 billion as against INR29 billion during the prior quarter and INR28 billion for the prior year. As I just mentioned, the total provisions in the current quarter included additional contingent provisions of approximately INR12 billion, and it is pertaining to investments in AIF on a prudent basis. The fair value of AIF is up by INR5 billion, but 100% provisions are being taken at book value.

The core specific loan -loss provisions for the quarter of around INR26 billion as against INR25 billion in

the prior quarter, the provision coverage ratio was at 75%. At the end of current quarter, contingent provisions and floating provisions were approximately INR154 billion, general provisions were INR105 billion.

The total provisions comprising specific floating, contingent and general were about 159% of gross nonperforming loans. This is in addition to security held as collateral in several of the cases. In addition, the bank holds contingent provisions of INR12 billion on a prudent basis to AIF I just mentioned. Floating contingent and general provisions, excluding the contingent provision on AIF were about 105 basis points of gross advances as of December end.

Coming to credit cost ratio, the total annualized credit cost ratio for the quarter, excluding the contingent provisions I just referred to, was at 49 basis points, prior quarter was also at 49 basis points.

Recoveries, which are recorded as miscellaneous income amounted to 13 basis points of gross advances for the quarter as against 16 basis points for the prior quarter. The total credit cost ratio, net of recoveries was at 35 basis points in the current quarter as compared 34 basis points in the prior quarter.

The profit before tax was at INR194 billion, which grew by 19.8% over prior year. After INR15 billion of tax provisions which are no longer required, consequently to the favourable orders received, net profits after tax for the quarter was at INR164 billion, grew by 33.5% over prior year.

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Classification - Public Summaries of subsidiaries can be seen on Pages 21 to 26. On HDB -- to cover on HDB, the quality of the book continues to see sustained improvement with a gross stage 3 of 2.25% as of December against 3.73% as of prior year -end -- prior year. Provision coverage on Stage 3 book stood at 68%. Profit after tax for the quarter ended December increased to INR6.4 billion against INR6 billion for the quarter ended September 30. ROA and ROE annualized for the quarter of December stood at 3.1% and 19.9%, respectively. Earnings per share for the quarter was at INR8.04 and book value per share stands at INR164.6.

Now getting to HDFC Life on an IGAAP basis. The profit after tax for the quarter ended December was at INR3.7 billion, grew 16% year -on-year. India embedded value at INR452 billion improved 20% compared to prior year.

On AMC, quarterly average AUM at INR5.5 trillion grew 24% year -on-year. Profit after tax for the quarter amounted to INR4.9 billion, registering a year -on-year growth of 33%. Earnings per share for the quarter was at INR22.9.

HDFC ERGO on an IGAAP basis: Profit after tax for the quarter ended December was at INR1.3 billion, registering a growth of 6% year -on-year and a solvency ratio at 187% as of December end.

HSL, our securities company, the total reported revenue for the quarter -- total reported net profit for the quarter after tax was INR2.3 billion as against INR2 billion in Q2 '23. Earnings per share in the total was INR144 and book value per share stands at INR1,253.

On ESG, kicking up our CSR commitment, the bank has undertaken multiple projects across India, with an aim to address critical developmental issues such as sustainable livelihood, education, soil and water conservation, and key ratings and awards are in Page 27 for reference.

In summary, our results reflect robustness in growth across various parameters driven by employees passionately working with our customers to execute the business model, which has resulted in an advances growth sequentially of 4.9% and 2.9% sequential momentum in retail deposit growth. Profit after tax for the quarter increased by 33.5% versus prior year, delivering a return on assets in the quarter of about 2% and return on equity of about 15.8%. Earnings per share reported in the quarter is at INR21.6 on a standalone bank level

and INR22.7 at the

consolidated bank level. Book value per share on a stand-alone basis is at INR556, and on a consolidated basis, it is at INR576.

With that, may I request the operator to open up the line for questions, please?

Moderator: Thank you very much. The first question is from the line of Mahruk Adajania from Nuvama. Please go ahead.

Mahruk Adajania: Yes hi, good evening. Sir I have two questions basically, and the first one in general is on deposit growth. So, in general there's a lot of noise around RBI having a discussion with banks on LDR, plus deposit growth has been very, very tight in November and December irrespective of whether you've had a discussion with RBI or not. So how do you view deposit growth and LDR from

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Classification - Public here on? If you could give us some sense, target or guidance on how LDR will pan out, or what LDR are you looking at, in FY '25?

And a related question to that is that if deposit taking remains tight irrespective of the LDR debate, then what would you choose? Would you choose to offer higher rates compared to competition because you ask rate for deposits is on the higher side now? Or would you choose

lower margins if the deposit situation remains like this for say two quarters?

Srinivasan Vaidyanathan: Thank you, Mahruk, for asking. If I miss anything, come back, but let me start with your first one in terms of the deposits and the CD ratio itself, right? It probably addresses a broader point that many of them would have. If you think about -- first of all, any conversations with RBI is confidential, and it is between the regulator and the bank. So we will not be able to talk about any individual conversations or anything else. Keep that aside, your main point is in terms of the rate of growth of deposits as well as on the CD ratio, given where it is. So let's talk about that.

Now on the deposits if you see. Firstly, on the deposits I do want to mention that how we approached it here. At an overall level, our deposits grew by INR411 billion. At an overall level, our deposits were at that level. So INR411 billion. That's the total growth that we had. Within that, if you see the retail deposit growth of INR530 billion and 2.9% during the quarter. However, non-retail deposits reduced by INR118 billion, INR118 billion quarter-on-quarter it reduced, almost 3.3% reduction sequentially in the nonretail deposit. Again, it is a very price sensitive space. We chose not to participate and get that price thing up. And we wanted to focus more and more on granular there. So that's one.

And if you think about the individual component of various deposits, we did -- I talked about the current account growing at 3.2%, and within the current account, the retail current account constitutes 72% and has been growing 3.8% sequentially. And the savings account deposits I'll come back and talk about the savings as such, right? There is something on the savings which is -- we need to see that, right - where you are seeing two things on savings. One, given the rate where we are in peak is the preference for time deposits. Two, in terms of the spend, we are seeing good amount of spend that is happening from the customers. In our own base, we can see 18%, 20% spend from -- on the issuing side -- on the acquiring side from a cards point of view. So people are spending. And one other measure or yardstick, we look at -- aggregate of our card customers, what is the balance that they have, right? If you look at the card ANR versus the deposit against it, almost 5.4x they have, right? That means for every 100 that I have as my card balance outstanding, I have 5.4x that in my savings -- in my deposit account in the bank. So there seems to be more spending room there to go. So that's one. And from a rate cycle point of view. And how do you

overcome that is to get more customers. I talked about 2.2 million customers, 7.4 million. These are the kind of what we have. Now coming to the -- what does it all do from a deposit growth..

Mahruk Adajania: Sir?

Srinivasan Vaidyanathan: Yes. I'm here. Can you hear?

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Classification - Public

Classification - Public Moderator: Yes, Mahruk, now you are audible.

Srinivasan Vaidyanathan: So getting to our CD ratio as such, right? Yes, the LDR, which is the CD ratio that you alluded to, it's a little more than 110% as we close the quarter. Over a period of time, if you see in this quarter, how did we manage the balance sheet. We had INR 1.15 trillion growth in loans, if you see. And we funded that through INR411 billion on deposits. And you had investments going down by about INR485 billion and cash and cash equivalent by about INR96 million. So essentially, we funded that by the balance sheet somewhat coming -- not on the asset side. We got that self-funded through some lower investments. That is what we're seeing in the LCR ratio going down to 110%. So some of the securities came down and cash came down as the ICRR ran down on October. ..

Mahruk Adajania: I'm unable to hear you.

Srinivasan Vaidyanathan: Neerav, can you hear?

Moderator: Yes, sir. Sir, line for Mahruk has dropped. We'll move to the next participant. Next question is from the line of Pranav from Bernstein. Please go ahead.

Pranav Gundlapalle: Hi. Good evening. Thanks for taking the questions.

Srinivasan Vaidyanathan: Good evening.

Pranav Gundlapalle: I think a question, again, related to deposits, the one question. When you think about deposits this quarter instead of say the INR400 billion that you accreted, if you had to double or triple that number, which is the biggest constraint? Is it the LCR, where you are hitting the constraint? Or is it simply the cost of deposits, or is it the lack of good lending opportunities? Where are you seeing the biggest constraint?

Srinivasan Vaidyanathan: Yes. The biggest constraint is in the area of deposits, right? And if you look at what has happened in the system, very important to look at the liquidity in the system, how it has moved. If you see, it has been positive ever since Q1 '20. The system liquidity has been positive since Q1 '20. And now it has moved to a negative territory. All the way, if you look right now, this is the first

quarter -- full quarter - Q3, that it is a negative INR664 billion, right? That's the negative situation in the quarter, system has gone down by, that's the average that you're seeing.

So it is the lack of liquidity in the system. Rightfully so if you look at how RBI has managed, there is no rate change that has happened. But the inflation that spiked four months ago, five months ago, has been managed through liquidity constraints, right, through working on the liquidity side. That is what has happened on a temporary basis.

But over quarter-to-quarter, this is happening, but it is coming after more than three years, three and a half years, right? We are seeing liquidity on the negative, which has been there. If you look at last 10 years, there have been several quarters in the past in '13 or in '15, 2013, 2015, where it has been negative. But this order of magnitude negative is very recent, in the last three months it has become negative. So that deposit is an important ingredient, that is the important

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Classification - Public constraint to growth, right? And we are at it. And within that, I will tell you retail has done reasonable. We would have liked retail to do 50% more, 80% more than where we did. But it is the wholesale, if you see not just a lack of growth, it's a degrowth in the non-retail on the deposit side. That is where it is very price sensitive. We choose

not to participate in that price as much as possible.

We have avoided that so that we can consume some liquidity that we have and at the same time, make progress on the asset side. But that can't continue for long, as you know. LDR ratio is at 110-something. So we do need deposits to be kicking in for the loans to be operating. That also answers what Mahrukh was asking, very similar thing that you're asking. Yes, we do need the deposits to be coming in.

Pranav Gundlapalle: Thanks, Srin.

Srinivasan Vaidyanathan: Thank you very much.

Moderator: Thank you. Next question is from the line of Suresh Ganapathy from Macquarie Research.

Please go ahead.

Suresh Ganapathy: Srin, so just to understand what is going to drive your margins in the future. Because if I look at it this quarter, you have sold off INR50,000 crores, your LCR is at 110%, you can't go below that. There is no excess liquidity assets at 110% LCR, right, and funding costs may remain elevated. So when you are saying I want to go from 3.4% to 3.7%, incremental CASA mobilization is getting to be a challenge.

Term deposit growth is high. Your HDFC Limited borrowings are sitting there at 70-odd percent.

So deposit growth looks difficult to meet your own loan growth requirements. When are you going to replace the eHDFC Limited liabilities. So amidst all these challenges, what will drive your margins, say, from 3.4% to 3.7%, say, over the course of next 18 to 24 months?

Will it be yield on loans? Because it doesn't look like it can go through cost of funds? That's the first question. If you can elaborate the movement in margins. Some indication as to what will be the components and how are you going to manage the eHDFC Limited liability replacement with deposits, point number one?

And the second thing is, 1,500 branches doesn't look like it's happening this year because we have only opened 290 branches -- sorry, 270 this year. So going to fall short of your 1,500 branches target by a wide margin. What is the thought process there? Over to you, Srin.

Srinivasan Vaidyanathan: Okay. Yes, thank you. I'll take the second one first, topically, from a branches point of view, yes, there are a little more than 500, 550 branches in the pipeline as we closed the quarter. And we are targeting somewhere maybe 800 to 1,000 branches or so, right? If we do 1,000 branches, it would be good. A little more than 500, 550 branches are in the pipeline. So that's something on the branches. 1,500 is not something that will happen by March, right? 1,000 is something that is possible. But at this time, we are having about 500 plus in the pipeline, that's 570 more precise in the pipeline.

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Classification - Public

Classification - Public The second aspect of it is in terms of your levers for margin and the deposits as such at total level. If you look at the mix of products that we are having, the mix of products, one of the important levers is the retail mix to be enhanced, right? Retail mix has been continuously coming down. And that is something that will help us to go. And of late, in the recent times, if you see, we haven't had that kind of a market rate of growth on the unsecured as such. Our personal loan

has been growing 2% to 3% over the last two quarters.

So we do have opportunity space there. That's part of our credit kind of process, where periodically, they calibrate up and down. And now we believe that the overall credit both from an NPA point of view and credit cost point of view are at a benign state. And so whatever testing and other things we may do, we are positioned to have a good growth there. That's one. Retail asset growth, particularly the non-mortgage retail asset, where there is a yield, needs to come up. And the mortgage is another big opportunity that we have, both existing customers, where we have almost 4.8 million preapproved

, prequalified databases to go through, which we have done in our existing base who are eligible that we are making offers and talking about it. And also 5.6 million customers who already have somewhere we are targeting that. So that's -- in terms of the retail mix needs to go up, that is an enhancer for the margin. And to some extent, it picks up on the ROA too, right? So that's an important mix. That's not what we have seen in recent times. In the recent times, the wholesale growth has been overwhelming the retail loan growth. We do need to reverse that. That's part of the process in terms of what we are going through.

Now getting to what are the other levers, which you also mentioned, but there are headwinds on that, right, CASA ratio. We are at 37.7%. Even before merger, we were 42%. Over a long period of time, we were 42%, 43% thereabouts. We are confident of getting the CASA ratio back up. There are two aspects to the CASA ratio. One is the customer spending will abate at some point in time.

And the second thing is that we are getting new customers. That is why it is important to get new customers, 2.2 million new customer liability relationships were brought in, in this quarter, 7.4 million over the nine-month period. It is important to bring new customers and get them to a maturity. So that is an important thing that we are working on to get that from a CASA ratio to go back up.

And also we're at the rate cycle -- the rates haven't moved for several quarters now. And by all accounts, we are at the peak of the rate cycle. And the deposit repricing that needs to happen in a quarter or so should be done, because the rate cycle started in May '22, and then the CASA should be back to its normal growth, right? So that's something on the CASA ratio. We are waiting for that to come.

The other aspect that you said, borrowings, whether the borrowings can -- how do you replace the borrowings with deposits? Yes, 8% of our balance sheet was borrowing, now 21% is borrowings. We do need to change that from -- to deposit funding. But one other aspect that we have started to pursue even in this quarter is that the borrowings can continue as borrowing. So

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The economics of that are like a deposit, not like a CASA deposit but like a time deposit, right, slightly better than a time deposit because you obviate the PSLC cost because the affordable housing is tagged against it. We do have almost INR1 trillion of affordable housing in our assets stable that we can stack to. The deposit insurance cost is obviated. And so there are some benefits that come. So it equates to slightly better than our time deposits at an overall level. But that doesn't mean we do not need CASA, but there are other opportunities on the borrowings, too.

Suresh Ganapathy: Okay. And just one final question on cost saving. You guys have said you will bring down from 40% to 35% over the course of next five years. I know it's a long journey, the fact that you're opening lower number of branches. Can we get to see some benefits, not quantifying, but some benefits in that reduction next year FY'25? At least there has to be a journey in that 500-basis point reduction, right? So we were at 40.4 -- I don't know, last quarter, and we are at 40.2 or something like that, I mean, around the same range. So, do you think it can really come down in the next one year or so? Sorry. Thanks. It's the last question.

Srinivasan Va idyanathan: We are with you, Suresh, on that. Yes, we do expect normally -- while we don't give a forward-looking outlook, but on the cost to income, we have always said that we want to take it down to the mid-30s. And that we will progressively take it down

on not just towards the back end, but

there should be an expectation that the cost to income should be improving. And it is a function of certain efficiencies through better digital offering, that's one.

Several things that are in the pipeline on technology rationalization is one that is a good tailwind that should account for it. And the second thing is that as we work on some of these margins, which is both the asset mix, the CASA mix and the borrowings mix moving towards deposits,

as we work towards that, the numerator is also an important contributor to get to that.

Suresh Ganapathy: Okay. Thank you so much.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. Next question is from the line of Rahul Jain from Goldman Sachs. Please go ahead.

Rahul Jain: Yes. Thanks. Good evening, Srini. Two, three questions. Number one, the whole debate between LDR and LCR. For you as a management team, what is it that you're focusing on? I know you've put out a certain trajectory for LDR, but right now the LCR has kind of come off to 110% as the previous participant pointed out, 110%, clearly, there's not really much room for it to go down. So what really is a key number to focus on for you all?

Srinivasan Vaidyanathan: Okay. Listen, both are important. It's like you need to walk and chew gum, right? You need to do both, which means LCR, as we have said before that we'd like to operate between 110% to 120%. We were at several quarters, 113%, 114%, 115% thereabouts. Then for a quarter, we went up, and then we have consumed -- as we see in this quarter, we have consumed, right? So it is important around that level to keep that level of cushion to some extent, right? That's one on the LCR.

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Classification - Public LDR is important, right? We do want to ensure that the mix of funding moves more towards deposits. So LDR is important from that sense. And if you see, currently 110%. Then if you look at where can this go. Where can this LDR go? You look at our LDR prior to merger, it's very important, right, a recent discussion that is developing. Prior to merger, our LDR was at 85%, right? Then now it's at 110%. And if you remove the merger effect of the assets and the deposits on this, the LDR is more like a 89%, right.

And if you look at our historical range of what the bank has operated LDR over a long period of time, around that 85%, 87% that's kind of a range that's where we operated, historically, if you think about our LDR, that's where we operated. So the -- and today, if you strip out the merger effect, it's about 89%. So essentially, the LDR is a function of what has happened on the merger. It's about two quarters run on the merger - we have run through two quarters, and we do have a kind of a path where we do want to replace borrowings with deposits and grow further loans with the deposits. That's the kind of a thought process. And so you should expect that the LDR to go down progressively over several quarters to come.

Rahul Jain: Yes. The reason why I asked this question also, Srini, is because we've bottomed out on LCR and we can't really go down any further. LDR is clearly elevated. So clearly, loan growth outlook and the visibility there on is looking a little difficult given the environment that we are in. So what do we prioritize, growth or margins? Regardless, growth and clearly, the loan growth has to come off for us to start and bringing these ratios to a more acceptable range. Or if you have to grow, then margins really takes a knock because you'll have to offer the increase in deposit rates further. So how are you trying to balance these two?

Srinivasan Vaidyanathan: Okay. So I do want to one thing mention, right. We are not caught up, and we are not into one level of rate of growth as such, right. If you look at our rate of growth, there are sometimes we

are slower, sometimes we are faster. But all we have done is that over a period of time, we have always doubled in every four to five years. That's what we have done, right. quarter or even a year can be different.

But over a period of time, that is what we have done. So growth is not something that we are caught up with saying this is the rate of growth that we want. Over a period of time, we want to because that's the investment we have done, we need to harvest returns on those.

So we are focused on returns. So that takes you to the margin, right, would you focus on margin or growth. We certainly do not want growth for the sake of growth. If you look at our wholesale growth, we had 1.9% in the quarter. Enough demand was there. There were several banks undercutting, and we'll let that move on, right. We don't need to be participating if it does not give returns, we don't want to be there. And so that's something that we are focused on. We want to do the products that are going to give us the returns.

Now on the margin, very important that you talked about the margin. Margin is important, but the first passing is about the returns. What does it give from an overall ROA point of view. That's first part. Then it comes, because when you do a product pricing or a product choice to do to a customer, you're looking at returns more than the margins as such. Margins to the extent that the

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Classification - Public mix appropriately gets calibrated, the margins -- for us, we have never had this margin conversation because our mix has been predominantly retail and the retail rate of growth over a decade, if you see, has always outstripped the wholesale. So there was not a necessity. There was no conversation about any margin because it comes with a hefty margin. And it comes with a credit cost also. And our credit cost is at a very benign state of sub -50 basis points right now. And if you look at our credit cost, adjusted for the mortgages, you'll see that the mortgages because of the denominator in the lower loss rates, when credit cost, what does the mean on the credit cost, call it 70, 80 basis points that's the mean and pre-mortgage merger 100, 110 basis points.

So what we -- due to the mix change that has impacted the margin that has come through in the credit cost line. So certainly, we are focused on profitable growth. But I hope that answers you in some manner that you are trying to seek.

Rahul Jain: Just two small questions. The branches, you said this year maybe 1,000. So is this a new trajectory that we're looking at? Or you'll go back to 1,500 or thereabouts in the following years?

Srinivasan Vaidyanathan: See, again, I'll tell you one other constraint that we are also working through on the branches with this URC. This URC is something that is required, right. The mix between the unbanked rural centre and so on. Selecting that availability. What is that URC that is available so that we are able to get that mix appropriately. So there is a targeted percentage with a regulatory target on URC that is more internally we would do, but we need to have a mix between the URC and the non-URC so that we can grow progressively across in a balanced manner within the regulatory approval. So that is what it is.

So if you look at whether we go back to 1,500, I think Sashi has alluded to that over a period of time, we do want to get to the 13,000, 14,000 type of branches, not just for the sake of branches. It is the geographical presence that we can have so we can tap into the pockets of both the deposits and lending opportunity in that area. So it's not just deposit, deposits and also the lending opportunity in the area. So we would be there, but there is no hard kind of -- we're not going to push ahead with only one number. But currently, this is what we are seeing.

Rahul Jain:

Just a small question on the infra bonds. So you raised some money in the last quarter, I think INR7,000 crores, INR7,500 crores. Do you have eligible assets even sitting on the balance sheet against which you can keep raising this infra bonds? And how much would that be?

Srinivasan Vaidyanathan: We have eligible assets close to INR1 trillion, as I mentioned. So that's part of -- which is -- it can have a qualification in the sense that you may have PSL benefits because we will take it off the top line to the extent that you're able to tag the bond and the affordable housing. And you will get the other benefits that I mentioned, that the cost on the PSLC or the deposit insurance, those things are obviated.

But still, any day, we need CASA. But to the extent that there are time deposits, this economics is better than even -- slightly better than the time deposits due to these. Yes, there are enough asset room, if that's the question, do we have enough assets on the asset side to face off against these infra bonds, yes.

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Classification - Public Rahul Jain: Thank you so much, Srini.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. Next question is from the line of Kunal Shah from Citi Group. Please go ahead.

Kunal Shah: So given that the overall liquidity is tight plus the deposit traction all said and done this quarter has not been very encouraging. So when do we see in terms of tweaking the rates, given that now at least the repo rates have sustained, would we ever look at raising deposit rates beyond 7.2% just to make sure that we are on our target to get the deposits and at least sustain the growth momentum even on the asset side.

So will there be a thought -- no doubt, you have earlier said that we will look at branch expansion that's going pretty slow. Even in terms of like activation of the field force still not that great response. So at what time do we look at tweaking the rates just to ensure the deposit traction is what we were envisaging earlier, yes?

Srinivasan Vaidyanathan: Okay. See, deposit pricing is not a tool that we are having in our sales and relationship process, which means it is not a driver. The conversation would never go to say, I'm the best price to deposits, come here. It's not a conversation because that's how -- if you look at some of the comparative pricing on our deposits with our peers, we are more or less in that line, right, with our top peers, that's the kind of a pricing that we are positioned to. So we're not trying to differentiate on the pricing. We're trying to differentiate on other offering features. That's one on that.

Second, in terms of the market share, you touched upon the growth rate and the market share. I do want to allude to say that we do believe that on an incremental basis, 18%, 20% market share, we do garner, right. That's part of the -- whatever is the size that we have got, whatever is the level at which we are growing, we continue to maintain that superior rate of growth to the market, gaining market share on an incremental basis, getting that in the high teens to 20 type of incremental market share. Rates are not a play. We are not -- and that is part of the reason why the non-retail deposits degrow by 3.3% in this quarter.

Kunal Shah: Yes. Okay. And secondly, with respect to tax write-back. So last time when there was a write-back, you indicated that maybe it might not repeat and we should see it normalizing towards 25-odd percent. But that benefit is still continuing. So if you can highlight in terms of, is it expected to continue what is actually leading to this kind of -- or maybe a lower tax rate, I would say? Or maybe this is like the investment gains, which have been there. It's on that count if you can just highlight that?

Srinivasan Vaidyanathan: The tax benefits that we booked in ar

e consequent to two things. One, there were certain favourable orders received relating to e-HDFC Limited past assessment. So that's one. And two, there were some favourable orders received relating to the bank for the past year. So that is based on those assessments, you have determined that certain provisions are no longer required. That's -- and it depends on time to time.

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Kunal Shah: Okay. So all orders which have been received, which have been favourable, they are more or less accounted for now?

Srinivasan Vaidyanathan: More or less. Yes.

Kunal Shah: Okay. And lastly, if you can highlight in terms of the maturity of the borrowing, eHDFC Limited borrowing over next one year, which is falling due, okay? And any quarter, we would see any kind of volatility in that maturity?

Srinivasan Vaidyanathan: Maturity profile is 20,000, 25,000. There is no big maturity at least over the next two to four quarters. It is evenly there. There's not a spike of INR1 trillion going away in a quarter or INR0.5 trillion going away in a quarter that kind of profile. And I think annually, we do publish the profile, and you should soon get to see that, yes.

Kunal Shah: Okay. Good. Thank you.

Moderator: Thank you. Next question is from the line of Chintan Joshi from Bernstein. Please go ahead.

Chintan Joshi: Thank you. Can you hear me?

Srinivasan Vaidyanathan: Yes, Chintan. Go ahead, please.

Chintan Joshi: Hi, Srini. So can I go back to the LD ratio discussion? What I'm hearing from you is that it does need to come down, but also growth will remain intact. So I'm trying to square the circle, how - like the only way LD ratios improves is if you grow deposits faster than lending?

Is that what we should expect by FY '25? And the pace of that, if you can talk about -- do you have some target in mind? Or do you look at market conditions and do your best? How should we think about this?

Srinivasan Vaidyanathan: Thank you. One thing I do want to mention is that the growth rate -- sustainability of the growth rate is not irrespective of what the CD ratio is. CD ratio has to improve, right? As I mentioned, typically, we have been in that mid-80s to high 80s. The merger took it to where it is today, past the 100. And over a period of time, we do need to bring it down.

So we can't keep the CD ratio to be growing all the time. That's not a proposition that we are envisaging. So that takes the second part of what you asked in terms of the deposit growth and how you should think about the rate of growth.

Yes, we do envisage that the deposit rate of growth should outpace the loan rate of growth. And for the CD ratio to progressively come in and for the economics to work, the deposit rate of growth should be at least 300, 400 basis points higher than the loan growth, only then the economics will work better. So yes, that is kind of a thought process that we have.

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Classification - Public Chintan Joshi: Sir, the other question I have is on borrowings and debt securities. If I look at eHDFC

Limited

balance sheet as of FY '23, there was about 1.7 trillion that was going to mature over the next year as of FY '23. However, we have not seen that mature. If anything, borrowings have gone higher today than the pro forma combined FY '23 balance sheets.

Is this -- what was the thinking behind this? Because one way of looking at this is there was an opportunity to reduce borrowing, but it was not taken because there was profitability

le lending

growth out there. Is that the way you thought about it? Or if you can explain that thinking would be helpful?

Srinivasan Vaidyanathan: Okay. See, in this time period, now two quarters have gone by after the merger. And the borrowings have remained or actually gone up in this quarter by almost INR209 billion it has gone up, out of which about 7,500 is infra bonds, which economics work well, we have taken that. The rest are either market borrowings or other treasury -related actions.

So it is only one item which is the infra bond, which is the borrowing as such that has gone up.

The rest are market -related activities, which are there, right, in that borrowing. The other aspect of it is that should you expect this to go down at the maturity? I think another person was asking about the maturity itself over the next several quarters.

Yes, there are maturities coming, and we envisage to the extent that economics work, we will have a similar replacement. If not, it has to be replaced by deposits. And that is part of how the rate of growth of deposits need to outpace the loan growth. Otherwise, we will not be able to keep up with the loan rate of growth.

Chintan Joshi: Understood. And finally, on the CRB business, which is growing really fast. What is the overall lending yield of the CRB loan book so that we can understand what is the mix impact on the overall lending yield from the CRB given that it's growing so fast?

Srinivasan Vaidyanathan: Okay. The CRB yield comes in about between 9% to 11%, depending on product. There are certain products that go above that. There are certain products which are around that 8.5%, 9%.

But on an average, it's slightly above 9% type of yield at an aggregate level.

But there are several products, as you know, within the CRB segment from business banking to emerging corporates to agriculture loans to SLI loans to the commercial vehicle and so on and so forth. So it's a different price point. But on an aggregate average, if you look at it, it's north of 9%.

Chintan Joshi: So it is in line with the overall group lending yields. It's not above the average of the balance sheet, it is in line with it.

Srinivasan Vaidyanathan: It's a good assumption. Yes, it is not above the average. It is at that level, not dragging the overall average down as such in any meaningful manner, yes.

Chintan Joshi: Understood. Thank you.

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Classification - Public

Classification - Public Moderator: Thank you. Next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Hi, good evening. Thanks for the opportunity. Srin, two, three quick questions. One is on the Bandhan Bank stake sale that has happened in this quarter. So if you can quantify the gains on the sale, how much has flown in this quarter from that?

Srinivasan Vaidyanathan: See, I talked about that 15 billion or so on the overall, I mentioned. So not necessarily -- I won't talk about any individual particular item, right, but from an overall point of view, I did talk about the market -to-market and trading treasury investment portfolio income 14.7 billion, 15 billion, right, which is there.

Nitin Aggarwal: Right. So this is included in the total, but you're not like giving the separate number for that?

Srinivasan Vaidyanathan: It is included. Yes.

Nitin Aggarwal: Okay. And secondly, on the Credila, have you booked the gains in this quarter or it will come in 4Q? Like how are you looking at that?

Srinivasan Vaidyanathan: Okay. No, Credila, nothing has been booked in the December quarter. We are waiting for regulatory clearance before the transactions can close. So we are working through -- or the potential purchaser is working through certain things to provide. And we are hopeful to close soon, but there is no particular concrete time that I can give, right? They have to go

through

approval process before it can conclude.

Nitin Aggarwal: Okay. And lastly, on contingent provisions. This quarter, we have made INR1,200 -odd crores of contingent. So any particular levels you want to reach or is it just like the flowback of the excess gains that we are having right now that we are using that? So any thoughts around how do we look at this contingent provision number?

Srinivasan Vaidyanathan: Okay. See, the contingent provision that we built in the quarter, 12.2 billion, we attributed on a

prudent basis towards the AIF, right? There is RBI regulation to account for and look at AIF in a specific manner. So we took the chance to say on a prudent basis, we need to provide, and so we did build a contingent provision against this.

As I mentioned, the fair value of the AIF is almost 5 billion more than the carrying book value, but we made 100% provision on a prudent basis. So again, we evaluate this quarter -to-quarter. But that's the process, that's a regimented process to look at its quarter -to-quarter. There is no such targeted level of build or release that we have. We will assess it every quarter and certainly at every year -end.

Nitin Aggarwal: Right. Okay. Thanks so much Srini. Thanks a lot.

Moderator: Thank you. Next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Yes, hi. Good evening, Srinivasan. Thanks for the opportunity.

Srinivasan Vaidyanathan: Good evening, Abhishek.

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Classification - Public Abhishek Murarka: Okay. So one question is on the unsecured loans. So after the RBI circular on risk-weighted

assets and all, so the nudge that has been happening on NBFCs as well. What is your approach?

So part one, what is your approach to unsecured loans, especially personal loans? Will that slow down?

If yes, when you were talking earlier about bringing up the yield on non-mortgage retail assets, how does that affect that strategy? And second, on NBFCs, again, what's the approach? Will you limit the percentage mix? Or will you sort of limit the absolute exposure? How do you plan to move ahead?

Srinivasan Vaidyanathan: Okay. Yes. Let's look at the retail unsecured that you alluded to. See, the retail unsecured is extremely profitable product, and we like it. And it has to go through our credit filter. And we've been in that for a long time. And one of the best scorecards we believe we have that. If you look at the delinquency profile on that, it's fantastic.

The delinquency profile, the NPA profile is better than the secured book that we have. So we like it. There are times it gets calibrated up and down, and we are confident of growing the book. And let me tell you one important thing on that unsecured as such. Premerger, on the retail book, our unsecured component was 41%. Post-merger, it is about 22%. So if anything, we created more kind of a runway for faster growth.

But when we say faster growth, we are not talking about something that is a 25%, 30% thereabouts kind of rate of growth. For us, faster growth is to go into high teens to 20% type of rate of growth. That's what we have had in the past. That's why I'm more than telling you what we will do and trying to tell you what we have done. And we think that, that is what we will do rather than do something new about it. So we have enough headroom, enough runway and opportunity on that. It's an extremely profitable product. So that's something to keep in mind on the unsecured.

NBFC, see, our approach to NBFC has always been one for lending, we do want that. For corporate houses, part of various NBFCs affiliated to corporate houses, something that we work with because that's a much broader relationship across the corporate group that we have. So that is quite profitable, and we like it and we work through that.

One thing that I do want

to mention is that, yes, the risk weights do add in terms of the capital that is required for it. Irrespective of that, we look at the profitability. They are quite highly profitable at the enhanced risk weight, both ROA or ROE that you see, and we like to go with that.

Abhishek Murarka: So there will be no sort of approach to limit the, let's say, percentage of overall exposure to NBFCs in light of whatever nudges have come from the regulator, or caution, let's say, that would have come?

Srinivasan Vaidyanathan: Correct. The way to think about it is that where it is to be directed lending, which is priority sector is number one preference, right? And by the way, some of our NBFCs are government sponsored NBFCs, right? So -- and they're not into consumer lending at all. And so I do want to distinguish. Of course, the circular does not distinguish between different categories of NBFCs.

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which is lower than the bank -targeted segmentation for lending, no. NBFCs are also government -sponsored, government -linked NBFCs are there, where we have a good relationship with them.

Abhishek Murarka: Okay. And just another one on the cross -sell. At the time of the merger, we were talking about how you benefit from cross selling your products to the customers who are coming to the fold.

How do we track that? And when do we start seeing those cross -sell benefits, either in terms of high retail fee or can you start disclosing some sort of cross -sell metrics? So how do we track whether that's really accruing or it's taking time?

Srinivasan Vaidyanathan: Very good. Thanks, you touched upon that. I'll tell you two, three things that we will start to publish and show it to you. One is that we said we want savings accounts. That's one, because we want to offer banking, not just a mortgage product. So if you look at one month, the last month, the December -- In October, we showed to the broader world in terms of how various digital approach that we have taken to offering this bundling of products. Savings account is an important part of the product suite that we offer.

Among the disbursements that we had, in one month, if you take 40,000 -plus disbursements, first disbursements because I'm not counting for the disbursements which are on -going, right, second instalment, third instalment, leave that to the side. On the first disbursements that have happened in the month -- in December, roughly half -half is, existing to bank and new to bank, half -half of that. Among that half, which is the new to bank, almost 65% of them we have penetrated with the savings deposit.

So we've gone with the 65% penetration to start with, I'm talking about the December, where we are. And that penetration comes with the deposit balance, at least one to two months of EMI, which is INR30,000 to INR35,000 on an average we have taken from the customer base where we have opened. So we'll publish this. So one is savings account as a product and what is the penetration on that. That's number one. And I give you an example of 65% of new to bank, first disbursements, we have had that, and we want to take it to 90, 95, 99.

We'll keep tracking and reporting that. The second one is the credit cards. We're just beginning on that one, we will report on that as a product in terms of how we are offering credit cards. The third is consumer durable. Consumer durable, again, one is the offer. The second one is a drawdown because the customer will not -- we will make that offer on the consumer durable, customer will drawdown a month or a quarter or six months later as the house is ready for the person to move in.

So -- and then over a period of time, we will bring in the other products. So insurance also is something that we'll start

to disclose, to see the penetration level of insurance. The things like the demat account and the mutual funds and those sorts of things, over a period of time, we will come with that. But there are nine products that we will come up with, out of which three are digitally enabled. The rest will be soon, and we will start to report them and show it to you.

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Classification - Public Abhishek Murarka: Sure. Thanks. Srinivasan, had to get some more granularity because the value that will help us figure

out how the cross -sell effort is going. So, thanks for taking that.

Srinivasan Vaidyanathan: Thank you. We will put up a page or two from next time and we will have that.

Abhishek Murarka: Sure. Thank you.

Moderator: Thank you. Next question is from the line of Anand Bhavnani from WhiteOak Capital.

Anand Bhavnani: Thank you for the opportunity. I have a question on the consumer behaviour. This has more to do with seeing revolve rates on credit card being much lower than pre -COVID levels. Similarly, on the savings account side, the growth rate is weak. So, can one surmise that because of good apps available on mobile devices, consumers are now being very active and not giving in to the inertia on both the asset side, the credit cards, they are not revolving.

They are just taking personal loan or something? And similarly on the liability side, the slot consumers are moving away their deposits to an account where they're getting 7%, 8%, whereas we are giving, let's say, 3.5%. So have you done any behavioural analysis on both assets as well as liability side to see how across the broad spectrum of your customers, is there any data to prove through these thesis?

Srinivasan Vaidyanathan: See, in terms of the customer's -- you touched upon the revolver. Thank you for touching upon that. See, the revolvers haven't grown. If anything, actually, in this quarter, we do -- we did see a slight reduction in revolver percentage, right? We're not seeing that. And in some other questions, I would allude to how card bunch of customers. Customers who have credit cards and savings accounts with us and you see their balances are five times, little more than five times -- 5.4 times their balances is what they have in the deposit accounts.

So that is also healthy. It was less than four, three years ago. Now it is 5.4. So it has grown. That's the second thing. The third thing in terms of whether some of the digital properties are enabling, less use of card revolving and alternatives. See, in our customer segment, that's not something that we are seeing because it is -- which is more of -- the segment that we have chosen and working on is little more higher rate.

That means little higher score customers. I think we have talked about the revolver one to three months and four to six months and six -plus months -- call it, six -plus months revolvers. Across these three revolving categories, we are not seeing pickup happening. So that's part of the customer base, and that's part of the cash that they have, or some of them have got impacted through the COVID and come out of it and not survived and come through it and not indulging in any of these things.

And some of them who do, take it for a short period of time, right? So that's the one to three months category if you see they take for some short personal loan or they don't want a two -year or a three -year or whatever the tenor , personal loan, they want it for a short period of time, they don't mind taking it. So we do think that the category is very attractive and very nascent , because you know that there are only kind of 90 million -100 million credit cards in this country.

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room to go. The

other aspect is that whether alternative payments UPI or anything, those kind of things or direct debit system, that would only increase the balances in the savings account. So somebody who is using UPI previously was drawing down cash and paying through.

So the cash was going out of the bank . Now the cash is in the bank account and is using UPI. So it only enhances -- anybody using UPI only enhances balances in the account. So there are pluses and minuses across all of these. But at the end of the day, the customer segmentation that we are working with, we're confident that, that would bring in the balances and grow , as the economy grows.

Anand Bhavnani: Sure. But the question is whether the minuses are overwhelming the pluses because the account opening these days is less like an hour's affair and if a bank is offering 7%, 8%, and we are seeing these banks which are offering 7%, 8% are seeing very high growth rates on their liability side. So is it that the smart customers of yours are now using these properties and it's a structural change and hence, it will be a headwind to our deposit accretion targets?

Srinivasan Vaidyanathan: Okay. But there are two -- again two things I want to respond to. One is the -- if you look at us from a market share point of view, we have been gaining market share . Our market share is at about 10.5%, and it continues to grow. On an incremental basis, I think I alluded to our assessment is 18% to 20%. So that's -- we are keeping up with that. Yes, there may be some customers who go. But from our rate offering point of view, we offer -- you're talking about the savings account rate. But on a time savings account rate is what we offer, 3%, 3.5%.

On the term deposit, we are more or less in line with the competition, significant peers. If you see, we are more or less in line with that on a term deposit rate point of view. From a savings account, yes, we do continue to -- that doesn't mean somebody else cannot grow. We are growing. And think about it, still the public sector banks from where all of the private sector banks, including the ones that you alluded to offering 7% or 8% on savings account, those are all in the private sector segment.

And the market share -- is coming from the public sector , because all the private sector banks are gaining market share.

Anand Bhavnani: Yes. Thank you. And all the best.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Vaidyanathan for closing comments. Over to you, sir.

Srinivasan Vaidyanathan: Okay. Thank you, Nee rav. Thank you all for participating. We appreciate you dialling in at this hour. If any more questions, comments, or clarifications are required, please feel free to reach out to us. Our Investor Relations team would be happy to connect directly to you or with me, and we can have a conversation. Thank you. Bye -bye.

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Classification - Public Moderator: Thank you very much. On behalf of HDFC Bank Limited, that concludes this conference.

Thank
you for joining us. You may now disconnect your lines. Thank you.

Call: Apr 2024

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

April 26, 2024

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051

Dear Sirs,

Sub: Transcript of Earnings Call for the year ended March 31, 2024

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings call with analysts and investors held on April 20, 2024, with respect to the financial results of the Bank for the year ended March 31, 2024, has been made available on the website of the Bank at the link: <https://www.hdfcbank.com/personal/about-us/investor-relations>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

Yours truly,
For HDFC Bank Limited

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"HDFC Bank Limited Earnings Call"
April 20, 2024

MANAGEMENT : MR. SASHI DHAR JAGDISHAN – MANAGING DIRECTOR
& CHIEF EXECUTIVE OFFICER – HDFC BANK
LIMITED

MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
OFFICER – HDFC BANK LIMITED
BHAVIN LAKHPATWALA - EXECUTIVE VICE
PRESIDENT – HDFC BANK LIMITED

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Classification - Public Moderator: Ladies and gentlemen, good evening, and welcome to HDFC Bank Limited 's Q4 FY '24 Earnings Conference Call on the Financial Results presented by the Management of HDFC Bank. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after a brief commentary b y the Management . Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Srinivasan Va idyanathan, Chief Financial Officer, HDFC Bank. Thank you. And over to you, sir.

Srinivasan Vaidyanathan : Thank you very much. Good evening, and a warm welcome to all the participants. You would see some earnings presentation deck posted. Kindly download t hem as appropriate or you could refer it online and use that. We have Sashi Jagdishan, our CEO and MD, with us today. We will have opening remarks. And soon after that, we'll get to the Q&A and take you on from there in terms of any other clarifications or questions that you have.

With that, welcome, Sashi, and please take it over.

Sashidhar Jagdishan : Thank you, Srini, and thank you all for joining this call. Yes, it's quite a while since I joined an Earnings Call . So I may be a bit rusty, but do pardon m e for that. Ever since the famous , or some of you may call it infamous , Q3 Earnings Call Results , we have received a lot of feedbac k from several of you.

With all humility, we have incorporated most of the feedback, so we are grateful for that. Thank you for that. I may have mentioned in the past, maybe in the last investor conference that I came on, it's important to reiterate that this is a completely new organization. The merger with a nonbank financial entity, the eHDFC Limited and the bank has landed a certain set of day one financials, and so there is a new starting point across all metri cs. This is a new organization.

So it will be -- we have to, not only you but even us, we have to desist from having any comparisons vis -a-vis the stand -alone financ ials of either the bank or even the erstwhile HDFC Limited. We are now 9 months into the merger. The core metrics have remained stable since the time we merged with HDFC Limited. What does this demonstrate? This demonstrates that the underlying resiliency and the energy of the stand -alone franchise of the bank is very stable. And this is what something that all of us have witnessed over the last 30 years.

So this should be a bit of a positive for all of us, whether inside or externally , that the resiliency of institution continues despite a very adverse macro condition. What's the focus that we are now focusing internally? The key focus over the medium to long term, the medium as I define it between 2 and 3 years, is to focus on improving our profitability metrics defined as the ROAs and the earnings per share. To achieve that, what is key is to ensure the most important focus is the sustainability of our deposit s franchise, especiall y the retail deposit s franchise.

And that's going to be achieved not becau se of any shortcuts that we can take. Yes, there is a price environment. There's a market intensity. There's a competitive environment that is there. That's a reality. But how do we ensure that we are on par with some of the key players in the market and we don't try and overprice ourselves or don't bid for some of these deposits, that is HDFC Bank Limited

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Classification - Public the strength of the franchise. We have done that and probably as we go along, and that will be reflected in some of the financial metrics of the organization. The key to t his sustainable momentum is

our enhanced customer engagements and elevated service -first culture.

We are not saying that after 30 years, obviously, there's a reason why we have reached this kind of excellence in this deposit mobilization franchise, but we have realized that if you have to be even better, the only way is to elevate the customer service -first culture and we have a lot of measurement and monitoring mechanism in place internally for that. So the intensity of the same is going to be heightened and that's what we're driving and that's somewhere reflected even in this tighter environment that we have seen. We will continue to invest in distribu tion, in people

and technology.

In fact, our operating leverage will be harnessed over a period of time to using enhanced tech and digital infrastructure. It's not something new, but we have always emphasized not just now, but for a long period of time that we are not a quantity player, whether for liabilities or whether for assets as well. Our focus is on quality, which is a balance between risk and margins. In several cases and several points of time, we have demonstrated that whenever there are any adverse or early indicators on the risk side, we tend to grow slow or if there is heightened competition or irrational competition, both on the liabilities and assets side, we are happy to give up that kind of a share.

So we're happy to grow slow. These kinds of gyrations will be there, not just now but even in the future. And so these are the kind of adjustments that we tend to do. But we have seen in the past that hardball price-based strategy is not a sustainable strategy. This will also pass. And I guess, over a period of time, people who continue to stay and not vacate the place will survive and will thrive as well.

I know a lot of you are very eager to get some guidance and outlook on some of the metrics, and I don't blame you all for that. And it is something that probably is necessary for your model building. But unfortunately, we have realized that it's not just now but even in the past, that providing a guidance is something kind of a distraction towards our long-term objectives. We would like to stay focused. So we shall -- I know you will try and ask for a lot of outlooks and guidances in various ways, during the course of this call, I'm sure.

But we will be steadfast in trying to ensure that we don't give them. I know you will scream saying that we are continuing to carry on truisms and not giving any tangible outlook, but I can assure you that we will have an anchor in terms of the profitability metrics, which is the medium- to long-term view, which I can say is, which is already there in the deck, which is pretty healthy but with a bias of -- on an increasing trajectory.

The quarter 4 results are a manifestation of the hard work of the entire workforce of HDFC Bank and ably led by the leadership team. It's a great opportunity for me to thank each one of my staff, which -- all my ground force for rallying around despite the challenging macro environment. If you've seen the deck, I would like to just summarize that we continue to gain market share in deposits, despite and not -- and I think it will be visible that we have kept the cost of deposits rather range bound.

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Classification - Public Our asset growth has adjusted to recoup the liquidity buffer. So if you've seen for the full year, the incremental credit deposit ratio or loan deposit ratio is more or less similar to what we have always done. In fact, the advances mix is more or less towards better yielding segments like retail and CRB.

We did have one-off gains during the quarter, but we have nullified the impact with an equivalent one-off provision. Our asset quality continues to be very pristine. All our portfolios across segments, including early indicators, continue to

be benign. We have, as a part of prudent risk management, created a countercyclical provision, which is a provision in good times. And this is something that we have done in the past, and this is one of our philosophies right through. There is a certain rationale for creating these provisions, which we will sort of call out when you -- during the Q&A. We believe that such provisions really enhance the resilience of the balance sheet. I think even after adjusting all these one-offs and nullifying the same, the core return on assets is in the range that we've operated in the past, and that should be a great indicator for the future as well.

So I think we will pause, I'll pause, and the three of us are here to take more questions from anyone of you. Thank you.

Srinivasan Vaidyanathan : Thank you, Sashi. Let's open up the line for questions and so that we can take it as it comes along.

Moderator: Thank you very much. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania : Thanks Sashi for the opening remarks. My first question, I know you said you will not give guidance, but if you see our deposit mobilization, it has been very strong. It came out in the business update. And the interest expenses for the 2 quarters are not very different from each other.

So do we see a bulk of the expenses of this quarter -- or fourth quarter's mobilization coming into the first quarter? And also in terms of LDR, I mean I think you possibly laid out in the beginning about retail deposit mobilization being a key focus. But still, in terms of LDR, would you want to reach 100 or below in an accelerated fashion?

Sashidhar Jagdishan : Mahrukh, good to hear from you. Let me try and answer the latter question first. As I mentioned, the focus is primarily going to be trying to see how we can focus on the core retail deposit franchise. And obviously, when we talk about the core retail, it's largely the small granular deposits etc, it is the key there. But for us, the way we define retailers, what are the kind of segments which are there around the branch catchments and which is there and also what is already there in the portfolio.

When we talk about the retail momentum, obviously, we have a certain market, which you have alluded. We try to ensure that we -- the price point at which we offer is on par with some of the larger banks that offer similar rates, and we are not an outlier. Just because we need to have this as an imperative, doesn't mean that we will go out to pay anything that comes about. As I

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Classification - Public mentioned as a part of the opening remarks, we are not in that price game at all. And one of the reasons that you're seeing a little bit of stability in the cost of funds between 2 quarters is a resultant of maintaining parity and equivalence in terms of the rates that we offer across our segments.

As regards the loan deposit ratio, yes, our priority is to raise as much as possible. But obviously, it has to be subject to the liquidity environment and the competitive environment. As and when it becomes benign, obviously, we can raise more. But if it is going to be intense, then we will have only a certain proportion to raise. While the quarter 4 mobilization is extremely healthy, I must sort of upfront tell you that there are some transitory involuntary flows that will also come in, which is obviously more than what we had anticipated. But even adjusting for that, the retail ones are rather healthy, which is there in the deck. So will I be able to maintain this kind of momentum, etcetera?

As you know, you take a long-term average of over 6 years or so, there is a certain proportion of total deposits, which come in Q1, which is probably the lowest as a proportion. Q2 and Q3 are more similar in terms of proportion and

the largest part of the proportion in a year comes in

the fourth quarter, and which is what we have. And this is not something anything different from what we see in the banking system.

This is a very similar pattern that is there, plus or minus some kind of a change. So the LDR is a function of what we mobilize. And obviously, if you have to commit the loans, it has to be out of our core franchise, the core mobilization and not transitory mobilization. You probably know this much better.

We also have -- or we would be having bond maturities erstwhile HDFC Limited, which will mature every year. And there is a maturity pattern, which is there for next year. So the first priority is to keep reserves and the balance is to repay some of the bond maturities. And if you - - and the balance and the residue is where we will deploy in our core assets.

So willy-nilly, all things remaining same, your LDR or incremental LDR will be a tad lower for a couple of years than what we have seen in the past because we have this obligation of repaying some of the bond maturities. So is that going to be hampered? I feel not because as long as we maintain discipline on ensuring that we don't go below price point on the yield on certain products across customer segments, as long as we don't go above a certain threshold on the pricing of liabilities, I think we'll be able to maintain stability in our margins and at the same time, we may have other levers, which will come our way to offset some of the lower LDRs going forward. So this is a broad outlook. I'm not going to fall into the trap of giving any number outlook, but this is -- you can guess by now, that this is the general thought process that we have.

Mahrukh Adajania: Thank you very much. That was very helpful. Thank you.

Moderator: Thank you. The next question is from the line of Pranav from Bernstein. Please go ahead.

Pranav Gundlapalle : Thank you for the presentation. I have two questions. First is regarding the earlier comments on the pricing discipline, Sashi, I think, how does the bank gain comfort that it's irrational competition and not a new normal in terms of competitive intensity? Especially given that for

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Classification - Public most part of the last decade, we had a large part of the sector almost missing in action, right? So that is one.

And second question is on the PSL. How is the bank positioned on the PSL front? And should we expect any sort of an impact, big impact when the requirements on the erstwhile HDFC

portfolio picks in later this year? Thank you.

Sashidhar Jagdishan : So thank you, Pranav. The fact is that I cannot sort of predict how the competition is going to behave. All I can tell you is we have sufficient history, which suggests that the price-based competition or price-based strategy is not a sustainable strategy, and it's only a short-term strategy at the most. We have seen it in the mid of 2000s on a certain asset product.

We see -- we have seen it in multiple products over the years, and we have a rich experience to that effect. Frankly, as I said over the last months, we have been witness to this. We have actually experienced rather intensely, the competitive environment, which also borders on some amount of, what should I say, heightened rate wars on the liability side because liquidity was tight and probably there were a lot of other compulsions for other competitive players, which forced them to sort of price their deposits higher.

But I mean since the most infamous quarter three, where all of you have probably done a lot of research, frankly, Q3 was actually a classical quarter where we chose or elected not to do so. Now can I predict this that this will not happen? Absolutely not.

But I can tell you one thing that none of the organizations will have the ability to continue this kind of

heightened irrational pricing for a long period of time. It is important for us to be focused, continue to get the granular momentum, principally out of our product and service offerings, which is the reason why one of the strategic objectives that we have laid out as an organization is to elevate the customer service culture.

Let me explain it in very simple terms what we mean by that. Frankly, as you -- probably all of you know that I have now travelled rather well over the last 18 months across the length and breadth of the country. We have a fantastic team at the ground level. We are very proud of them. I'm very proud of the leadership team at the ground level. I think there is a kind of a congruence in terms of the strategic goals of focusing on granular deposits, focusing on service-first culture. Now to a customer, the customers' needs are very limited. He would either have a financial need in the form of an account, opening a savings account or a checking account or he may need an insurance, he may probably need to deploy his surpluses in mutual funds or in equity instruments or any other alternative instruments or even have a need for a loan, it could be any kinds of loan. The fact that the bank has now with mortgages, the entire suite of product offering, all that is needed is how do we respond in a manner that depicts a lot of respect to the customer.

The speed of response is what we are looking at. It may be very, in your words, Pranav, very "truistic", in terms of very generic and this is not something measurable. I can assure you that we have a reasonable amount of measurement. We have tasked our supervisory architecture, which is 10% of the total workforce to -- in their KRAs to be measuring and monitoring all that comes in from a customer and try and see how we turn it around in the shortest possible time.

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Classification - Public We have the objectives of the supervisory architectures to ensure that the helpdesk front line shake the entire organization to be able to wow the customer. And that's the only sustainable way of ensuring that we get our primary banking from our customers, our higher wallet share.

The very fact that we are incrementally gaining more share than what we have on stock basis. I mean if you look at the incremental deposit market share, over a period of time, we have gained more than what we have as a stock, which means that this particular so-called strategy is working.

We just want to elevate and enhance this. And despite the kind of intense competition, which continues to be existing or which was there both in quarter three, in quarter four as well. We have gained reasonable market share means that strategy is going to work and if we just pull up our socks -- we have a long way to go -- we are not saying we're there, we are perfect, but that's the opportunity. And as we execute this to the T, I'm telling you this is going to be one of our greatest achievements over the next medium to long term. So that's part one.

Part two is on the priority sector. It's not going to be easy. Let's face it. We have, if you really look at our pricing sector obligations and our achievement, I'm not too sure that is where in the public domain, but probably...

Srinivasan Vaidyanathan : It will be published or it will soon be published, because these are -- annually published.

Sashidhar Jagdishan : Okay, so Pranav, this will be published. You will see that we have organically, maybe that may not be visible to you. But I can tell you that we have organically achieved our overall priority sector and most of the sub-targets as well. There are two particular sub-targets, which are small and marginal farmers and weaker section, which are joined to the hip. These are the two ones, which are not so easy to achieve.

And - but having said that the spread at which we

have now distributed over the last three, four years in terms of geography, in terms of focus, by the commercial rural bank team, by the rural banking team and the sustainable livelihood initiative team, we believe that this typical trajectory will be going up, but I don't want to sort of give you any false hopes to anybody both internally and externally.

This is one area that we have to ride on in inorganic ways of meeting these two sub-targets. And we are pretty much ceased and aware of the impact of when the third of the HDFC book starts to kick in from October onwards. And it will have an impact, but is it something that we are going to -- is it already embedded in our plan? Absolutely so.

So when we talk about core profitability metrics, it has subsumed the drag arising out of this. So I'm not sort of going to be apologetic that we may not be meeting some of the sub-targets rising on this enhanced addition of the home loan stock in the priority sector reckoning, but we have factored that in our plans.

Srinivasan Vaidyanathan : And important to add a couple of things. In order to position myself, at least in the medium-term to come, we expanded to 225,000 villages now where we operate. Now we embarked on working around those villages to go and mine more customers into that. So that the basic foundation has

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Classification - Public been set in terms of 225,000 villages. We believe we reached that point of where we want to be to do that. That's one.

Second is, in the recent times, a couple of years ago, we were call it 117,000 small and marginal farmers. 117,000, that's the number. Due to various mining and various activities, today, we stand at a little more than 3.5 million small and marginal farmers. So that's at a -- we've accelerated the pace at which we are getting this, so it's not something in a quarter or in a year, we could get to where we want to get.

We are inorganically meeting certain things that we need, but we'd love to meet it organically, that fundamental -- the building blocks for that are laid and that's why we are progressing on those.

Sashidhar Jagdishan : But let me sort of make it rather practical and pretty much this - however, whatever we do, the ticket sizes of small and marginal farmers and weaker sections are going to be small. So even if -- and there is a finite capacity and population of this in the universe where we can have a share, even if we were to nibble away more share, that number times the ticket size that we can do will still not meet the regulatory thresholds that are asked for. So I'm being realistic that we have to as much as possible try and comply that through inorganic means.

Srinivasan Vaidyanathan : At an aggregate level the overall PSL for March '24, is published or to be published, we are a little more than 52% achieved at the -- against the target of 40%. And at the same time, last year, if you see March '23, we were about 45% achievement. Now we have enhanced that be closer to a little more than 52% achievement.

Sashidhar Jagdishan : Thank you.

Pranav Gundlapalle : Thanks a lot.

Sashidhar Jagdishan : Thank you, Pranav.

Moderator: Thank you. The next question is from the line of Kunal Shah, Citi Group. Please go ahead.

Kunal Shah : Yes. Firstly, with respect to the borrowings, there was a rundown. But maybe if you can help both with respect to the borrowings as well as the deposits in terms of the average, so would we have got the benefit of this entire borrowings rundown through the fiscal or this was also more towards the end of the quarter? And similarly, if you can highlight the average LCR, that could also help maybe period-end this 115-odd percent, yes?

Sashidhar Jagdishan : See whilst, I will have Srini and Bhavin to get in with the actual numbers, but what I remember is, see, there are two types of

borrowings. There are these normal treasury borrowings, which is in the -- which are market borrowings in the shorter end of curve, which is for day-to-day liquidity management, short-term management, which sort of moves up and down depending on the short-term flows, the transitory flow that we would be getting into the bank. So the period-end number, which probably is what you're looking at, which is slightly larger of almost about 700 or 750.

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Classification - Public Srinivasan Vaidyanathan: 750, out of which INR29,000 crores is either commercial paper or term borrowings that came

from HDFC Limited and the rundown. The rest are treasury activities because towards the end, there is a treasury activity. You can see that there is also cash, huge cash that we are carrying at quarter end. And so treasury manages that size of the balance sheet. But 29,000, on an average about 15,000 is what changed on that line.

Sashidhar Jagdishan: So Kunal, what if you are looking at, this is not the high cost borrowings of erstwhile HDFC Limited, which ran off. In fact, the CPs were a part of that stock, but the cost of the CPs, as you know, is rather smaller as compared to some of the long-term bonds. And since the bank cannot sort of have CPs on its books and this is something that is a part of forbearance, therefore, we have let it go. So this is the high-cost borrowing maturities, which is what probably you're looking at, will start to happen from FY '25 onwards.

Kunal Shah: Sure. And second, in terms of lending grades and in incremental spreads, so have we increased the lending rates across the product segments and just trying to make sure that our incremental spreads are very near to what are the reported one. And as you highlighted in terms of the levers to offset the LDR contraction, would lending rate be one of them? And have we taken some action in the last two, three months on that front?

Sashidhar Jagdishan: No, you're right. I mean, see the -- we realized that if we have to ration the funding mobilization into -- and deploy a part of it, build liquidity buffers and then the residue is what we need to do, the best way is to increase the threshold yields across customer segments and that's what we have done. But let me also bring in a little bit of reality check out here. Is it something that I can continue to do every quarter? May not be, because there is a market which is there, which is real, and there is -- beyond some point in time, we may not even get some of the loans. So I think we have done whatever we had to do until now. Maybe there is some small probabilities of increasing rates is there across segments, but nothing significant.

But you're right, I think as of now, we are at respectable levels. And if we see the -- if you don't see any incremental cost of funds moving up, then we should sort of have stability in the yields as we have at the moment. But if there are changes in the interest rate environment, in the interest rate competitive environment, on the funding side, we may have to re-examine the incremental yields on loans across customer segments as well. And some part of it, which we have -- you have seen, say, in the corporate segment, which is showing a degrowth and some other products as well, is a function where we have elected not to participate because the yields have -- in the market have been much lower than our threshold levels as well.

So if I'm not too sure whether I've answered what you are looking out for. Yes, yields have been one of the levers to bring down the LDR and we will use it as long as -- and we probably will use it even in future if the situation demands.

Kunal Shah: Sure. And if I can squeeze in one last question on this ex-gratia provisioning of INR50,000-odd crores, what is that related to? Is it...

Sashidhar Jagdishan: Yes, yes

s, I will. I will. I'm happy that you've asked this question.

I think we have -- as you know the institution has consummated one of the most complex and
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Classification - Public largest mergers with erstwhile HDFC Limited. It was -- there was a lot of hard work that happened both to the run up to the merger and also at that point in time and subsequent to that on a much larger balance sheet, I think -- and overlaid by a very complex and a very adverse liquidity situation in the system, I think the teams have rallied to adjust to this new norm, the new entity, as I was just mentioning in the opening remark and also they work hard. They have worked hard after being battered from all fronts -- at the ground level. I think this is just to ensure that -- and as you know even, in the last couple of years, we've had a heightened attrition as well. It is our endeavour to ensure that the large part of our ground workforce, which is 90% of the total manpower is motivated, and this is a way of trying to say thank you to them. And this is not recurring. This is going to be a onetime ex-gratia that we have provided for. And why not, we had a one-off gain. And I thought this is a way to motivate the young workforce and on a onetime basis. So that's the objective.

Kunal Shah: Okay. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Chintan Joshi from Autonomous. Please go ahead.

Chintan Joshi: Thank you. Can I ask a big picture question and then a follow-up on this lending rate point that we just discussed? HDFC has had a fantastic track record over the last two decades of growing faster than most of the other private sector banks, increasing market share like no one else in the system. You are at pretty good levels, 11% plus on deposits... you have a fantastic track record over the last two decades and the market shares have built up as a result. From here, if you think about the next decade, do you still think HDFC is a bank that can outgrow the private sector? Or

is it now more about playing on scale and getting the scale benefits rather than trying to grow faster than the rest of the sector? That was the first one, and I have a follow-up on the lending rates.

Sashidhar Jagdishan: See, yes, as I mentioned in the opening remark, Chintan, we have a great distribution. We have our complete bouquet of products and services. So we have the energy to offer and gain this kind of -- and we have been acquiring customers with the spread and also with the hunger. And that's one of the reasons why we have been, as long as competition is rational, as long as the price points are reasonable, I think we are happy to participate and that's the period that will reflect the gain of market share.

Now since you're talking -- asking for a long-term perspective, as I mentioned even in the previous question, we strongly believe that competition, and you go by the past track record also apart from pockets of exuberance, which probably will not last too long. And assuming the competitive intensity continues to be the same, as long as the pricing is rational, I think we have all the elements to ensure that we continue to gain market share or nibble market share. Now you used the word private sector banks. I'm not talking about just private sector, I'm talking about nibble away share from the banking system at large because there are many players out there.

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Classification - Public There are some who probably may be offering similar kinds of products and services, some may not be. So obviously, wherever there is a gap in product and service offering, is where our strength comes in. But I can assure you that the focus that we have been getting in, in terms of more, which is a lot more hard

work than shortcuts that one would normally take in terms of, as

I mentioned in the previous question, the speed of reaction, speed of response.

Ensuring that we have a priority in terms of service-first culture, all that is necessarily going to benefit in the medium to long term because this is what the customer wants, and this is exactly what we want to do. We want to move away or we want to ensure that this is the core focus and not sort of a push-based mechanism at all. So in the 10 years, I think, if you see, currently, I'm not too -- I don't have the numbers, but I think our market share on deposits would be somewhere between 10% and 11%.

Okay, maybe slightly around that. Okay, slightly about 11%. So we may -- you may think that we are a large bank. At 10%, we are very small, actually. So the largest bank in the country is having a market share of almost about 20% plus. So the gap is very large. There's a huge amount of opportunity. And so, as long as we stay focused, keep our heads down and just focus on our long-term strategic objectives of just customers in mind, frankly, we don't see any reason why we should not continue the way we have done in the past in terms of gaining incremental market share.

As I said, all this is -- there will be short-term period, as we have seen in first quarter, as we have seen in the fourth quarter where there would be some amount of irrational pricing. In such periods of time, we may not grow, we may elect or choose to grow slow. And these are things that you will have to factor in and not sort of question as to what happened.

So -- but in the medium to long term on a longer trajectory, absolutely, this is going to be our core focus and everything else revolves around this core strategy. So if that is going to be the focus, then I -- here, this outlook, I'm happy to even sort of provide that over the next 10-year period. Will we continue to gain share? Absolutely.

Chintan Joshi: And that leads nicely into the second one, which is, on the competitive dynamic, every bank that we've listened to in the last two, three quarters has been complaining about deposit competition about cost of funds, irrational pricing. And HDFC took the step of trying, increasing the threshold lending rates. When that happened, what kind of reaction did you see from your competitors? Did you see them following you to a degree in raising the lending rates? Or you just kind of outright lost some of the lending opportunities? What was the competitive outcome of that?

Sashidhar Jagdishan: So Chintan, good question. The reality is that in the shorter period, there would be multiple objectives of each of the banks, which would determine whether they follow or not follow. So as we have seen practically, there were banks, which were happy to follow us and there were banks which did not follow us.

Now obviously, these compulsions are there and these compulsions would play out to know whether this is going to be sustainable or not only in the medium to long term. So since you

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Classification - Public asked the question specifically as to what were the reactions, I'm telling you there were equal amount of people who sort of followed us in terms of raising some of the rates because I guess they were all waiting for the leader to take the initiative and there were others who did not do so as well, which is reflected in some of the segments degrowing.

Chintan Joshi: If the short-term gyrations kind of play out, if you're consistently using this higher threshold lending prices, that might be encouraging the system to kind of follow suit or is that being too optimistic?

Sashidhar Jagdishan: Yes, absolutely, Chintan.

Chintan Joshi: Okay.

Sashidhar Jagdishan: Completely agree. This is what I believe if -- should be there. And I think time will tell us. Time will play out -- we'll have to wait and watch how this plays out.

Srinivasan Vaidyanathan: I would add one thing. If you look at even the AA or the AAA names if you see, the bond spreads in the market, the movement of bond spreads, even this quarter it's been up and if you look at it over a period of six months or nine months, the bond spreads did go up. But the loan spreads are lagging, right, and we do see some of the competition pricing far lower than the cost of deposits itself. So that's in terms of how we have. We've been rational to be following this, but you can compare the bond spreads and see how they are going up and not the loan spreads.

Chintan Joshi: Thank you.

Moderator: Thank you. The next question is from the line of Rahul Jain from Goldman Sachs. Please go ahead.

Rahul Jain: Thank you. Good evening Sashi. Good evening Srin. Sorry for bad throat. Just wanted to put across some thoughts and would be painting some scenarios if I may. What I've heard you, Sashi, so far speak it appears to me is that we are -- we seem to be in a balance sheet fixing mode and we would sort of use all the possible levers to bring the LDR down?

And in that context, what you talked about margins versus LDR in response to previous questions. So I want to check with you, we saw 4 basis point of margin expansion with quarter basis in your presentation.

And that also corresponded into the LDR drop. If we see scope for further margin expansion, do we get to a scenario where the LDR drops could be even more meaningful as we move forward, of course, subject to wherever there is a scope given that there are contractual obligations in place. So that's question number one.

Sashidhar Jagdishan: Okay, let me answer the question number one. See, as I said, -- I'm not sort of keeping a certain anchor on a margin and working out a strategy. This is -- that is never -- as I probably said it in the opening remarks we just want to have one anchor because a margin and Rahul, you probably know this much better is a function of the demand from each of the customer segment.

It's a function of the pricing behavior in each of the segments and the competition at that point

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Classification - Public in time. Three, it's a function of the business mix. And so I don't want to have that as an anchor at all. But having said that we are very clear that we're not going to chase growth for the sake of growth.

In the past, there have been some periods of customer engagement and customer commitments, but now that we have absolute control on the ship post the merger, we are very clear that we'll deploy basis what we mobilize. So the -- I believe and as I mentioned a few minutes ago that from here on I believe the margin, even if it's stable is something that will be delighted because we want to ensure that the cost of incremental deposits continues to be range bound and then whatever thresholds we have laid out a -- little bit of tweaking.

We will ensure that the margins either remain stable. And the business mix is what will then determine the margin movement also because if I continue to have more / higher proportion of retail and CRB, all things remaining same it will have a positive impact on the margin. So that's not something that we are focusing.

We want to -- as I said we want to anchor our thought process in terms of seeing stability of metrics with a positive bias moving slowly and surely over the next 2 years to 3 years. So I'm not sort of giving any outlook on that, but I'm very clear that I want to maintain stability. We are not going down the risk ladder to oust as well and neither are we going to go down the price ladder anymore.

So if we have to sort of drop off some volumes, so be it, okay. Profitability is extremely important. It has to make economic sense

se otherwise no , all things remaining same. The fact that

now we have a perfect control or we have the control on our assets and liability movements , the margin accretion should be a function of how we substitute our bonds that come up for maturity over a period of time with deposits.

And that is where you will start to see that kind of momentum. But you have to be patient because these are things that will happen only on defined time lines. It's not something that I can call. So it has to be a gradual path. In the meantime, if the organization grows, builds stability on its metrics including the core ROA and earnings at over a 2-year to 3-year period, has a positive trajectory.

I think, that's a big positive for us because , when in the medium -to-long term , when you have subsequently and finally exhausted the high -cost bonds . trust me we would have not just liquidity, we will have the ability to unleash growth with profitability coming back to the pre - merger levels as well on a core basis.

Srinivasan Vaidyanathan: CASA mix is also one of the important elements in this and that's not what we can drive. It's a customer propensity and customer preference in terms of what the mix of between CASA and the TD they need, and we are balanced in offering.

Sashidhar Jagdishan: In a high interest rate scenario, Rahul, normally , you probably go back in time, the CASA ratios have been a little tepid. And this is exactly what we have been seeing because incrementally we are seeing in the system as well , people are spending, people are moving monies into other alternative instruments.

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Classification - Public So effectively, the household savings themselves have also started to come down. So these are structural changes that are happening. But having said that, these are things that is there at a system level. We can't be cribbing . I think we have enough opportunity to incrementally gain share even on CASA and that's our endeavour . And that's something that you have to look at it on a longer -term basis.

Rahul Jain: Thanks. Very helpful. The other question was on the cost of deposits and deposit mobilization given that the system is still pretty much operating in a tight liquidity environment, the rates are still pretty much elevated. You talked about pressure on household savings, the alternatives, is it the interest rate sensitive, alternatives are also very high. We have a kind of -- it seems that the cost of deposits has stabilized for us. It was down, as per presentation marginally in this quarter.

So does it mean that we will not be seeing an increase now, we've kind of stabilized on that? And if market -- if the competition is bidding up for deposits, we might choose to let go off like the way we did it in the third quarter. And therefore, the cost of deposit is something that you have control over or how would you react to it?

Sashidhar Jagdishan: Great question. If there is irrational competition absolutely and we will not be apologetic. As I said, while most of you did not like what we did in quarter 3, the reality was there was sort of heightened war on deposits and which we elected not to chase. But having said that, if you've seen over the last 12 months I think there has been stability in the rates that we offer across tenors on our retail deposits whether it's the granular retail deposits or some higher ticket sizes as we ll.

We have not changed and it's pretty much reflected in the stability in the cost of deposits. But if there are changes because you never know the , life is very uncertain. What's happening in the Middle East is also extremely uncertain. How that sort of impacts global rate scenarios and hence has a ripple effect on India , is something that we have to watch.

And if there is continued hawkish stance on the monetary policy and we continue to see

rates

elevated at the system level and probably that also leads to a little bit of tightening on the liquidity. These are aspects that we really would not have a handle on. And if all the other large competitive banks were to raise rates, we cannot be an outlier.

We have to maybe match to that, but it doesn't mean that beyond that, I mean, where we will not chase is beyond the card rates. If at all even we chase then, of course, we will have to chase even the threshold yields on our loans as well.

But beyond the card rates, even if we were to change the rate, would we be chasing bid base deposits ? Absolutely no. There is a certain proportion we will patronize because our customer segment is across multiple segments. It ranges from individuals to corporates and there is a certain proportion that we have always patronized.

I think largely about 84% to 85% is retail and non -retail is about 15% to 16%. As long as we maintain this balance, I think we are all right. But do we go to extra mile to go for volatile bid based transitory flows? Not really.

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Classification - Public Rahul Jain: Very helpful Sashi. Just one last question I would like to squeeze in with regards to the provisioning that we have done in this quarter to absorb and to offset the gain through Credila stake sale. News reports also talked about you are looking to be maybe in a sell stake in HDB Financial Services.

So just wanted to understand the choice of provisions that you've made here, floating provision, which is generally very hard to dip into without RBI approval. So next year again the core credit cost doesn't come down, it remains in that band, so shareholders don't get to benefit from these stake sales even now or in the future.

And when the merger happened there was an impact on the book value because of these investments. So what's the thinking that the management team is having here? Why floating and why not contingent provisions that can be used in the future?

Sashidhar Jagdishan: Very happy that you asked this because that's exactly what we wanted to convey. Floating provision is actually a counter cyclical provision which is made in good times. It does not reflect anything that's adverse in the portfolio or in our early indicators at all. We have a pristine asset quality.

Our early indicators across segments are even better and that is pretty much what we had anticipated. So unlike in a contingent provision which is precautionary in nature against certain standard exposures that may possibly because of certain potential contingent events could slip into the delinquent buckets in stress scenarios, that is the reason why we provide contingent. But here we don't have any -- what shall I say -- any reason to do that is contingent. We've put in a floating. We are very much cognizant of the fact that we have to take prior approval of RBI, which reflects the fact that the resiliency of our balance sheet and our credit portfolio, which means that if the organization has taken the courage to put it in floating, it all means that things are pretty good and that is what we want to convey.

Rahul Jain: Can this be used in an event of ECL implementation?

Sashidhar Jagdishan: No. See, the point is, I think the bank's pricing and the bank's financials are such that it prices for the expected credit loss. The contingent is something that is very specific on certain events or certain potential events that may happen or may not happen, so that's contingent event. Floating is something that you will dip in when there are some adverse unanticipated events in the future. You don't do it because you're anticipating anything, but you do it because you want to bring in resiliency and you are actually trying to say that in good times, why do you want to be there is of course a lot of debate in literature whether /

why don't you take it straight to profits.

I'm sure a lot of people on the call who probably would be thinking it's better to I would have loved this going into the book straight. In fact, you should sort of probably come up -- and I'm telling you that you can consider this as a deemed book, a deemed attrition to book.

But having said that, I believe that this is not something that we will invoke for a long time to come. This is something -- an investment for the future. It is only getting the balance sheet

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But is it something that we'll be doing every time we have a one-off? Sorry, that's not what I'm trying to say. This is something that we have taken a call now and we will evaluate periodically as and when any further instances happen in the future.

Srinivasan Vaidyanathan: And for now this qualifies for Tier 2 capital within regulatory limits, and so it is part of the Tier 2 capital and total capital as a floating provision.

Sashidhar Jagdishan: And it sort of now is about 0.5% of the total loan book as we speak?

Srinivasan Vaidyanathan: Yes, the floating position is about 50 basis points. The contingent provision is about 59 basis points combined about 109 basis points within reasonable limits of...

Rahul Jain: Thank you so much. Very helpful. Thanks for being patient and responding to my question, Good job to you and your team and good luck for the future.

Sashidhar Jagdishan: Thank you, Rahul. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, the last question is from the line of Santanu Chakrabarti from BNP Paribas.

Santanu Chakrabarti: Thank you for the opportunity. First off, congratulations on a strong show, especially on the retail deposit front. I have 2 questions. And parts of this discussion have been reported before.

But I just wanted to clarify your thinking on the incremental loan growth dynamic, just want to put to get any uncertainties about this?

Sashidhar Jagdishan : Absolutely. Let me do this. I mean, you're talking about the ...

Santanu Chakrabarti : Just a moment, I'm saying that if, for example, corporate loans rising was a little better this quarter, it was 15 basis points better on the 5% that you've let go. Would it have changed your appetite? Or if your credit strategy tethered really to LDR? I just want to get clarity on this. At the margin, is pricing the primary driver of whether you do that extra 3%, 4%? Or is LDR the primary consideration? I have another question about the CRB business, but if you continue with this, then we can move on.

Bhavin Lakhpatwala : Santanu, for each of the segment, we have a risk-based pricing model. And if within the risk-based pricing model, if any business comes in, that is how the allocation of capital and liquidity happens. And so it's very theoretical to say, if corporate was at 15 basis points higher, it will depend again on which corporate customer, which segment, which -- whether it's an existing or a new customer and a variety of things, which is taken into consideration before an allocation of liquidity or capital happens. So it's not an LD or C D ratio driven to say we're going to reduce here or reduce there. Obviously, if I have a lower liquidity, then where I'm going to get a higher risk reward is how the allocation will happen. But it is not purely pricing or margin, as you have mentioned.

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Classification - Public Santanu Chakrabarti : Right. So that's exactly what I wanted to get clarified because it's getting kind of interpreted, I

guess, among some quarters that it's primarily LDR -

driven, right . So just wanted to get clarity on deposits part.

My second question relates to the CRB business. Now obviously, it seems to be going pretty well in terms of growth. And of course, again, it's key to your PSL compliance and, of course, down the line margin defense and expansion hopefully. So what I really appreciate is, if you could provide some texture on strategic products. I mean, what's happening maybe some geographical sense, maybe some product sense, so that we can get a little more granular sense of where the growth is coming from? And what are you hopeful about, what are you watching out for?

Sashidhar Jagdishan : So on the geographic sense, we need to get back to you because I don't have off hand or the team probably, at this juncture, in this call, may not have the details of geography, but we can probably sort of mail that to you separately or put it up in the do main later. But if you really look at the focus in CRB, we're very clear that considering the fact that this is one of the significant feeders for our priority sector requirements. The growth has come in from the priority sector segments such as the micro enterprises, such as the small and marginal farmers and also in terms of the -- or the agri -- other agri customer segments and the weaker section, which is a sustainable livelihood initiative segments as well.

Business Banking-- there are other medium enterprises and large ticket smaller enterprises, which have seen tepid growth, which is in line with what we have been focusing. I mean we need to ensure, as I said, we stepped up our threshold levels, the wheels, last quarter, and we are happy to sort of see growth coming in only from the segments that I mentioned, if we have to even pay down some of the larger ticket sizes, even in the CRB segment, so be it. So the geography spread, we will come back to you later, but this is a broad composition of segments which has seen healthy growth during this particular quarter.

Srinivasan Vaidyanathan : I'll add so that you can put that to rest. We did expand our small and medium enterprise business to 715 districts across the country. We also mentioned about the 225, 000 villages for certain agriculture and allied product distribution. And so what we saw is that the overall asset growth is a reflection of the efforts of each business group to accelerate new customer acquisition, particularly in the deeper geography, where the competition is less .

And we can get at the right price point that we like and at the quality that we like as opposed to only playing around with the metro and urban area, where the competition could be high from the price point of view. We would like the quality, but the price could be detrimental to what we like. And so this balanced approach of expanding to various geographies is what has played out in terms of getting this origination.

Sashidhar Jagdishan : And mind you, just to add or conclude to what Srini has just mentioned, we are very clear, our underwriting policies are very consistent. So even getting into deeper geography is at our -- within our policy parameters. We don't go down to the risk ladder just because we are in deeper geographies as well.

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Classification - Public Santanu Chakrabarti : Perfect. If I might crave your indulgence with a small follow -up. So obviously, you've held back

on your branch expansion a little bit, does that impact the plans for CRB in any way in the next 2, 3 years -- longer time line .

Sashidhar Jagdishan : My dear friend, I know all of you are taunting me because I may have in my exuberance given my vision and you all have taken that guidance saying that I would like to achieve. I do not know somewhere, some number, I may have stated i n the past or some other at the time of the merger, announcing the merger. While that is the vision,

it doesn't mean that people are implementing, there is a certain practical reality.

It's not -- as I mentioned, we are not going to cringe on branch expansion just because it's going to increase my cost or increase my cost to earnings because these are strategic imperatives and we are not going to cringe on some of these strategic expenditure s, whether it's distribution, whether it's technology, whether it' s appropriate levels of people as well.

But having said that, the quantum of branches that we can open depends on multiple factors.

One of them being the bandwidth in terms of what we can set up in terms of finding the right place, the right location, hav ing the commensurate -- meeting regulatory requirements in terms of what we can add, in terms of the unbanked rural centers and also the opportunities in terms of finding the right manpower and a lot of other aspects and factors as well. So there are times where we have had the energy to do much more, which we demonstrated, say, maybe, I think, last year.

Srinivasan Vaidyanathan : Last year, 1,481.

Sashidhar Jagdishan : 1,481. This year, it's somewhere close...

Srinivasan Vaidyanathan : 917.

Sashidhar Jagdishan : Closer to 1,000. We did prior to that about somewhere about 700. So it varies, but I think the pace of branch expansion is -- has gone up maybe in the recent past as against what we did. Yes, I mean I realized that whilst the endeavour is to increase an d step up the distribution because ultimately, it doesn't mean that the mobilization is just a function of branches, it is important.

But look at the productivity. Our productivity has been going up as well, which means that whatever we have been opening, we are not compromising on letting the productivity down. So the branch adjusted for the HDFC Limited acquisition of deposits, if you look at the -- maybe the deck, I think the deck may have it or if not, I'll tell you, last year was about 260 -- 2.6 billion.

Srinivasan Vaidyanathan : INR260 crores.

Sashidhar Jagdishan : INR260 -odd crores per branch. Now it is about INR270 crores per branch adjusted for the merger, the deposits that came in from HDFC Limited as well. So which means that our branch strategy is actually working because India is a large country. We still believe the potential is there to expand. There is -- look at it, the large part of India, which is about 60% to 70% of India is in the semi -urban and rural geographies .

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We would love to add more, but obviously, there's a finite capacity in terms of the various factors that I just mentioned. So yes, there are several things that are possible. We would love to do more, but it's not something , don't box me, don't count or rather, as I said, I've restated with all humility that no more guidance. And forget my guidance that I had given, but we will continue to invest in the distribution architecture. Thank you.

Srinivasan Vaidyanathan : We also supplemented -- we have Smart Banking lobbies, 148 of them, which don't count as branches. But we did add 75 Smart Banking lobbies in this year. So those are different formats of distribution expansion and reach.

Santanu Chakrabarti : Sir, I can't speak for others, but I'm very happy to hear that personally. Because I think the momentum you guys have got in CRB clearly, for that to go forward and longer term, if you -- what you're saying indeed comes through in terms of liability mobilization

n, then it's investment

into the future. So I mean, I'm very happy that your short-term profit considerations don't dry down.

Sashidhar Jagdishan : No, thank you for that. Let me then -- probably, I think we have gone beyond our normal time, but let me just sum it up. Look, don't dismiss this franchise. We are going through a period of transition. It's like the coastal road, which is very close to our place, when people were -- when it was getting built, we were all sort of having a lot of problems with it or we were trying to navigate our traffic around it. But now when it's up and running, people are so delighted.

That's the kind of -- we will have our day when the proportion of borrowings comes down. And when that will be there, we will have enough momentum in terms of funding, which we can then unleash in terms of growth as well. So -- but it doesn't mean even during this period, as I said and I maintain that, we will maintain stability on our profitability metrics more so in the ROAs and the EPS, et cetera, on a core basis, and we will try and ensure that we have a positive bias in the trajectory over the next 2 to 3 years.

We're rather confident. And I think the entire bank is extremely charged and galvanized. I know a lot of people probably are wanting to even ask some questions on the senior exits. So I can tell you that not just now, but go over the last 20 years, we have seen stalwarts who have come in and gone, but the organization has continued to roll forward, move forward with a lot of energy and more gusto, which means that what they've created is a very institutionalized organization with a lot of depth in management, many levels below me.

So we are not person dependent. We are process-driven and process-dependent and that's the beauty about this organization. It's an auto engine, and this will chug along in any kind of an environment with the kind of business philosophy that we've always maintained.

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Classification - Public Srinivasan Vaidyanathan : Thank you, Sashi, with that. And I appreciate you all joining us today. If you have any more

questions or any other inputs you need, feel free to reach out to us, our Investor Relations team, Bhavin or Aseem are available. And so will I be available at some point in time whenever you need. With that, we can sign off for today. Good evening, and have a great weekend. Bye -bye.

Sashidhar Jagdishan : Thank you all. Thank you.

Moderator : Thank you. On behalf of HDFC Bank Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

Ref. No. SE/2024-25/04

July 25, 2024

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051

Dear Sirs,

Sub: Transcript of Earnings Call for the quarter ended June 30, 2024

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings call with analysts and investors held on July 20, 2024 with respect to the financial results of the Bank for the quarter ended June 30, 2024, has been made available on the website of the Bank at the link: <https://www.hdfcbank.com/personal/about-us/investor-relations/financial-results>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

Yours truly,
For HDFC Bank Limited

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HDFC Bank Limited
Q1 FY25 Earnings Conference Call
July 20, 2024

MANAGEMENT : MR. SASHIDHAR JAGDISHAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – HDFC BANK

MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
OFFICER – HDFC BANK

MR. BHAVIN LAKHPATWALA - EXECUTIVE VICE
PRESIDENT – HDFC BANK

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Moderator: Ladies and gentlemen good day and welcome to HDFC Bank Limited Q1 FY 25 Earnings Conference Call on the financial results presented by the management of HDFC Bank. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the brief commentary from the management. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Srinivasan Vaidyanathan , Chief Financial Officer, HDFC Bank. Thank you, and over to you, sir.

Srinivasan Vaidyanathan: Thank you, N eerav. Good evening and a warm welcome to all the participants. We have Sashi Jagdishan, our MD and CEO, with us today. Without much ado, I'll hand it off to him to get the meeting started and then we'll take it from there. Sashi, over to you, please.

Sashidhar Jagdishan: Thank you Srini and good evening to all of you. Yes, sort of engaging with you all after a quarter , I just wanted to recap some of the guidance that we have been giving in the past couple of quarters. One of the things that we have been mentioning is that we would like to desist from providing any guidance of any form as it is providing a distraction fr om our long -term objective. So we would like to stay focused. This is a period of transition post -merger, but we are to stay focused and ensure stability of some of the key metrics and achieve some of the objectives in the medium to long term.

I know that the most important part of our strategy is deposits. And are we happy with the kind of numbers that have come about? Not really. It has fallen short of our expectations. But frankly, if you see , this is not something new. There is a seasonality in the system and the bank has been tracking this seasonality being a large player in the system. Our net accretion to deposits normally is in the range that is similar to what is there in the system.

But this time around obviously, we were a little bit surprised on the period -end numbers because of some unexpected flows in the current accounts, which was more than what we had anticipated.

Of course, I would like to recap to all of you that we did sort of give you a heads -up during the earnings call of the fourth quarter , that we did sort of see a lot more unanticipated transitory flows in the current account s if you recall, and that is what has gone out.

So, a combination of this larger outflow , because we do have relatively higher share of the market in current account , and so as the balance sheet has been growing, the velocity of inflows and outflows have also been increasing in current accounts, which is the nature of the beast , because for us, a high economic activity in the current accounts is a sign of good -- is how we will achieve larger transactional balances in the current account balances.

But on a period end, you will see this kind of a high velocity. So a combination of outflows in current accounts and a combination of at least Rs.160 billion of an erstwhile HDFC non -retail deposits, which ran down, has given us a very tepid kind of a net attrition on a period -end basis.

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Classification - Public Now if you have noticed, you may be surprised that we have started to even disclose in our investor decks, which probably you may have access to, on average deposits as well. You may be wondering why have we done that. And let me be honest as to why we have done it. It's not something to tell you that, okay, this is not so -- the period end is not good, so try and show something which is very good, not really.

I think this is messaging not just for the

investor fraternity, but also to my people at large , because

we've realized that we want our ground -level teams in our large distribution footprint to focus on basics on the ground level on a day -to-day basis.

Focusing on certain period -end numbers is leading to some unintended performance -related pressures, which we want to avoid. And that is the reason why we want to converge or align our

internal and external metrics, so that there is no unintended pressure that builds up in the ecosystem.

If you've seen the numbers and once you digest the average numbers on a quarterly basis, which we have given from quarter 1 of FY '22 to quarter 1 of FY '25, that will give you a reasonable amount of comfort that there is a steady build up, a secular trend, an upward trend in the momentum. Of course, there is some seasonality in some of the quarters, but that's fine. But largely, the secular trend is visible, and that's what we want to focus on.

So much as all of us are used to looking at the period-end numbers, I think looking at a longer trend on the averages seems to suggest that the resiliency of the organization is intact, and it will continue to be so even in the future.

I have mentioned in the annual report recently, which is released to the world at large that we will be growing slower in our advances as against our deposit growth. This is not something new. If you've seen our track record over a long period of time, this is something that has been there.

Probably in the last couple of external forums or the public forums that we have come on, we did sort of affirm that our focus is going to be on profitable growth and not just on growth. And yes, in the bargain, it is in our interest to bring down the loan-deposit ratios much faster than what one would have anticipated. It is in our interest, and I'll explain that to you probably when one of you ask questions.

If you see the track record right from the time we merged on 1st July 2023, there was a starting pro forma financial, the day 1 financial as one calls it, and probably this is also there and visible to each one of you in an investor deck. If you look at some of the key metrics, whether it's the NIMs, whether it is the CASA ratios, whether it is the cost-to-income, whether it's the GNPA, from that starting point to 30th June 2024, it's been rather stable, and range bound. For example, the NIMs have been in the range of 3.4% to 3.5% with an increasing bias. The CASA ratio has been in the range of 36% to 38%. The cost-to-income has been in the range of 40% to 41% with a decreasing bias. The GNPA has been in the range of 1.2% to 1.4%.

And if you exclude the seasonality of agri, in fact, it's been on a declining trend. And the ROAs have been in the region of 1.9% to 2.1%. And as you know, it may be -- this is not a new number

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Classification - Public or new metric that we have encountered. We have seen, for a long period of time, this number of 1.9% in the pre-merger levels as well.

So what does it mean? The fact that we have maintained stability means that the inherent resilience in the organization is intact. So it's a period -- despite the kind of changed environment in terms of liquidity, in terms of competitive intensity, in terms of the -- our so-called urge to slow down our loans so that we can get down the CD ratio, the loan deposit ratio faster than what we had anticipated, despite that, I think we are maintaining stability in some of the key metrics. I think that's something that I just wanted to reiterate and want you to sort of appreciate. I guess, these were some of the things that we wanted to mention as a top-of-the-mind recall. I think we'd be happy to sort of take questions from any one of you. Over to you.

Srinivasan Vaidyanathan: Okay. Thank you, Sashi, for the opening remarks. Neerav, with

that, we can open it up for

questions. I do want to draw all the participants' attention that if you do need to refer to the deck, it's on the website. You can refer to it if you need to at any time. Neerav, you can please prepare the queue and open it up for questions.

Moderator: Thank you very much. The first question is from the line of Mahrukh Adajania from Nuvama Wealth Management. Please go ahead.

Mahrukh Adajania: Sashi, my first question is on LDR. So when you say you wanted to, or possibly LDRs could come down faster than anticipated, all the large private banks -- of course, one is at above 90%, but most of them are on an average of 83% to 87%. So is that kind of an LDR you are hinting at and over what time frame? Because that really sets things very clearly, right, in terms of what loan growth to anticipate.

And also in terms of loan growth, right, now if you see other than CVs, most of retail and most other segments have grown below 2% Q-o-Q. I don't understand the first quarter seasonality. But if you wish to have focus on profitability over growth and growth remains kind of weakish relative to your historical trends, would it be very easy to then regain market share once you think your balance sheet has cost corrected, right? Because you're possibly giving up share. You can do much better on growth, but obviously, we know the constraints on deposits. So that's my question on HDFC Bank. And if you could explain the high provisioning on HDB Financial as well?

Sashidhar Jagdishan: Okay. Thank you, Mahrukh. Number one is we don't have or rather, if at all, you're expecting

that, is there a prescription from anybody, including the regulator, whether there is a prescription for a loan deposit ratio, not at all. As I mentioned, it is in our interest to have a glide path. Two, you're absolutely right, it's -- theoretically, I would love to do this in 1 year. But is it feasible? Is it practical when you have an objective of a profitable growth? Absolutely. You're absolutely right that it's not something that I can do -- where I can just drop it in one go and then be done with this, et cetera. It's not practical.

Now let's go segment by segment. We have a machinery. There is a lot of buoyancy there, whether -- you know this much better that funding or providing financing or loans to customers,

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So there is an optimal level that you can work with. You cannot drop the levels.

So therefore, this is a play that we have to manage very gingerly. The reality is there is a tight liquidity environment. There is, as I mentioned to you and if you really look at the averages, the EOP period numbers are not a reflection of what is the underlying resiliency, in fact, of deposits.

In reality, the deposit momentum, when you look at it, maybe at some point in time, Sridhar will explain that, the gross inflows across the multiple products and deposits have actually been increasing. It's a very healthy trend.

And as I mentioned to you, one of the things that we do not have some control is the velocity of the flows in the current accounts and which is what has created this kind of a little bit of -- it unsettles you, it unsettles us in terms of a number on a particular date. It has never happened before. Of course, there may be some instances where it has happened before -- -- all of you rightfully so are seeing a little bit of a disappointment there.

But when you look at the averages, which I'm sure you will compute, it's rather pretty steady over a longish period of time -- and even on the advances side, what has happened in quarter 1 is not a reflection of what we plan

to do. This is a kind of an adjustment that has happened. It's

a matter of time that you would see in the next 3 quarters, what we do.

Our relationship, since you spoke about market share, you spoke about relationships, we are very clear. We have one of the best relationships in the corporate side. Even though you are seeing a little bit of a negative growth, it's just -- we have high amounts of already great penetration levels to the best set of corporates in the country. What we are losing is transactional business consciously because it's not meeting our pricing thresholds.

We are all right to do so because we -- maybe this is the best time for us to adjust our mix, which is what you're seeing a bit of a flavour in this particular quarter. We want to continue this kind of a mix change over a longer period of time. Of course, it cannot be forever. There will be -- during this period of adjustment, we may have to do it for some time before it sort of normalizes. But having said that, I don't have a specific number because then it will sort of bring in a fair amount of pressure on the system. We have an internal benchmark for ourselves as to what we need to do. As I said, neither have we received any regulatory prescription. But at the same time, the thought processes can be, to the best of our ability, try and get this done as quickly as possible and still maintain the objectives of profitable growth.

So all I can say is that it's best that you see what we do in the next 3 or 4 quarters. And yes, when I relate this number that what we are planning, I'm relating into what we were probably thinking of at the time of announcement of the merger. Obviously, things have changed. And we realized that maybe as you alluded to a lot of other -- there has been literature, which has been spelt out in the monetary policy literature on credit deposit ratio. So we are very cognizant of the risks that are there in the system. And instead of being nudged on that, we want to do it ourselves because it makes the most economic sense to bring it as quickly as possible.

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Classification - Public Srinivasan Vaidyanathan: Two more things that you alluded to that I can describe is that the activity at the various

distribution points, we did add 2.2 million new customer relationships in the quarter. So last quarter was very similar. So from that sense, the pace at which the ground teams are operating is quite strong. So we do get the new account value. It is those existing customers or the transactional balances in the current account where I've seen that outflow.

Now coming to the other aspect that Sashi alluded to in terms of the inflows. We measure inflows monthly to see what are the credits coming into various customers' accounts at individual, aggregate, branch level and so on. When we look at the inflows that come and compare those inflows that are coming to the similar time period last year, the monthly inflows are up over 20%.

So we do see enormous traction happening in the accounts, which means the credit flows that are coming, cash that is coming in, when I say cash, I mean funds that are coming in, is of a good order. It gets deployed in various means. But again, this is across current account, savings account, across all of these and the salaries, so when I say savings that include the salary account that we have, is gaining good traction from inflows that come at aggregate level. And then one other point she had was about the HDB credit cost.

Srinivasan Vaidyanathan: HDB credit costs. Okay. The GNPA ratio remained flat at 1.9 %. The Stage 3 has remained flat. The credit costs have been higher because seasonally, again, various reasons you can attribute to various reaching ability during this quarter has been hampered a bit due to -- they are far more distributed into the interlands than

we are. The heatwave issues and the electoral preoccupation at various levels, so there is a seasonality that was there. So the early flows have caused the provisions to be higher, but the NPAs remained stable. So the sudden flow into that NPA bucket is limited, but the early -- they have to do more on that. That's where that is.

Moderator: Next question is from the line of Chintan Joshi from Autonomous.

Chintan Joshi: Sir, if I can start off with the deposit market share question, it's -- historically, you've done about 18%, 19%, if I look at the last 5, 6 years. Last year was about 12%, if my numbers are correct. And it's a much more healthier banking system, everybody is well capitalized on the front foot asset quality, risks are low. In this environment, like would you hold yourselves to taking a certain amount of incremental market share over the next 2, 3, 4 years?

Do you think like that? And if you do then, what can we expect in terms of market share?

Because when you think about deposit growth, that clearly is a challenge for the system. So -- and of course, therefore, all the other banks -- all the banks will face that constraint. But in terms of market share, I would hope that HDFC can show that historical trend. So that would be one question, and then I have one more.

Srinivasan Vaidyanathan: Chintan, on the market share, if you see that -- yes, you are right that if you look at us over the last 3, 4 years, in 2020 March, we were more closer to 8%, slightly above 8%. In '24, slightly above 11%. So over a period of, say, 3, 4 years, we've got a little more than 300 basis points, out of which 50, 60 basis points came through the effect of the merger. Other than that, call it, 50, 60 basis points a year is what we have added on market share.

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Yes, our objective of getting the distribution reach expanded and getting the customer onboarded is to work on getting this market share up. And we are confident that -- that's the direction in which we have previously gone and the speed at which we are going now gives us the confidence that we are in this to get further deeper on the share. And this applies across all of them. From a term deposit to the current account, Sashi did allude to current account, how we got INR540 billion in March quarter, and we did have a rundown / utilization by the customers of INR430 billion in the June quarter.

Despite all of that, we are the largest current account bank, right? We are the largest current account -- Current account constitutes currently, 11% of our total deposit stack. In March, it was about 14%. So yes, it moves around that. Despite that, we are the largest between the current account or the term deposit and so on.

Bhavin Lakhpatwala : And Chintan, just to clarify, right, you mentioned that our incremental market share was around 12%. I think it's a bit higher, and there's a different way to compute it, but 12 doesn't seem to come to our maths anyway.

Chintan Joshi: Understood. I was looking at the flows, but we can talk about that offline. The other question I had was in terms of -- a couple of detailed questions. So what is your curr

ent shortfall in the category ex PSLCs? And were there any -- was there any impact on the NII from reclassification of investments?

Bhavin Lakhpatwala : Can you repeat the last bit?

Chintan Joshi: So was there any impact on NII from reclassification of investments and then the shortfall in SMF category ex PSLC?

Srinivasan Vaidyanathan: Yes. The SMF category as of March, which we have published in our report or in various disclosures, the SMF category target is, of course, the obligation is 10%. We were close to 9% in the past year. But as of June, we did not see much. We've tried to close it on as of June. And it's an ongoing number, right? It's a moving number as every quarter it changes. So that's one. Then from a reclassification, when we reclassified, the new accounting on investments got adopted, on a post-tax basis, it was slightly under INR500 crores, INR480 crores or something that has gone to general reserves.

Moderator: Next question is from the line of Suresh Ganapathy from Macquarie Capital.

Suresh Ganapathy: I have two questions. One is on the PSL itself. I mean, if I were to look at the annual report ...

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Classification - Public Moderator: Suresh, sorry to interrupt you, your voice is breaking. Can you please come in a better reception area?

Suresh Ganapathy: Okay. Sure. So if I'm looking at the last year's RIDF bonds and PSLC that you had bought, it's gone up 25%, right? I mean this is remember when your base is INR16 trillion, and it shoots up to INR24 trillion because of the last year's high base. Now are you confident that you can meet some of these obligations, especially the shortfall in the SMF and still protect your margins because it is getting a bit tougher now going ahead? So that's my first question.

And the second question is on cost itself. Now seeing 3 or 4 quarters into the merger, cost has been broadly very range bound at 40% to 41%. I remember, Sashi, you giving a target, I know this was pre-target -- pre, those days when you used to give target that longer term, you want to take it down to 30%. Are you very confident that you are well on that path considering there are so many pulls and pressures now in the system? I'll stop there.

Bhavin Lakhpatwala : Suresh, on the PSLC, see, the way the math works is, the RIDF is for the entire book, including what was the past shortfall. So you cannot compare the book RIDF -- the PSLC is a flow through the P&L. So the way to compute this is not to see whether the book RIDF and the PSLC divided by the balance sheet, to see whether it's a growth or not, right? So it's cumulative, needs to be thought through differently, and then we'll chat offline on that one, but it's from a -- direction-wise if you see annual report as well, you'll see that year-on-year, we have become much better in terms of compliance, and that's something which we'll continue to do.

Sashidhar Jagdishan: Mr. Ganapathy, on cost to income, yes, in the medium to long term, that is the glide path that I have, and I'm reasonably sanguine that we will do. But as I said and probably if you recall, there is a period of adjustment that we have to go through, where, unfortunately, there are some long-term borrowings where I'm sure even those kinds of maturities would be there in the annual report. So we have to wait for that flip or the lift that will come in revenues as the bond matures and gets substituted by probably deposits. So we have to wait for that.

But having said that, in a period of this, as you alluded, tough economic environment, maintaining stability of the cost to earnings with a downward bias is itself, I would say, is very commendable for a large organization where we are not going to be compromising on strategic investments like distribution or technology. I'm very clear about it. So what we are trying to do is how do we

extract efficiencies out of digitization, out of better productivity.

So the intensity is now there across the organization, how we can step up that. So as I said, the proof of the pudding is in the eating. You have to be patient, wait for this particular FY '25 for you to see it for yourself as to where we land and then that will give a lot of confidence to you that, yes, we are in the trajectory of having the numbers that we had envisioned in the medium to long term.

Suresh Ganapathy: Okay. And then on this HDFC One App where you can -- not exactly elaborate where you want to really cross-sell and bring everything, every group product under one umbrella, I think, are we far away from that? Are we very much in that direction to get it executed?

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Classification - Public Sashidhar Jagdishan: Good question. I think the first step was to ensure that the franchise, especially the home loan

franchise starts to get incrementally the primary banking or the savings accounts of the home loan borrowers. And I think this has been probably -- it's in the public domain where incrementally, we are now doing what percentage of our home loan borrowers are -- taking upwards of 85%.

Now as I said, the bundling of other products such as the consumer durable loans, the credit cards, the insurance and all has commenced. That was the first one that we wanted to, but now we have commenced. The journeys from the subsidiary companies, especially the insurance is expected shortly, then probably the seamless, frictionless experience to the frontline people to cross-sell where the one -click experience will probably even enhance it even further.

Whilst we're talking about this, I must also sort of add, whilst we've not put in the public domain, -- and the reason for that is we want to have a sizable amount of success there, and then we will try and put this out, we've had a reasonable amount of success in the stock of home loans, which did not have an HDFC bank account.

I'm not sort of -- I know you will be very eager to know what that number, knowing you very well. But give us some more time, let us see the success at a substantial momentum and then we can sort of publish it. It's not going to be too long before we start to do that. But you will be surprised the kind of efforts that's going down at the ground level ever since the announcement of the merger. Obviously, this is something that even surprised me of their efforts. And when I do that, you will see that. So obviously, this is not something that can happen overnight in terms of the impact -- it gives us a lot of satisfaction as to what's happening.

Now coming to the other aspects of the subsidiary, leveraging on our distribution strength, I think you may have -- since you cover the insurance sector as well, by now, you should tell me that we have seen a fair amount of step-up in the distribution of the subsidiary, especially on AMC, especially on the general insurance, especially on life insurance, where the share of their businesses has also been stepped up reasonably well. It's not that we are favouring one. It's purely -- we continue to patronize open architecture. So it's a lot of hard work that all of them have put in together to sort of enjoy a higher distribution from our franchise.

So I think it's moving in the right direction. If anyone is expecting a magic wand, and it's going to have a dramatic progression overnight, that's not a fair expectation. But there is a positive glide path which is moving upwards, and you probably have these numbers and at some point in time, we may even call out this kind of numbers appropriately.

Moderator: Next question is from the line of Ravi Purohit from SIMPL.

Ravi Purohit: Sir, two questions. One is basically the debt reduction that we've seen in the last 2 quarters, there has been a signifi

cant drop in the borrowings, INR75,000 crores in the March quarter and about INR60,000 -odd crores in the June quarter.

So this basically is helping us kind of deleverage the book. But can you just help us understand what is the -- I think in the annual report, you've mentioned that about 15% of the HDFC borrowing book is due to kind of mature every year for the next 3 years. So if you could just
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Classification - Public kind of -- because last 2 quarters, we've seen this big drop in borrowings. So if you could just kind of help us understand the path where these borrowings are getting repaid?

And second question was on the deposit side. There was a fair bit of amount which HDFC Limited used to have, and a lot of corporates used to have deposits with them. So is it fair to say that a lot of those deposits kind of vanished the minute the merger happened? And therefore, what we are seeing in terms of deposit accretion within the system is actually -- there is a large part which got taken out which were slightly larger size of corporate deposit share. So if you could just kind of give us some sense of where this thing has moved between then and now?

Srinivasan Vaidyanathan: Okay. Ravi, your thought process and assumption is correct that on the eHDFC Limited deposits that came, INR1.5 trillion, certain components of that were corporates or trusts or certain institutions, which have been pricey, and you saw that over the last 3 quarters. In the December quarter, we alluded to, to some extent; in March, we did; and even in this quarter, we gave you even the number in one of those other questions, INR160 billion that went down in the term deposits. They are of the right order, and we prefer a much more retail branch-driven and if these are rate sensitive or if the other participants in the market pay a higher price to take it, that's fine. So that is one on the deposits that you asked. Even if something more needs to go, it will go because we will not be bidding for a higher and higher price to keep larger ticket-size deposits with us.

Secondly, the question you asked on the borrowing, yes, in the quarter, we did take down close

to INR60,000 -odd crores or INR600 billion of borrowings down. About INR150 billion was commercial papers - which matured, and we had to run it down anyway - banks don't do that. And so when the maturity came, it went out and we had enough to pay that down. And the second thing is that of the balance borrowings, roughly half and half. Part of them -- of it was maturity, which we paid down and part of it was we had an opportunity space to pay it down, which we did, which is what even in the abridged balance sheet that we have published, you would see that it is -- borrowings are down by close to INR600 billion, that's -- this is most of that.

Ravi Purohit: So can we sustain this run rate? Or would a bulk of that have already been kind of done for the year?

Srinivasan Vaidyanathan: There is some maturity profile for the year, which we have published. For the year, I think the maturity profile is about INR650 billion for the year. That is scheduled maturity, INR600 billion for the year, out of which maybe INR250 billion were maturing that got paid in June quarter. And we did pay -- on top of that maturity, we did do certain other payments. We exercised certain options to do that, certain other borrowings we did. And -- so more to come in the year. That's part of what we published in the annual report, the profile -- over the next 3, 4 years -- we published the profile of maturity.

Ravi Purohit: Okay. One question for Mr. Jagdishan. Sir, at the time of the merger and subsequent to that in some of our communications, we had mentioned that the merger is likely to be EPS accretive for us on day 1, from day 1, right? Now did that have certain assumptions of --

from either the
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Srinivasan Vaidyanathan: Yes. Ravi, yes, at the time of merger, you know the economic conditions, including the liquidity, system liquidity and RBI's stance on the economy and the funds in the country were managed was at one state, and today, it is at a different state, right? So the conditions have changed. That's number one.

And number two, some of forbearances, for example, the forbearance on infrastructure borrowings qualifying to fund the affordable housing or on certain of the deposit category, the non-withdrawable deposits category that we took over, some of those assumptions are different. That's the second aspect.

Third aspect, I do want to draw your attention to the EPS, since you mentioned it. The EPS for the bank, June, pre-merger was 21.4 - last year June. And in this quarter, it was 21.3. So thereabouts, right, it is similar levels. And then if you look at the quarter, it's between that 21.1, 21.6, 21.7 and 21.3 and thereabouts, right, from an EPS point of view.

Moderator: Next question is from the line of Kunal Shah from Citi.

Kunal Shah: So the question is on PSL, again. When we look at it - almost like 53%, but again, that's from last year's balance sheet. But looking at it in terms of the sell-downs also, which have been there in PSL what we have disclosed in the annual report. And the overall CRB growth also being lower, is it giving an indication that we are relatively more comfortable on PSL? And then in that context, how should we look at the overall CRB growth vis-a-vis the overall loan book?

Srinivasan Vaidyanathan: Kunal, on the PSL, two aspects to keep in mind all the time, which is - there is a small and marginal farmer, a weaker section, which could have a dual qualification. If you get a small and margin farmer, it could have dual -- it will have dual qualification and weaker will be satisfied. So that is one category that is in greater demand. We need that. We need more of that, right? So that is something.

Other than that, you alluded to CRB. That is why I'm talking about it. That particular segment is driven largely by CRB and by non-CRB, which is agri segment, the SLI segment and various other businesses, business lines which have some linkage to agri and allied agri also bring it, but largely CRB. But however, the rest of CRB, when you think about the business banking or think about certain emerging enterprises and commercial vehicles and a lot of other categories which are also enormously PSL-driven book, it qualifies as total PSL, but we are quite comfortable. We are surplus in all of those categories.

So our focus, if you think about PSL for us, which we've always said is that our focus is how do we get as much as possible the small and marginal farmer and with the dual qualification for weaker. That is there. We are reaching out to 225,000 villages to get that reach to be there.

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an approach to see if anybody else is having what we can buy.

So I hope that helps you. So you don't need to directly link to what CRB is and PSL. It is only a component of the CRB - small and marginal farmer that we are more focused on.

Kunal Shah: I was saying maybe in terms of the PSL C, are we more confident in terms of the achievement? We have been the net sellers of PSLC as well.

Srinivasan Vaidyanathan: We have a good amount of confidence to be there where it is available. It's a question of supply, right? We are there, creating the demand. We are there to buy. We are there to originate. It's a question of availability. That's where we are constrained. And last year, we managed close enough. This quarter, we managed close enough. But future, I will not be able to talk what's available and -- but we are present. That's all.

Kunal Shah: Yes. And secondly, on the deposit side, as you mentioned, like not really, so Sashi also in the opening comments highlighted . not really happy and it has fallen short of the expectations.

Earlier, we alluded in terms of the aggression on the field staff plus the expansion in the branches, that is something which will drive the deposit.

But somehow , it's not coming through. So what could be the initiatives now and would rate be ever be looked upon, okay, because we are not getting the benefit from the other two getting reflected in terms of the incremental deposit share? And similarly, when we look at the borrowings, almost like, say, 60% of the borrowings are coming up for maturity in less than 3 years. And we mentioned like we would weigh some prepayment opportunities as well. So how do we gather that deposit , sort of maybe loan growth could be much lower, yes?

Srinivasan Vaidyanathan: Kunal, the first thing is that rate is not a predominant determinate or a driver for us to have an engagement. You've seen that it can -- compare our rates , we don't get into rate competition. We are priced fairly with our peers. So rate is not something that we want to use to get or gather more deposits. So that's one. So let's get the rates out of the way. That's not something that predominantly influences us.

Having said that, it is about that engagement and service delivery , that is what we endeavour to distinguish, differentiate, get on more customers and that is the reason I alluded to, to talk about the inflows. That means the engagement and the service delivery should create more of our customer funds coming into our accounts, which is what I alluded to in another context of someone's question that when we look at the June quarter, we measure that monthly. The monthly inflow that come are in excess of 20% higher than what it was in a similar time period last year. So we see the traction gaining. It's a question of both the environment and other opportunities and the spend levels that the customers see, that balances it out. Essentially, we are there, and the opportunity is there, it is going to stick more, the probability of fixing and resting with us is far more.

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Classification - Public Sashidhar Jagdishan: Kunal, do sort of look at the 12 -quarter data that has been -- that is in front of you all and look

at the quarterly momentum , that will give you a reasonable amount of confidence as to how the build-up is reasonably resilient. And there's a lot of hard work that the team is doing at the ground level. And that's a real reflection. Our earnings come out of these averages, the daily averages. So this is -- it's -- unfortunately, historically, we have been reporting period -end numbers. But I also realize that maybe it's not the right way to reflect things where there are lots of volatility. And yes, it may -- as I again reiterate, it's a bit disappointing to see on a period end something very tepid.

But in reality, my teams have done a

lot of hard work, and I want to acknowledge through this

particular call to -- for them to continue the intensity of engagement and the kind of hard work that they have been putting, of course, so that there is no pressure on them on period -end numbers. They continue to work hard on a daily basis to be able to deliver the organization goals.

And I'm sure, I'm very confident that my team is going to surprise all of us, including you all when we publish the full year numbers.

Moderator: Next question is from the line of Rahul Jain from Goldman Sachs.

Rahul Jain: I have three, four questions. First is on the margins trajectory, right? So the governor recently talked about, again, the transmission of pricing. We are seeing massive fight going on for deposit market share and HDFC Bank has been very, very disciplined on pricing. So at any point in time, you need to relent and start increasing the deposit rates, so how do you see the scenario shape up for you all? And what will be the impact on margins because you're trying very hard to kind of maintain it or keep improving it? So in this scenario, how do you envisage profitability to shape up for you all in the coming quarters?

Srinivasan Vaidyanathan: Yes. Rahul, if you look at the -- there's one public available data is this weighted average term deposit cost. I think gets published by the -- in the regulatory website or something, you can look at it. And when we look at it and you can look at it over the last 12 months by month, you can see which every bank reports, the top of the page is what you will see the PSU bank weighted average term deposit cost going up and the 3 line graphs if you draw on top being the PSU banks, the second being the scheduled commercial banks and below that will be the HDFC bank, right? So we have tried to remain disciplined on price as much as possible to win over the customer through engagement and service delivery. So we've not gone into this term -- in terms of the rate as such. And we hope to keep that up as we go along. Now how do we get the margin, right? Again, by the way, it is -- we have talked about it, CASA, market permitting. You know that in this quarter, the market did not permit CASA growth. We had only term deposit growth and market -- the CASA ratio through the cycle as it changes will have to move up. And that is what has happened historically and that is our confidence level, that our engagement will keep that CASA to go up.

Bringing new customers, when the customers are coming in, we are getting in with the balance of savings account balances and the cohort, the month on book of the savings account balances of the customers we bring in are behaving quite encouragingly, and we want to bring in more of

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Classification - Public the new customers to move that up. So we keep going up on that. And we have to wait it out for the cycle to turn and customer preferences to change for the CASA mix to come favourable to us.

The second as -- and whatever the CASA mix you'll see today is impacted by about 3 percentage points or 4 percentage points due to the merger because when we came into the merger, we got the term deposits only as part of the merger. So that's the impact that has come in in addition to the market dynamics of customer preferences over the last 2 to 3 quarters. It is also the merger impact that is impacted there. I just want to leave it there and go to your next.

Moderator: Next question is from the line of Manish Shukla from Axis Capital.

Manish Shukla: On unsecured personal loan, your growth has been sharply lower than some of the peers. What's your thought process on that segment? And how do you think that changes?

Sashidhar Jagdishan: No, that is a very conscious call. I mean, as I said, we -- our internal early systems probably pick this up rather early and obviously, the

y have been rather conservative. And that is the reason

why we were all right and happy to sort of slow down growth. And we were -- of course, this synchronizes with what the regulator has been sort of highlighting as well. It has been contrarian to what we've seen in industry growth. And we have been contrarian not just now, but even in the past. So I guess at the right time, we will step up the pedal.

Manish Shukla: One data point, what is the share of repo-linked book as of June?

Srinivasan Vaidyanathan: Sorry?

Manish Shukla: Share of repo-linked book for you on the loan side?

Srinivasan Vaidyanathan: Share of...

Manish Shukla: Repo-linked loans.

Srinivasan Vaidyanathan: Market linked is about -- mortgages is about for total 30, 70 or so, 30 fixed and 70 is external. Mortgages will have about 27, non-mortgages is about 40, which is external, EBLR linked.

Moderator: We move on to the next participant. Next question is from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: Just one question on the non-interest income line. This miscellaneous income has gone up quite sharply. So just trying to understand what has driven that. And also on the fee income line, there's a slowdown, but largely the growth has come from third-party products. If you could just kind of give an explanation to that, sir?

Srinivasan Vaidyanathan: See, Mahesh, two things happened here. The third-party products is seasonal. March quarter, highest; first quarter, comes down. Miscellaneous income has got credit recoveries as well as it

has got dividends from subsidiaries, that is also seasonal and more or less offsetting, right, as you see there because the third -party seasonality comes on in the first quarter and then you have the dividends coming in , and so they are offsetting. So these are the 2 items there.

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Classification - Public Moderator: The next question is from the line of Sameer Bhise from JM Financial.

Sameer Bhise: Just wanted to ask on the HDFC Limited borrowings that you have mentioned. Is there a case for any repricing in terms of floating versus fixed for what is due for repayment over the next 3 years?

Srinivasan Vaidyanathan: No, a good amount of that is fixed. Two, a good amount also we have hedged. We have hedges on some of them. And where there is a floating rate, that's again subject to periodic discussion and negotiations.

Sameer Bhise: Okay. But you would say a large amount is fixed in nature?

Srinivasan Vaidyanathan: There's a combination of fixed and floating both are there. And if it is fixed, we have some hedges. If it's floating, some are negotiable and some are not. And -- so it's a combination. It's a quarter -to-quarter -- actually month -to-month review in our ALCO to see how to optimize it, what are the opportunity space that opens up. So there's no one aspect that we can think ourselves to say this is what we will do.

Sashidhar Jagdishan: In fact, I'm not too sure whether this data is there. But when you look at the modified duration of our assets and liabilities, the very fact that it is more or less in a very narrow band, gaps are much lower, means that what Srini is saying is what we do, and this is not something that we are doing now. We've been doing it for a long period of time to ensure that these are matched in a very narrow band. So that's one of the reasons why we are able to see the margins in a range bound , in a band of whatever that I have specified or had laid out at the beginning of the conversation.

Srinivasan Vaidyanathan: So that's true before the merger and true after the merger, the gaps remain very closely and tightly managed.

Sameer Bhise: Yes. And just one last thing on staff costs. So while there was a one -off last quarter, there is a bit of a jump even on a sequential basis for this quarter. Anything to read i

nto it?

Srinivasan Vaidyanathan: No, other than a quarter -to-quarter impact because some people additions of last quarter could have been part of the quarter, coming into the full quarter , this quarter. Those kinds of changes will be there , and certain compensation changes will happen and will continue to happen as we go along. So there's nothing new other than the ex-gratia amount that was there last quarter and not this quarter. I do not know where you are seeing an increase, but that's different.

Moderator: Ladies and gentlemen, we have come to the end of the allotted time. I would now like to hand the conference back to Mr. Vaidyanathan for closing comments.

Srinivasan Vaidyanathan: Thank you to all the participants for having joined today. We appreciate your time and thanks for engaging with us. If you do have more questions, comments, suggestions, any other inputs, feel free to engage with us. Our Investor Relations team headed by B havin will be available any time or I will make myself available sometime, and we could engage. Thank you. Bye -bye. Have a great weekend.

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Classification - Public Moderator: Thank you very much. On behalf of HDFC Bank Limited, that concludes this conference. Thank

you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2024

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

Ref. No. SE/2024-25/85

October 25, 2024

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051

Dear Sirs,

Sub: Transcript of Earnings Call for the quarter and half year ended September 30, 2024

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on October 19, 2024 with respect to the financial results of the Bank for the quarter and half year ended September 30, 2024, has been made available on the website of the Bank at the below link:

<https://www.hdfcbank.com/personal/about-us/investor-relations/financial-results>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

Yours truly,
For HDFC Bank Limited

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HDFC Bank Limited
Q2 FY'25 Earnings Conference Call
October 19, 2024

MANAGEMENT : MR. SASHI DHAR JAGDISHAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – HDFC BANK
MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
OFFICER – HDFC BANK

MR. BHAVIN LAKHPATWALA – SENIOR EXECUTIVE
VICE PRESIDENT – HDFC BANK

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Classification - Public Moderator : Ladies and gentlemen, good day and welcome to HDFC Bank Limited 's Q2 FY '25 Earnings

Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Vaidyanathan, Chief Financial Officer, HDFC Bank. Thank you, and over to you, sir.

Srinivasan Vaidyanathan : Thank you, N eerav. Welcome to all the participants. I appreciate you all dialing in today. We'll start, we have our CEO and Managing Director, Mr. Sashi Jagdishan with us. We'll start with his opening remarks and then get back to you all. Sashi, over to you.

Sashidhar Jagdishan : Thank you, Srin, and thank you, friends. Let me first wish you a belated Dussehra festivities and also wish you in advance . Happy Diwali festivities , that's going to come in next week itself.

Let me start with the macro environment, which we are witnessing. Liquidity has been gradually improving over the last couple of months. So that's bit of good news. However, the deposit rates continue to be elevated and sticky -- probably the credit growth still outpaces deposit growth in the system, and that maybe the reason why it continues to be sticky.

As we have witnessed in the previous high interest rate cycles, customer preferences continue to be towards time deposits, probably to lock-in at higher rates. Despite intense competition and the competitive environment, deposit growth has been very healthy. On an average basis, we have grown around 15% year -on-year. Retail branch continues to contribute around 80% to 85%, in fact, to be precise, 84% of the total deposits.

Let me talk about the advances under management. We have mentioned in earlier public forums and calls that we will bring down the CD ratio faster than what we had anticipated in the past.

Let me spell out some of the bright spots of our credit growth. FY '25, we would probably grow slower than the system. FY '26, we may be at or around the system growth rate. FY '27, we should be faster than the system growth rate.

Our assumption is that from all the regulatory comments in the monetary policy statements, there will be a convergence of system loan growth and deposit growth rates somewhere during this period. In the light of the above strategy, the average assets under management grew by about 10.2% year -on-year. The margins have been stable in the range that we have been talking about at 3.45% to 3.5%. It's printed at 3.46%.

The gross NPA continues to be stable at about 1.4%. In fact, the gross slippages at 1.2% is better than what we had witnessed same time last year. The profit after tax grew at about INR16,800 crores. It shows an optimal growth rate of 5.3%, but adjusted for the bond gains and for the tax adjustments that we enjoyed same time last year -- the adjusted growth rate is about 17%.

Let me pause out here. And we probably will take a lot of questions, and we have the team out here, Srin, Bhavin, who probably will also chime in for responding to your questions.

Srinivasan Vaidyanathan : Okay. Thank you, Sashi. N eerav, with that, you can open it up for questions , please.

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Classification - Public Moderator: Thank you very much. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Yes, hi, good evening. My first question is on fee. So, it's grown strongly. Is there some securitization income in fees? And if you could also refresh us with the a

ccounting for any

securitization , as in where it should come? That's my first question. And my second question is on movement of contingent provision. So what kind or what class of loans would they have been used for , because I think the contingent provision looks lower Q -o-Q?

Srinivasan Vaidyanathan : Okay. Mahrukh, I'll take this question on the fees first. Fees at about INR8,000 crores, grew by about 17% year -on-year. Think about the fees, third -party products, the distribution products -- have been quite strong. It grew by almost 32% in this quarter , year-on-year. Year -on-year this quarter to last year's same quarter -- 32%. And if you think about all of the retail categories,

assets, cards and retail liability, all of those other categories, on a combined basis grew by about 15%, 15.5% or thereabouts, right?

Wholesale, which has got certain episodic within that, we de-grew by about 5%. That's what you're seeing on a net basis, fees growing by about 17% thereabouts. Last quarter was between 14% and 15%. So, it's a very similar range anywhere between 14% to 17% is what -- when you look at it over several quarters, you will see that's the range at which the fees growth year-on-year. And quarter-to-quarter seasonality plays out. That was the first part of the question that you asked on the fees.

On the securitization that you asked, securitization comes with excess spread and the excess spread is not part of fees. That excess spread in this quarter, you know that we did it towards almost the end of the last week. So, there's not much of income or whatever is there. But that is excess spread and not a fee.

Sashidhar Jagdishan : And Mahrukh, it will be amortized over the life of a loan, nothing is upfronted. So, the fee item is not impacted by securitization at all.

Mahrukh Adajania: Got it. And will the margins optically look higher than yields from next quarter given that -- or no, not really because they'll be part of investments anyway, right? Yes. Okay. Sorry, and on contingent provisions?

Srinivasan Vaidyanathan : Okay. Contingent provision, if you see that there was a release of contingent provision. There's a footnote in the accounts that AIF provisions -- we received clarifications on AIF. We had reserved 100% of our contribution to the AIF. The clarifications came that we don't need to provide rupee for rupee of the amounts that we have provided to the AIF. It is sufficient to provide on a proportionate basis based on the AIF lending to the debtor company. And so appropriately, the provisions have been taken down.

Mahrukh Adajania: Okay. Perfect.

Srinivasan Vaidyanathan : There's nothing to do with credit. It was simply a regulatory provision that was created, and it was taken out.

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Classification - Public Moderator: Next question is from the line of Kunal Shah from Citi. Please go ahead.

Kunal Shah : Yes. So, the question is on RBI's draft circular in terms of the overlap in lending of group entities.

So, what do you think should be the impact on HDB Financial and maybe till the time there is the final guidelines, would it in any way impact the listing of the HDB Financial that is being planned and that is required as per the regulatory requirement, yes?

Srinivasan Vaidyanathan: Okay, Kunal, thank you for asking. There are two aspects to what you're asking. One is draft circular. The word is -- underlying word here, it is draft, number one. Number two, the comments are required to be submitted by November 20, our bank, and I'm sure the banking fraternity would be providing similar comments. So, we'd like to wait to see what turns out to be the final, second. Number three, the context to keep in mind is also that HDB is a regulated entity operating under the license from Reserve Bank of India. So, it is a licensed entity. And there are certain con

ditions for license. It meets those conditions for license.

It is also supervised by the similar team that supervises the bank. The policies and the procedures adopted by HDB are consistent with what the bank does in terms of let it be income recognition, provisioning, lending standards that are required or where lending is prohibited and so on. So, the entity follows very similar principles, which means there is no arbitrage between the bank and HDB. There's no arbitrage as such, too.

The bank operates, as you know, for that particular product segments, those kinds of products, the bank operates on a program basis. And HDB by nature of the customer segment, which is very different from the bank customer segment, operates with a touch and feel closer to the customer through a branch network and operates handholding the customer on a periodic basis. So, it's a very different model in terms of how HDB operates, and it's a necessity in this market where credit evolution is still in an early to mid-stage. So that's in terms of HDB as such in the draft circular for you to fit the context. We do not know what the final outcome will be. We'll be providing the feedback, and then we'll take it from there.

As it relates to IPO, you know that there is an upper tier circular, which came in some time a couple of years ago now, a circular actually came after the white paper of this draft circular that was given about almost three years ago. So subsequent to that white paper, there was a draft circular. The circular for the upper tier came that requires HDB to be listed by September '25. The process for that listing was kicked off. As you know, we put out certain press releases after various Board deliberations here as well as in HDB between July and August, and the process has kicked off. As it relates to the timing or anything else, I would not be able to talk more specifically on that. That's part of the publicity guidelines as we enter into an IPO process,

publicity guidelines do not permit to talk anything more specific at this stage.

Kunal Shah: Okay. That's helpful. And second question is on LDR. So, you indicated in terms of how we should look at the overall growth compared to that of the system averages. But when we look between our own loan and deposit growth, the way we have been maybe at least contracting the LDR, till what level should we assume that we'll be so aggressive in getting the LDRs down?

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Srinivasan Vaidyanathan: Yes. Lots of details you provided there, Kunal. The point here is that the bank LDR was closer to the 86%, call it even 87% if you round it, that was the rate that we operated before the merger. We went all the way to 110%. And rightly so because it was funded through longer-term borrowings.

Typically, a banking system, if you look at it, at least the top banks, if you look at it, the borrowing mix in the funding profile is about 7% to 8%. For us also, it was 8% before, and it went to 21%. So, for better economics and for alignment, repositioning the balance sheet was required.

So thereby, currently, it's at about 16%. The borrowing mix is at 16% or so. And the LDR when it will come down, the thought process we had, which our CEO had articulated over the last nine months is that we had thought that it would take four, five years to be at that level of what historically we have run, which is the mid-80s to high 80s.

Instead of that, there is an opportunity right now with the rate of credit growth being

high over

the last two years and is expected to come down to maybe the deposit level rate of growth. And so, in this scenario, it was appropriate for us to rethink to say, we will do it within two to three years to get to the high 80s, right? So, you asked me, is there a quarterly, as you described two, three quarters or a year, we don't want to get into quarterly or year. But certainly, an accelerated approach is what we have in mind.

And again, keep in mind, the way we are operating is that as far as the retail lending is concerned, retail loan is concerned, if you think about our mortgages, we are full force in the market in terms of marketing and selling mortgage because it provides better customer relationship.

Price, our price and the price of the legacy banks, which is where high differential exists. And so, there is a sensitivity to price there. But we grew, as you see there, almost 11.7% year-on-year.

And as it relates to non-mortgage retail, we grew 11% this year -- year-on-year in this quarter that you are seeing, but we have moderated the growth purely based on credit dynamics that our credit underwriting standards -- underwriting team looks at certain standards and calibrates that. And priority sector has grown 4%, 4.7% sequentially, which is at the rate of 16% to 20%. We need the priority sector, high quality, again, passing through whatever credit filters.

The larger ticket size loans are where we have used this tool of calibrating, again, being price conscious. If you look at even in this quarter, the bond spreads on a two-year AAA or a one-year AAA bond spreads have moved between 15 to 30 basis points up. Loan spreads in the market are pressurized to come down. And so, at this stage, we chose that it's not the way to go. And so, we moderated the growth on that.

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Sashidhar Jagdishan: And the reason for the change in our thought processes, we also believe from the various regulatory commentaries you have been listening and we all have been listening that it may coincide over the next two to three years, a change in the credit environment. So, we want to ensure now that we have mentioned, and we have been witnessing a very stable asset quality, we want to be extremely well positioned when the positive cycle probably changes in the next two to three years, we want to be well positioned to capture the kind of incremental growth that we have seen in the pre-merger levels.

That's one of the reasons why we are accelerating bringing down the CD ratio or the loan deposit ratio, which is what I mentioned in the beginning of my commentary as to what our glide path of credit growth would be vis-a-vis the system growth rate over the next 3 years, including FY '25, '26 and '27.

Moderator: Next question is from the line of Gaurav Singhal from Aspex Management. Please go ahead, Gaurav Singhal: Yes. So, I have a couple of questions. The first is on the priority sector loans. Maybe if you can share some more detail on how much are we meeting organically? Because I noticed that in the last few quarters, our other assets as a percentage of total have gone up a lot, like used to be 3%, 4% premerger, and now it's like almost 6%. But this quarter, it has actually come down Q-o-Q. So, I'm just curious because we are meeting more priority sector requirement organically. So maybe if you can share some thoughts on that?

And the second question is about the non-mortgage retail that you mentioned, do we envisage us reaccelerating this and start gaining market share again because

a lot of our peers actually are

now seeing credit costs go up. And they were growing faster than you. So, do we -- in the next several quarters, see us gaining back market share as our peers' step back?

Srinivasan Vaidyanathan: Okay. Thank you for asking. Let's go to the PSL that you mentioned. Yes, I think as far as the PSL achievement is concerned for March '24 that is already published that you will be able to see it. It's in our annual report and various other disclosures. We are close enough in terms of at an aggregate level, our PSL was 50-odd percent aggregate level. And the small and marginal farmer in the weaker section, we were slightly under -- that's less than 1% or so that you have seen.

Sequentially, you'll see some other assets going down. That's various causes, that go up and down, including some RIDF maturity. So many things will happen that. That's about INR2,000 crores or so.

Then you talked about the PSL as we stand today. As far as the PSL is concerned, the only PSL that we focus on organically, because the rest are naturally part of the business model to grow, is on the small and marginal farmer and the weaker section, which typically, we are between the organic growth and the PSLC and the IBPC and the PTCs or the securitization that we do on the investment side, across all these sites, we operate somewhere between 9%, 9.5%, thereabouts, HDFC Bank Limited

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I wouldn't say where we will end, because we don't know the market availability and how we do it, but that's at least the approach is that organically, we want to do as much as possible. And other tools are available at a price, for us to take. And that's where we are as we stand even in September. That's one on the PSL.

On the non-mortgage retail, I'm going to start, and then Sashi's going to say. You talked about market share, right, despite whatever you talk about our rate of growth slowing down. In the recent year, we slowed the unsecured loan to a rate of growth, which is 10%. In the recent time periods, 1 to 2 quarters this year, we slowed it down to between 9% and 10% rate of growth. And if you look at the year before, we grew at 19%, right?

So, the risk calibrates in terms of -- they're seeing it far ahead of time in terms of how to time it from a calibration, which is what has happened. And if you look at the non-performing loans on the retail side, our non-performing loans, GNPA's at 1.36% or thereabouts, retail GNPA is at about 0.8%. That's where the unsecured loans are also there.

From a market share that you alluded to, on PL, on the private side, that means leave the government segment to the side, we are the number one. If you look at auto, we will be the number one, right? So, in cards, we are the number one. So various products on the retail non-mortgage when you think about it, we are the market leaders across various product segments. Even in the recent times, if you look at the high-quality customers, customers who are rated above 750, 760 score and above, which is a bureau score, which is not the model for us to originate, but that's for us to refer. We have one of the highest share both from applications incoming, inquiries, disbursements across all of those segments and in the stock, we are one of the highest from a higher-rated credit score point of view. I think that we don't have one particular target for credit to achieve there.

Sashidhar Jagdishan: And all the portfolio, as I said, beginning of the commentary, while the quality continues to be very stable across the board, and of course, there will be these quarterly fluctuations, but we are not overly concerned. So, it also sort of help

s us to position ourselves very well, when we probably are ready when the cycle changes back into a positive territory. And that's the time when we will probably pick and choose the right customers at the right price, which will be contrary to some of the banking system trends.

Moderator: Next question is from the line of Pranav G. from Bernstein. Please go ahead.

Pranav G : The question is on the loan yields for the bank. I think if you look historically, the bank as well as the pro forma entity has always had a higher yield versus peers, we have a significant gap versus peers. Incrementally, are the bank's loan yields on par with peers, or are we still seeing a lower yield because of our conservative stance on underwriting ?

Srinivasan Vaidyanathan : You have to look at it by segment, again, if you look at it by product on the mortgages, our published rates are anywhere between 8.8% to 8.9%. So, the private sector peers would be more

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Classification - Public or less within the same range - within a 10 -basis points range. That is not the competition on the price. It is the legacy banks, the incumbent banks from ages , that's where the price differentials are almost 50 basis points or thereabouts. That's the mortgage as such.

So, the non -mortgage when you look at it, on the retail side, again, there is a risk -based pricing for the quality of the assets that you originate or the customer segment that you choose, the prices appropriately calibrated according to the risk models that come.

Similarly, on the CRB side, the commercial and rural banking, we have tried several price points from anywhere from 10 basis points to 20, 25 basis points over the last 6 months, the price has been extremely elastic, which means the higher the price, lesser the demand because, again, this is the incumbent legacy banks have lower price in that segment. And so, we haven't seen the ability to move the price up.

And that's what we are seeing even in the system when the repo rate has gone up by 250 basis points, the WALR or the Weighted Average Lending Rate has moved up only half of it or 150 basis points or thereabouts. But you will see that the public sector banks rate movement is far below that 120 basis points or thereabouts, essentially inhibiting the private sector to price up more in line with what the repo rates have moved up. So that's the factor there.

On the wholesale side, corporate large ticket side, I talked about the credit spreads. The credit spreads or the loan credit spreads are not keeping up in the same direction as the bond spreads. So thereby, that's again a choice to make in terms of how you price for that. I agree that the credit quality in that segment is extremely great. But still, you have to price for a life cycle credit cost and not for today's or tomorrow's credit cost. So that's where we are inhibited on that segment.

Moderator: Next question is from the line of Rahul Jain from Goldman Sachs.

Rahul Jain: Three questions. First is on the trajectory of the liquidity coverage ratio. So, I wanted to understand, we have been inching up that higher. Clearly, there is a draft regulation out there. So, is that something that you are taking into our assumptions and pushing this LCR higher? Or what exactly is the reason why you're thinking there? So that's question number 1.

Srinivasan Vaidyanathan: See, one, the liquidity coverage ratio is at 128. We have told you that our target that we normally tend to operate is between 110 to 120. And somewhere historically, we operated at that 115 or thereabouts plus/minus 1%, 2%. That's the kind of where one would desire to operate. However, in the recent times, last quarter was 123, this quarter was 128. Again, it is driven by the fact that we get more deposits, granular deposits, retail -driven deposits, which have higher value, good

value. We want to get more deposits, which puts money in reserves.

And we have talked about our lending value proposition , about how we are addressing the lending loan growth as such. So, it's a fallout of how we are trying to get as much as possible, the optimal level of deposits that are available and calibrate the loan for current conditions and situations for repositioning the balance sheet as well as the credit filters. That's what it shakes out to be at that level.

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Classification - Public Rahul Jain: So just to simplify, Srin. So LCR, would it further go up or you would run it down a bit because

clearly now the mix is also changing and we would want to push up our margins also because the ROA also could potentially be better, or you will keep inching this up because there's an impending regulation that is out there or draft regulation that is out there?

Srinivasan Vaidyanathan: Yes. See, we'll have to wait. It's still in a draft form -- that regulation is still in a draft form.

Feedback has been provided by us and by various organizations and associations, feedback has been provided. We'll have to wait through to see.

For example, if you see some of those anybody with a digital banking capability, net banking capability, including an UPI transaction capability, which is a digital capability and so on, so, it starts to be punitive where in a situation where we are trying to digitize many things, including day-to-day transactions. So, we do not know where it will land. So that's on one side, right? The draft regulation is something which is there. The feedback has been provided. We'll have to work through it. We do not know what that is, where it will come and end.

But the second aspect of it that you asked whether it will go up or come down or remain where it is. Again Rahul, it's a function of what happens with the market on the deposits. As we have said, we are positioned to get a good share of deposits, and we are calibrating our loan growth. So, we could remain where it is, or we could go up. But that is the last of the considerations, but it is about the customer franchise of growing those deposits and getting that loans at a level that we desire.

Rahul Jain: The reason why I asked this question is because in the balance sheet, quarter-on-quarter, the G - sec still went up by about INR15,000 crores, LCR also went up. I appreciate the point about the granularity of deposits and therefore, the lower runoff factor. But just wanted to get some directional sense. Fair enough. The other question is on the branch expansion, etcetera. So, what are the fresh thoughts out there? How are you all thinking about it?

Srinivasan Vaidyanathan: We grew 240 -odd branches in this quarter, 350 something for the year so far. Last year, we grew 917 branches. Our objective has been to make those investments and branches now when the credit has been benign. And as you know, as you see that, it continues to be benign. And we have stopped giving exactly what number, whether it is 1,000 or 750 or 1,250 or whatever.

But our approach has been to grow branches to go into more areas where we need reach, but even in cities to make it much denser so that we could capture all the customers that are possible. So, we continue to grow at a pace, that will be calibrated time to time.

Rahul Jain: Got it. Appreciate it. Last question is on your latest thoughts on the credit quality, because I think you got the cycle again right on the unsecured, you stayed away. Now you're starting to grow that piece, while others are having the normalized experiences or elevated credit costs. So, what's your latest thoughts on asset quality in general, unsecured microfinance, any other segment that you are cautious about, anything that we all should know from your perspective where the credit con

cern may be starting to build up?

Sashidhar Jagdishan: No. We have been sort of mentioning this for quite some time. As Srini did mention for a couple of years, we have been calibrating our growth depending on what we have been seeing - the

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Classification - Public early indicators. But I think the call that has been taken by our credit architecture has come out well yet again.

And so, as we speak today, we are in an extremely comfortable position. Obviously, there are risks in the system. The impact of what's going to happen in the macro side is something that you and I may not be able to predict, but we are well positioned as we speak looking at our portfolio and that we don't have too much of a worry at this juncture.

Which is one of the reasons why, whilst it will take some time for the book to build. The retail, as you can see, we are seeing the retail disbursements going up. And this will take a little bit of time for the book to start to reflect that because a large part of the book will happen only in about, if you continue this kind of momentum over the next 12 to 18 months' time. But definitely, we'll be ahead of the curve and probably should capture the right customer segmentation at the right price going into the future.

So that's the thought process, but we are very watchful of what's happening in the environment, what's happening in the ecosystem. And good to say that as of now, we are not seeing any red alerts or amber alerts, and we continue to calibrate our growth depending on what pulse we have at the ground level.

And just to chime or complement or supplement what Srini has been talking on the LCR. The one thing that we don't want to control or -- is on the deposit franchise. The deposit momentum is not something that you can have as an overnight plug and play. It's a very large franchise, and there is a momentum that it needs to have, and we don't want to sort of curtail that kind of a momentum.

Obviously, we are working in a very competitive environment and a very tough macro and liquidity environment. So, there is a little bit of an uncertainty where we want to cushion ourselves in terms of a higher LCR.

In addition to that, we have just, both Srini and I just mentioned about the glide path on why and

what we want to do on the credit growth rate. Obviously, that will lead to this extra amount of high-quality liquid assets, which probably you're right, may depress in the near end, some amount of margins, which we are okay, because we are not here in the shorter end, we want to ensure that the balance sheet and our financial statements are very resilient in the medium to long-term.

The third aspect, which you alluded rightfully is the fact that there is an overhang in terms of what will happen if the guidelines come into play, the draft guidelines when it comes in circular. Obviously, we want to position for that as well. So, the 129 or whatever that you're seeing is probably a kind of a temporary phenomenon, which we will keep on. We'll watch as to how the various macro and the regulatory framework keeps evolving.

And at some point, in time, I think it will normalize to the median levels at which we have operated, which is what Srini alluded to. I think it's just a timing difference that you are seeing this kind of slightly elevated LCRs, which will adjust itself into the future.

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Classification - Public Moderator: Next question is from the line of Rikin Shah from IIFL Securities.

Rikin Shah : Just have one question. With faster normalization in the LDR, we are generating excess liquidity on the balance sheet. So, the cash balances have gone up almost by INR750 billion in this quarter. In the past, we have demonstrated to prepay some of the bond borrowings in a

addition to

the scheduled maturity. But this quarter, we didn't see that. So, I just wanted to understand, do you still see those prepayment optionalities available in the quarters to come by or we could probably see for a few more quarters where this excess liquidity could sit on the balance sheet?

Srinivasan Vaidyanathan : Rikin, you're right. Our efforts are towards that endeavor. But as you know, a large part of the borrowings that we have inherited from erstwhile HDFC is noncallable. So, it requires a lot of negotiations across the table. Obviously, it has to find favor with the investors. It's not a done thing that this will happen. It depends on their interest as well.

But having said that, the efforts are on. Also, in line with what I just said, just about a moment ago towards -- in Rahul's question, we also want to ensure that we have adequate cushion and liquidity to balance off not just the probability of -- the sustainability of deposits going into the future. The draft guidelines that will come about and also the fact that if there's an opportunity to bring down the borrowings, yes, why not?

So, we have to play this depending on the circumstances and how all this plays out in the future.

But if at all, we do have an opportunity to do so and still keep adequate cushion in terms of liquidity, why not, we will do that.

Moderator: Next question is from the line of Abhijith from Axis Mutual Fund.

Abhijith : Sir, the first question is the other opex. Growth is sharply down. What is driving these efficiencies? And what is the trajectory we should expect in the near term?

Srinivasan Vaidyanathan : Yes. The total expenses are growing at the rate of about 10% or so. You've seen that we have moderated the headcount to some extent in this quarter. It's a seasonal timing in terms of how we spend for what festival and so on. And again, certain third-party expenses of origination and so on could be calibrated. There are several layers that go into it. There's no particular strategy on that, yes.

Abhijith : And second question is I just want to understand, you have spoken about CDR trajectory.

Moderator: Abhijith, sorry to interrupt you, but we are losing your audio, your voice is breaking. Can I request you to come back in the question queue? Due to no response, we move on to our next participant. Next question is from the line of M B Mahesh from Kotak Securities.

M B Mahesh : Just two questions from my end. One is you have started to see a slowdown in the commercial banking space, especially on the emerging corporates, if you could just kind of highlight as to what's happened there?

Srinivasan Vaidyanathan : Emerging corporates. See, emerging corporates, I mentioned to you in some other context, Mahesh, that larger ticket-size loans are sensitive to rates and the rates are not moving in tandem

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Classification - Public with the bond spreads that are moving in the market, right? These are good rated emerging corporates. We need the right kind of a price for that quality, right? So -- and if you don't get it, it's calibrated to a lower level.

And -- but within that segment, we do grow, too. And there are certain in the segment, which

provides us priority sector and also provides through them partnership, certain small and marginal farmer or agricultural allied activity loans. We patronize all of those. So, it's not that it's just only one way of just look at this. You balance across various parameters of cost price, including the priority sector cost price and so on.

But that's how we calibrate that. There's no, again, one particular way. It's just a business line that you manage.

M B Mahesh : Second question is on the deposit side and loan growth. Is there any number in mind when you're looking at below industry average and looking at where the sector is growing in terms

of deposits

or -- you don't have an opinion about it at all?

Srinivasan Vaidyanathan : See, the deposits, what we have seen is that the industry has grown anywhere between 10.5%, 11%. And we have grown more than that, gaining market share any time period, if you take a year, three years or five years, between 50 to 70 basis points a year, gaining market share. But I'm not sure, which one you talked about where it is...

M B Mahesh : Srini, in a sense if deposits at a system level, let's say, is about 15% and loan growth starts to accelerate for the system. Is there a number in mind as to where you want your loan growth to grow? Or you're going to keep it a very flexible number out here?

Srinivasan Vaidyanathan : Yes. We are leaving that like so there's no one particular target, Mahesh, as we said, we are not strategizing to execute that one number that we want to hit. That's not what is there.

M B Mahesh : Just one clarification. On the savings account balances, if you look at the number of credits that are happening into the account, has there been a slow down there? Or this is just transition to term deposits that we are looking at?

Srinivasan Vaidyanathan : We are glad that you asked that question. When you look at the credits that are coming into the accounts, they are robustly growing, growing in 20s, right. So that means -- that's again contributed by new customers, too. So, I'm not talking about a static customer base. I'm talking about a growing every quarter, a little more than 2 million customer base coming in, shows that the credits do increase, and we are seeing robust increase in the credits.

But people do spend -- you're seeing that in the card spends anywhere between high teens to low 20s even in our own base, issuing spend or the acquiring spend, we have slightly under 40% share on the acquiring spend, that also, we're seeing quite robust growth where spends are happening. So, it's just that people spend, and money is with the government and not coming back recycled, or it's going through investments, through their alternatives in terms of what they are choosing to do. And time deposit is also one other area where savings is moving to time.

M. B. Mahesh : Perfect. Thank you.

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Classification - Public Moderator: Thank you. Next question is from Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: Sir, just two questions. So, one is on your Slide 36, your RWA to total assets is down quarter-on-quarter and you have degrown the corporate book and the mortgage book has also grown lower than the overall growth quarter-on-quarter. So, what would explain this lower RWA? And the second is just on the savings account, again, I mean, assuming you get a 50-basis point rate cut, would you expect savings account growth to go up or do you think this is more structured this time?

Srinivasan Vaidyanathan : All right, yes. Let's talk about the RWA density. 69% last quarter went to 67% this quarter, again, Saurabh that's a function of carrying higher liquid assets. If you look at our HQLA on an average basis went up by almost INR40,000 crores in this quarter. So, it's a function of how the HQLA is up and it's there and one other page on the balance sheet, where you see that we have more liquid assets. That's one.

The second aspect you touched upon is if the rate changes by 50 basis points, what happens to -- whether the savings rate goes down. It's too early to speculate on the direction of what it would be.

Srinivasan Vaidyanathan : We'll watch the system in terms of how.

Sashidhar Jagdishan : Yes. We have seen that change in rates is rather inelastic for savings balances build up. So, having said that, we cannot sort of do it in -- on a stand alone basis or suo motu, we have to watch how the system plays out, how the banking fraternity plays out because

it is something we

wouldn't like to sort of jerk that at this point in time. So, we are not committing anything. I think we would like to wait and watch on that particular front, how it plays out in the future.

Saurabh Kumar: Thank you.

Moderator: Thank you. Next question is from the line of Abhishek Muraraka from HSBC. Please go ahead.

Abhishek Muraraka: Hi, Sashi, Srini and Bhavin. Good evening. So, two questions. One is a data keeping one. Can

you share the loans that are linked to repo, EBLR, MC LR and fixed rate? And I can come back -- circle back for the second question?

Srinivasan Vaidyanathan : The loans that are floating, our external benchmark is, I think, roughly about 69%, 70% or thereabouts which is similar to what last quarter or the previous quarter that we had mentioned.

So, it is pretty at that level.

Abhishek Muraraka: Srini this includes MCLR as well or this is -- or external -- entirely external.

Srinivasan Vaidyanathan : MCLR is a tiny piece of that.

Abhishek Muraraka: Okay. And the rest is fixed?

Srinivasan Vaidyanathan : Yes.

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Classification - Public Abhishek Muraraka: Okay. Thanks. And the second question is on NIM. So, it seems if I sort of accumulate all the

comments by Sashi during the call, it seems that there are positive factors, there are negative factors as well like liquidity buildup, CD ratio run down. All of that is keeping NIM where it is.

Going forward, there will be a repo cut at some point and that will sort of drag it down. What can you do to offset that? If you want to keep it here or increase, what are -- what is now in your hands, what levers are there in your hands to offset that?

Sashidhar Jagdishan : See, whilst Bhavin and Srini will sort of supplement what I'm planning to say. All along we have maintained a very matched modified duration of our balance sheet. So, our view is that we should not have too much of an impact in the range at which we have been operating the margins in the near term. Of course, it's not a perfect -- it will not be the change or the delta for rate movements is not going to be in a perfect thing.

So, there will be quarterly variations, but broadly we should not see too much of -- I mean, don't go by 2 and 3 with the decimal points please. We have been operating in a certain tight range. I think that should be maintained. In the medium term, I think we should be able to manage these margins in this particular range. If we have clarity as to how the sustainability of liquidity in the macro environment, the sustainability hence of our deposit mobilization, the fact that -- hopefully, by then the draft guidelines will also sort of bring in clarity. Then you will -- and we normalize the LCR to levels where we have operated in the past. I think you should see some amount of kicker that we should -- we have always explained in the past.

Abhishek Muraraka: All right.

Moderator: Thank you. Next question is from the line of Prakhar Sharma from Jefferies India. Please go ahead.

Prakhar Sharma : Good evening and congratulations on the results. I just wanted to ask on the credit cost part.

Generally, 1Q tends to be a seasonally heavier quarter from the agricultural side. So generally, slippages tend to come off in second quarter adjusted for the seasonality and same for credit costs. But if I look at the slippage ratio, it's kind of flat Q-o-Q which I wanted to ask for clarity.

And similarly, if I look at the provision number of about INR 2,700 crores and add back the reversal that would have been done of the AIF, it will probably go to INR 3,300 crores. So, can you just explain if there is any other moving part in the credit cost line?

Srinivasan Vaidyanathan : Okay. Prakhar, it is -- yes, your observation that the NPA is stable. The question of whether it should be improving, it's a relevant

question. Historically, there has been some level of improvement whether it can be -- we can debate whether it is a 3 or 5 basis points, it has to improve. That is the kind of range that we are talking about here.

Also keep in mind the context that we made forays into small and marginal farmer and into deeper geographical segment over the last 1 year to 2 years. So, the seasonality operates differently at different years, particularly when you move into different segments that are organically, yes.

Prakhar Sharma : Understood. Thank you so much.

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Classification - Public Moderator: Thank you. Next question is from the line of Chintan Joshi from Autonomous Research. Please go ahead.

Chintan Joshi : Hi, good evening and thank you for taking my question. Can I come on the balance sheet again?

So, if I kind of take a few points, you mentioned that there is limited optionality on repaying the

borrowings, you are doing more securitizations which also reduce your loan growth rate. That excess deposit that you have. So, for example, this quarter it was 700 on average deposits versus 300 on average advances, kind of gets parked in liquidity.

How would you optimize this? If you build up too much liquidity, does that give you a little bit of room to grow your loans a little bit for 1 quarter until the optionality on the borrowing plays out. Is that how we should think about kind of sequentially how you would optimize that balance sheet structure?

Srinivasan Vaidyanathan : Chintan, thank you for asking again similar to what I alluded to before. As far as the deposit is concerned, both our distribution reach, addition of the customers, working with the 96 million - plus customers and our 207,000 people are positioned to get as much as we could on the deposits with everything else permitting. So that's something -- there's no calibration there. We want to get as much as we can. Price is not a differentiator. It's about the relationship to get.

Having got that, then it goes to the other side of the balance sheet in terms of how you deploy, what you do. That's where you're asking about how does the liquidity ratio or the LCR shakes up, right? The LCR is an outcome. It's not a driver. These are the drivers in terms of you get as much as possible deposits and the loan calibration that we have done.

Loan calibration, again, I described that we want as much loans as possible that passes through the credit on the mortgages and on the retail side at the price point we want and that the credit filters it passes. Where we have inhibition is only on the larger ticket size, where we are seeing very stubborn pricing, which is very low. That's where it gets calibrated. And other than credit and price, there's no other way that we are calibrating the loan as such. And we are not targeting one number or one range of numbers that we want to get to there.

Chintan Joshi : So, the bottom line is that if you keep growing deposits faster than loans, we don't have any issues with growing liquidity because the pointer is to bulletproof this LDR ratio rather than worrying about the NIMs in the short-term?

Srinivasan Vaidyanathan : No, that is building of liquidity is an outcome that comes and it is a good thing to be having because when there is a growth opportunity, that is what it gets positioned for growth. It's a good thing to have.

Chintan Joshi : And on the -- the second question I have is on asset quality -- the one area that has seen a pretty strong growth over the last few years has been CRB, MSME. We're going through cycles in MFI in consumer credit. I'm wondering, if there is something that might be in the pipeline in that area, if not for you, then more generally for the industry?

Srinivasan Vaidyanathan : We have not seen in our book any kind of a credit that inhibits the growth or inhibits any kind

of different approach to how we operate that.
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Classification - Public Chintan Joshi : That's good to hear. And it is heartening to see the improvement in the LDR ratio at an accelerated rate. So, thank you for taking my questions.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we will now take the last question from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla : Srin, just to reconfirm the floating proportion of the book. Corporate loans are about 19%. So, I'm assuming that would be entirely linked to MCLR, right?

Srinivasan Vaidyanathan : You can't look at it like that. There are some corporate loans that could be MCLR, that could be other -- yes, a good amount of that, your assumption is, is there a majority of this EBLR? Yes, it will be.

Manish Shukla : And the question is purely on repo. So purely repo-linked book would be what proportion of your overall loan book, just linked to repo?

Srinivasan Vaidyanathan : No, I don't have that particularly handy, but there are -- EBLR has got repo across mortgages, across some CRB products too and the wholesale corporate products, it's got -- some of them are T-bills and some of them have MCLR. So, across all of that, that's 69%, 70% that we talked about.

Manish Shukla : Okay. And the last question, before merger, HDFC Limited used to carry hedges on the liability side for interest rates. Are you still carrying any of that? Or all those have matured?

Srinivasan Vaidyanathan : Yes, we do carry those hedges. That hedges presupposes there is a borrowing that is attached. So, to the extent that the borrowings have not been paid down, that means they are not rolled down or prepaid, the hedges continue.

Manish Shukla : Would you be able to quantify that proportion?

Srinivasan Vaidyanathan : I think for the annual, we have published -- as of March, we have published in our derivative schedule, you should be able to see it in our annual report for the annual, but not quarterly, yes.

We published that annually.

Moderator: Thank you very much. I now hand the conference over to Mr. Vaidyanathan for closing

comments.

Srinivasan Vaidyanathan : Thank you all for participating with us today and engaging here. I appreciate your time. Thank you, Sashi. And if any of you have more questions or comments to provide, feel free to connect with our Investor Relations , and they shall be happy to engage. Thank you all. Have a nice weekend. Thanks, Nirav.

Moderator: Thank you, everyone. On behalf of HDFC Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2025

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

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January 29, 2025

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Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051
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Dear Sirs,

Sub: Transcript of Earnings Call for the quarter and nine-months ended December 31, 2024

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on January 22, 2025 with respect to the financial results of the Bank for the quarter and nine-months ended December 31, 2024, has been made available on the website of the Bank at the below link:

<https://www.hdfcbank.com/personal/about-us/investor-relations/financial-results>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

Yours truly,
For HDFC Bank Limited

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"HDFC Bank Limited
Q3 FY'25 Earnings Conference Call"
January 22, 2025

MANAGEMENT : MR. SASHIDHAR JAGDISHAN – CHIEF EXECUTIVE
OFFICER – HDFC BANK LIMITED
M R. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
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VICE PRESIDENT – HDFC BANK LIMITED

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January 22, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to HDFC Bank Limited Q3 FY'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-down phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Vaidyanathan, Chief Financial Officer, HDFC Bank. Thank you, and over to you, Mr. Vaidyanathan.

Srinivasan Vaidyanathan: Okay. Thank you, Neerav. Good evening to all. Thanks for participating and coming in today. I will kick it off. I'll request our CEO, Mr. Sashi Jagdishan, to get started and give some opening remarks, then we will go straight to any questions that you all have. We can go into that. Sashi, over to you, please.

Sashidhar Jagdishan: Thank you, Srini, and thank you all for joining on this call on a Wednesday evening. We just declared our results. And obviously, as you probably know much better than all of us put together, we are in the midst of a very challenging macro environment, with tight liquidity conditions, signs of moderating urban demand, a tepid private capital expenditure programs, volatility and depreciation of the Indian rupee, capital outflows from equity and debt markets due to uncertainty around the new U.S. administration. However, we also see some drivers of growth or some positive signs as well.

We are seeing some amount of rural demand picking up. The government spending is picking up after a slow momentum in the H1, the first half of the year. We see continued strength in services exports and a gradual moderation in inflation.

Coming to the bank, we seem to be progressing well in our journey to normalize our credit deposit ratio with the deposit growth outpacing our loan growth. We have seen robust growth in our average deposits at about 15%, which continued to gain market share. And our AUM advances growth of 8% year-on-year basis.

We have delivered a strong deposit growth despite the challenging macro environment. As probably you would know, on an average basis, I think, we saw a very near neutral liquidity in quarter 3 with a peak negative of around the INR2 trillion to INR2.5 trillion. NIMs have remained reasonably range-bound and stable despite the headwinds from tight liquidity, leading to a tight pricing environment.

We continue to add distribution. I think, over a year-on-year period, on a 12-month period, we've added about over 1,000-odd branches. But we have been able to maintain a very tight leash on the cost. Our cost growth has grown 7% year-on-year, which means that we have gained some amount of productivity gains there. But the most important part, which is something that we've always maintained, is our credit USP.

All our credit parameters, be it the slippages, be it the gross NPA, be it credit costs, ex of some of the cyclical patterns in the agri sector, have been reasonably resilient and stable, and which is

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something which sort of shows the strength of institution, not just now, but for a long time that we have been in this business.

Going into the future, we are robustly positioned. We have been growing in a very balanced manner in line with what we had committed to ourselves and to the world at large in terms of the glide path on the CD ratio or the kind of growth levels that we are anticipating. As we speak, we have sufficient liquidity. We continue to grow our deposits faster than the system, we have sufficient capital, allowing us to be very comfortable to grow or capture market share in the loans when macro turns favour.

I know all of you would have a lot more questions. So, let me pause out here,

and let us take

questions from all of you. Thank you.

Srinivasan Vaidyanathan: Thank you, Sashi. So Neerav, we can kindly open it up, and we can go straight to questions, please.

Moderator: Thank you very much. The first question is from the line of Mahrukh Adajania from Nuvama Research. Please go ahead.

Mahrukh Adajania: Congratulations. First of all, can you give as much color as possible on how you met PSL on e-HDFC's book because your opex does not seem to have increased. And then there doesn't seem to be much RIDF for previous shortfalls, either. So just as much color as you could give on PSL. That's the first question. And the second question is that if you could separately call out the TCR excluding agri loans, and if there was any tax refund in other income, other interest income? These are my questions.

Srinivasan Vaidyanathan: Okay. Thank you, Mahrukh. First thing on the priority sector. Our priority sector is last year or as we see now, at the aggregate level, we meet the target, 40-plus percent. The only area last year and as we speak now, we see is that small and marginal farmer and the weaker section. There are dual qualifications between them, but that's normally about a percentage points we always look for opportunities.

And yes, between there are several products that go for getting that. One is organically grow on balance sheet book. That's one. We do IBPC to buy certain book or PTC's investment book, we buy. We also buy PSLC in the market. So, it is not just opex. The cost of PSL is embedded within our overall ROA structure now and in the past, and it can straddle across various lines. If you originate, you end up with certain credit costs. That's part of how you price it in. If you buy it, you get it in PSLC. If you buy it through investments, you're getting it through investment book, or if you get it through a loan purchase, you get it through loans. So, it can straddle everywhere. But yes, we do look for always, we do need to find that last percentage in the SMF and agri has always been in the past elusive and as we see now, but we vehemently pursuing at the right price to get that. That's part of the first question. We...

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Mahrukh Adajania: Sir, just one thing, sorry, one clarification. So, this time around, there was not much PSLC. Is that a fair assumption?

Srinivasan Vaidyanathan: No, there's not much. There's not much. Yes, but the year is still not over. And so, as the year progresses, we'll have to see where it ends.

Okay. The second aspect is the PCR that you touched upon. The overall PCR, you can see, is about 68%. And you know that the slippages were impacted by agri, which is the seasonal agri. Excluding the seasonal agri, the slippages are flat period-to-period. And so, they are, since they are in the early buckets, the PCR, excluding agri, is at 71%, which is same as what it was in the prior quarter. That's the PCR.

The third aspect of it is the tax refunds or whatever. Yes, every quarter, we get something. This quarter is about INR2 billion. Last quarter was about INR0.5 billion or something. And so, every quarter, there is something that comes. And the agri reversals, the interest reversals on agri also go, but that goes to the loans part of the interest on loans. Yes, correct. That is a separate item, yes.

Mahrukh Adajania: But what is the agri reversal?

Srinivasan Vaidyanathan: So that's again for the NPA, relating to NPA. Now you reverse the interest once an account goes to NPA. And typically, the agri interest reversal is about 1-year interest that you reverse.

Mahrukh Adajania: Okay sir, thank you.

Moderator: The next question is from the line of Chintan Joshi from Autonomous. Please go ahead.

Chintan Joshi: I've got one on liquidity and then one on your contingent provisions. So, on liquidity, if I think about the last 2 quarters on average, on average balances, you've ad

ded about INR1.2 trillion,

INR1.3 trillion of excess deposits over loans, and borrowings are only down about INR250 billion. That excess liquidity that you have on balance sheet, at what yield have you parked that liquidity, if you can share that with us?

And also, what is the weighted average cost of borrowing that is maturing over the next 2 years? Just trying to understand what the funding synergies will look like over the next 12 to 18 months. And then on contingent provisions, the question is, what is the process of releasing that contingent provision? You released INR3 billion. You obviously have a lot on your balance sheet. Will you be using these provisions to buffer the P&L volatility? And do you kind of need to go to RBI to be able to use this? Or you can use those with your own discretion?

Srinivasan Vaidyanathan: Okay. Okay. Thank you. First on the liquidity. If you look at our abridged balance sheet, you'll see that sequential quarter, the investments net of cash and cash equivalent is up by about INR500 billion or INR50,000-odd crores, right? It's up. And it gets invested by treasury through various instruments. And the earnings on that can range anywhere between 6.5%, 7%, and it depends on where it lies.

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But to give you a context, you wanted know at what rate we invest. But I'll tell you, the G-Sec, the 10-year G-Sec, sub 7%, right? So, you get an idea of where those investments can go. And there are several instruments that we choose to be there. So, it's period-to-period, it changes and gets calibrated by our treasury. And as much as possible, they will optimize what could be done within the overall liquidity scenario. That's on the liquidity front.

Chintan Joshi: And the borrowing cost?

Srinivasan Vaidyanathan: The second aspect on the...

Chintan Joshi: What's the borrowing...

Srinivasan Vaidyanathan: The borrowing cost is about 7% -- 8% or so is the borrowing cost that we have had, particularly the borrowings that have come from HDFC Limited come with those kinds of costs, right, 7.98% or so. That includes the cost of the hedges and so on, fully loaded cost, it comes to about 8% or so on the borrowing. And yes, we do optimize. It's a good point that we touched and linked it to borrowing.

As part of the treasury management, we do as much as possible link to see what are the opportunities out on the borrowing. There's a maturity profile that you asked for the next 18 months. I think we published some of the maturity profile, which is there. In the annual report, it is there.

But in addition to that, I do want to say, opportunistically, we do look at things that we can do. For example, in this quarter, we did buy, call it, INR44 billion or INR4,400 crores of bonds and extinguished. That's part of the ongoing process, especially it manages and optimizes whatever is possible, and we mix and match and do these things. So, I hope that gives you an idea of continuously and dynamically, it gets managed by our treasury.

Getting to the contingent provision as such. Yes, I mean, there are signs around the contingent provision. There is a process across various portfolio classes that we employ in terms of what we do and how we assess certain things. If they are NPA, they are part of specific, right? If it's not an NPA, it's not in the contingent at all. Contingent is not something that we foresee, but contingent upon certain event, it can happen or not happen. And we assign various probabilities, and we make certain judgment calls.

And there is some process around it, the document process we follow. So certainly, this is not something that is at a discretionary level.

Chintan Joshi: So, you released a little bit of contingent provision this quarter. I was trying to understand what led to that release?

Srinivasan Vaidyanathan: Okay. Good part. Current quarter, there's a large wholesale account, which is performing

wholesale account, which means they're not an NPA, performing account, which we had tagged that for contingent provision because our credit risk assessment showed that vulnerability. So,
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we provided -- and in this quarter, we received money, we collected cash, and so the contingent was not required. We recovered.

Chintan Joshi: Okay. So, we should read that as recoveries rather than -- okay, fine. That answers the question.

Moderator: Next question is from the line of Kunal Shah from Citigroup.

Kunal Shah: Yes. So, the first question, again, in terms of the overall provisioning coverage, specific provisioning coverage. No doubt you indicated in terms of on agri, it's been flat on a quarter-on-quarter basis. But otherwise, the trajectory has been downward. So maybe, have we reached the optimal level? Or should we see further, maybe, at least, managing the provisioning coverage slightly lower considering the behaviour of the portfolio that we have? So how should we look at that entire trend because last 5 quarters, it's been coming off?

Srinivasan Vaidyanathan: Yes. See, the provision coverage ratio is a mix of various products that go in and go out, right? And as you know that when something enters 90, there is some level of provision we do. And as they progress through the delinquent buckets, it gets covered. And so, it depends on the mix

of products that come and go.

So, in this quarter, if you saw the agri product come and go, it's secured. And again, the mix of secured, unsecured is very relevant in the overall situation, right? And so now you had an agri coming in, we'll have certain level of provision. That is why ex-agri, the provision coverage is 71%. And with the way that it is reported, it is 68%. And the vintage of the NPA also matters, right, the newer vintage versus the older vintage and so on.

Kunal Shah: Okay. Got it. So maybe if we assume that maybe the stress level remains, we are able to manage it well, then should it be managed at the current level? Or we will see the further decline out there because of this movement, which happened in the NPL?

Srinivasan Vaidyanathan: See, there is no one particular formula or whatever, right? It depends on the mix of products, secured, unsecured that come in and go out. And so thereby, the provision coverage moves in or out.

Bhavin Lakhpatwala : So Kunal, there's no discretion or judgment from a retail standpoint. It's a product program. It's a mix of the product and the stage of NPA, which will define. It is not necessarily some judgmental call that we take on a quarterly basis.

Kunal Shah: Sure. And overall, if you can share in terms of the 100% provisioning policy for the unsecured portfolio, when does that kick in and the write-off policy? And any stress in any of the segments? Maybe the overall ex of agri slippages were almost flat in the absolute term. But any segments, which is worrying you? We are seeing a few of the players talking about stress evolving in some of the other segments as well. Anything that is worrying you at this point in time?

Srinivasan Vaidyanathan: So okay. So, 2 aspects of it. One, in terms of the write-off unsecured and so on. The product program in the retail area, each product program is different in terms of what it is, but we touched

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upon the unsecured. Unsecured gets written off at 150, which means if an account is not recoverable at 90, there is a very quick P&L take on that, right? So suddenly, you'll see that we hit to 100% provision and then it gets out, right?

So that's something very important to note that if you're not able to collect within 90, there is a huge acceleration in terms of the provisioning that happens there. So that's in terms of a couple of unsecured that's there. And each secured will have another kind of 150, 180 and so on. But then thi

s is the kind of a process, again, part of the product program, formulae determined.

The second aspect that I touched upon is the quality of the overall book. The quality of the overall book across segments continues to remain stable, which is the retail, the retail unsecured, secured or in the CRB book, the SME book or the SLI book or whatever or the wholesale book for that matter, pretty stable across all of those segments as we see.

Moderator: The next question is from the line of Suresh Ganapathy from Macquarie Capital.

Suresh Ganapathy: There are 2 questions. One is on the HDB Financials credit costs having gone up quite sharply Q-o-Q from 1.8% to 2.5%. Can you just give us some color what has contributed to this rise, both whether it is secured, unsecured? So just a little bit color on that. And the second thing is on merger synergies itself, right? So, the merger happened on July 1 of last year. If I were to take a snapshot of that point in time, your margins were at 3.4% and cost ratio was 40, 40.5. 18 months down the line, the numbers are still the same. So, nothing has changed with respect to margins or opex.

Now when can we start seeing some of these numbers happening? Because it's 18 months already into the merger. When can we see the margins improve, the cost ratios coming down? Any color on that would be great. Not exactly I'm asking for the immediate guidance, but it's 18 months into the merger, so we thought we should see something on these 2 ratios.

Srinivasan Vaidyanathan: Okay. Thank you, Suresh. I'm going to get started, and then the others can join with whatever. First is the HDB that you touched upon. Yes, HDB did have higher levels of Stage 3 in this quarter. The difference between this quarter and last year was a lot to do with provision, including management overlays due to lowering of the economic forecast and so on. So, the higher levels of provision, Stage 3, in Stage 3.

Stage 2, which is very important, because that's where the flows move in as we go along. Stage 2 improved from September to December by about 5 basis points or so, Stage 2 improved. But Stage 3 at an aggregate level changed by 15 basis points. But however, within that Stage 3, there are 2 categories that we look at and manage. One is loans that at some point in time this quarter, prior quarter or even 2, 3 quarters ago, moved into NPA, but subsequently have pulled below 90 days, but have not managed to pull all the way to 0 days, which means there are no more 90 days, but still NPA, because they have not come back below 0.

So that particular category is higher in this quarter than what it was in September. So that means something slipped and pulled back, but not pulled back enough. So subject to that, the overall

Stage 3, right, is up by about 5 basis points or so in this overall category segmented book, which is for a couple of notches below the bank category segment, 5 basis points is within the reason and the provisions were based on that purpose. So that's on the HDB as such.

The second aspect on the merger and the merger benefits and so on. See, there are several dimensions to the merger. Certain basic metrics like getting the liability accounts opened, we are like 96%, 97% successful for any new to bank incremental mortgages coming in. So that's part of the beginning, and it comes with some INR30,000, INR32,000 balances 1- to 2-month instalment.

So, we are making good traction on that. The second traction is that out of the 4-odd million customers, we need to get the liability accounts open for that balance so that we get into not just a mortgage product relationship, but the overall banking. About 1.9 million of them so far, we have been successful to bring them on the liability relationship.

We have more to do on that one, right? So that's the second. And then we have another about 0.25 million or 250,000 customers

or so, where we not only have this, we have other multiple other products like credit card products and a few other products we have started.

Another dimension to the merger is also about the branches, how many branches we have to get through various, not just those 2,500, 3,000 branches, but broader. But if you look at over the last 6 months, 80-plus percent of the branches have been able to do at least one. So, it depends on customer demand, but at least we made a good traction that capability at the branch level to open is there.

Now coming to the other dimension of it, which is get to the margin, the cost to income and so on and so forth. Yes, the margin, we started with 3.4% has been in a stable band over the last several quarters, and the good amount of the tailwind that has come to reduce the borrowing cost, which is what we managed to get a good amount of borrowing down, has been offset by the CASA, right?

Again, it's a customer behaviour. We have a choice to make in terms of whether we want a holistic customer relationship that includes time deposit, which grew at 22.7% in this quarter, right? Or we don't get that time deposit and look for only CASA so that the margin can go up. That's a choice to make. But then I think the business leaders did make the choice to say that we need to keep that customer relationship alive and growing. So, it's not about, so that in the course of time, we will get the CASA coming. So that's another aspect of it.

Sashi, I don't know whether you want to add cost to income...

Sashidhar Jagdishan: Suresh, also, I mean, let's also look back into perspective that the environment at which was prevailing at the time of announcement of the merger or at the time of the merger in July 2023 was completely different from where it has progressed from then on and where we are witnessing at this very moment in time. Obviously, on a static basis, I would have agreed with you, probably we could have done better. But when you look at the dynamic environment that we have been

witnessing since the merger, we have seen a kind of a shift in terms of what we need to reorient ourselves.

I mean, at that point in time, we were contemplating of growing our business in a manner similar to what we have been doing for a long period of time in terms of gaining market share even on loans. But then when the macro started to change, when liquidity started to tighten, when the outlook on credit started to change negatively as we recall and you would recall that in February of '24, I mean, as early as February'24, we called out to say that we are changing our tack.

We said that we will grow. We will try and bring down the credit deposit ratio as quickly as possible over a 2- to 3-year timeframe. FY '25 will be lesser than the system. FY '26 will be in line with the system. FY '27 will be faster than the system. So obviously, this means that in FY '25, as you have seen now with an average AUM growth of 7%. This is in line with what we had envisaged. So obviously, some of the parameters that we were talking at the time of what you were expecting or what we were expecting at the time of the merger does not hold good and we have to recalibrate ourselves.

So in the light of that, to maintain stability, which is what Srini was mentioning and being range-bound means that I think the company has been resilient enough instead of going northwards in

some of the key metrics and metrics and parameters, we've been able to maintain in a range-bound manner, which itself shows that as things start to get better from a macro environment perspective, from a liquidity perspective, when deposit prices start to come down.

And probably as you have seen, we have all seen that as prices come down, CASA ratios will also move up, you will have a kind of a shift in some of the metrics, which is in line with what you and I would expect

ing, etc. I think that perspective needs to be factored in, in terms of why we continue to be stable and not sort of having an upward trajectory on some of the metrics, like margins or downward trajectory on cost to income.

Srinivasan Vaidyanathan: On the cost to income, I want to add that we are at about 40.5% or so between 40%, 41%. It's been stable at that level. Two aspects to it. If you look at the rate of growth of cost, about 7.5% or so rate of growth of cost, right? The country's inflation is between 5% and 6% at an aggregate level and depending on the wage and so on and so forth, it's getting maintained at that level, sub 8%.

One other context to that is that despite we have added 1,052 branches in the last 12 months. So, we've added that and managing the cost in the tight leash. I will continue to make those investments in technology. The technology component of the costs is north of 10% right now. It used to be in single digit to high single digit. Now it's north of 10%. So, continuing to make those investments that are required.

Lastly, I do want to add, it's not just about the cost to income, which is a function of the numerator and the denominator. So, we also talked about the margin impact there. If you look at the cost to assets that were about 1.93% or so, is very tight and is one of the best in-class cost-to-asset basis. I just want to leave it there and hope that gives you some perspective, Suresh.

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Suresh Ganapathy: Thank you so much.

Moderator: Thank you. Next question is from the line of Pranav from Sanford Bernstein. Please go ahead.

Pranav: The first question is on your loan yields. I mean if you look at the bank's loan yields today, it's meaningfully lower than peers versus the long-term history, where even if you include the retail mortgages, the loan yields were much higher. Now if you look forward, let's say, over the next 2 to 3 years, do you think the absolute loan yields will converge with peers? Or do you think only the risk-adjusted yields will converge?

Or will the lower risk adjusted yields be the price to pay for scale? So where do you see it progressing next, not next few quarters, but more like a 2- to 3-year outlook?

Srinivasan Vaidyanathan: Okay. Yes. See, there are 2 aspects to it. If you look at the current composition of a risk weight density, which in one of our pages that we have, it's been stable at about 67% or thereabouts. There is great density. That means the assets, RWA to total assets at about 67%, it's been pretty stable if you look at the RWA to funded and non-funded post the conversion factor at 63% or so. And if you benchmark this to some of the peers, you'll see that it's at least 5 to 7 percentage points or thereabouts lower, right?

So that means the risk density on the book appears to be lower. That's one. The second aspect of it is in a strategic sense, when you look at it in a couple of years, where the yield is, yield is a function of the mix. And as the retail, which over the last 12 to 18 months, we have been cautious in terms of the retail. Even before our overall loan book, we started to pare down the rate of growth. The retail rate of growth was even earlier taken down, the rate of growth, by our credit through calibration of credit models. They took down the retail.

So, it's a function of the mix. We continue to make investments in retail people and product and technology. We do expect that the retail mix will go up. And so thereby, the yield on the overall book should trend up. And thereby, you will see that the risk weight density also move up because where retail comes up with the higher risk weight assets.

Pranav: Got it, Srin. So, sir, if let's say, you see a convergence in the risk density, there's no reason why we would be at a lower yield compared to peers?

Srinivasan Vaidyanathan: I didn't get that.

Bhavin Lakhpatwala: The way you think about

t this is finally a customer segment. And historically, we've been operating in a slightly segment, which is comfortable with us. And hence, you would find that historically as well, our risk-weighted density is lower. So, the convergence, to my mind, would happen if the risk undertaken from all, since you're saying from a market is similar or no.

Pranav: Understood. The second question is just technical one on your trading and MTM income. You just had like 3, 4 quarters, 3 quarters of low gains from securities, etcetera. Is that a one-off? Or is that something that we should expect to continue? How do you see that trend going forward?

Srinivasan Vaidyanathan: So, this quarter was a very modest number in terms of the growth. Yes, where is it? Bhavin Lakhpatwala: One of the things that has happened is we inherited certain equity investments, and that is also going through the P&L, which is showing up in the line that you're speaking about, the mark-to-market, which is coming.

Srinivasan Vaidyanathan: Yes. In this quarter, particularly, we've had almost INR2.5 billion or so negative mark-to-market on an equity position that we have inherited, that we have taken through the P&L. It's a negative.

Pranav: Understood. So, ex of that, there's nothing that's changed fundamentally?

Srinivasan Vaidyanathan: No, fundamentally...

Moderator: The next question is from the line of Rikin Shah from IIFL.

Rikin Shah: Yes. So, the first question is on the employee headcount. So, after dipping in 2Q, the employee headcount has again gone back to 2,10,000. And we have seen that some of the peers have been trying to stabilize the headcount and letting the natural attrition happen. So how should we think about the employee headcount going ahead? That's question number 1. And question number 2, Sashi did allude to his earlier guidance that this year, we should be growing slower than system next year in line and FY'27 faster.

But in that context, while we are gaining deposit market share at around 16%, there is still inherent macro restrictions. And within that construct, the deposit growth can't be significantly higher. So how confident do we feel about growing in line with the system for next year. Does that guidance still hold?

Srinivasan Vaidyanathan: Okay. I'll start off on the headcount. We have about 210 or so, about 2,500, call it, around 3,000 people added in the quarter. And over a period of last quarter, we did actually come down. So, if you look at a 6-month or a 9-month period or even 12-month period, it is just 2,000 from last December to December. So, we held down. Again, the reason is that we have ramped up some investments in people and maintained at that level. And we are working through various productivity models to enhance the value.

Essentially, that means getting various tools to these people to utilize better for engagement.

That doesn't mean to say we will not add going forward. We take it every quarter at a time in terms of -- these are mostly frontline, right? In fact, even across the book, we have 85%, 90% of the book touching the customer headcount, touching the customer in some manner or the other, right? So, depending on the need and the traction, we will add. But again, we are circumspect in terms of getting the right kind of productivity before we can add.

So that's on the employee as such. The second aspect of the growth rate, how do you get to the growth rate in line with the market from where we are. Rikin, one thing to note is that there is not a product that we have exited or a geography that we have exited. We are there in all

segments, all products, in all geographies. I'm sitting on liquidity, right, and with, of course, capital tailwind, which is there.

Currently, the rate of growth is consciously calibrated either through credit models,

a good

amount of the retail I'll put it in that bucket, or calibrated through price models because we do see tightening prices, tightening spreads in the non-retail. In the corporate world, the spreads are tightening, right? So somewhere between these, it has been calibrated.

So, it is -- and the resources to get these loans up at the scale at which we want continue to be in the system, continues to be engaged. So, it's a question of at the right time that we want to dial, as Sashi was alluding to in his opening remarks, as the macro turns and we feel comfortable, the dial can be taken off.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: I have 2 questions. One is that you alluded to the difficult macro conditions in your opening remarks, but HDFC Bank definitely continues to navigate well through this environment as overall slippage rate remains better versus peers. So how are you looking at the credit environment in respect to unsecured loans in the commercial banking business? Because these are the 2 segments that we have been still growing. And given the vulnerability that you see, how like confident you are to maintain these slippages, run rate and the credit cost overall?

Srinivasan Vaidyanathan: Okay. Good point, right? One, as we see now, the book is pretty stable, has performed both on the unsecured front or on the commercial side that you talked about, has been pretty stable. And

that is part of the credit monitoring model and the collection analytics that go to be in front of the queue to do all of that. I mean, there are various factors that go in. So, all of those factors are at play and have been a top notch in terms of keeping it pretty stable.

And one other important aspect of you looking at being stable is, the ratios are stable despite the slowness of the book, which means the book is not growing at 12%, like the industry grows, the book is growing at half the rate. Even when you slow it down, the ratios and the numbers look pretty stable that essentially vindicates the position of the origination quality as well as the capability in terms of getting the collection accomplished very well.

So, I want to leave that thought. So, as we see now, going forward, we're confident of continuing our strength and displaying our strength on these portfolios.

Nitin Aggarwal: Right. And we really appreciate that. And second question is just a data keeping one on mix of floating and fixed rate loans. Like how much is repo? How much is MCLR, if you can just share that colour?

Srinivasan Vaidyanathan: We have roughly slightly under 70%, which is floating, 30%-odd, which is fixed. And on the floating side, if you see almost, call it, 45% or thereabouts is repo-linked loans. We have some MCLR and some treasury bill linked to loans, but mostly, it's repo.

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Moderator: The next question is from the line of Ravi Purohit from SIMPL.

Ravi Purohit: I have 2 questions. One is the NPAs that we got in from the HDFC wholesale book would have been classified as NPAs, they were restructured accounts earlier, and they would have been classified. Now that they would have spent 12 months since then. Will we see a significant reversal of provisions of those that wholesale book in the current provisioning set? And second question is on the wholesale deposits that came in with HDFC Limited book.

So, we reported 16% growth in our total deposits. But ex of, let's say, would we have let go of the wholesale deposits from HDFC Limited or we would have continued. If you could just give some colour ex of that or adjusted for that, what would have been actual deposit growth that we have actually delivered. Those are my 2 questions.

Srinivasan Vaidyanathan: Okay. All right. Let me first talk to you about that provisioning or whatever, right? There are a bunch of contingent provisions that we have done

in the past. And to the extent that I just alluded

to for another question about when there is a cash recovery, we feel confident and until then, we remain provisioned on certain things. Now then we released the INR30-odd billion that I talked about, INR3 billion that I talked about. The other aspect of it is, this is a good point that you raised.

We do have almost about 15 basis points of our NPA, which are performing, right? They are performing. But historically, in the erstwhile organization, they were restructured. But since they were restructured per the RBI regulation, we have marked them as NPA, 15 basis points. They are performing, but it is part of that NPA, which is there, right? So, I do want to bring your attention to that.

And the last aspect that you talked about is the deposits that we brought in. And so, the 16% rate of growth on deposits is net of all of that. There are certain categories of deposits, high cost, particularly nonretail high-cost type of deposits, which we did not patronize or let go because to us, I think in 2 quarters ago or so, we did talk about the value. There are certain institutional type of deposits.

Example can be a trust, example can be certain other organizations, where the value, the LCR value could be 100% runoff. So, for which we don't need to pay the high rate, which means the bulk deposit rate doesn't need to be paid. So, if it is a bulk in nature, they have gone. So, whether excluding that, whether it will be more than 16 years, it will be more than 16. How much? Maybe 2%, 3% better. But again, it's all part of the business and part of this overall mix.

Moderator: The next question is from the line of Param Subramanian from Nomura.

Param Subramanian: Firstly, going back to priority sector. So last year, we had a shortfall in both SMF and weaker sections and the one-third requirement from HDFC Limited book. So, both of those PSL compliance will be completed by fourth quarter? Is that the way to look at it? And what proportion would roughly be RIDF within that? Yes.

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Srinivasan Vaidyanathan: See, it is the requirements have kicked in. And you know that the requirements are 1/3, 1/3, 1/3

over a 3-year period. So, there's a glide path into that. And so whatever, when we have to meet not just for the year end, even for December, for that matter, there is some proportion that kicks in. And that's part of what I alluded to, to say at an aggregate level, we are comfortable for the first 9 months, there is a percentage point or so that we do need to close on SMF and the weaker section.

That's part of the plan in terms of how we operate for the next 3 months to close available depending on what is available and at the right price. And of course, the first goal is to organically grow as much as we can. And we don't, alternative instruments are used.

Param Subramanian: Okay. Got it, Srin. So, a percentage point shortfall in both SMF and weaker sections. That's probably where we are currently on the merged book?

Srinivasan Vaidyanathan: That is correct, yes.

Param Subramanian: Okay. That's helpful. Secondly, on PCR. How are we looking at PCR, say, relative to our peer group? Because if you look at it at 68%, we are lower than most of the big private banks even compared to where RBI pegged the system level at 77%. So how are we looking at this going head?

Srinivasan Vaidyanathan: Okay. First is the 68% to 71% without the agri. That's number one. Number two, the PCR is not something that is benchmark able at the aggregate institution level. We'll have to look at the composition of what the NPA is. If an institution has got a larger composition of the wholesale book, particularly the legacy wholesale book in NPA, and if it is fully provided for, the PCR is higher. And if it is a retail book, it enters as it described to you, particularly the unsecured book as it enters into the 90, the

re's a level of provision.

As it enters into 120, you provide for it. And at 150, you write them off. So, it depends on each institution's policies of what is the provisioning at the entry stage and at the mid-stage and at the end stage, and what is the segment classification in the NPA. Many factors play into this. So, it's not a straightforward number across the institutions you can see and make a call what that is.

Moderator: The next question is from the line of Saurabh from JPMorgan.

Saurabh: Sir, just 1 question. On your costs, should we expect a broadly similar cost growth for next year because I mean you're largely done with your branch expansion, employees are not growing too much. So, should we expect the cost lever to be pressed even going ahead?

Srinivasan Vaidyanathan: So, Saurabh, to answer, right, normally, we don't give guidance or outlook. I don't want to give you an indication, but I do want to tell you the intention on how we operate now. The mindset is to be operating in a controlled manner. Controlled means what I mean is that drive productivity as much as possible, make those investments in people, branches and technology where it is required and where we are able to see opportunity space.

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So, there is no one predetermined path, but the underlying kind of directives that, I mean, Sashi is sitting here, what is given is that be circumspect and much more stringent in terms of how we allocate cost, how we give for spending. So, we're trying to keep it as tight as we can.

Sashidhar Jagdishan: Yes. That's right. And in fact, it doesn't mean that we will not be investing. We will be investing in distribution, in people, in technology. But there will be overall, we would want to ensure that we get productivity gains out of this. So, we all believe that our business growth is going to be in line with the system growth next year.

Our endeavour and which is what we are trying to have a goal for ourselves is to ensure that we are far more efficient in terms of how we spend and what we spend and try and have efficiencies arising out of the cost.

Moderator: The next question is from the line of Abhishek Murarka from HSBC.

Abhishek Murarka: My question is on this emerging corporate group. On last 4 to 5 quarters, the loan book has been very, very stable, not growing much. Is it that you still see risk there? Is it a function of profitability? Or why or when do we see some growth coming out of that book? So, if you can share some qualitative commentary on that, that would be useful.

Srinivasan Vaidyanathan: Okay. Lovely. Abhishek, as the name suggests these are emerging corporates. That means they are growing and getting to be larger corporate size. Like the way we have seen spreads tighten in the larger corporate space. Here also, we see the spreads tightening, right? And that is something that we've been pretty cautious. The quality of the book is exceedingly good, right? Like the way the corporate book, you'll see that we have seen that we reported that too quiet very good.

However, we are circumspect in terms of offering the right price. That's what is determined. We do want that relationship with those customers, which means there are certain level of wallet share that we want. We'll continue to keep those level of wallet share. And at any price, we don't need to keep increasing the wallet share.

So that's how we have looked at it, of course, there is no one answer that we can do at every quarter time period, but we continuously evaluate and this is how we are approaching, right price, keep the wallet share and manage through the relationship because we do want the SME relationship and the individual relationships coming from these corporates.
Abhishek Murarka: Okay. So, it's more a function of pricing rather than slippage or asset quality or risk?
Srinivasan Vaidyanathan: That's absolutely correct, yes. Because

all of those corporates are quite strong for us and across the industry, we see this quite strong.

Sashidhar Jagdishan: Just to reiterate, Abhishek, Srinidhi alluded to it. The asset quality across retail, unsecured, commercial and corporate has been very stable, including your emerging corporates. So, we have been seeing this for quite some time, and the stability continues even as we speak.

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Abhishek Murarka: Sure, Sashi. I really appreciate that. And actually, a pretty commendable job there. Just one data keeping question. For the CRB book, what would be the blended yield?

Srinivasan Vaidyanathan: We've not published that separately, but I don't know whether in our 20-F annual filings that we do know. So, we don't particularly break up. We have retail wholesale segment rather than 3 segments, yes.

Abhishek Murarka: Yes. So, would it be higher, lower than blended book yield? Just the qualitative indication, that will also help.

Srinivasan Vaidyanathan: We haven't published that, Abhishek. That is all. At some point in time, we'll consider... We'll consider doing that, yes.

Moderator: The next question is from the line of Prakhar Sharma from Jefferies India.

Prakhar Sharma: Congratulations on managing good results in a tough environment. I had just a few questions on the agri part and request you to probably even if you want to give a monosyllable answer, that will work. So, first part is, in this quarter, what sort of interest income reversal could have been there? So, has there been a few basis points impact on margins because of the seasonality?

Srinivasan Vaidyanathan: There will be, and it could be INR1 billion to INR1.5 billion or so. But that's part of the business as usual, every other quarter, we get it, and it moves up and down, yes.

Prakhar Sharma: Got it. And you have in this quarter versus, I think, even the first quarter, there is a reasonable increase in the agri slippages. So, is this also a seasonal pattern that 3Q agri slippages tend to be higher than the 1Q slippages? Or is there a deterioration in the environment? And is it linked to micro finance?

Srinivasan Vaidyanathan: It is slightly higher. Normally, December is slightly higher than the June. But it is within normal, but nothing connected with micro finance or anything. Our micro finance is a separate book, and that book micro finance book is less than 1% of our total book. And we have 5% of our workforce. There's more good social and a very stable book, well performing, lend to women in the rural area, handled by our relationship managers to get them to produce various articles. So, we are quite proud of the book and performance of the book.

Prakhar Sharma: Awesome. And why do you keep a lower coverage on the agri loans? Because I thought this is unsecured or a difficult market. Is it secured in that sense?

Srinivasan Vaidyanathan: Yes, it will be. It will be. And the entry level, you know that the agri provision will be lower than the 70% or so. The first bucket...

Prakhar Sharma: The LGD is also lower. Is that what you're trying to say, the LGD on this book is lower than the rest of the book?

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Srinivasan Vaidyanathan: So, the loss given default will be, over the lifetime, yes, it will be. If you go through an ECL model, it will be far lower.

Prakhar Sharma: Got it. Got it. And last part is the agri slippages, as you report and the agri loans that you report, are they like-to-like or they are different cuts?

Srinivasan Vaidyanathan: They are like-to-like.

Moderator: Next question is from the line of Rahul Jain from Goldman Sachs.

Rahul Jain: I just had 2, 3 questions. So, first is, you've got this business banking portfolio, which is INR3.5-odd trillion. Is it possible to get some more colour on this book? What proportion would be to the individuals? What provision would be unsecured

or secured in this portfolio?

Bhavin Lakhpatwala: Sorry, Rahul, in business banking, you're saying?

Rahul Jain: Yes.

Bhavin Lakhpatwala: So, the business banking book will be largely secured, correct?

Srinivasan Vaidyanathan: It is secured.

Sashidhar Jagdishan: And the self-employed will be in unsecured in the PL, the retail part of it...

Bhavin Lakhpatwala: The smaller book...

Sashidhar Jagdishan: Yes, which is very stable.

Rahul Jain: And that's used for the business purposes?

Sashidhar Jagdishan: That is correct.

Rahul Jain: Self-employed. Okay. How much will that be, Sashi? Have you given that number out?

Sashidhar Jagdishan: Part of the overall portfolio, there's no change that we have seen there.

Rahul Jain: Which one?

Sashidhar Jagdishan: The individual business.

Rahul Jain: Fair enough. Okay. Got it. The second was around on CASA. I appreciate the feedback or the response that you gave, Srini, about the choice of relationship that the business leaders are deciding. But at the same time, this is adding up to the cost of funds. So, if you are losing the proportion there, are we able to pass on to the borrowers in the same magnitude, that is, are we able to protect our spreads for the change of mix that is happening at the deposit level?

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Because I know it is specific to HDFC Bank. It's a system-wide phenomenon. But this ratio has been continuously under pressure, may not or may take time to bottom out until such time, whatever incremental lending are we doing, are we able to pass on that incremental cost to those borrowers on a like-to-like basis?

Srinivasan Vaidyanathan: Okay. Rahul, the short answer is, yes, you can't pass it on because if it's a retail customer, it tends to get into adverse selection, and the nonretail customer is extremely sensitive and actually the spreads are tightening. It's moving on the other direction. You see the bond spreads in this quarter. The bond spreads have come off AAA or AA, or whatever category NBFC corporates. If you see anywhere between 10 to 25 basis points, the spreads have tightened in the market in this quarter, in the recent time period.

So, the possibility of pass on, we wish, but that is not. Other than getting any adverse selection, we are very cautious. And you don't pass our credit even as the frontline goes down to different customer segments. So that's in terms of the lending as such...

Rahul Jain: How do we protect the margins on a go-forward basis? How would the margins trend? Of course, I understand the repricing of the HDFC limited borrowing will be taking place. But just keeping that aside, what is the drift of spreads or the margins envisage in a declining CASA environment from these levels?

Sashidhar Jagdishan: So, Rahul, good question. We have seen it over 30 years how the composition of our deposit mix changes with different interest rate cycles. So, in a high interest rate cycle, obviously, the CASA ratio is down. And as we expect in a couple of years, the economy trying to move northwards. We should see rates coming off. We should see the CASA volumes moving up, people or the TD volumes coming down, TD rates cooling off, and there's a huge correlation to that and the CASA volumes in the system itself.

So, we should start to gain share, better incremental share because ultimately, some of us in the banking system have a customer segment, which is primarily the middle and upper middle income segment, including all in this call. I mean, all the fraternity in this call of 875 participants in the call, including in the room, that we are all sitting, all of us depict very similar consumer behaviour in terms of trying to either move our funds to better yielding alternative assets or lock it into higher TDs with the expectation that TD rates will cool off.

So therefore, at least if that's a segment we have been very consistently focusing, the accentuation or

the deceleration of CASA ratio will be slightly sharper for us, and that is exactly what we're seeing. As Srini mentioned, it doesn't mean that we sort of say no to our customer segment saying that, sorry, we don't want to take deposits because it's not helping our CASA ratio. That's not how we do.

We offer all our products. And as it happens, it seems to be more or less we match ourselves with some of the large peer group banks. And so, we do operate, we are happy to take it even though there may be a slight deterioration of this. But these are very cyclical, and this in the medium to long term will normalize.

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And as I said, you will see a kind of an uplift the moment you see the rate cycle changing. And of course, it doesn't happen very coincidentally. There will be a little bit of a lag effect. But definitely, there will be better CASA ratios coming off in the next couple of years as well. And that should see bounce back into the margin uptake that all of us, including yourself, have been looking for.

Srinivasan Vaidyanathan: In the meantime, we do add customers 1.9 million liability relationship to get that new account value, 96.7 million customer relationships. We'll continue to focus on that to bring the new account.

Rahul Jain: Very helpful. Just one more question. When you look at the employee headcount that went up in this quarter sequentially branches on a Y-o-Y basis, as we said, 1,000, credit card market, share seems to be inching higher. So, it seems the bank is getting ready to tap into the growth opportunities. LDR is down to 98.

So, at what stage, Sashi, Srini, would you start to accelerate the pedal, you'll see that, okay, fine LDR is now well within the range that you wanted it to. But sequentially, the growth can start now coming through at what stage can we start the bank to get into the growth path more on a sequential basis, quarter-on-quarter basis from these levels?

Sashidhar Jagdishan: I think whatever we had committed, in fact, if I remember, it was in the call with you, which we sort of shared it with the world at large, and that is the kind of commitment that we continue to maintain. We are on track, as I have mentioned in the opening message that whatever we are seeing is in light of the call that we have taken at that point in time. So, you will see this. In FY'26, you would see a step-up. In FY'27, you will see a further step-up. I mean I do not know which quarter.

Obviously, we have the ammunition ready in terms of capital, in terms of liquidity through a high LCR, and we continue to outpace deposit growth as we speak. So, I don't think that should be a constraint as if there is an opportunity for the economy to change positively and the outlook getting better and the interest rates coming off, I think we should sort of see a bit of a step-up there.

Moderator: Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Mr. Vaidyanathan for closing comments.

Srinivasan Vaidyanathan: Thank you, Neerav. Thank you, all the participants, for coming in today. You can get in touch with us for any other clarifications, questions or matters that you want to cover. Our Investor Relations team, led by Bhavin, will be available and where we can, today or tomorrow or any time, and we'll continue to keep engaged. Thank you. Bye-bye.

Moderator: Thank you very much. On behalf of HDFC Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect lines. Thank you.

Call: Apr 2025

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

Ref. No. SE/202 5-26/20

April 24, 2025

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051
Scrip code: 500180 Scrip code: HDFCBANK

Dear Sirs,

Sub: Transcript of Earnings Call for the quarter and year ended March 31, 2025

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on April 19 , 2025 with respect to the financial results of the Bank for the quarter and year ended March 31 , 2025 has been made available on the website of the Bank at the below link:

<https://www.hdfcbank.com/personal/about-us/investor-relations/financial-results>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

Yours truly,
For HDFC Bank Limited

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"HDFC Bank Limited
Q4 FY '25 Earnings Conference Call"
April 19, 2025

MANAGEMENT : MR. SASHI DHAR JAGDISHAN – MANAGING DIRECTOR
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LIMITED

MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
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MR. BHAVIN LAKHPATWALA – EXECUTIVE VICE
PRESIDENT , INVESTOR RELATIONS – HDFC BANK
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Moderator: Ladies and gentlemen, good day, and welcome to HDFC Bank Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Srinivasan Vaidyanathan , Chief Financial Officer , HDFC Bank. Thank you, and over to you, sir.

Srinivasan Vaidyanathan: Okay. Thank you. Good evening, and welcome to all. We have with us Sashi Jagdishan, MD, and CEO. We'll request him to give some opening remarks before we can jump in. Sashi, over to you for any remarks that you have.

Sashidhar Jagdishan: Thank you Srini and thank you all for joining in on a Saturday evening. You probably would have seen the press release and the investor presentation that the team would have put it up. So let me give you a very brief context as to how we have done on a broad basis before Srini takes over some of the finer points. Within the global context, we believe India is well placed. RBI has recently commenced cutting rates.

The moderation in food inflation and headline inflation also augurs well. We've already seen 2 rate cuts and the change in stance from neutral to accommodative is a welcome relief to all of us. RBI intends to increase durable liquidity, which is followed by concrete actions , which, along with rate cuts, will help supporting the GDP growth. For FY '26, we expect the GDP to be supported by a pickup in rural spending, discretionary consumer demand and investment activity.

Of course, the goods exports may be impacted until the global trade and tariff situation becomes far more clearer. We acknowledge that the global macroeconomic outlook has become more uncertain due to the recent trade tariff -related measures and the volatility surrounding them. This may potentially impact global inflation leading to lower growth across economies.

Corporates have adopted a wait -and-watch stance, and we are waiting for more clarity. We remain watchful. Coming to the bank. As you recall, we spelled it out in Q4 of last year and to be more precise , I think, somewhere around February.

We continue to be on the journey that we spelled out. Our credit deposit ratio has been brought down from the highs at the time of merger, which was at about 110% to around 96% as of March 2025. Our deposits have grown faster than the system and so has it grown faster than our loans as well.

Next year, in line with what we had committed, the adjustment in CD ratio will not be so steep, supporting the loan growth for the bank, but it will be on a downward path. Cost remains under a tight leash, and we expect this to continue. Asset quality one of our USPs, remains pristine.

As liquidity and growth improve, we are well placed to grow in both assets and deposits. We have been doing a lot of work on technology over the last few years and we should start reaping the benefits of the same gradually during the course of the year. This is a space to watch out for, and we shall unveil at the appropriate time.

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I would like to express my gratitude to all our employees for their hard work and performance and to our shareholders and all of you who are on this call for being very patient with us during this period of adjustment. Thank you so much.

Srini, over to you.

Srinivasan Vaidyanathan: Okay. Thank you, Sashi, for those remarks. With that, we can open it up, and we'll use the time for questions. Please go ahead whoever is on the queue, please.

Moderator: Thank you very much sir. We'll take a first question

from the line of Chintan Joshi from
Autonomous. Please go ahead.

Chintan Joshi: Hi, good evening. Can I start with NIM? Some expansion coming through this quarter, if you could explain what the drivers of that expansion was? And also how we can think about NIMs progressing over the next year? On one hand, you've got the rate cuts, but on the other hand, your funding synergies are gradually coming through. Do you think if you see 100 bps rate cycle, NIMs can be higher than where we are today?

That's on NIMs. And then the second question I have is more on the corporate sector. If I look at cash and investments on corporate sector balance sheet over the last 3, 4 years and how they park it in the banking system that's kind of gone up significantly. But these deposits are short term in nature, we don't have the LCR benefit like we have with the household sector, how does the bank take on these deposits? How do they use it?

I assume they can't really be used for term lending. It would be helpful to understand in this period where we've got geopolitical uncertainty, there will be even more corporate deposits, how does the banking system or yourselves use that?

Srinivasan Vaidyanathan: Okay. Two things. One is at the macro level. First, I'll take the NIM first. You saw the NIM for us over the last 12 months if you see, operated in a very narrow band, 3.4 to 3.5. Last year, March quarter was 3.44; now on a core basis, 3.46; last quarter was 3.43 and so on, so it's in a very narrow band plus/minus 5 basis points here and there, that's where the NIM has operated. And if you look at the components of the NIM, one is the cost of funds, which is in one of our pages where we published that, which is I think is on Page number 15, I think it is in our deck.

The cost of funds is also very stable at about 4.9. And there are two things going on in the cost of funds to be stable there. One is the borrowing mix has come down during this time period, whatever is on the page there, you see that the borrowing mix in the first of the time period, December '23 was 21% and then from then on last March, it was 18% and now it is 14% borrowing mix. So that's one of the tailwind that contributed as a positive item to the cost of funds.

Then there is a headwind in the cost of funds we have seen is the customer preference towards time deposit. If you see the rate of growth even in the recent time period, time deposit rate of growth, INR2 trillion in a full year time period. In the quarter, this quarter, recent quarter, about INR0.8 trillion time deposit rate of growth, 20% -or-so, right? So we have seen that.

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So the CASA ratio mix has not been favorable. It's an adverse variance there, right? But between all of these, the cost of funds, we kept it stable by selecting retail deposits and not pricing up on the nonretail deposits, and we'll come to the second aspect of what you asked.

So the nonretail we've been circumspect, even I think it's going back to almost December '23, that time period itself, we saw that the pricing on the nonretail deposit was unacceptably high and competitive without consideration for the liquidity lendable value of those deposits. So we remain circumspect and didn't price, but try to manage it in a way that it's in a very narrow band there.

Now come to the yield on assets, the other component of the NIM before we get to the conclusion of what you'd asked. So if you look at the yield on assets, they've also been pretty stable between 8.3%, 8.4% that's the level at which we operated and that's how we manage that.

Now yield on assets if you see here, the retail will give more yield than the nonretail because then you'll have to pay through credit cost in some manner now or at some point in time. But we have had a balanced growth there to manage this yield in a very stable band

there.

And again selection, we have seen over the last 12 months, 18 months, the corporate loans of the larger ticket corporate loans and the larger ticket SME loans, have been very competitive, particularly coming from certain public sector institutions where the growth is an objective and not necessarily margin or returns, we have seen that pricing is very, very low on those.

I mean the loan spreads have been very low compared to the bond spreads. That means when the bond spreads moves up or down, the loan spreads is not moving, it's actually coming down, which is what we are seeing. Now we try to manage it through appropriate selection, both -- quality is, of course, the first criteria for selection. Quality passes, it has to pass the rate and if it doesn't pass, we were happy to let go and not necessarily bulk up the balance sheet because we said we can reposition the balance sheet and grow the loans at any time. So that's how we manage that.

Now coming to what's happened in the recent time period; 3, 4 basis points always moves at any time for various reasons. So there's no one particular one we can say. Of course, there is a cash reserve ratio that changed sometime in December. So there was some positive impact last quarter and the balance of the positive impact in this quarter, call it, a couple of basis points.

And then a few basis points moves up and down. There is no kind of a finesse. And similarly, when the NPA changes, lower agriculture in the March quarter that also is a good kind of a margin benefit you get to some extent, but they're all within a narrow band.

Now where does it go? I don't want to provide an outlook where this goes. But all I want to tell you is that I described to you this long to tell you how we think about margin and how we manage, which is policy rates change, so the loans that are linked to policy rates like the repo rate gets

changed right away, so which is a headwind.

And the faster the policy rate changes, it starts to factor in faster. The deposit side or the funding side rates take time to factor it in. So I would urge not to look at quarter -to-quarter because it's not something that could be managed at all because the policy can change tomorrow and then the deposit rates can change over time.

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So you have to look at it at least a year or longer than a year to see how stable and how we are managing that margin level, which is what on the page that you are seeing shows that Page 15 at that kind of a level stability how it gets managed. That's the first part. The second part is you talked about the cash and investment and the corporate sector balance sheet, how it gets deployed. Again, the first part I tried to answer that certain categories of deposits have lower lendable value and the market doesn't price appropriately for that lendable value because that's how it should be. Typically, those kind of segmented deposits should be lower than a retail because the retail is the highest lendable value you can get. But these type of deposits are priced far higher than the retail deposits. So thereby only for large relationships, and where we could get certain other product mix aligned well, we patronize and participate.

And there are certain other institutions like affiliated institutions to large corporates that we patronize and hold it. That's because we want to keep the wallet share on our lending. We are the largest working capital bank in the country, so we want to keep that wallet share growing in a reasonable manner. So we participate to some extent on these. Otherwise, we don't bid for these kind of deposits.

Moderator: Thank you. We'll take the next question from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Good evening and congratulations. I had two questions. The first one is on deposit growth. So large banks have

cut deposit rates in the most popular buckets by 30 to 45 bps, which is of course transmission, but are you comfortable that the liquidity position has changed enough to support a healthy deposit growth for the system and yourself? Because tight liquidity was really a big issue for the last 1.5 years, except in the last 2 to 3 months. So that's my first question.

And my second question is on your priority progress. Of course, your CRB has been growing faster than your other loans. But if at all there are any shortfalls, how would that be managed? Would that have any ROA impact, so just a focused discussion on how priority will be managed?

Srinivasan Vaidyanathan: Okay. First is if I get on the rates and deposits as such, right? One is that it's not -- the deposit rate change, if you noticed, while we may have had gone first or second or whatever it is, across the industry, you're seeing -- at least the large top 3, 5 players you are seeing responded to the policy rate change. So that's something that was part of the transmission process.

The loan transmission for good amount happens automatically because of the linked to policy rates. And on the deposit side, one has to manage it and announce it after deliberation. So you have seen that happen. So there is no change as such from a competitive positioning or whatever.

All that differentiates with that ability to reach, that means have the distribution reach, bring in new customers, have better engagement through the RMs, that's been what we have done in the past, that's how we have grown, if you see the past year, rate of deposit growth about 15.8% -or-so, that's INR3.4 trillion in the year. So we continue to be optimistic and continue to have that approach of energy to get that market share gaining, right?

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So the rate is not a differentiator in the past, and we don't think rate is a differentiator to win something because that would be very transitional and a short-term approach to getting that. So that's one on deposits, right? We continue to be playing on an even field there, and we're confident of how we are positioned for that. Second aspect of what you asked is the priority sector lending. While the priority sector details get published in the annual report, but nevertheless, at an aggregate level, as we have said in the past, we do meet that 40% that is required. We're slightly above that level in terms of the aggregate priority sector lending. There are two sub-segments, which is the small and marginal farmer segment and a weaker section that always calls for something that inorganically, that means how do we go and buy it in the market either through certificates, IBPC, PTCs or any other manner or through on-lending program.

There are several instruments that we use and we keep on. And if none of those economics work well, there is always the last resort is the RIDF. That's not our first -- if you don't get any of these done, then there is RIDF, right? If you look at the cost dynamics of any of these things, they all work almost very similar dynamics to the overall P&L. You rightfully so touched up on returns. What does it mean to returns? Whether you have one or the other instrument, the impact on the

return is very similar, there's no difference. And that is what historically also we have done. Even if you look at the year that has gone by, we were about 1% -or-so short on these kind of segments. And even now, we continue to look for and search for how to close in that last 1% across SMF for the weaker and we will endeavor to do and close as much as we can. If not, the alternatives are already there, yes.

Mahrukh Adajania: Okay, perfect. Thank you.

Moderator: Thank you. We'll take our next question from the line of Anand Swaminathan from Bank of America. Please go ahead.

Anand Swaminathan: I have a couple of questions. Sashi, fir

st question is on CRB. There has been a lot of media noise around senior management and some changes. It would be great if you could give us some confidence around what's happening and give us some clarity around that?

That's number one. And number two, on ROAs. We have successfully defended the 1.8% ROA we've been guiding for the last several quarters. Srini, as we go into the rate cut cycle and growth slightly improving in the FY '26, do we have enough levers to defend this 1.8% level or we should expect a brief kind of decline and then come back above 1.8% when growth eventually recovers?

Srinivasan Vaidyanathan: Okay. I'm going to get it started first in terms of what it is, right? See, if you see, we had a reorganization. And Rahul Shukla who heads the commercial and rural banking had taken personal time off and is on sabbatical, right? So he's taken some time of f or whatever, family reasons and so on. And the reorganization is expected to accomplish a few things, right?

One is, if you see what is going on particularly in the rural segment, take -- example, I'll give you the -- how we are thinking about to drive certain synergy and capture the growth opportunity and bring some productivity, right?

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So that's both from a customer point of view, better engagement; and from people point of view, better productivity and what does it do to get that. One is, simple thing, if you take about agriculture, that's now part of the retail management team who handled the two -wheeler and auto business and so on, that's the same kind of a leadership that handles agriculture . So once we reach the farmer, you know that as part o f the prior growth approach, we expanded our geographical reach to 2.25 lakh -- 225,000 villages.

Now the next phase of this growth is having a presence there, we need to go capture the volumes, that is reach out in the vicinity of those villages the righ t kind of farmer to bring in. So right now, we envisage not to just do an agriculture loan because that particular town, that farmer, that family and the neighbors do need a 2 -wheeler, do need a car, auto loan and so on and so forth.

So under the same team that we are trying to get these kind of multiple products made available to them. And also, if you look at where this particular thing is positioned, it's also positioned alongside the gold loan business. You know that in the country, a lot of farmers ha ve gold and use gold for financing appropriately and perhaps rightfully so to fund the requirements of the farm. And so now these synergies are expected. And what does it do? It enables us to have a frequent connect with that farmer and that community in the rural segment through these kind of products which we are having. So it enhances our periodicity at which we will touch that customer. And so since we are delivering multiple products to the same customer, we do anticipate this is supposed to give bett er people productivity.

So I gave you one example, and that's how if you look at anything, all of those things that we have done is expected to provide the significant lift in productivity across all of these product and geography and customer segments th at we are operating. So that's one, I hope, that gives you the context of the CRB, what goes on...

Sashidhar Jagdishan: Srini, I would like to add to whatever you have said. Rahul was one of our very good business managers. And obviously, he did express, a s Srini mentioned, his desire to go on a sabbatical because he had some personal matters to attend to with his family and the academics of his children.

But having said that, he built a very strong team. And as you probably heard Srini, we have reorganize d the entire asset side of the balance sheet under an even more abler individual. As you know, Kaizad now handles the entire asset side of the balance sheet and the

investment banking

business. And all the heads who have been with us, we have, as we have m entioned several times in the past, we have a very good depth in management and they now all of them have now handle larger businesses and report to the Deputy Managing Director.

I'm quite excited about this reorganization, and I'm sure that we will harne ss the most optimal way to find growth and as Srini mentioned, synergies between various asset groups so that we can optimize even our resources at the grassroots levels, so that there is not too much of an overlap. So this is going to be a very exciting p eriod for us, and you will start to see a lot more efficiencies

and even greater hunger than what we have seen from the CRB and the entire asset side of the balance sheet.

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Obviously, optimizing yields, optimizing the need to maintain priority sector requirements and other aspects as well. So this is a year to watch out for in terms of the kind of benefits that will accrue from this so-called massive reorganization that we have undertaken during the year. Yes, Srin, over to you.

Srinivasan Vaidyanathan: Yes. Thank you for that additional color. Very good. Now getting to your second aspect of ROA. See, if you see our ROA has operated around that 1.9 level, right, plus/minus a few basis points. Ever since we accomplished the merger July 1, 2023, it's been approximately around that level, right? We're consistently delivering there.

When you had asked about what does it do in a different rate scenario, if whatever happens? I talked about the margin in a couple of questions before in terms of how we think about the margin to be within a stable range, right? So ROA similarly can move around 5, 10 basis points. Our long-term average of ROA, if you see, somewhere, I think we have published that also. Over a 10-year, 15-year period, if you see, anywhere between a merger or pre-merger or post-merger, any which way if you look at it, 1.9 to 2.1.

And for many instances, the frequency of two is the highest. And sometimes we'd had 1.9 and sometimes we'd 2.1. So that is the optimal level, right, at which it operates. If the ROA tends for better cost of credit or better margin that comes through and for cost efficiency and so on, to some extent, there is always a reinvestment opportunity because at the end of the day, our market share on deposits is 11.

Our market share on distribution, which is branches is 6% and our market share on loans is 14%. So we still have enormous room and a need to make investments, pace those investments appropriately to keep growing for the long term. So that's in that narrow band that we operate. So there is no one particular -- can we have a 10 basis points change in a year possible? Absolutely possible. But can it be far higher than that? Not likely, right? Because we have operated in a stable band up or down.

Moderator: Thank you.

Anand Swaminathan: Thank you Srin. That is very useful. Just a quick follow-up...

Moderator: I request you to join back the queue for follow-up question, please, as we have other participants waiting for their turn. Thank you. We'll take our next question from the line of Rikin Shah from IIFL. Please go ahead.

Rikin Shah: Thank you for the opportunity. Two quick questions. First one for the repo-link loans. Do they get repriced immediately as soon as the repo rate changes? Or is there usually a lag of a few months from the change of repo rate? And secondly, an extension to this, does the number of days impact your reported margins? That's the first question. And the second one is, was there any reversal on AIF provisions in this quarter? Those are my two questions.

Srinivasan Vaidyanathan: Okay. So in terms of the timing of the repo rate change and so thereby the transmission or flow-through, by product, it is different. If you

think about mortgages, which is 30% of the book or-so,

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it can happen in the immediate cycle, rate changes and in the following month cycle, it can happen. So it can be anywhere within a month, it can happen. If you look at corporate loan or something, it can happen immediately.

So it depends on product to product and the contractual arrangements, which are there in terms of the repricing frequency. But no -- it will not be a kind of an annual or something like that. It can be a month, it can be a quarter, but not something that it takes a year to get that transmitted. And your second aspect of number of days, yes, it can be a couple of basis points, it happens all the time. And yes, that's possible.

Rikin Shah: Got it. And the reversal of AIF provision, please?

Srinivasan Vaidyanathan: AIF, there's nothing significant in this quarter in terms of the contingency. If you remember the AIF provision that we had last financial year, not the one that ended, was about INR 1,200 crores or-so. Then after the RBI clarification in the beginning of the recent financial year, it was taken down. And then depending on the volumes that move up and down, it moves, but there's nothing significant as such on that, yes.

Rikin Shah: Okay. The context of this question, Srin, was that in Note number 15 to your results, it says that AIF-related provision stock is around INR288 crores right now. The last quarter, it read around INR350 crores. So I just wanted to clarify, was there any reversal or just some of the AIF investments matured and hence, you were not required to carry them?

Srinivasan Vaidyanathan: So yes, it was not required, but then it didn't survive to the P&L to the bottom because there are so many ins and outs that happens in the provision. So the way of contingent provision didn't happen because at the end, there was some net addition of INR60 crores for various other reasons.

So it didn't survive to the P&L to the bottom line, yes.

Rikin Shah: Understood. Thank you very much.

Moderator: Thank you. We'll take our next question from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Thanks for taking the question. A couple of questions. So firstly, again, sorry to harp again on margins. But the way you have been indicating the balance sheet construct is such that we should be able to operate margins within a narrow band, does that really change with the relatively higher repo rate cut? Or do we have additional levers to still manage margins relatively better compared to that of peers?

Srinivasan Vaidyanathan: Yes. That's a good question, Kunal. Thanks for asking that. One is that when the policy rate changes in a steady manner over a longer period of time, you know that the adjustment that is required from a cost of funds catches up to neutralize -- to keep the margin safe. But if in quick succession the policy rate changes, then the matching of the cost of funds takes longer time. So that means you cannot look at whether it is in a narrow band in a quarter-to-quarter period. But when you look at a year, you will be able to see that it is in a very narrow band.

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Kunal Shah: Sure. So on CASA, we have been indicating that in the falling interest rate cycle, generally, we would tend to improve the CASA, but the rate action both on the savings as well as FD seems to be almost similar or savings is relatively higher, then would it be fair to assume that maybe the overall structurally declining SA that phase can very much continue?

And maybe a follow-up on the LDR. When you indicated that now LDR we will not see a steep decline, are we changing a stance that we need to get it to the premerger level at an accelerated pace and maybe even if it holds relatively higher at 90, 92, we would

be comfortable then over the next 18, 24 months?

Srinivasan Vaidyanathan: Okay. First is the CASA. I do want to go back to describing that, right? The empirical study, both industry as well as for us, which is published CASA ratio and the policy rates if you see over a 15-year period through the up and down rate cycle, the CASA has moved in the opposite direction, which is when the rate goes up, CASA ratio goes down; and the rate starts to come down, there is some lag. It's not instantaneous. A few quarters lag, the CASA starts to go up.

So you'll see that if you map us over a 15-year period and the industry, you'll see that it moves up and down. So we do -- if the empirical is repeated, there is no reason to believe that it would not be the same or we're not seeing something different as such, we should get the CASA back, but not in a hurry, right? Because there have been 2 rate cuts that have happened. We need to wait and see how this stabilizes, what the global macro effects, what it plays in the country, both from an inflation cost and purchasing power of people.

We need to see how all of those plays out, which you have seen in the last 12, 18 months that middle to the lower segment did not have adequate disposable income to be put in savings because they were using it for their day-to-day needs. So that's why you saw CASA had one more nuance to it that it came down, right? People had less to save. They were spending on certain things and money was moving from household to non-household and so on and so forth. So that's in terms of the CASA as such.

Kunal Shah: And LDR?

Srinivasan Vaidyanathan: LDR, I'll take a shot at it to see. See, what we had described, Kunal, last quarter or even about a year ago is that the LDR will come down to the premerger level, 85 to 90; more precisely, it was 87-and-change the quarter before the merger, 85 to 90 is what we have operated, that will come into that range in FY '27.

So that is why we saw that the loan growth in this year that went by, FY '25, will be lower than the prior year for the industry and we took that opportunity, both industry loan growth going down and pricing being not to our liking, we accelerated to say, let's take this opportunity to slow down even further. So we grew at 7.7%, the assets under management in this recent time period.

We have also indicated that in FY '26, we are subject to appropriate pricing, quality is always given, appropriate pricing that we will be growing at the market rate of growth. If you see the recent quarter that went by, March quarter '25, our sequential momentum growth was about 3.3%, which call it approximately annualized 12% or 13% thereabout.

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So I'm not giving you an outlook of what you should expect, I'm just describing what happened in

the recent time period and that's the kind of velocity at which it was growing. So we do expect that FY '27 is when it will come below that 90 mark. So at this moment, there is no other approach that we are having. And we continue to power on getting the right kind of deposits at the right price to keep that leadership position and gaining market share on deposits.

Moderator: We'll take our next question from the line of Abhishek M. from HSBC.

Abhishek M.: So a couple of very quick clarifications and then one question. The first is when you say repo cut gets passed on right away, does it happen exactly right away or does it happen on a particular day in a month or a particular day in a quarter? When does the transmission actually happen?

Srinivasan Vaidyanathan: It can happen -- if your repricing date is set for 15th, it is 15th. If Bhavin's reset date is set for 25th, it is 25th. If my reset date is 5th, it is 5th. And it depends product to product. And that means the mortgage product is different. Wholesale product is different. SME product is

different. So it is

different product. There's no one that is what it's broadly. Will a good amount reprice in a month?

Yes. Will most of it reprice in 3 months? Absolutely.

Abhishek M.: Right. So the cumulative impact will probably be seen in Q1 may not have been seen in Q4 yet, that's the understanding, right?

Srinivasan Vaidyanathan: That is correct.

Abhishek M.: Right. And then just in terms of the...

Bhavin Lakhpatawala: Abhishek, also the fact that quarter 4 -- Abhishek, the first repo rate cut happened in February itself. So even the full quarter impact of that you have not seen, you will see that only in the April to June quarter. So you'll see the full 50 basis points impact happening in this quarter, what you've not seen perhaps in the fourth quarter.

Abhishek M.: Perfect. Yes. That's what I wanted to clarify. And therefore, in terms of the NIM trajectory, right, 1Q would anyway not have any benefit from the TD cuts that you are taking now? So there should be a bigger impact in 1Q and then through the year, you would see some benefit of the rate cut, etcetera, that you're taking, that should build up...

Srinivasan Vaidyanathan: That is correct, but I do not want to talk about it quarter-to-quarter at all. You should look at a year because we do not know what will come next week or next month, so we will handle it as a management appropriately to market needs and customer needs.

Abhishek M.: Yes, fair enough. And therefore, in terms of this 2% ROA target, let's say, is this like now a 2-year or a 3-year kind of target? Because it will take time for cost of funds to catch up and for policy rates to maybe stabilize at some level. So does this become like a '27 or '28 kind of target for you?

Srinivasan Vaidyanathan: I don't want to give you an outlook. And by the way, I do not know where you picked up a target of a 2% ROA. We've not specified that. All we specified even in this call earlier was that when you look at the frequency of the 2% over the last 10 years or 15 years, the 2% has been the maximum frequency at which we have hit on an annual basis. That's what I mentioned.

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Abhishek M.: Yes. Okay. Fair enough. So let me modify the question. Basically, do you have any other levers in your P&L, maybe fees or maybe opex where you could see some improvement from here?

Srinivasan Vaidyanathan: We have told you about the opex, right, in terms of how we have made investments, if you think about the branch investments, and so the time for getting some realization benefits as well as the productivity benefits are on the anvil on that. If you look at a 5-year period, 250 branches to 350 branches to 750 to 1,400 -- something to 900 to 700 something now. So in terms of the branches, this is the last 5, 6 years, if you see that we have built, right? Even the recent time period, 700 branches, if you see, is almost 2x what we were doing 5 years ago in terms of the branch.

So we have accelerated and made those investments. And now we are pressing on that to get better productivity, and thereby, the efficiency to come in. Again, the trajectory of that is not quarter-to-quarter, not linear, but the trajectory of that is for the cost to income to improve. And again, one other aspect I do want to tell not just look at cost to income, please look at cost to assets too, where we are the best-in-class in terms of cost to assets at about 1.9 -- and change.

Abhishek M.: Yes, exactly. So that is why I was wondering if it can improve even further from here because you're already very efficient when you compare to your peers?

Srinivasan Vaidyanathan: We are efficient, and we continue to press on new technologies and press on greater productivity, yes, indeed.

Abhishek M.: Got it. Okay. Thank you so much and all the best.

Moderator: Thank you. We'll take our next question from the

line of Harsh Modi from JP Morgan. Please go ahead.

Harsh Modi: Yes, hi. Thanks for allowing to ask questions. First is on CASA market share. Could you provide some details over, let's say, next 18 months to 24 months, how do you see your both CA and SA market share evolve and is there any particular number that we could think about in terms of CASA ratio, let's say, over 18 months to 24 months?

Srinivasan Vaidyanathan: In a different form, it's the same question of an outlook or a target that want us to specify. The opportunity exists. Our total market share is 11. The time deposit or CASA market share is give and take around that level. So which means we are evenly positioned, take time deposit could be 11.5 and CASA could be 10.5 and so somewhere in that level. That's where we are in terms of the market share.

The opportunity exists across both of this. I do want one other very important factor to tell and which we have been mentioning over the last 3 years, 4 years. The penetration of time deposit in our customer base is low. So we do see opportunity space for getting better customer relationship through those time deposits. So we cannot leave it on the table to say just because it is time deposit, we don't want.

We want that customer relationship because that's based on customer needs. So I cannot tell you that we drive to one ratio and our goal is to have this ratio and so on. Our goal is to have the predominant share, whatever share of the customer whatever comes. And so thereby, that is how it is

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operated. And that is how the market share, if you see 11%, either any of these CASA or time deposits hovers around that kind of level.

Harsh Modi: Right. Okay, I understand that, Srini. If I could rephrase the question, especially for savings account market share. Incremental savings account market share over next 18 months to 24 months given your investments in branches that you just explained and technology and best-in-class distribution network, do you expect to gain meaningful market share on savings account in next 18 to 24 month or would you probably just be maintaining your market share over the next 18 to 24 months, how do we think about that?

Srinivasan Vaidyanathan: Our ambition and our historical experience has always been to gain market share. That is how we are positioned. How much we gain depends on market conditions at any point in time and the disposable income in the hands of the customers, depending on how the inflation plays out, how the wage growth plays out and so on and so forth and market returns as well as is another aspect of it, yes, which we have seen in the last 12 months when the market returns were high, we have seen some investment into the markets.

Harsh Modi: All right. Thank you.

Moderator: Thank you. We'll take our next question from the line of Param Subramanian from Investec. Please go ahead.

Param Subramanian : Hi, good evening. Thanks for taking my question. Just a few data-keeping questions. Firstly, what is the maturity of the term deposits on book? I don't mean on sourcing, on book. And similarly how much of your borrowings mature over the course of next year?

Bhavin Lakhpatwala: No, you'll get some of these things you'll get once the annual report is out. We don't have that, some of these things handy because it belongs to multiple buckets that goes through. So on the time deposit, we can't really have a number to give out to say this is a maturity that you're looking for. And sorry the second question.

Param Subramanian : Yes, broad number would also do, Bhavin?

Bhavin Lakhpatwala: No, it's not something which we can just, I mean, difficult to put a number out that way. And sorry, can you repeat the second question again, please?

Param Subramanian : On borrowings over the next 12 months.

Srinivasan Va

idyanathan: See, two things on borrowings. There is a maturity profile, which also last time we published, I think it's 0.5 trillion or thereabouts of the legacy bond borrowings will mature. And we will have opportunity space to have some new borrowings, which is infrastructure borrowings, which could be much more cost effective. So it depends on the market rates and there's no one particular strategy. We do the breakeven between certain category of deposits and infrastructure borrowings. And in many instances, we see the infra borrowings could be better. So again, I don't know what the market rate will be when we go to the market, but both of these are -- we will have some borrowings, infra borrowings at a cost-effective way and there will be a certain level of maturity

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that will happen which is, again 0.5 trillion or thereabouts, that will happen. And keep in mind that the borrowing mix to the total liabilities now stands at about 14%.

Premmerger, it was in single digit call it 8% or the reabouts 9%. So ideally, somewhere in the long term, it will transition towards that level. A combination of both balance sheet growth as well as some maturity and replaced modestly with cost-effective borrowings.

Param Subramanian : Thanks Srini. Just one additional part. How much of your borrowing is, say, floating rate hedged as we go into this rate cycle, just a relevant question there. And secondly, last quarter, you had given a number on the PSL shortfall in SMF and weaker section being about 1%, where are we

there broadly?

Srinivasan Vaidyanathan: About that percent -or-so is where it is. We endeavor to close it, but that is always -- we chase volumes at different categories, as I told you on that. Then your first part of the question...

Bhavin Lakhpatwala: Is borrowing that hedge? It continues to be around 60%, 65% of the borrowings, which will be hedged, which is again from the HDFC Limited book, which is what we've always had that.

Param Subramanian : And which is the relevant floating benchmark once you look at...

Moderator: Mr. Param, I request you to join back the queue, please for follow-up questions. Thank you. We'll take our next question from the line of Deekshant from DB Wealth. Please go ahead.

Deekshant: Thank you, sir for taking the question. Sir, on the larger macro cycle, let's say, for the last two decades or 15 years -or-so, where do you think we are on our credit growth to NPA cycle? Are we at a stage where we are seeing the credit growth going up and with that in order to get that credit growth, we will also see the NPAs going up or are we in a space where we see that there will be a range-bound period of an NPA, we won't be crossing a certain level and the credit growth would be good?

Srinivasan Vaidyanathan: I guess you are talking about the industry level. You've seen us through various cycles, we've been

pretty steady. Our NPAs have been quite steady other than the year or two of COVID. Even those time periods, may be 20 basis points, it went up, but otherwise we've been operating in a very narrow band on nonperforming loans and so on. I guess your question is more philosophical in terms of what's happening in the industry and where that is heading.

If you listen to our Chief Credit Officer, he has done various analysis to say that the credit cycle bottomed out maybe even three quarters ago, four quarters ago and which you have seen at the industry level, the nonperforming loans going up and the credit cost beginning to go up. The offset has always been some of the legacy loans 5 years, 10 years, whatever legacy loans some recoveries and repayments have happened against those.

So you don't necessarily see the full effect of that through the P&L at the industry level. You don't see that. So whether the credit NPAs and credit costs will normali

ze over the next 1 year, 3 years,

it should, but that should be at a lower level than what historically we have seen is the assessment of our credit officers.

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Sashidhar Jagdishan: So just to add to what Srini is saying. Our segmentation of customers, whether it's corporate, whether it's SME, whether it is retail is very clear. We have tested these segments over a long period of time and we probably have a reasonable fix on the expected loss, credit losses in that. And the opportunity to nibble away more share in these kind of customer segments is huge.

As I said, it is up to us the pace at which we want to grow, but it doesn't mean that the proportion of our losses is going to go up just because we are growing fast because we're going to be limiting ourselves only to the segment that we are comfortable to operate.

So Srini did allude to it. If you take a 25-year history of our expected actual credit loss experience adjusted for some of the event risk and also mergers, you will find that we have been virtually on a flat basis or on a straight-line basis across the X axis of the curve.

So growth does not mean our losses or loss ratios will go up. I think it should be more or less in a range bound because of the target segment that we would still like to -- because there is opportunity, there's a runway, and we would want to stick to this opportunity and not go down the risk ladders.

Deekshant: Sir, there is no question that we are the best-in-class when it comes to like loan performances and even the way that we issue the loans. Just to like narrow this question a little bit more: There seems to be an early sign of some sort of SME growth that can come in. Sir, also alluded to that some of the things have bottomed out right now.

Considering that SME growth does come in and even the retail loans do start coming in better, namely the home loans, do we think that the incremental growth of market share that we are focusing on will that come at the cost which would be lower on the lower end of our range of our NPA cycle or would that be at a higher end of the range of NPA cycle?

Srinivasan Vaidyanathan: So getting directly to that question in terms of whether we would go down the credit ladder to pick up the volumes? The short answer is no. Credit policies will not be changed to pick up volumes. They have been stable and they're consistent. And the market opportunity presents very well to capture.

In addition to the credit, one other important dimension that determines whether we pick up that loan or not is also the rate at which we can do. And the third dimension that is required is we just not want to be a lending institution to anybody. We want it to be a relationship bank, including SME.

We want that proprietor or partners, their family, even if there are 5 employees or 3 employees or 50 employees, their employee account, the primary banking need to be with us. So we are not

going to do lending just as a product of lending. It is for the total banking relationship we want from that particular transaction that we go into.

Deekshant: Okay. Sir, just one last follow-up here...

Moderator: Deekshant, I request you to join back the queue please as we have other participants waiting.

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Deekshant: No problem. Thank you so much.

Moderator: Thank you. We'll take our next question from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Congrats on the very strong numbers. Firstly, I know it's early days, but have we started cutting lending rates on fixed-rate products...

Moderator: I'm sorry, Piran, your voice is breaking.

Piran Engineer: Is it audible now operator?

Moderator: Yes, please go ahead. Yes.

Piran Engineer: So congrats on the quarter. My first question is, has the industry or have we started cutting lending

rates on fixed rate products like vehicle loans or personal loans after the 50 bps repo rate cut?

Srinivasan Vaidyanathan: See, no, I don't know, but we are not -- we are seeing intense competition. We've not seen anything

different now than what we saw 6 months ago from a price competitiveness point of view, let it be mortgage product or auto product and so on. So that's one from an industry point of view. I will

not be able to talk about their risk-based pricing model.

But for us, we have a band of risk-based pricing product. For a given risk profile what is the kind of a price band that we can operate and that has been consistent and we'll operate in the same manner there.

Piran Engineer: Okay. So it's fair to say we've not cut lending rates like in auto loans, etc.?

Srinivasan Vaidyanathan: No, we've not cut, but we do have a risk-based pricing model for us given a risk profile of a customer. So my profile may be different from my colleague's profile, and so it depends on what it is, so we get different rates.

Piran Engineer: Okay. Fair. And sir, just secondly, on your unsecured book of roughly INR 2 lakh crores, what percentage would be unsecured business loans? And can you also just talk a bit about this business, the customer profile? Are these repeat loans to existing customers? Or do you also acquire fresh new-to-bank customers through this product?

And are there -- like when we have the retail asset quality cycle -- by me, I mean the industry, are there some signs of stress in unsecured business loans? Just an overview of this would be useful.

Srinivasan Vaidyanathan: Okay, yes. One you see that we published personal loans, which is almost about close to INR2 trillion or so, right, as of the quarter end INR2 trillion or so. See call it, about 75%, 80% of them are salaried customers, mostly salaried with us or if it is taken from the market still salaried. The rest could be the open market loans, which are non-salaried customers.

Non-salaried customers could be self-employed, which is some professionals or they're doing certain other activities and so on and so forth, which they may use this for other purposes. Then the third aspect of it is the performance of what this is. No, we've not experienced stress, touch

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wood, and we see that it's quite strong and very good and operates across several such segments, which is from individuals to proprietors to partners to various.

And we operate this in a few segments. We operate this in the retail personal loan segment, we also operate this in the CRB segment and the emerging enterprises, which is business and it can operate for a small merchant to a medium merchant to a larger entity. So across all of these, we can operate there.

Piran Engineer: Okay, this is useful. Thank you sir and wish you all the best.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. Ladies and gentlemen, we have come to an end of the time allotted for the call. I would now like to hand the conference over to Mr. Vaidyanathan for closing comments. Over to you, sir.

Srinivasan Vaidyanathan: Okay. Thank you all for participating in the call with us today. Appreciate your time. And it's late, have a great evening, great weekend. And if you do have anything more, feel free to connect with us. Bhavin and the Investor Relations team and us will be available for anything else over the next few days, whenever you need. Thank you. Have a great day.

Sashidhar Jagdishan: Thank you all. Thank you.

Moderator: Thank you. On behalf of the HDFC Bank Limited, that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

Ref. No. SE/202 5-26/79

July 25, 2025

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051
Scrip code: 500180 Scrip code: HDFCBANK

Dear Sir/Madam,

Sub: Transcript of Earnings Call in relation to the unaudited standalone and consolidated financial results for the quarter ended June 30, 2025

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on July 19, 2025 with respect to the unaudited standalone and consolidated financial results of the Bank for the quarter ended June 30, 2025, has been made available on the website of the Bank at the below link:

<https://www.hdfcbank.com/personal/about-us/investor-relations/financial-results>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thank you.

Yours faithfully,
For HDFC Bank Limited

Ajay Agarwal
Company Secretary
Group Head – Secretarial & Group Oversight
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"HDFC Bank Limited
Q1 FY '26 Earnings Conference Call"
July 19, 2025

MANAGEMENT : MR. SASHIDHAR JAGDISHAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – HDFC BANK
LIMITED

MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
OFFICER – HDFC BANK LIMITED

MR. BHAVIN LAKHPATWALA – SENIOR EXECUTIVE VICE
PRESIDENT , FINANCE – HDFC BANK LIMITED

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Classification - Public Moderator: Ladies and gentlemen, good day and welcome to HDFC Bank Limited Q1 FY26 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the brief commentary by the management. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr.

Srinivasan Vaidyanathan, Chief Financial Officer, HDFC Bank. Thank you and over to Mr. Vaidyanathan.

Srinivasan Vaidyanathan: Thank you, thank you Neerav . Good evening and welcome to all the participants today. We have Sashi Jagdishan our CEO and MD with us this evening. We'll hand it off to him for opening remarks, then we'll get back to you. Sashi, over to you for opening remarks please.

Sashidhar Jagdishan: Thank you Srini and thank you all in the call to join us on a Saturday evening. Let me just start off with a little bit of what we see on the macro. You all know this much better but let me summarize.

The global situation remains pretty volatile with a weakening growth outlook amid tariff -related and geopolitical uncertainties. Within this context, India remains a relatively better place, supported by a stable macro environment. For this fiscal, we expect GDP growth to sustain, supported by pickup in improved performance of domestic factors.

Normal monsoons, income tax cuts, which you saw in the last budget, benign food inflation, as you have been recently seeing the prints on inflation, a tug very well for domestic demand, especially during the festive season. Concerted policy impetus, which we have been seeing right from January, February of this year until recently, supports sustainable growth.

Coming to our performance. Let me just recap as to how we traversed this over the last 12 -18 months. Last year, we have grown our average deposits at a healthy pace of 16% year -on-year and continued to gain market share as we have done in the past. However, we slowed down our average advances or AUM assets under management growth to about 7% last year in alignment with our strategic objectives to bring down the CD / credit deposit ratio from 110% at the time of merger to about 95% as we speak today. This rate of growth on the assets under management has improved to 8% in the quarter just ended, which is the June quarter, FY26. Our growth engines are well geared to grow and as we move forward, we expect our loan growth to continue to improve from here and remain confident of growing our advances at the system growth rate at FY26 and higher than the system in FY27.

The growth enablers, apart from balance sheet growth, remain customer centricity, technology and our people. Some of these aspects, I think, during the course of this quarter and probably the next half of the year, I think we shall be talking more about it as we unveil some of the initiatives that are underway in the bank.

As mentioned in the previous earnings call, both the CFO and Bhavin did mention, and you can recall some of the transcripts of the last earnings call, policy rate changes impact the loans tied to external benchmarks, while deposit side takes longer to fact or it in. As they probably would have mentioned, a large part of our asset side of the balance sheet is floating in nature. It's somewhere

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Classification - Public around the 70%, and whilst the liability side is more or less fixed in nature. So this would be a headwind in terms of when the rate cycle is on a downward trend. This impact is dependent on the pace and depth of the rate cut. You're seeing that in the results just announced.

Whilst we may see

quarterly fluctuations in margins due to this lead lag impact, we expect to stabilize it over a period of time .

Our asset quality, one of our main USPs, remains healthy, positioning us well for growth in both assets and deposits as liquidity and demand improves. During the quarter, we carried out the HDB Financial Services listing process, wherein the bank also diluted some stake, and which eventually culminated in the stocks being listed on 2nd of July. We thank all the investors who participated in the said IPO.

Earlier today, the Board also announced an interim dividend of INR 5 per share, and they also recommended to shareholders the first ever bonus share issue in the ratio of 1 :1.

Srini and team will probably give you more details as questions come about from all of you all. So until then, I would like to express my gratitude to all our employees for their hard work and performance in a very challenging environment. As we move from , you know, we managed the slowing down of the engine last year, now to get back into its momentum as we have laid out as a strategic objective, it requires a lot of courage. I think they have done extremely well, and we are proud of them.

And gratitude to our shareholders who have supported us in all our times, and to the Board for their leadership support and their strategic guidance. So thank you all on the call for your support as well. Srini, over to you.

Srinivasan Vaidyanathan: Thank you, Sashi. We go straight to Q& A; we can open it up and proceed. Nee rav, please open and get into the queue, please.

Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from Mahrukh Adajania from Nu vama. Please go ahead.

Mahrukh Adajania: Hi, good evening. So I had a couple of questions. Firstly, on your margins. So just wanted to recap on your method of repricing on EBLR. So following a rate cut, in how many months does the book, the full EBLR book reprice? Or at least the repo book?

And just wanted to make sure that the repo, the EBLR linkage is around 65 %-67%. So that's my first question. And my second question is on growth. Obviously, there's hope that it will recover, but it's only slowing in the interim. So what will trigger growth from current levels right? Because in the first quarter, even HDFC banks, growth was subdued and so was everyone else's. So what will trigger growth? Because it's been falling over the last two quarters for the sector.

Srinivasan Vaidyanathan: Okay. Thank you. Thank you, Mahrukh . Good evening. Let's talk about the margin. And you asked about the EBLR and the pricing in and so on. The February price change on EBLR and the April change, yes, both of that for the most part will be fully in.

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Classification - Public The June change of 50 basis points will not be fully in. In fact, substantially will not be in because it takes one month to three months, right? At least one to three months for pricing in. Some are monthly resets, some are quarterly resets and so on. So we'll have to wait and get there. So two of those are done and the third one which happened in June, we'll have to wait for that for balance of the path to play out. So that's one of the margins from an EBLR yield impact point of view. That's why you see the change in the yield on assets is about 20 basis points or so. 30, but you had 7 /8, the last quarter had one timer , so 22 basis points or so is the change in the quarter. And so it has to come through from this. That's one of the margins.

Second on the growth you touched upon, I'm sure Sashi will jump in to talk about it. I think he already talked about it in the preamble in terms of both the monetary policy support in terms of the rate reduction that puts more money in the hands of certain consumers with cert

ain products

and also the yield going down. And also the fiscal policy which also provided relief in terms of some tax benefits. And the overall, the market inflation, both food inflation and the total inflation below that 4 % target is 3.7 % and some are even below. The food inflation is extremely low or nothing. All of that augurs well for consumption demand to pick up faster, both in the urban segment as well as in the rural segment. And with the onset of the festival season, we do expect that there will be a greater fillip in that area. Our approach is not only one segment. While we typically tend to mirror the GDP spectrum, which is consumption being 60 %, so retail predominant in that. We are present across all of these segments. And we would endeavour for a balanced growth across all with a tilt towards the consumer. Sashi, from an overall view.

Sashidhar Jagdishan: So we are seeing some amount of healthy demand from the rural side. I think the segment which we are catering to is already factoring in better monsoon. And so we are seeing some amount of positive inquiries coming in at our ground level there. So there is an opportunity at that front in terms of potential growth.

In the recent past, in the urban consumption, obviously, the premium side whilst is growing , there has been a little bit of a fatigue. But we expect the festival season, which will start shortly, I mean, whether it is the Onam or the Ganesh Chaturthi, etcetera , a fair amount of festivals will start to

kick in in the country from August onwards or even earlier. I think that mood will have a reasonable amount of impetus, and that could be a good trigger as well.

As I mentioned, you know, the fact that interest rates have come down, the fact that people would have now started to see savings arising out of the fiscal largesse that was given in the last budget, I think all that will play in with the convergence of the sentiments and the moods which normally the Indian festivities normally bring about.

On the MSME side, I think the sectors that we normally cater to, as I said, despite the kind of uncertainties on the tariff front, I think we have seen a fair amount of up-fronting of exports to sort of take advantage of this potential tariff rates. And so, we do see a reasonable amount of buoyancy in some of the good customers in the MSME segment as well, which should continue even as we get into the second quarter or the second half of the year.

As regards corporates, I think they have been enjoying in the last couple of months reasonably benign interest rates, and obviously the system, since being flush with liquidity, the rates being

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Classification - Public offered to these AA and above corporates are pretty attractive. So obviously, we may be, you know, to some of the good corporates which we are comfortable with, we shall be participating in some of them for their working capital demand as well.

We are not seeing anything great on the capital, private capex side as yet, but we shall surely participate in, as Srini did mention, across all our segments, whether it is rural, whether it is retail, whether it is MSME and whether it is corporate as well.

As regards mortgages, that too has seen intense competition from the public sector enterprises. But having said that, I think some amount of participation considering the brand and considering the fact that we are also trying to see how to optimise our cost of processing on that, I think we should be able to pick up some of the volumes during this test period as well.

So, we have a clear-cut, ground-s-up strategy in terms of how we will achieve our momentum from now on. As Srini did mention, we are coming from a very low growth for the reasons that I just mentioned, that we had a compulsion to bring down our credit deposit ratio rather quickly, w

hich

we did reasonably well last year. But now from that low, we have already seen the momentum, although small, in the first quarter. I think it's playing out well and we should see this sequentially moving up over the next three quarters from now. Thank you.

Moderator: Next question is from Rikin Shah from IIFL Capital. Please go ahead.

Rikin Shah: Just had a couple of questions. The first one, notice that the CRB loan classification has been regrouped. So how are the portfolios now allocated to different business heads? Has there been any rejig there as well? That's the first question.

The second one is on the asset quality. Just wanted to clarify what is the NPA recognition policy for any one-time settlements offered to the standard customers. And thirdly, on the credit cost, while it's still very, very benign, it has moved up from 29 to 41 basis points on net credit cost basis. Where do you expect this to settle in the interim?

Srinivasan Vaidyanathan: Okay. Yes. A few things. One, on the rejig of the portfolio, you'll see it on Page 11. You'll see that there is a small and mid-market which is there as a separate category, and the emerging corporates is part of corporate. That's one. Second, there is one other reporting that is there, which product-wise advances, which is part of the separate release, which is also a financial metrics release that is done. That also has got similar breakup for the three time periods, which is last year, last quarter, and this quarter.

But that's where it has moved. And there are some agriculture book and some SLI book, which are part of retail, which are core retail, which has moved to the retail part. That grouping you will see in that product-wise advances list that we have provided. You'll see that what has moved from the previous.

Rikin Shah: Sure. But has the business allocation to different heads also been rejigged along with this? If you could highlight that.

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Classification - Public Bhavin Lakhpatwala : Rikin, the respective product heads, like for example, the SLI head is continuing to be the same

SLI head. He is reporting into the retail franchise, which is being headed by Arvind. So, the respective business heads have remained the same. They've been reporting into a different hierarchy who report into Sashi differently. That's the only change that has happened. No ground-level staff has changed in this.

Rikin Shah: Got it.

Srinivasan Vaidyanathan: What was the second one?

Rikin Shah: NPA recognition?

Srinivasan Vaidyanathan: How you do a settlement? If you do a settlement, one-time settlement, it's now part of the NPA. Bhavin Lakhpatwala & others: We follow the norms. It's an NPA. There are RBI regulations around those which we will be following. In most cases, there will be some exceptions to it, but in most cases, any change of such, will necessarily have a classification downgrade. Whether that turns into an NPA will depend on each case-by-case. But largely, any change in that, one-time settlement would lead to an NPA recognition.

Rikin Shah: Got it. Lastly, on the credit cost. It moved up slightly. How does that behave in the next 12 to 24 months?

Srinivasan Vaidyanathan: Credit costs, normally, in the June and December quarters are slightly elevated, because of the agri

-- largely driven through the agricultural portfolio. Based on the crop season, it moves up between June and December. I won't venture to give you one particular number. But we have been trying to tell that over the last few quarters that the credit cost continues to be benign. And there will be some point in time, it will revert to mean. And what is that mean is a moot point, and how long it takes is also a moot point, but as of now, it continues to be benign and healthy.

Moderator: Next question is from the line

of Pranav from Bernstein.

Pranav: Two questions. One on the CASA deposit. The bank hasn't really gained CASA market share or maybe even lost some share in the last four to six quarters after a stellar three-year period from 2022 to 2023. So, what's really changed? And of course, more importantly, what will reverse the trend?

The second question is on your lending franchise. Can you share what percent of your 100 million customers would be loan customers? And I ask this in the context of HDB, right, which claims almost 20 million customer franchise and has growth ambition. And was wondering if there's a chance of a future conflict where both entities target the same customer.

Sashidhar Jagdishan: Pranav, let me answer this and then Srini can sort of complement what I'm trying to tell. So, number one is - let's face it, when we merged with HDFC Limited in July '23, there was a day zero adjustment of about 3.5% / 4% from where we were. So, 41 to 38 is or 37.5, 38 is where we settled down on that. If you look at what we needed to do right from the day zero of the merger, we had a massive effort to reduce the credit deposit ratio.

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Classification - Public It was a combination of trying to slow down the engine on the loan side and also try and step up the deposits to not only cater to some of the incremental reserve requirements that was necessitated because we took in more liabilities from the erstwhile HDFC Limited balance sheet, but also provide that business as usual incremental reserve requirements as well where we needed to keep that amount of extra deposit momentum.

And mind you, we had a kind of an environment which is rather challenging where the liquidity was very tight from the time we merged with HDFC Limited. When you have this scenario, you need to give clear directions in terms of what their priorities are. When you have branches and when you need to give clear directions, the directions that was given was you need to get deposits so that we can ultimately ensure that the primary objective of bringing down the CD ratio comes down.

So we did not provide any nuances to say that we also want good CASA, etc etc, because it's not something that you can ask anyone to say get CASA. CASA is a resultant of multiple ground-level strategies in terms of how you engage with customers, how you fulfil the financial needs of a customer, how do you upsell multiple products, and when you upsell, there is a lot of historical evidence and empirical evidence to say that with more and more products that you upsell, you will get your CASA balances.

So we are very clear that the priority is to get deposits and that is what the signal was given which is reflected in the fact that we got in deposits, we got in a good amount of market share, we got in at the prices the market is paying amongst the large peer group entities, and I think they have done extremely well.

And where we are at this juncture, I think going forward with the liquidity environment being rather benign, the fact is that now we have some amount of breather on the credit deposit ratio and the liquidity in the system and in the bank, we probably will have and this year in FY 26, our direction to the frontline team is to now start to upsell more and more products, fulfil the needs of what a customer wants, step up engagement, use great customer experience which we will talk about now or even in the coming quarters in terms of how we are going to be creating a great delight, which will eventually lead to getting back some of the mojo on the low-cost deposit

franchise as well. So this is part one and you will start to see this. Of course, for a large balance sheet, this will take a little bit of time, but I think we will cover it up and you will see the needle moving slowly but surely on this particular front. The seco

nd part of this question was on the e?

Srinivasan Vaidyanathan: Lending and the H DB, lending customers and the H DB.

Sashidhar Jagdishan: HDB, we have maintained this. I think the segment that they cater to is about a notch or two below that of H DFC Bank. For the kind of rates that they offer in the market for products, there is definitely you know, why would a customer from H DFC Bank who has a much lesser rack rate s would even go to an H DB for their incremental requirements.

Obviously, it has to be a notch below and that is not a segment that we are catering to at this juncture. I think we have enough to penetrate our own existing customer base and also the kind of segment that we are comfortable with from a product program basis. So even if one were to do a HDFC Bank Limited

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Srinivasan Vaidyanathan: One other aspect of what you had asked also, Pranav, if I venture to say, in our customer base, cards is the maximum penetration from a customer base. I almost call it 15 % to 20% card. We have 24 million cards. It is one of the highest penetration with that. So every other product, we call it anywhere between 5 % to 10 % to 12% kind of. So it is a long runway in terms of penetrating into our own customer base for various cross -sell opportunities.

Pranav: Thanks. Very clear on the H DB one. Just a quick follow -up on the CASA one. I was more wondering if any your recent actions, I mean, it seems to have coincided with you slowing down corporate credit, for example , right . So I was just wondering if there is something even more immediate or a side effect of what you have done, apart from all the other stuff that you talked about in terms of customer experience, except driving the long -term CASA.

Sashidhar Jagdishan: No, I don't think, Pranav, if I have understood you right, are you saying that the slowdown in CASA is an impact of the slowdown in the corporate segment?

Pranav: Yes, I was referring to that.

Sashidhar Jagdishan: Not really. You see, the thing is, corporate contributes to just a very smaller segment or proportion of our CASA. Yes, it is volatile. It has significant gyrations in the fourth quarter of every fiscal, and hence the outflows happen in the subsequent quarter. But is it something that has a significant impact because of that? I don't think so. Frankly, our CASA emanates out of the kind of engagement that we do to the retail segment. And that, m aybe let me add a slightly other nuance as well.

The segment that we cater to on the retail side is the middle and upper middle income segment. This is something that we have always maintained over a long period of time. And this is -- I can see about 687 people on this call, and I have about a few people in this room. If I were to take this as a microcosm of how a retail of a middle and upper middle income segment will behave, all of us would like to maximize our returns or optimize our returns.

So this segment is -- the propensity of all of us to move and manage our funds is going to be far higher than what you would do to probably in the mid to lower segments. And t hat will also have a nuance, have a slight amount of impact in the near term for some of the institutions like us. But that's not something that -- but I still am very optimistic that the medium to long term, if we get our customer experience and our upsell strategies well at the ground level, I think we should be in a position to get back some of the gains that we lost on

the low -cost deposits.

Pranav: Thank you very much. Thank you.

Moderator: Thank you. Next question is from the line of Kunal Shah from Citi group. Please go ahead . Kunal Shah, may I request you to unmute your line and go ahead with your question, please?

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Classification - Public

Classification - Public Kunal Shah: Yes. Hi. Thanks for taking the question. So in annual report also you have indicated that you have

been taking singles in FY '25 and now positioned to go for boundaries. So any particular segments, the priorities which have been set out apart from what you have indicated in general, the strategy which has been there, any key segments which you are looking at? And this quarter when we look

at the number of employees, they have gone up by almost 4,000. So is it like we have ramped up employee addition or it is to do with the lower attrition rate in the first quarter? Otherwise, in the last full year we have added hardly like 1,000 odd employees and this quarter itself we have added 4,000. So is it like front-loading, lower attrition, what is leading to that, yes?

Sashidhar Jagdishan: No. See, on the employee front, while I think Srini and the team will give you greater colour. But I think these are the impact of the branches that we opened in the fourth quarter of last year. So that is coming about now. At least a larger portion of that incremental hiring is from there. The balance, some portion will be in technology teams as well.

Srinivasan Vaidyanathan: A lot of the people, we have added in the sales force. That is part of the approach, both asset sales force as well as the branch sales force have added. And getting those branches fully manned.

Sashidhar Jagdishan: Yes. That is, as I said, that is the thing. I mean, see, the thing is I am not sort of here to say that I want to lay off anybody. We are very clear about it because we are blessed to be in a sector and in a country where the demand outstrips supply and we have a long runway. Frankly, even with, since you mentioned about the fact that what I have spoken about in the annual report, apart from the singles and hitting into the boundaries, I have also mentioned that there are some exciting tech initiatives which is underway, which I may sort of spell it out not now. I just gave a teaser in the annual report, but at the opportune time, which is just a few months away, we will sort of unveil as to what we are talking about. It will have ramifications in the capacity, but that is not our primary objective. Our primary objective is customer experience, and we are quite excited about how that is going to do about it.

But even then, even at that point in time, what we foresee, what I foresee is that we will have employees, we will grow our resources, but it will be more and more in the front end, more probably in technology, and less and less in the backend operations or backend enabling functions, whether it is operations, credit, other enabling functions of the bank.

So, the way I see it is that we will have, going into the future, more and more people at the customer facing and maybe revenue generating, and that is the vision that we have. So, adding a 4,000 in a quarter is just tactical in terms of, as Srini just mentioned, because we have had opening, I don't know how many branches we opened in the fourth quarter, and we are just manning it now completely. These are all low-end employees, which is necessary from a branch operations and sales perspective. And what was the second question?

Srinivasan Vaidyanathan: I think you answered the segment of growth, if any specific segment.

Sashidhar Jagdishan: That I have just mentioned a few questions ago, Kunal. I mentioned about the fact that where we see pockets of opportunities in terms of some of the rural segments, some of the MSME segments, even corporate, even th

ough the rates are going to be very fine, but we still have, now that we have liquidity, I think we will sort of unlock some of it. And even retail, even urban consumption, I

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Classification - Public believe that with the festive season coming up, we should see the premium segments also and unsecured segments moving up as well. Mortgages, pricing has been, as like the corporate side, the pricing has been rather fine, but we still believe that we can compete there, and there are some pockets of opportunities that we are sizing up as we speak.

Srinivasan Vaidyanathan: Even in this quarter, we did see approximately 1,000 people migration from back office to front office to augment more part of the process of the migration.

Sashidhar Jagdishan: Very good.

Kunal Shah: Okay, got it. And lastly, with respect to margins, so maybe what would be the average duration of the deposits, maybe in ALM, maybe because of the CASA classification doesn't make it very clear, but if we look at maybe the average duration of deposits, the way wholesale deposits proportion is also inching up now, it's closer to almost 18%-odd. When do we see NIMS, of say, Q4 level getting reached? Would it be by end of this fiscal or would it take time after the repricing is over and we see the benefit on deposits also flowing through, plus maybe the borrowings also getting repaid over a period?

Srinivasan Vaidyanathan: I'll start on the deposits. See, we have a significant portion of deposits, which are call it 12 to 18 months, call it mid-15, 18 months, thereabouts. So, that's the kind of where you have it in the front and you have it in the back, but then the most of it is centered around that kind of a time period. So, that's very important.

So, for the entire cost of funds to play out, it takes a few quarters. That means on renewal, on rolls, that's where it plays out there. That's one. From an overall margin, you asked whether by end of the year, yes. We will have to -- it will take a few quarters. It depends on the how fast and how much the rate changes, so that we will have to wait and see and there is always that June was and something that one did not expect that there will be a 50 basis point change in June. And so, these kind of things play out.

So, I will urge you not to look at quarter to quarter at all, because that is not how we can manage,

because one, there are certain things on the asset side that will automatically reprice. And on the managed side, which is the deposits that we manage, there will be a lag effect both from a managing the pricing in of the policy change and the rolls that happen, there is a time frame to it. So, yes, as we exit the year, there should be more stability if there is no more rate change, but then we will have to go through that process as time goes by as to what is going to happen in the forthcoming policy meeting, one or two meetings, what happens.

Kunal Shah: Okay. Got it. Yes, thanks.

Moderator: Next question is from the line of Rahul Jain from Goldman Sachs. Please go ahead.

Rahul Jain: Yes, thank you and good evening, everyone. This first question is on the loan growth. So, can you get some qualitative color on how would have been the growth in disbursements of the new loans that you would have underwritten in this quarter and how is the pace picking up there?

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Classification - Public And, of course, there is always a time lag between the disbursement growth and the loan growth. So, if you were to just start looking out at the next few quarters, how would that start looking out? Can you just share some color on that?

Srinivasan Vaidyanathan: Yes. See, the disbursement growth in mortgages, if you see, is consciously down. The reason being that when there are certain inst

itutions, particularly on the public sector side, which have a rate of anywhere 7.1, 7.3 or thereabouts, we are not competing, right, at those kind of rates. And we are more looking at rates which are 50, 80 basis points more than that, to provide better service and get a holistic relationship of the ability to have multiple products. And we are okay to be slower there because that is what we want, the full relationship, not a product as such getting pushed at this kind of size.

And as it relates to non-mortgages, the disbursements have been quite strong, and we are seeing that 9% odd growth in the retail assets year-on-year. And there are some seasonality, Agri season and so on and so forth plays out, but overall those have been reasonably good there within our growth. At 9.6% rate of growth, there is far higher room to go up to our own standards of where we are used to growing on those books.

Rahul Jain : Thanks Srini. And so it's fair to assume that by the time we get into the second and third quarter, the stock of loans should also start closing the gap with disbursement growth. And the disbursement growth has been stronger in non-mortgages. Shouldn't it also reflect in stronger fee income? But this quarter we didn't see fee income being that strong for some reason?

Srinivasan Vaidyanathan: See, fee income this quarter has been subdued due to the third-party distribution fees. That's where

it is lower. Typically, June quarter is lower than March quarter. But then even March, June versus June, the third-party distribution fees have been subdued.

And again we believe it is timing through the year that this quarter industry-wide we did not see much of that third-party distribution fees coming through or distribution sales coming through there by the fees. But the overall outlook for the full year in terms of the distribution remains quite optimistic and quite strong.

Rahul Jain : So disbursement growth and loan growth in second and third quarter should start getting similar. Is that a fair assumption in non-mortgage retail?

Srinivasan Vaidyanathan: No, I don't want to give one particular outlook, but then certainly it depends. I think Sashi alluded to say that as the onset of the festival demand, we do expect a good amount of uptick there. And we are positioning ourselves to take advantage of that coming through in the next few quarters.

Rahul Jain : All right. Just one last question and more a directional question on cost-to-income except actually still I think the math, there's 42% of thereabouts. Of course, it has improved versus last year, despite the balance sheet reorg. But what's the sense we should get? Where would this number start to head towards in the next couple of quarters? Do we have visibility that goes down to below 40? Because we are adding employees, we are adding branches, et cetera and growth, of course, is a challenge. So should there be a scope for it to improve and bring it down to below 40? I'm putting a number there. I know you don't comment on the number, but still just get some direction or that

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Classification - Public management would want to prioritize growth, so therefore cost-to-income is not an immediate priority ?

Srinivasan Vaidyanathan: Cost-to-income is always a priority, even at the rate of growth that we aspire to do. We are at a normalized rate of 39.6 or something. But having said that, I would say that quarter-to-quarter certainly is not something that we look at to manage because there will be times then where there

will be spend required to be supported.

That is, let it be the car d spend or let it be some of the festival spend and programs and marketing that needs to be supported. So we'll not be shy of that where we need to do. We shoul d look at an annual where we do, b ut certainly, yes, we envisage to

take it down and keep improving on that.

Rahul Jain : Thank you, Srini.

Moderator: Thank you . Next question is from Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Hi, good evening and thanks for taking my question. Sashi, you said that there's a bit of a breather in CD ratio in the system and liquidity in response to one of the questions earlier. I just wanted to check from a CD ratio perspective now where would the comfort zone lie? Earlier, I believe it was somewhere between 85 and 90. But now in the new scheme of things, better liquidity, system looking at growth revival, would you be comfortable with a relatively higher CD ratio?

Srinivasan Vaidyanathan: See, I'm going to take that, Abhishek, from a CD ratio. We are at 95, 96. Last quarter was 96. We are at 95 there about in CD ratio. While quarter -to-quarter, again, even for this year, it can be different. But in the medium term, we would envisage to get the CD ratio to be at that level we were prior to the merger, which was about 87, 88.

So that is why between 85 and 90 is the range that in the medium term we aspire to be there. And that naturally comes in when you have the deposit growth superior to the loan growth and you keep moving on that will come. And that is how that FY26 grow in line with the system and FY27 grow faster on the loans versus the system gets you in the medium term to around those kind of levels in the course of time.

Abhishek Murarka: Yes, Srini, the thought was that actually with now a little bit of leeway, if you target something a little higher than 87, 90, then you can actually grow a little faster as well and use all the deposits that are coming in because at a headline level, you're getting great deposit market share incrementally. So that's what I was thinking. Is that an opportunity now?

Sashidhar Jagdishan: Yes, theoretically, I agree with you, Abhishek. But as I said, it will have a certain amount of gradient. That's the thought process. I think we are aligned to that kind of a thought process. But obviously, we need to also see appropriate demand at appropriate pricing and appropriate risk premium as well. So it's something that we have to manage all these aspects as we move along. But I think we are all geared up to ensure that we do n't miss our opportunities. And, yes, if we need to have a direction downwards, but not necessarily be tied down to a particular CD ratio number, we are going to be happy to do so. But I guess that clarity will come about as we move to the second half of the year because as you know, whether in any year and more so in this particular

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Classification - Public fiscal , I think a large part of your growth will come in from the second half and probably more veering towards the fourth quarter of this year. So at that point in time, I think there will be enough clarity for all of us. But in the meantime, we are ensuring that the engine is gearing up towards a trajectory which is what we had stated up. And whether it is disbursals, whether it is across multiple segments, whether it is re -examining the market opportunities or the competitive intensity and trying to see how we can, now that we have liquidity how to sort of bat on the front foot, I think we will be doing that and that will be very visible to the world at large.

Abhishek Murarka: Sure, that sounds good, Sashi. And the second question is on this contingent provision of INR1,700 crores. This was a little over and above whatever you use the windfall gain for. So is this specific to some account or is this some policy that drives you to make, or that drove you to make this additional provision? What was the reason to make the additional INR1,700 crore s provision?

Srinivasan Vaidyanathan: Abhishek, we should look at what is contingent provision. As the name suggests, it is conting

nt

on occurrence or non -occurrence of certain events right . And this does not represent any uniquely observed changes in the portfolio. These provisions run through models on various pools of assets under certain probability scenarios, stressing various factors. It is intended to provide resiliency and essentially strong reserving position now and for the future. We were at 51 basis points prior to this. Now the contingent provision is about 57 basis points of the loans portfolio. So it is done at kind of various levels, pools of assets, runs through various probability models and then that 's the reserving that we do.

Abhishek Murarka: Perfect. And finally, can you give some colour on asset quality and outlook on asset quality in PL , CC and Secured Retail? Just sort of an update compared to last quarter. Now what do you see?

Sashidhar Jagdishan: While Srini may probably give some numbers, if at all he does, but I can tell you that that continues to be our greatest, what shall I say, our USP. I reiterate that ex agri, because agri is more cyclical in nature, which you see a little bit of a blip in the first quarter and the third quarter. It continues to be extremely benign, whether it 's gross NPA levels or even in terms of the credit cost.

I mean, if you look at the credit cost ex agri also, it 's sequentially, it 's been pretty much stable. So

we are extremely happy and even the outlook, as Srinivasan just mentioned, is pretty much benign. And so even the so-called counter-cyclical buffer or the contingent provisions has no correlation to any pain points that we are likely to have. Virtually there's none. It is just building resilience into the future. And that's been a philosophy that we have been patronizing for a long period of time. And I think this is something that we are proud of.

Srinivasan Vaidyanathan: On the particular number, if you look at the NPA on the retail segment excluding agri, it's at about 82 basis points. Last year, same time, it was 82 basis points. So it's been pretty steady at that level. So over a year, 82 basis points. That's the GNPA on this retail segment which contains cards, PL, and all of those other products other than agri.

Abhishek Murarka: Right. So essentially you're saying there's no real stress and it's stable. The asset quality there is stable.

Srinivasan Vaidyanathan: Exactly, yes.

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Classification - Public Abhishek Murarka: Yes, perfect. Thank you so much. Thanks and all the best.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. Next question is from line of Chintan from Autonomous. Please go ahead.

Chintan: Can I ask you a couple of detailed questions from your 20F? The first one is last quarter, you had said that you have about 500 billion of expensive worthwhile limited debt that will mature in 2026.

In your 20F, your long-term debt maturity for 2026 is about 1.5 trillion. I wanted to understand what that other 20 is like in terms of cost or duration and what the opportunity is there in that trillion, so excluding the e-limited debt. So that's the first one. And within that also, how do hedges play a role in helping you offset the NIM pressures?

The second question I have is on PSL. If I look at the achievement rates, it has come down year on year probably because of the one-third base being added from HDFC Limited. If I think about another third coming next year, there is some kind of rolling shortfall building up in certain areas. How should investors think about this? Would RBI make a call on this at some point and then it is what it is? Or can we prudently put something in our expectations on NIMs on that call? How should we think about it? Thank you.

Bhavin Lakhpatwala : Chintan, that 20F is a consolidation of all the subsidiaries. If you look at any numbers there and try and look at that

from a standalone, it is not going to really make sense. I would encourage that you don't try to find data points from a bank perspective in there. It is not going to be able to match it and it is a completely different accounting standard as well. We will pick it up offline to see how we get there on that.

Srinivasan Vaidyanathan: All the subsidiaries are added in that.

Chintan: Can you cover on non-e-limited borrowings? Any opportunities there to do any liability management exercises or something that can help you reduce your cost of funds there?

Bhavin Lakhpatwala : If you see the borrowings that we do give a breakup, we constantly have something which comes up for maturity, which we have done. Last year, we did have some opportunity to prepay or try and advance some maturities, which we have taken through. We will keep looking for this as and when they are available. We will do that, but given the rates where they are in the market, these opportunities may not necessarily be as much in this current year, is the way we think about it.

Sashidhar Jagdishan: Little two bits on this one, Chintan. Even if there are opportunities, you have to take a fair value hit if at all there are any early redemptions of some of these long-term debt as well. That is something that you need to factor in. But if I were an investor, why would I even want to do that if I am holding a very attractive coupon on the other side? That is a reality, and that is what some of the investors have been saying - I am happy holding it to maturity. Sometimes, whilst on paper, I would love to do that, but in practice and in reality, there are very few takers on such early redemptions as well.

Srinivasan Vaidyanathan: On the PSL, you touched upon the PSL. Yes, right, PSL is an active management book in terms of how we have. At the aggregate level, the target is 40%, and if we have more than 40%, we try

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Classification - Public to see how to get it to 40%. There is always a buy and sell on the PSL C that happens for actively managing, and again, with market availability. Not that every year, right, it provides an opportunity, but yes, I think, you are referring to the annual report of the PSL status of the FY 25 status. Yes, there were sales also which exceeded the buy in the year, because we were excess at the aggregate level.

Sashidhar Jagdishan: Even as we speak, I think, we are reasonably comfortable at an overall private sector portfolio

despite adding one-third or the portion of the erstwhile HDFC limited balance sheet.

Srinivasan Vaidyanathan: The only thing we always look for to get is the small and marginal farmer and the micro segment, which is much more dearer. Even availability is limited in the market, but we are not aware of any regulation change that provides or leaves any opportunity space that we do not know. But, yes, those two segments are there all the time, and even the last year that you referred to, we were about the percentage point or so looking for cover.

Sashidhar Jagdishan: Right.

Chintan: Yes. Okay. And can I slip in one more? Will 2Q be the trough of NIMS for the bank, given that a lot of the asset repricing will come through by 2Q?

Bhavin Lakhpatwala: It will depend on if there is another rate cut coming or not during the year.

Chintan: Yes. Assuming no more rate cuts. Assuming no more rate cuts.

Bhavin Lakhpatwala: Then you should expect that to happen subject to repricing on the liability side, which should come through. So, logically, yes, but there are a lot of other people on the call. We do not want to give guidance of any form or manner because there have been a lot of moving parts in there.

Chintan: Sure.

Srinivasan Vaidyanathan: The deposit costs are managed deposit costs, and the deposit costs do not reflect yet fully pricing in of the policy

rate change. And you know that the deposit pricing, particularly I am talking about the time deposit, savings also it is the same, but for a good amount, the time deposit pricing is more or less maintains parity across various peer players in the system. So it is not just about one moving, you will have to see whether the cohorts are moving.

Sashidhar Jagdishan: Having said that, I sort of mentioned in the past, liabilities are more fixed in nature. So even incrementally, if our incremental liabilities come in at a lesser price than the stock, it takes a long time for the stock to run off. I mean the modified duration will be about a year or 1.3 years. So you have to wait for that, and that is the reason why you will, and rightfully that is what even you have alluded to, you will have a little bit of a trough, all things remaining same, assuming no incremental changes, a little bit of a trough in the coming months before it starts to pick up and stabilize to where the liability benefits also catch up with the transmission that has already happened on the asset side.

Srinivasan Vaidyanathan: I would urge to look at these things only annually, not quarterly.

Sashidhar Jagdishan: Absolutely. Which is what you have been mentioning, even in your last earnings call.

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Classification - Public Moderator: Next question is from the line of Piran Engineer from CLSA India.

Piran Engineer: Yes. Hi, team. Congrats on the strong results. Most of my questions are answered, just a couple of follow-ups. Firstly, Srini, when you mentioned that credit costs will normalize, it's a matter of when and not if, I'm just thinking which segments will result in this normalization, because corporate isn't likely to worsen, secured retail is fine, and unsecured will only get better. So why should we assume that credit costs will rise in the future?

Srinivasan Vaidyanathan: Look, again, it's a question of the overall credit cost in the industry or at the bank remains pretty low. When I say reversion to mean, it is simply a statistical model. That is why I do not know when -- I do not know how much, right? But if you ask our credit experts, like our Chief Credit Officer, which I think he alluded to a couple of quarters ago in one of those investor calls, that yes, across all the segments, it has been pretty good and benign. It started maybe a year ago in the lower segment, like the microfinance, I'm talking about the industry, it started around that. And then it did not find its way into the other segments, like, retail segment, SME segment, wholesale segment, and so on. So again, that is a question of when right. It's not something that just moved from one on a quarterly basis or a two-quarter basis, it didn't start to move across. So it depends on when it does. But across all segments, there will be some kind of a reversion to mean.

Piran Engineer: But there's nothing on the horizon, at least in the foreseeable future that we see?

Srinivasan Vaidyanathan: No. No..

Piran Engineer: Okay. Okay. That's good. And just secondly, in terms of fixed rate lending products, like car loans, personal loans, etcetera, how much have we and our competitors cut incremental disbursement interest rates by?

Bhavin Lakhpatwala: It'll be difficult to gauge that, right? Because there's a large segment there and different players play in a different rate. So, it's very difficult to gauge what if everybody has got and not. First quarter is any which was a bit slower. If anything, you will find some of this competition playing out as the festive season picks up in the next quarter.

Piran Engineer: Okay. Okay. Fair enough. That's it from my end. Thank you and wish you all the best.

Moderator: Thank you very much. Participants, we have come to an end of time allotted for the call. I would now like to hand the conference over to

Mr. Vaidyanathan for closing comments.

Srinivasan Vaidyanathan: Okay. Thank you all for participating today. If you have any more questions, queries, comments or whatever you need to talk, please reach out to our Investor Relations team which you are anyway used to reaching out if required. We'd be happy to engage and talk. Thank you. Bye -bye.

Sashidhar Jagdishan: Thank you all. Thank you very much. Bye -bye.

Moderator: Thank you very much. On behalf of HDFC Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2025

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

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October 27, 2025

BSE Limited National Stock Exchange of India Limited
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Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051
Scrip code: 500180 Scrip code: HDFCBANK

Dear Sir/Madam,

Sub: Transcript of Earnings Call in relation to the unaudited standalone and consolidated financial results for the quarter and half-year ended September 30, 2025

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on October 18, 2025 with respect to the unaudited standalone and consolidated financial results of the Bank for the quarter and half-year ended September 30, 2025, has been made available on the website of the Bank at the below link:

<https://www.hdfcbank.com/personal/about-us/investor-relations/financial-results>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thank you.

Yours faithfully,
For HDFC Bank Limited

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“HDFC Bank Limited's Q2 FY26 Earnings Conference Call ”

October 18 , 2025

MANAGEMENT : MR. SASHIDHAR JAGDISHAN – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , HDFC BANK LIMITED
MR. KAZAD BHARUCHA – DEPUTY MANAGING
DIRECTOR , HDFC BANK LIMITED
MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
OFFICER , HDFC BANK LIMITED
MR. BHAVIN LAKHPATWALA – SENIOR EXECUTIVE VICE
PRESIDENT , FINANCE – HDFC BANK LIMITED

HDFC Bank Limited
October 18 , 2025

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Classification - Public Moderator: Ladies and Gentlemen, Good Day and welcome to HDFC Bank Limited Q2 FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. S Vaidyanathan, Chief Financial Officer, HDFC Bank. Thank you, and over to you Mr. Vaidyanathan.

Srinivasan Vaidyanathan: Thank you, Nirav. Good evening, and welcome to all the participants on a very busy day. Without much ado, let me get to our CEO and MD – Sashi dhar Jagdishan, for his opening remarks before we get on. We also have Kaizad Bharucha – our Deputy Managing Director. We will also get him at some point. Yes, please, Sashi over to you.

Sashidhar Jagdishan : Good evening, friends. First, let me wish all of you Shubha Dhanteras and Shubha Deepavali. So, first, let me start with the macro. Global outlook remains very volatile, thanks to the uncertainty related to tariffs and immigration policies. However, the domestic economy appears to be getting stronger. The triad of fiscal and monetary measures, whether it is the direct tax reductions, the GST reductions or the up fronting of interest rate cuts, I think, have galvanized the economic activity in the recent past. The headline inflation has been printing very low, thanks to the low food inflation. This probably gives the monetary policy committee to maneuver on future interest rate actions. We have had strong rainfall in most parts of the country. The GST rate changes have created a lot of buzz in the market in the later part of September onwards.

Coming to the bank, the improvements in the economic activity has given us the opportunity to accelerate loan growth. We can see a lot more color as we get into Q&A. We have seen our growth pick up across segments. We continue to see market share gains in deposits and we are very focused and disciplined in pricing. As expected, due to the front loading of the interest rate cuts on the asset side of the balance sheet, we did see NIM compress by about 8 basis points. We should see over the next 6 to 12 months the deposit repricing having some amount of tailwind effect in the NIMs. We are managing our expenses in a very tight band and we should see our investments in distribution and technology creating an operating leverage over the medium to long -term.

We continue to invest in technology, not just in core platforms and middlewares which will bring about a lot of stability and scalability in availability, in resilience and in security, but we are also embarking on creating a platform to embark on certain low-hanging new age experiments such as in

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Classification - Public Gen AI. Largely, these are to reengineer our processes and create a kind of a great customer experience by reducing turnaround time. It will have a second order impact , if it becomes successful, which is what we are all working hard towards , in the bottom line of the bank.

I think our USP, as probably you have seen the numbers, continues to be our very healthy asset quality and we don 't see too much of issues in that even in our early indicators as well.

Large part of our metrics, whether it is NIMs, whether it is Cost to Earnings, whether it is Return on Assets have been very range -bound, and we should see a fair amount of stability with a positive bias in the medium to long term.

So, let me pause out here and happy to take on any questions. We have our CFO, our DMD and other

colleagues who will collectively be answering to some of you

r questions. Thank you.

Moderator: We will now begin with the question -and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama Wealth. Please go ahead.

Mahrukh Adajania: Hi, I had a few questions. My first question is on the recoveries in the NPL movement, they look very strong. So, is it that the recovery environment has improved substantially or is there a one -off there?

Srinivasan Vaidyanathan: : Yes. The recoveries, I have a one -off there, where there was an NPA, which performed satisfactorily

over two years and appropriate ratings were received and upgraded and to that extent, yes, it did improve there. That also releases some provisions, as you know, but at an aggregate level, the contingent provisions have been added by about Rs.1,600 crores or so. We have created more resiliency and strengthened the position there. So, from an overall point of view, the upgrades have contributed to approximately 10 basis points.

Mahrukh Adajania: Okay. So, the one -off would be how much?

Srinivasan Vaidyanathan: 10 basis points. 1.4% was the prior quarter NPA, we ended up at 1.24%, about 10 basis points was upgrade, which I would not say is recurring.

Mahrukh Adajania: All right. Got it. Makes sense. And then in terms of margins, you had been guiding that the exit margins will be same as last year's 4Q exit core margins. Does that guidance still hold good? Is the repricing on track for that?

Srinivasan Vaidyanathan: Okay. So, let me take that. See, there are two things, Mahrukh. If you look at the yield on assets, yield on assets have come down from the beginning of the rate cycle, which is in our published statements, you will be able to see it, I think, on Page #14, in the quarter, 30 basis points. But from December to now, almost 50 basis points has played out on yield on assets, right - 100 basis points

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Classification - Public changed in the policy rates, about roughly 70% are on floating area. So, most of that is priced in, some tail kind of a partial month or a quarter kind of impact can come in the following quarter, but otherwise, a lot of it is priced in there. From a cost of funds point of view, the 4.9% came to 4.6%, so 30 basis points. So slightly half or a little more than half is what you are seeing flowing through in the cost of funds, which is where the savings deposit change has flown through, but the time deposit rate change, which is between 70 and 80 basis points or so has changed, that takes almost six quarters to flow in. A little more than 1.5 quarter has gone by. In this quarter, you saw that the cost of funds improved by about 18 basis points on the page, you see about 20 basis points, I think, 19 basis points, you see a 20 basis points rounded number there that cost of funds has come down by. And so, it has got another at least four - five quarters to play out. Which means over the next few quarters, with the rate remaining constant, at a stable assumption level, the cost of funds starts to move down, and if the asset stabilizes at that level, you see that pickup coming. Yes, we are optimistic that with the stable rate scenario, our exit should be moving up from where it is today.

Mahrukh Adajania: Okay. And how do you view the deposit growth? This time loan growth was very good. And while the deposit growth was good, the incremental LDR did rise. How do we think about LDRs from here on?

Srinivasan Vaidyanathan: Okay. Good question. Thank you for asking that. See, our LDR, we started the year at about 96 and

change. Our strategic objectives, when we laid out was that the rate of growth on loans in this year will be at market and in FY'27 will be faster than the market, predicated that the LDR will come below the 90 mark, somewhere, call it 85 to 90 or below the 90 mark, right, which is okay, that is the kind of strategic direction

on. It is not a linear progression, and what is more important is that direction of the travel, that means coming down from 96 to below 90, direction of travel is important. The quantum, how it moves, quarter -to-quarter, can vary because there are seasonalities that play out. In this quarter, we did see credit demand that was good. We participated with our clients where it made sense from our engagement and profitability and total relationships and we will continue to do that, and our strategic objective of getting to grow in line with the system this year and higher than the system in the following year continues to be there.

Moderator: Next question is from the line of Chintan from Autonomous.

Chintan: Thank you. Happy Diwali to all. Can I start with capital? The recent draft proposal seems to suggest a meaningful reduction in risk weighted assets. You are already at a very high CET1 ratio. You have got even more contingent provisions now. You chose to put more buffers on. Your loss experiences are not going to be that bad for ECL. What are we going to do with all this extra capital, given that you are able to grow with your retained earnings even when I look out beyond FY'27?

Sashidhar Jagdishan: Let me come in out here. It is obvious you are seeing this kind of a buildup of the capital ratios in the recent past because the bank chose to slow down in FY'25. Now , we are on that upward trajectory.

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Classification - Public You are right, all the potential regulatory changes will have a little bit of a benefit on the capital ratios. But on the ECL side, I m not too sure because if you really look at it, the bank has a proven track record and having very well -established models in ECL , So, that is already known to the world and known to you, I am sure, as we disclose the U.S. GAAP results. But having said that, if you look at the draft guidelines or the fine print of that, there are a lot of prescriptions or floors that have been prescribed, which means that the pure ECL advantages may get nullified, if not , you may even have to maintain higher levels of ECL if such draft guidelines were to go through. Obviously, we need to wait and watch when this starts to come out as final guidelines. But having said that, as we have just mentioned, we believe that the change in economic cycle probably has just begun. Whilst I do appreciate that we need to wait and watch whether this is sustained even beyond the festive period, but there is a fair amount of optimism in most of us out here to say that this will be sustained. And the moment we hit the trajectory that we have laid out for ourselves, that is in FY'27, we will start to grow faster than the system, we should start to consume capital. If you look at our long -term trajectory, we have been consuming capital about 60 to 70 basis points every year on a very steady -state scenario in the past prior to any of these events such as merger, et c. Also for a large systemically important bank, it is very imperative that we don 't go down necessarily to the regulatory prescribed threshold levels. We need to provide capital or allocate capital for unknown and unforeseeable risk as well. So, we do have a capital planning process, where obviously the threshold levels are far higher than the regulatory prescriptions. So, frankly, whilst optically, it may be higher today, but as we get back on to the growth path, I think we would have sufficient capital as one would have when we raise capital, as you have seen in our past history, when we raise capital, we have enough capital for about three to four years of growth. So, I would say that from FY'27, when we get back to that kind of a growth, we should have that much of room and that much of cushion to be able to have three to four years of growth , at least , for consuming before we start to look at other

options.

Chintan: Yes. I mean the only thing I would say to that is I don 't think you are in a place where you consume 60 to 70 bps of capital every year now. Given your size, even if you grow at 17% - 18%, you would be breakeven on the capital you already generate. Am I wrong out there?

Srinivasan Vaidyanathan: You are right . Even in this quarter if you look at it, our capital generated is 60 basis points and the consumption is 60 basis points, right , and 19.9% to 20% - the capital ratio change 0.1 is the rounding , other than that, it is about 10 basis points change in capital. So, generation and consumption at this level is there. But then when you grow faster than the system, the consumption will be faster. When there is a mix which is a little more oriented on the retail, the consumption will be even faster than that. So , we need to cater and provide for all of those things , so it is important to keep the capital on our side to essentially keep that opportunity space for growth as much as we can.

Sashidhar Jagdishan: Having said that, if there are any opportunities that may arise in terms of other options that are available to sort of delight shareholders, we would be more than happy to do so. We will keep on exploring such options.

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Classification - Public Chintan: Yes. And my second question was on margins. LDR seems to have benefited this quarter , but when

I look at cost of funds, it seems like it is not falling as fast as some of the other larger players. Is that just the timing difference in the way you built up your TD book versus the other guys given the merger and that it should unwind over the next few quarters?

Srinivasan Vaidyanathan: Yes. Our cost of funds moved down by about 18 - 19 basis points or so in this quarter. Deposit cost of funds came down by a similar amount. Yes, our savings account rate change is fully factored in. The time deposit rate change to factor in fully, the magnitude of the changes in the rates that we and many players have done are of similar order, except that it takes us almost six quarters to play it through into the cost of funds.

Chintan: So, slightly longer duration, okay.

Sashidhar Jagdishan: Yes, that is right. Chintan, it is also about duration. Because we need stability in our balance sheet, we tend to have a slightly longer duration especially on the retail side . So, that is the reason why the tailwinds will be slightly longer in terms of visibility of drawing back this kind of repricing advantage.

Chintan: Okay. And a quick data question. Borrowings from erstwhile limited, how much is left on your books

just now?

Srinivasan Vaidyanathan : Yes, annual report reflects the maturity profile of this over the next few years.

Chintan : Okay. Thank you.

Moderator: Next question is from the line of Kunal Shah from Citi Group. Please go ahead.

Kunal Shah: Hi. So, the first question is particularly with respect to deposit market share. So, obviously, we would tend to maintain a particular market share on the incremental deposits, which seems to have come off. Is it largely to do with the rundown of bulk deposits during the quarter? Now, we see some increase in the proportion of retail deposits as well. But the lower deposit growth this quarter, in particular, maybe just 1.2x the industry average. What could be the reason for that? And should we see the uptick going forward?

Srinivasan Vaidyanathan: On the deposits, the market share is an outcome, and our approach is as granular as possible and as

far reaching through our branch network, which is why the deposits that come from our retail network is about 83% or thereabouts. Yes, in this quarter, you have seen that the proportion went up by a percentage point, where the non-retail deposits came down in this quarter, while retail deposits did grow. Yes, in terms of the pricing

and in terms of the availability and the client relationships, time -

to-time that gets determined, right. We do participate in many of those, but we will be circumspect in how much and when we participate.

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Classification - Public Sashidhar Jagdishan: Kunal, when I did my opening remarks, I did mention that there was an element of disciplined pricing

and this is what I meant, which Srinu elaborated just now. But having said that, whilst all of you look at period-end deposits, I have been maintaining every time in my call that you should also look at averages. And averages, I think we have grown really decently well at about 15% year-on-year. I think that is something that we are very comfortable on our year-on-year growth. Thank you.

Kunal Shah: Got it. And this increase in contingency provisions, so you indicated that on the recoveries, there was some provisioning release, and that was the reason for contingency, or is there anything to do with maybe the ECL buildup, you already carry a very decent level of contingency provisioning and we are adding over and above that. So, how should we read it? Maybe it is a particular recovery effect, which is getting nullified and that is the reason it's created?

Srinivasan Vaidyanathan: Yes, that is exactly, there is an opportunity space. Contingent provision as the name suggests, it is precautionary and not anticipatory and where there is available an opportune space, we do. ECL provisions to the side, whenever that comes to life and those draft guidelines are finalized, we can do the fine-tuning of what it entails. But we do feel comfortable with ECL, both from an implementation or from a requirement of provisioning and so on. But at this time, exactly as you alluded to, was the thought process on the contingent.

Kunal Shah: Sure. And lastly, on fee income side, the sequential uptick is more volume related or is there any element of one-off or some particular pickup in these segments, in any of the sub segments which we are seeing during the quarter?

Srinivasan Vaidyanathan: No. The fee element, if you look at it, the fee has grown by about 9% or thereabouts. In fact, the proportion by various products, if you see, is almost consistent where you have to look at prior year more than prior quarter because one quarter to another quarter, there are seasonalities of various products, but it is consistent and that is part of the regular growth.

Kunal Shah: Okay. Got it. Some element of wholesale would be there because that proportion is going.

Sashidhar Jagdishan: No, not wholesale. Kunal, the fact of the matter is you started to see the asset buildup happening, the disbursements would have started to kick in during this quarter. So, there would be definitely better earnings arising out of the asset disbursements as well.

Kunal Shah : Okay. Thank you and wish you all a very best happy diwali.

Srinivasan Vaidyanathan : Thank you and you too have a great one.

Moderator: Next question is from the line of Anand Swaminathan from BofA. Please go ahead.

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Classification - Public Anand Swaminathan : I have a couple of questions. One, we have just crossed the two-year mark post-merger as well. If we

can give some key success metrics in terms of synergies and what has worked out the best? And also, if you can highlight what has been lagging versus what we had envisaged two years back? And number two, in terms of the line of sight of ROAs, what kind of timeframe are you thinking about now to get back above the 2% ROA mark, which we used to do consistently before?

Sashidhar Jagdishan: So, let me try and attempt this and maybe later on, Kaizad or Srinu can just jump in. Number one is, let us face it, this is one of the most complex mergers in recent history. Two is, as you know, the bank

had to do much more than what it was normally doing in terms of trying to step up the pace of raising funds to meet the incremental reserve requirements, the other LCR requirements that happened on their liabilities, which we inherited and also the funding for the incremental priority sector requirements as well. In addition to that, obviously, when we realized that the economic outlook was changing post the merger, we took a strategic call that we would like to relook at our glide path and we said we want to bring down the credit deposit ratio much faster than what we had envisaged at the time of announcing the merger. So, that meant that you needed to step up the pace of deposit growth much more than what one would have done, even though the liquidity environment is extremely tight. So, I think these were all extraordinary events that we went through post the merger, and I think doing all these slightly more than what the organization's capacity was, we still maintained reasonable stability in terms of margins right from the time we had our day zero or day one financial metrics, whether it is in NIMs, whether it is cost to earnings, whether it is the asset quality or whether it is a return on assets. If you have looked at it over the two-year period, I think it has been reasonably stable and range bound and that itself is very commendable for a population scale kind of an organization.

Having said that, during this period, we continue to invest into the future, into technology, into distribution and into resources because we believe that if you need to really harness the opportunity of the merger, we need to ensure that we have enough funding to be able to fund the future growth as well. So, that said, so we were not too focused on managing the cost to earnings during this period. We said, let us invest and this will harvest itself over the next three to five years phase.

As we see, one of the most important things is on the home loan space. Home loans, as we mentioned, is a very emotional product and the kind of relationship that comes about is going to be long-term in nature, having a better emotional quotient, and it is going to have a far-reaching impact than some of the short-term consumption products. The process has commenced I think the team has done a fabulous job of trying to ensure that we try and sell home loans from a larger distribution than what we were doing premerger. Two is when we started to offer home loans, we said that we will try and cut down the turnaround time of sanctions. I think now it is in the public domain. For salaried loans, we have now brought down the turnaround time to two days and for self-employed, it is about three days. Three is, we will have journeys, which will ensure that we have a one-click experience in offering a bouquet of products when we sell a home loan. So, in terms of the upsell, whether it is in

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Classification - Public terms of having a savings account attached to every home loan disbursement. Let me have Kaizad speak about it because he runs this very passionately.

Kaizad Bharucha: So, thank you, Sashi. Without going through all the pointers that Sashi mentioned, I think one of the advantages that we brought apart from changing the turnaround times was opening the segment to the self-employed base, which was not there previously when home loans were being done. And that has opened up a larger segment for us. It has also ensured that we are in a position to upsell far more products, including the liability side of it. Empirical data has shown that whenever a customer has a home loan and he brings with it the check-in account, there is a change in the value of the relationship that comes. So, I think we have been already able to start implementing that. We have seen good results over the last one year. So, with increased distribution, changing our turnaround times, being

able to offer home loans and customized products in home loans to different customer segments based on geography as well as their demographics. And in addition to that, the upsell that we have been able to do across a whole range of products, which is the credit cards that go along with it, when a person buys a home loan, the consumer durable loans that go along with it, as well as being able to offer them our brokerage services and insurance. So, when you look at the whole gamut of the upsell along with the checking account and an emotional product like a home loan, which is a good duration product, it's already started playing out what we had envisaged as the road map, and I would say that we are on track.

Srinivasan Vaidyanathan: I will add to Kaizad, so that this number we can keep talking and tracking - credit cards for when a new mortgage is given, the credit card penetration, we have been successful, as Kaizad alluded to, is now a little more than 14%, we are able to get that penetrated. On the consumer durable sanction, our penetration is in the mid-30s, and on a brokerage account, we are like a 15%-plus penetration. And so we are progressing on each of those products on the scale of how we want to hit. On the savings account, I think we alluded to, we are at 98%, 99%.

Sashidhar Jagdishan: And the end result in terms of the balance buildup in such accounts are far higher than the normal savings account where we don't place in a home loan. But having said that, as we have mentioned in

the call, we believe that from FY'27, when we get back our trajectory, when we start to ensure that all our distribution outlets start to sell home loans, you will start to see the benefit getting more visible over a three-to-five-year period. And more than that, even the operating leverage on the kind of investments that we have done both in distribution and technology will also start to play. So, I see a fair amount of positive bias in the key financial metrics over the next three to five years.

Anand Swaminathan : Any comments on the ROA trajectory? Our intention always was to go back to the upper end of that 1.8% to 2.2% ROA range. Where are we in that journey now? What timeframe we should think about?

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Classification - Public Srinivasan Vaidyanathan : Yes. Anand, those opportunity space on the ROA, yes, we are between 1.8% to 1.85% to 1.95%.

That is where we have operated over the last eight quarters or so, as you see. The space on the ROA comes from cost of funds . The merger benefits come a lot on the P&L through the cost of funds because you replace the borrowings, you change the mix of the deposits from time deposits to CASA , as we have so far last two years had predominant growth in time deposits . So, these are some of those levers , they remain intact, and they remain the opportunity space for us to get there. And yes, these are the drivers, and it is about the cost of funds which changes that trajectory.

Anand Swaminathan: Thanks a lot.

Moderator: Next question is from the line of Rikin Shah from IIFL Capital.

Rikin Shah: Good evening and thank you for the opportunity. Two questions. First one is on cost of fund improvement in this quarter for us has been marginally lower than peers. Is that only due to the longer duration of liabilities, which means that it is just a timing problem and a lot of that could be back-ended for us vis -à-vis front-ended for the peers? Or is it due to higher TD mobilization for HDFC in the recent last one year and hence, this difference could potentially persist in the near-term?

Moderator: Rikin, sorry to interrupt . Your voice is coming muffled.

Rikin Shah: Yes. So, I was asking on the cost of fund trajectory in this quarter for us relative to the peers. It has been marginally lower improvement

t. So, I wanted to understand whether it is solely due to the longer duration of liabilities, as Sashi alluded to in the earlier point, which means that it would be a bit more back-ended for us? Or is it due to the fact that we have mobilized higher quantum of term deposits in the last one year, and hence, this difference may persist? So, that is the first question. The second one, just Srini, if you could quantify the additional provisions that we made in the quarter through the P&L against that one-time recovery upgrade that you mentioned. That's it.

Srinivasan Vaidyanathan: Yes. Rikin, the first thing is in terms of the cost of funds, every balance sheet has got a structure, a duration and the mix of time deposit , CASA and so on. These determine how the cost of funds move.

I think in some other question, maybe 10 minutes ago, we did talk about the space, which is there in the cost of funds and the time that it takes to factor that in. And so you will have to wait for some time for that to play out. And we are focused on getting the core business of franchise of deposits growth and thereby the customer relationship, and it will play out - the cost of funds. That is the first thing. The second aspect that you talked about is the provision. I think , that also to Mahrukh or somebody I had mentioned that we did add , if you look at the provisions on Page #19 of the deck , that is there, you will see that the right-side block, where you see the contingent provision of almost about Rs.1,600 crores, which is added there. We also have added general provisions of about Rs.600 crores. That general provision is because we have a loan growth that we need to support and various other things. And so effectively, the general provisions is about 41 basis points of loans coming up

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Rikin Shah : Okay. Thank you so much and happy diwali to the entire team.

Srinivasan Vaidyanathan : Happy diwali to you too.

Moderator: Next question is from the line of Abhishek Murarka from HSBC.

Abhishek Murarka : So, I have a couple of questions on some of the individual loan segments. First is on personal loans.

Do you think all the parameters are now green and you can accelerate, is the risk appetite much better now versus earlier? And rather to accelerate, do you need to loosen any of the tighter underwriting norms you would have adopted after November'23 circular a couple of years back? Is that a requirement or even with the current norms, you can sort of accelerate? So, just some sense there on how you are looking at growth and revival ? The second one is on home loans. Now I think you all made very valid points about the product itself and the importance of the product for the franchise ,

but if I look at the overall growth, you are still 300 bps below the industry growth. I understand maybe it was due to the fact that the period was such where margins were under pressure and maybe you wanted to trade that off. But now going forward, do you see that accelerating again, and enough risk-adjusted re turns there to grow at least at par with the industry? And the third is on gold. What are the yields right now? You are growing 5%, 6% QoQ for several quarters over there, is that still lucrative from a return and margin perspective? Are you seeing some yield pressure there? So, just these three things if you could talk a little bit about?

Kaizad Bharucha : Okay. So, your first question is being on the unsecured book. We have always had an approach where we will not go down our credit standards for underwriting, whatever would be the cycle, that would be present. We have always looked at opportunities to grow in the segments that we are comfortable and based on the

economic environment and the growth that is there in the economic environment.

We have seen a steady growth come through because there has been an uptick in the credit offtake in unsecured loans, and we have appropriately participated out over there. As it unfolds and as Sashi alluded to, we see a positive traction continuing in the economic environment and we will certainly participate in our target market and ensure we capture our rightful share out over there without having to dilute any credit standards.

If I move to the mortgage piece out over there, on the volume rate of growth, last year, if you step back, we did a lot of corrections that needed to be carried out in terms of process, target market, the kind of yields that we wanted to participate in. From there, if you see, we have started increasing our market share and today, we do believe that we have closed the gap between what we had about a year, year and a half ago, and where we are. If you see some of the participants in the last 90 to 120 days, post the RBI reduction of 50 basis points in June, we witnessed a lowering of rates in the market

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Classification - Public by a host of players. We chose not to go down the interest rate ladder and participate at those levels, because it has to make a certain level of economic sense and return as we also balance it with market share. We do believe we navigated that in a manner where we saw very quickly some of the players revise their rates and bring it back up. We do believe that over the next 18-to-24 months, this is a product where we will be with market. We have already shown that over the last several quarters, but we will not do anything only to get market share gain. That has never been our philosophy. It is a long duration product. It is a product where you connect with the customer and you want to have a customer quality where you can engage even greater across our product suite and have a relationship which lasts through the lifetime of the loans. So, that is our outlook with regard to the mortgage business. The third question was on the gold.

Abhishek Murarka: Yes. I just had a very quick follow-up here. Is the pragmatism on pricing returning? Or is it just still quite competitive and still not the right time to press the pedal?

Kaizad Bharucha : It is coming back to some levels of sanity, but I would think it is yet a little distance away, because it is quite an uneven market where you see different players come and accelerate their appetite on home loans and therefore, use rates as a strategy to try and meet their objectives. So, we will have to see how this unfolds and would not want to jump the gun where that is concerned.

Very quickly, in the interest of time, I move to your query on gold loans. Yields have been good. Our experience, as we are growing this book in a steady manner, has thus far been very helpful. We do see us continuing on that path. We will be watchful as it is again a very emotional item with clients, who we deal with and the clarity of the terms on which we deal with them, we will be cautious of. But yields on gold loan book have been, I would say, pretty rich given that it is a fully collateralized exposure.

Abhishek Murarka : Yes. Is the yield here higher than your retail blended yield or at par, just the retail portfolio?

Srinivasan Vaidyanathan: Abhishek, so going into one particular product rate, all I will tell you is that this is incremental to the bank's yield as well as the retail product yield.

Abhishek Murarka: Okay, yes. That helps. Alright. Thank you so much and happy diwali to the team.

Moderator: Next question is from the line of Jayant from Axis Capital. Please go ahead.

Jayant : Yes. My question was regarding credit cards. The cards book has not grown as much in this quarter.

However, the card issuances and the spends have been

growing very sharply ahead of industry for

the past several months. So, is there a mismatch? And have we observed any uptick in the post 22nd of September period?

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Classification - Public Srinivasan Vaidyanathan: First on the card overall, first is that the card growth I alluded to, I think it is 1-1.5 million new card

additions in the quarter. We have talked over the last four quarters, where from a various spend categories, there are certain spend categories that we are cautious of, and we have been managing through the spend time. There are certain things we like and certain things that we have restricted. Secondly, in terms of various credit lines, we are again circumspect on increasing credit lines for revolvers. And we have seen that the revolve rate has not picked up, if anything, it has only come down. So again, from an overall balances point of view, a good amount of transactors who spend and pay.

Sashidhar Jagdishan: See, very similar to what Kaizad and Srini have mentioned, I just wanted to add that there will be times where probably because of festivities, there will be a fair amount of offers that will be there from e-commerce platforms and participants in that particular platform probably would have seen a fair amount of buoyancy in terms of spends and spends per card. If you look at the industry data, you would see a fair amount of spends happening on account of the festivities or the start of the festivities by some of these e-commerce platforms, and we have elected and we keep evaluating this particular space to see whether it makes economic sense to participate in some of these spends or not. So, if you are comparing or looking at it from an industry perspective, as has been the philosophy, we try and ensure that whatever we participate largely should make some economic sense. It is a fact that we did not participate in some of the large spends that happens during just about the start of the festival on e-commerce platforms. And that is probably one of the reasons why you are seeing a very tepid additions to the net receivables on cards for this quarter.

Jayant : Understood. And second question was the mix of the new acquisitions. How much would be existing to bank and new to bank? Is there any change of thought here of targeting new consumer pools through cards, because we are not seeing this kind of aggression from other players right now?

Srinivasan Vaidyanathan: Normally, it has been between 65% to 75% or so is existing, and that has been the level at which we have operated over time.

Jayant : There is no change in the last six months?

Srinivasan Vaidyanathan: Yes, there is no big change.

Jayant : Thank you. That was my question. Happy Diwali to the team.

Moderator: Next question is from the line of Ravi Purohit from SIMPL.

Ravi Purohit : Thanks for the opportunity and happy Diwali to the entire team of HDFC Bank. So, I have two questions. Most of the other questions have been answered. One is about two quarters back, we had mentioned that from the erstwhile HDFC bank, we had about 15 to 20 bps of stressed assets which are actually performing, but we were still classifying them as NPAs, so, can you just update us on HDFC Bank Limited

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Classification - Public the status of those? Have a lot of those got ten upgraded or some of it, if in this quarter, one of the assets that you were saying that got upgraded was probably part of that eHDFC bank, and is there more left there? If you could just share some thoughts there? And second is, in our advances book, we have seen healthy growth on the SME side, the medium and mid-corporate side. So, if you could just share some thoughts on what we are seeing on the ground on the SME side from loan opportunities? Those are my two questions. Thanks a lot.

Sriniv

asan Vaidyanathan: The first one is simple. Yes, I did mention to Mahrukh and to another person that the 10 basis points upgrade is part of that.

Kaizad Bharucha : As regards to the SME part of it, I think we have seen at a ground level a fair amount of positivity come back. There is actual credit demand, which one is seeing in that segment. We do believe that with our clientele and our footprint, it gives us an opportunity to continue to participate, keeping the underwriting standards, but also participating out over here. And right now, it is continuing to give us the positivity on that segment. The asset quality in that segment has also held up well. So, we continue to mine that space within our parameters going forward.

Ravi Purohit : And sir, in the RBI policy recently, they had mentioned about Indian banks being allowed to participate in cross-border or fund cross-border M&As and also there were a lot of relaxations that have come in. So, if you could just share some thoughts as to how does it kind of open up opportunities for larger banks to participate in larger cross-border transactions, which hitherto were not available and most of that money was being raised in the overseas markets?

Kaizad Bharucha : Yes. So, I think this certainly opens an avenue for large banks to participate, in fact, for most banks to participate. We will await the final guidelines from the regulator as well as the draft guidelines which have to come out over here. I do believe that there is a large market available, which was being financed offshore or to a smaller extent being addressed by the NBFCs or by alternate funds. This would now be available to banks, and we will most certainly examine this and look at it and be able to participate given our clientele and the depth of our balance sheet.

Ravi Purohit: Okay. Great. Thanks a lot and once again seasons greetings to everyone.

Kaizad Bharucha: Thank you and wish you the same.

Moderator: Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Mr. Vaidyanathan for closing comments.

Srinivasan Vaidyanathan: Thank you. I want to take this opportune time to wish all of you a very happy festival time with your family and friends. Have a great weekend. And if you have any more questions or comments and clarifications required, please feel free to reach out to our Investor Relations. We will be happy to engage. Thank you. Bye -bye.

HDFC Bank Limited

October 18 , 2025

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Classification - Public Moderator: Thank you very much. On behalf of HDFC Bank Limited, that concludes this conference.

Thank you

for joining us, and you may now disconnect your lines.

Call: Jan 2026

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

Ref. No. SE/2025 -26/177

January 23, 2026

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051
Scrip code: 500180 Scrip code: HDFCBANK

Dear Sir/Madam,

Sub: Transcript of Earnings Call in relation to the unaudited standalone and consolidated financial results for the quarter and nine -months ended December 31, 2025

In furtherance to our previous intimations in this regard dated January 12, 2026 and January 17, 2026, we wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on Saturday, January 17, 2026 with respect to the unaudited standalone and consolidated financial results of the Bank for the quarter and nine -months ended December 31, 2025, has been made available on the website of the Bank at the below link:

<https://www.hdfc.bank.in/about-us/investor-relations>

A copy of the transcript is also annexed herewith.

This is for your information and appropriate dissemination.

Thank you.

Yours faithfully,
For HDFC Bank Limited

Ajay Agarwal
Company Secretary
Group Head – Secretarial & Group Oversight
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Tel. No.:022-66316000

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"HDFC Bank Limited
Q3 FY '26 Earnings Conference Call"
January 17, 2026

MANAGEMENT : MR. SASHIDHAR JAGDISHAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – HDFC BANK LIMITED
M R. KAIZAD BHARUCHA – DEPUTY MANAGING DIRECTOR –
HDFC BANK LIMITED
M R. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
OFFICER – HDFC BANK LIMITED
M R. BHAVIN LAKHPATWALA– SENIOR EXECUTIVE
VICE PRESIDENT , FINANCE – HDFC BANK LIMITED

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Classification - Internal

Classification - Internal Moderator: Ladies and gentlemen, good day, and welcome to HDFC Bank Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Vaidyanathan, Chief Financial Officer, HDFC Bank. Thank you, and over to Mr. Vaidyanathan.

Srinivasan Vaidyanathan: Okay. Thank you, Nirav. Good evening, and a warm welcome to all the participants. At the outset, I know that it's 6:15, 15 minutes behind schedule. We had another meeting we had to conclude and come. Apologies for that, but we'll take as many questions as possible and extend where required. With that, without much ado, we'll straight go into the opening remarks by our CEO and MD. And we have our DMD Kaizad, any comments we'll take, and we'll go straight to Q&A after that.

Sashi, over to you first, and then we'll take it from there.

Sashidhar Jagdishan: Good evening, friends. Thank you very much for joining in on a Saturday evening. I know it's rather late, but always appreciate your being here on a Saturday evening. I think we've just sort of declared the results, and you probably would have seen the financial numbers. We're reasonably sanguine and happy about the outcome that has happened. It's in line with our expectations. Looking back, I think the credit growth buildup has been extremely encouraging. We set our sights on a very balanced credit across customer segments. The easing rate cycle and the benign credit has provided catalysts for the credit growth. The CRR release enabled credit deployment slightly ahead of our expectations.

As regards to funding, the funding through deposits, we continue to maintain rate discipline, and that has been extremely key. Core individual retail customer segments were seen to be quite strong. For both current and savings, having focused on granular segments have given us encouraging outcomes. And more of this, I'm sure Srini will sort of give the numbers. We did, however, fall short of our strong ambitions, but we are confident that continued focus on our strengths will bring the expected outcomes.

On the growth, profitable growth, as mentioned earlier, cost of funds has moved down, reflecting the tailwind effects. CASA growth has been positive. Cost has been under control as productivity improvements have brought in efficiencies. Credit, which has always been our USP, remains best-in-class, allowing us to deliver stable returns as we pivot to the next stage of growth.

Looking ahead, the regulator and government continue to be focused on supporting economic and credit growth, and at the same time, optimally managing external factors. During the quarter, availability of liquidity was impacted due to some of these. We saw enhanced activity in open market operations and FX swaps to combat some of these challenges.

India has demonstrated stable political conditions and consistent policy regime. This has led to [India] being one of the fastest-growing major economies in the world. Growth with subdued

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about outpacing loan growth in the coming year in FY '27, as we had sort of mentioned to you all along for the last 18 months.

Liquidity and benign credit costs provide us a lot of runway to grow. Overall, liquidity in the country is expected to stabilize post trade deals. The foundations are in place to build deposits to

fund loan growth. We continue to expand our customer base. We are now intensifying customer engagement primarily and largely focused on granular mobilizations. We are aligning pricing with segmented approach, and we shall see that in the coming quarters as well.

There's been a lot of talk on the CD ratio. We did sort of drop our CD ratio significantly since the merger to March '25. As you know, the kind of indicator is not necessarily on the radar from a regulatory perspective. Having said that, we believe that our glide path to lowering of CD ratio will continue. It's an important focus for sustainable profitability. I completely acknowledge. The easing cycle with credit growth focus in the country surely needs our participation. So the speed of CD ratio movement depends on how we are able to provide funding in the system at rational rates. But having said that, we're very confident that whatever we seem to have committed in the last 2 years, I think by March, I think we should see and by March '26 and '27, we should sort of achieve most of the committed metrics that we have laid out for.

I would like to say that under the current scenario, we don't think that we shall be constrained by the CD ratio. To reiterate, we are confident that it will be on a downward glide path. I would also like to reiterate that we shall meet the glide path that we had indicated earlier in terms of the growth, our top line growth, which is in line with the system this financial year and faster than the system in the next financial year.

In summary, I have a great appreciation for our customers for partnering with us, and I have the greatest gratitude to all our 200,000 staff who are pillars making this place work successfully. We are confident of the path forward that we have set for ourselves.

Thank you very much, and we have all of us here, Kaizad, Srini, and the team here to take on any questions that you may have. Thank you.

Moderator: Thank you very much. We now begin with the question-and-answer session. First question is from the line of Mahrukh Adajania.

Mahrukh Adajania: Sir, my first question is on the LDR. You did allude to it. But when do you think now you would reach an LDR, say, close to 90% or below 90%, like any time frame? So that's my first question.

And my second question really is on agri compliance.

So two large banks have been asked by RBI to make provisions on a certain agri portfolio because of non-compliance issues, provisions of 12 billion to 13 billion. So, as we stand today in terms of your agri portfolio, do you think there is full compliance or there could be some issues somewhere given that it's a large portfolio, it's spread out across the country? And do you think you would be liable to such provisions in the future?

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Classification - Internal Srinivasan Vaidyanathan: Okay. Thank you, Mahrukh. I'll take that. The first thing you touched upon is the LDR from a

timing point of view. I think Sashi alluded to that we are committed on the glide path of taking it towards the downward glide path, and we continue to be in that. But on a quarter-to-quarter basis, it is slightly different. And that's because of the seasonality and the opportunity. And you know that in the recent time period, the further opportunity was also provided with the easing cycle and the credit growth focus in the industry as well as the CRR release, which provided that ample opportunity to do that.

So given that, we do expect that over the next 1 year to 2 years, we would be getting down further into the levels that we had previously been there, call it, the 90s or low 90s and so on. And that's the level of confidence we have and the pillars that are required to drive that are in place to do that. That's one.

The second one is in terms of the agri that you asked about, the regulatory kind of impact, if any. Our reg

ulatory inspection is also complete. And whatever required according to the regulatory requirement, there was about 5 billion or so thereabouts, which have been taken. In the overall context of our book and our results, if you see, they have been absorbed within that, and there is no special and we have had certain other things that were there. And so in future, we need to operate in a model that is acceptable with the regulator. Whatever is that that's an ongoing process of what we do. Any one-time is already subsumed and it is there.

And as far as the calibration that we need to do on the agri consequent to those kind of things, recalibration of our book due to the scale of finance, so that what is indeed an agri and what is outside of the scale of finance, scale of finance is the one that determines how much is required

for the farm and how much of that is over and above the farm requirement by the farmer. Those evaluations we will take and go through that process to calibrate that. That's in terms of the future impact on that.

Mahrukh Adajania: But did the 5 billion come this quarter only then?

Srinivasan Vaidyanathan: Yes, it is already subsumed in December.

Mahrukh Adajania: In December. Okay. And what would be the size of the portfolio? Any such indication you could give?

Srinivasan Vaidyanathan: Our agri portfolio is published. You'll be able to see the...

Mahrukh Adajania: No, the size of the portfolio on which the provision was taken.

Srinivasan Vaidyanathan: No, that's not consequent to this at all because it depends on loan item and what is the scale of finance on each one and so on. But at an aggregate level, that's the kind of level.

Moderator: Next question is from the line of Kunal Shah from Citigroup.

Kunal Shah: Yes. So again, getting on to the question on LDR and deposit growth in particular. So if we want to get the LDRs down and still want to grow loans above the industry average comfortably, then we need to see the acceleration in the deposit growth. And you said like pillars which are required

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Otherwise, we will need like almost 500, 600 basis points higher than the industry average deposit growth now to get the LDRs down. And any rundown in the bulk deposits, which have been there in this quarter? And if you can quantify that?

Sashidhar Jagdishan: See, let me take this and maybe Srini and Kaizad can add into this if required. Kunal, if you recall, we gave a broad range. Number 1 is there is no regulatory, what shall I say, benchmark or a requirement to meet a loan deposit ratio.

Was it there as a bit of a nudge when the outlook was negative or when the system outlook was a little tight, liquidity is tight in the period when inflation was moving up and rates were moving up and there was a little bit of a concern on the credit quality of the system?

There were certain preventive measures that the regulator had said that try and ensure that you bring down the LDR or maintain a certain stability in LDR. That was at that point in time. Whether there is a number that you need to meet, I don't think there is any compulsion. But in our own interest, we had given a kind of a glide path wherein we had said that we will come to a certain number in FY '25, which we achieved. We said we will try and be in a range of somewhere between 90% to 96% in the year FY '26, which is what we will be is what we are very confident about. And then maybe by FY '27, by the natural growth and even with the growth in the way we are expecting in terms of faster growth rate, I think we should land somewhere around the 85% to 90% for FY '27. We continue to believe that this is going to be there. It's not an easy thing, as we have said, of course, but we know what are the strategies we ne

ed to do. There were certain tactical

measures we could have taken in the third quarter. We chose not to, but that's all right. I mean these are sometimes learnings we probably may have missed, but we know what are the things to be done to bring about these kind of meeting our glide paths that we have committed in the broader sense on a medium- to longer term basis.

So as regards the kind of deposit growth that is required, I think the pace at which we are growing deposits in line with the top line growth that is more or less matching 11 plus percentage in this year and probably slightly faster, which is what we normally do in the fourth quarter like what we have done in the past should lead us to the kind of range that we have committed to. And we are very confident that one as we have a clear cut, as I said, all things remaining same with whatever we are seeing in the macro, we should believe that the growth runway opportunities for growth and hence in the deposit requirements other than certain events that may happen, which you and I will not be able to predict now. We are reasonably confident that we will land -- and as Srini mentioned, don't look at quarter-to-quarter movements. You look at on an annual basis or on a medium-to long term basis, the trends will be in that kind of period. So I think the inflection has started. We had to contain ourselves in FY '25 for all the right reasons. I think now we are opening up, the engine is opening up and you will start to see this kind of a consistency in the trajectory that we have laid out for ourselves.

Srinivasan Vaidyanathan: Thank you, Sashi.

Kunal Shah: Sure. And anything on bulk deposits rundown, quantification, if possible?

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Classification - Internal Srinivasan Vaidyanathan: Like more than quantification. I mean, Kunal, that's part of the business.

There are certain segments

that we patronize. I think Sashi mentioned about where rate discipline has been the key. And to some extent, we participate for relationships and certain extent we don't need it, we don't go there. But on the whole, if you look at the retail or non-retail - retail there are individuals in retail, which have been phenomenally growing and growing. There are certain non-individuals in retail, which is branch related, it could be institutions, trust and HUFs and what not. Examples of some non-individual, but branch related, where we have had some lower levels of growth. And there are certain other customer segments which we have seen, particularly capital market segments where it has been low, where we have not paid rates as much as what the market has demanded or what the competition has offered. And that is what you see that is reflected in our cost of funds.

If you look at our cost of funds is down by about 10 basis points, 11 basis points or so in the quarter. So we're trying to manage growth with the profitability and that is what you are seeing, right? So segment to segment, time to time it changes, but at least you've got a color of how we operated in the recent time period.

Sashidhar Jagdishan: So you're right, Kunal. Just to supplement what Srini is saying. The good part is retail has grown very steadily and all these are the granular ones. I'm very happy with that. In the non-retail, tactically we did not sort of offer the kind of market rates that were there. And we said it's all right because we did sort of know for the kind of growth that we needed, that is good enough.

Kunal Shah: Got it. And one last question on labor code. So the impact of almost 8-odd billion, looking at our employee cost and then comparing maybe the labor code impact vis-a-vis the employee cost for others. For us, it seems to be relatively on the higher side, more than 10% of the employee cost, not so much for the other banks. So is this more of an estimation which has been done and what would

be the recurring impact which would be there on the cost as such?

Srinivasan Vaidyanathan: Good point. Thanks for raising that. One, it is an estimate given whatever information that we have. And that estimate is driven through an actuarial process, right? So you go through the normal process of how you do and there is an actuarial valuation and determination of how do you do. Again, there is some signs in that, but it is based on certain assumptions that come. That's the second thing.

The third thing is that variables. When you look at these variables, the definition of what is wage, what are determined to be wage inclusion, exclusion, the rule-making on that is pending. You know that, right? So there are some assumptions that go for one of the variables that go into those assumptions and that is not based on determined rules, that is based on some assumed things. So that's the third thing.

The next item is that individual organizations can be very different because of the longevity of the staff that you see there. So that determines on how long and what is the kind of tenure and so on and so forth, both historical and anticipated. And so many other factors like that go into play.

So at this time, I would just ask you to take it as a higher estimate based on best available information and through a scientific actuarial process that has come. And as and when the rulemaking evolves, as and when more information is available, this will be evolved. And again, I

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And that is why this is not determined at an employee level to say next month when somebody retires, this is the kind of amount that it can come or what will be the amount determined for a provident fund and so on and so forth. It cannot be determined at this stage. This is a really high level based on this estimate.

Kunal Shah: Got it. Thank you. Thanks and all the best.

Moderator: Thank you very much. Next question is from the line of Chintan from Autonomous. Please go ahead.

Chintan: Hi, good evening. May I get into the LDR again, please? So Sashi, please did I hear you correctly when you said 85% to 90% by FY '27? That seems to be aggressive to me. If I look at consensus numbers, it's expecting 13% loan growth and 93% LDR. If you are going to achieve kind of the 90% in the next fiscal year, that suggests a very strong deposit growth number. And I know you've kind of said that you want to prioritize growth now. So it's not tallying up. So if you could help us in this circle?

Sashidhar Jagdishan: Chintan, thanks for asking. I've given you a broad range because I don't want to box myself with a narrow range. But having said that, we have been operating in a range of around the 87%, 88% in the premerger level, before the merger. And so when I say 90%, of course, I would have meant somewhere around the plus or minus in that particular range of 90%, maybe around the 88%, 89%, etcetera or it could be 90% to 91% as well.

But why I mentioned this, at least the trend lines that we are saying, it can be 96% for FY '26 or a 95. We are all right. At least the direction is what we are looking at for. We just gave a broad one

so that we know what -- if we are lucky to really step up growth or the liquidity changes and we have more benign liquidity and no FX operations or FX swaps or open market operations, maybe then it will be wonderful.

So that is why I'm saying since I do not know what's going to be the liquidity condition in this, therefore, I gave a broad range. But even if I achieve these kind of directions, directionally going there, that's something that we can achieve. As I said, there is no regulatory number to comply to

. It is just a direction that I think we need to achieve for ourselves, let alone the regulator asking us to do. It is something that we believe just by doing what we are supposed to do will lead us to that kind of thing. I don't have to do anything extra to measure that metric. It will happen. So, when we did sort of forecast a faster growth rate for ourselves than the system, as we have seen, we have been having deposit growth rates in line with normally the top line growth, slightly faster than the loan growth. So, estimating that is what we believe where we will land for FY '26 and '27. So don't take it literally that we may be on the lower end of that range. It could be anywhere in that range. Practically speaking, it will be somewhere, if 90% is that range, then somewhere around the 90% is something that we'll be happy with. Similarly, somewhere around the 95% is something that we'll be happy with for FY '26.

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Classification - Internal Chintan: Appreciate that. I mean if you're trading off EPS growth for slightly slower ROA improvement, that's fine. I mean that's not the issue, especially if the opportunity is there in the market. But I just wanted to make sure because we have an occupational hazard to kind of do our due diligence in our model. So I just wanted to get that flexibility that you have highlighted now.

The second question was around asset quality. You've got a unique vantage point, second largest bank in India, could you give us some idea about any pickup in growth momentum, any issues in asset quality, particularly due to the U.S. tariff or in the MSME area? So it's a combination of is growth improving and are there any asset quality concerns more broadly, if not in your book?

Kaizad Bharucha: So if I got the question right, you want to know the trend for asset quality and how it is looking.

Across segments and even first at the sectoral, you're well aware that the banking industry right now to borrow a term is going through a Cinderella phase where you've got very strong balance sheets when I refer to that from an asset quality point of view.

We have the lowest accretion of gross NPAs and net NPAs are at decadal lows. Mirroring this trend has also been reflective on our books. We have seen very low accretion to gross NPAs. And none of the particular portfolios have indicated any stress building up. So I think the economic environment with the kind of GDP growth that one has seen, the kind of consumption growth that one is seeing as well as the wage increases that one has seen on one hand and on the other, the lowering of the interest rates and affordability therefore, going up, including the fiscal benefits that were given. To not take up much time, I would say the asset quality continues at the bank to be pristine. And as we see it, there is no particular segment which is showing any major signs of concern. Srin, would you like to...

Srinivasan Vaidyanathan: Perfectly good. There will be seasonality in agri segment. Outside of that, every segment, including the agri segment period-to-period, if you see is lower, both from a leading delinquency and into the slippages, which are far lower. And then from there, going into loss given default is also lower.

You're seeing that the recoveries, wherever we are there, that is also on a good level. Chintan, I hope that gives you a perspective on both sides.

Chintan: Yes. Thank you. And just on growth momentum, are you seeing things improve generally in the economy?

Srinivasan Vaidyanathan: In the economy, the growth momentum, yes, if you look at some of those indicators that we have seen - take the crop cycle itself, very improved. The sowing cycle has improved over prior year, very healthy water reservoir levels have aided that. The manufacturing PMI continues to be in the expansionary zone with many programs that are coming in. Service

s sector doing very well on the

consumption demand side. If you look at the recent time period for card spend, which is important for you to look at, the overall card spend up 15%, 3.4% sequentially. Within the card spend, when we look at the discretionary category of card spends, the discretionary category spends have grown 21% year-on-year. The non-discretionary, which is the bread and butter normal activity is about 13% up. So that indicates that when the kind of a discretionary spend goes up, people do go and indulge. That's what you're seeing there. On the other side, we do see revolver rates not picking up. So which means people are spending to pay down. So, there are certain other segments of the society, which is what is spending. So on an overall level, I would say that similarly, you've seen

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Classification - Internal the auto and the tractors and so on. Two-wheeler has been somewhat less than expected, but then the four-wheeler autos and the tractor type have done exceedingly well. And you're seeing some of that reflected in the aggregate level GDP output that gets reported too.

Chintan: That's interesting. Thank you.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. Next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Yes, hi. Good evening and thanks a lot for the opportunity. I have a question on the branch productivity and deposits now that we are so hopeful about the deposits pickup and targeting at close to 90% kind of a number. So like if you look back as to what kind of experiences that we used to have in terms of the branch vintage and the deposit buildup, is that kind of sustaining in the recent years because the deposit growth is just not picking up at the system level. And that is becoming a key constraint across banks with LDRs, the number that we are seeing across many banks. And related to this, own branch over the years has been like coming off from pretty high number now to every successive year, we are opening more branches. So do we...

Sashidhar Jagdishan: Nitin, repeat that. Nitin, repeat that? We could not hear you?

Nitin Aggarwal: Sorry. So I was also saying that related to this, if you look at the branch expansion run rate, every successive year, we are now opening up lower number of branches, like FY '23 versus '24 to '25, every year, we are going down in terms of branch expansion. So how do you look at this corollary between the branch vintage and the deposit buildup? And do you think that the current pace of expansion will be sufficient for us to sustain that above industry growth rate over the next 3, 4, 5 years? So just some thoughts around this.

Srinivasan Vaidyanathan: Okay. So I'll get started with the last one first, which is to do with the branches. Nitin, you can't look at 1-year branch, but you have to look at a trend of what was it, right? So for that, if you look at a 5-year branch trend, I'll give you round numbers of the branch trend. We opened about 250 branches in 2020, 350 in '21, 750 in '22. 1,500 in '23, 900 in '24, 700 in '25. So if you look at this, 250, 350, 750, 1,500, 900, the opportunity space that it provided, we took that and accelerated all within the overall returns framework, right?

All through this time period, if you look at our returns between 1.9 to 2, right, in that period. So where there was, we accelerated, and we don't need to do 1,500 or 900 and so on. We can be more modest, but still add to the branches. It is important to add to the branches because currently, we have only a little more than 6% of the country's branch network with us. So that means our branches 9,600 plus is about a little more than 6% of the systems branch, right. And we have more than 11% of the market share of deposits with us. So that's one, we have more room to run and more share to gain through tha

t process.

Next is productivity, right? What does it do from a branch productivity? If you look at the per branch productivity, we are now at about INR305 crores or thereabouts on a per branch at an aggregate level. Despite all of these additions that I talked to you about, if you go back where I just mentioned to you about how we were doing per branch, if you go to '23 or '19 to '23, that time

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Classification - Internal period by time period, about INR237 crores per branch, right, at that time. And I told you INR237 crores per branch before I started to talk about those acceleration of the branches, right? Now with all of those acceleration, we are at INR305 crores per branch.

So at every incremental branch, when we add, it is also at an aggregate level added. But this is at an aggregate level. Then that takes to the next one that you talked about at a micro level, right? At aggregate level is one. Let's talk about micro level in terms of where it starts to have the pivoting point for further scale. First, the breakeven is about 2 years or so. When you look at the breakeven, branches that are in the metro and urban area typically breaks even in about 22 months. Branches that are in the semi-urban and rural area takes about 27 months, thereabouts. On an average, about 2 years, it breaks even. So that's one. And these models are in consistence with our legacy branch models, which means they are confirming to whatever traditionally there. That's number one.

Number two, the pivoting point where 4, 5 years ago, where we analyzed what does a branch do in 5 years, 5 to 10 years and 10 to 15 years and so on, when you look at it, where the scaling factor is about the fifth year mark to the 10-year mark, it moves, and it moves about 3 times, between 5 to 10 years, it goes about 3 times up. And then once it goes into 10 to 15 years, 10 times up. So that is very important, and that scaling factor continues to operate now. Now what is more interesting and important than that is, currently, if you look at the branches that are in the bucket, 5 to 10 years bucket, which are doing 3x than what they were doing 5 years ago, 1,232 branches, right, out of the 9,600, 1,232 branches are in that bucket, right. And if you look at the branches

before that, the 3- to 5-year bucket, 3- to 5-year bucket, we have 1,300 branches. So we are entering into the pivoting point where the cohorts that are entering into the 5-plus bucket is more than the cohorts that are going to exit from 5 to 10. So that is, again, similarly, when you look at the 10- to 15-year bucket, it got 2,499 branches. And then the 5 to 10 branches are going to go into those cohorts. And so that's almost 43% of our branches are young vintage branches, less than 5 years. So this is the cohort that needs to move through the pipe and get there. And so we are at this point, I think we said that we are positioned well with good expectations coming out of that. And that's, again, aided by several factors that go. Another data point, Sashi was just reminding me because when we reviewed it within, on an incremental basis, when you look at it, these new branches contribute slightly north of 20% of the overall incremental deposits that come, which is very important, right, that these things keep adding accreting as we go along. That's something I wanted to leave.

Nitin Aggarwal: Right. See, the reason to ask this is also because while advances side is still in our control, we can maneuver the advances growth and choose the business segments we want to underwrite. But deposits, if we compare across the best and private banks also, typically, the growth kind of has its own saturation point.

And if you look as to how HDFC Bank has done last year and versus what the current year, probably we will be closer to in terms of deposit rate versus what we were last year on a good cas

e
basis.

So for us to talk about that LDR can come so sharply next year, do we look at this deposit growth run rate break out from as to how the trends have been in the recent years? Can this really happen with the kind of vintage gains that we talk about?

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Classification - InternalSrinivasan Vaidyanathan: See Nitin these get benchmarked by district, by our presence in those districts, that's how we

benchmark and that's how we work our marketing and product teams work with our distribution channels where we are present to orchestrate and move this, right. So, 2 things I want to mention.

One is new account acquisition is an important element. We are at about 100 million customers.

Last quarter, we added about 1, 1.5 million new liability relationships.

It is important to get that new account value because that's how you keep building. And the change in balances, so that means the existing customers adding, accreting has been lower in the recent time periods when some kind of choices into various other financial institution they take. So some of that has been slower.

But again, you beat that by getting more presence and more customers and have diversified asset product because you know that in the last 2 years, our retail asset products were slow than where we are now trying to accelerate or move. For every asset product that you have, again, cards, I think not in the last quarter, but maybe a few quarters ago, we have spoken cards.

For card customers spending on their card account and having 100 outstanding, at the aggregate level in the bank, we see almost north of 5.5x deposit balances from the customers. So what does it mean? We want more of our customers to have cards. And same with mortgages, which I think last time we spoke, 99% today, we have penetration. That means we are not selling a mortgage product. We want to get the customer relationship. When we are giving a mortgage product, we get the savings account and the savings account gets funded approximately today at initiation at about INR35,000. And then when you look at the 12-month, 18 months on books, which is the kind of vintage we can measure today and see, we are seeing that it is growing 2, 2.5x. But historically, some of those category customers that we have seen, it has got the propensity to have 5x more than a customer who does not have a mortgage. So, liabilities don't come only purely on just an engagement and asking. It also comes by multiple products that get sold.

Nitin Aggarwal: Okay, Sure. Thanks, Srini. Thanks for providing that color. Wish you all the best.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. Next question is from the line of Suresh Ganapathy from Macquarie Capital. Please go ahead.

Suresh Ganapathy: Yes. So first question is on LCR. What would be this quarter? And how it would move post the April 2026 guideline, whether it will move up, move down?

Srinivasan Vaidyanathan: LCR, we reported 116 in this quarter.

Suresh Ganapathy: And post the new guidelines?

Srinivasan Vaidyanathan: No. The new guidelines, we don't expect any material change that can impact us.

Suresh Ganapathy: Okay. And just a question on margins itself. It's been almost 9 quarters since the merger, your margins have not gone anywhere. In fact, it is even lower than what you had reported at 3.4%. I

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Classification - Internal know there are several moving parts. Are you really confident that you can get this up in the next 2, 3 years?

Srinivasan Vaidyanathan: Suresh, if you think about the margin, the most important lever on the margin is the cost of funds, which various points we have mentioned. And within the cost of funds, there are a few. One is the time deposit repricing, which has a lag effect. We have changed time deposit rates in line with t

he

policy rate change, but not fully, but maybe two-third way, we have changed 125 basis points is what the policy has changed. We have done about two-third into that. We need to see what more. And again, that what's competitively priced, right. So, we are not at a disadvantage anywhere there. And that takes almost 5 quarters to flow in. Part of that this quarter, you have seen 10, 11 basis points change in cost of funds. That is the lag effect of that flowing through, then that continues. So that's one element. And the second element is the borrowing.

Quarter-to-quarter has remained static at about 13%. But again, more than a quarter, if you look at the year, we were at about 7%. Broadly, the industry is at about 6%, 7%. So there is an opportunity space to be that to keep coming down. That is another important lever that provides this cost of funds change.

And the third one is the CASA, which again is a customer on the other side more than we creating any action where we need to work through to bring selling within the new customers and better engagement, more products, more retail products. That's the kind of process we need to take through to get to that industry average and beat that industry average over time. Yes, there is a line of sight, and these are some of those elements we work towards.

Suresh Ganapathy: Okay. Thank you.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. Next question is from the line of Prakhar Sharma from Jefferies India. Please go ahead.

Prakhar Sharma: Thank you, everyone and congratulations on the results. Just wanted to delve on this deposit growth part. It was an interesting color that you said that the granular retail has grown, but slightly bulkier retail hasn't. Is there any sort of a data point that you can share in terms of the growth or the mix in the 2?

And one alternative is, can we use the LCR deposit number and the growth there as a reference point to just get some comfort on what's the range of growth there because 4Q onwards, it gets aggressive on pricing. So if you can share some color, that will be right, thank you.

Srinivasan Vaidyanathan: The second aspect of the question I didn't get, probably we will see. But as far as the rate of growth is concerned that you asked about the categories, certain other categories that you wanted. Yes, I mean, if you look at the institutional types, they were in the mid-single digits, right. The institutional type of deposits, mid-single digits. That's what we see. And within the retail branch, the non-individuals were much more modest. I think it was again a little more higher single digit. And the individual individual within the branches were in the solid double-digit growth.

Prakhar Sharma: Sorry, the individual at the branch was at?

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Classification - Internal Srinivasan Vaidyanathan: No, I didn't give you a number. I said it's a good double-digit, and everything else was in single digit. Yes.

Prakhar Sharma: Okay. And is there a way to just give a context of within your total deposits, 83% is classified as retail. How much would be the granular retail and how much would be the quasi-institutional retail?

Srinivasan Vaidyanathan: I don't think we have published that. But yes, when we say that is a branch-driven deposits where there are RMs engaged with either an individual or the individual's organizations and institutions, that is what.

Prakhar Sharma: Got it. Thank you so much and good wishes.

Moderator: Next question is from the line of Abhishek Murarka from HSBC.

Abhishek Murarka: So Srin, going back to the branch addition question, and thanks for giving so much color. But just net-net, are you still looking to grow or add about 5%, 7% branches this year and in FY'27, or what are your near-term plans? I understand the whole picture you painted about the scale-up of old branches and how that will

accelerate deposits. I just want to know your next 1-year plans in terms of branch addition?

Srinivasan Vaidyanathan: Yes. To answer in short, 5% to 7% implies 500 to 700 branches annual. I don't believe that, that kind of branch addition in the near future. We'll evaluate as we go through the annual planning

process and come back at some point in time, but it would be of a good order.

Sashidhar Jagdishan: Abhishek, just to add to what Srini is saying. If you've seen the last cohort of what he just said in terms of the 4,800-odd branches over the last 5 years. Today, it is contributing, as he mentioned, somewhere around the 20-plus percentage points in terms of the incremental liabilities or the deposits that we are mobilizing. As this cohort starts to, which we are seeing delivering, and getting to a substantial number, then we know that we have the confidence to start to step up our next phase of launching new distribution points.

Obviously, we want to wait and watch. We are not saying we will not add any branches. As he mentioned, we will add branches, but these are probably normally in suburbs where there is kind of an opportunity, that is what we are now focusing on. But we want to ensure and stabilize the last cohort of the 4,800 branches stabilize and start to get to a certain level of maturity and level of contribution, which is substantial, then we know that, that will be on an autopilot and then we can start to see the next phase of introduction. And obviously, at that point in time, we will have to rethink in terms of we would have probably moved far beyond in terms of our branch transformation and automation. So, there will be some new thought processes in terms of how we need to add or how we need to sort of expand our distribution. It's not that it's going to be different, but maybe there will be some amount of recalibration that we will do in the next phase of branch additions.

Abhishek Murarka: Sure. So Sashi, as I understand, that's a great point for making that point. So today, about 50% of branches, which is this 4,800 is contributing around 20% of incremental deposits. Is it correct to

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Classification - Internal think that when this starts contributing maybe 40%, 50% of incremental deposits, that is when you start thinking about future expansion. Is that the right way to think about it?

Sashidhar Jagdishan: Whether it's 40%, 50%, 60%, we will keep on recalibrating because there are a lot of things that we are trying to do. Obviously, if you really look at it, we stepped up our distribution the moment we knew that we announced our merger. And we knew that we needed to fund not just at that point in time, in the future. So all this is going to add to incremental deposits in a substantial way into the future. So there will be a lot more dimensions that we will examine, not just the extent of contribution, but probably certain events that we may have or certain other dimensions that we may look at before we start to step up the pedal on the new phase of incremental. And you look at it even over our 30-year period, there have been these phases of right from 2009 onwards to 2013, 2014, we stepped up our distribution. Then we had a little bit of a pause, then we started off again. So recalibration and doing it in phases is something that we have been doing, it's not a new thing. We have been doing this for right through our 30 years journey. And I think we will continue to do. Obviously, the dimensions keep changing in terms of what we need to look at as we move ahead because the world is changing very fast. The kind of technology implementations that we are doing, as we unveil, we probably may need different thought processes as well. So let me pause out here and you probably will get the drift.

Abhishek Murarka: Sure. Thank you for that. And the second thing is on credit cost. Now if I lo

ok at your net slippages,

ex of the agri part, but let's say, look at the net slippages in the 9 months or last few quarters, around 30, 35 basis points. Write-offs are holding steady at INR3,200 crores roughly a quarter. So why is the underlying credit cost around 55 BPS and not coming off? I mean, don't you think that should also start coming off at some point if this kind of trend continue?

Srinivasan Vaidyanathan: Abhishek, a couple of things. One is the slippages. If you're looking at excluding agri slippages, it's 24 BPS in the quarter, prior quarter was 23 bps, prior year was 26 bps. So order of magnitude, call it, 25 basis points. That is the kind of a slippage in a quarter, right. That's what you're seeing. So not the 35 or something that you're talking about, that's one.

The second thing is that credit costs also, you have to look at it, including the recoveries because when you write off certain loans as it progresses through some of the delinquency buckets, then you get it in the form of recoveries. And net of recoveries, if you see, we are at about 37 basis points or thereabouts. And when you look at, again, last quarter, last year, order of magnitude, very similar within a few basis points, 5 basis points. So it's not just about the 55 basis points. It is also about the net of the recoveries, which comes in quite handy. And it's a function of how fast you write off and how you recovering.

Abhishek Murarka: Sure, that's what I was referring to. So net of your recoveries, etcetera, it should keep coming down because your slippage performance is I mean, it's improving. The book is growing and your absolute is pretty much stable. So you're seeing very good asset quality trends. And I was sort of wondering why the credit cost is not coming off?

Srinivasan Vaidyanathan: See, in a growing book, if the slippage is steady, the losses are steady, recoveries are steady. I don't

know what you're expecting, maybe something.

Classification - Internal

Classification - Internal Abhishek Murarka: So 50, 55 is more or less BAU is what you're seeing?

Srinivasan Vaidyanathan: No. GNPA?

Abhishek Murarka: No, no, no, no credit cost. Okay. I'll take this offline. Never mind. That's probably not saying myself clearly. No problem. And just one question on cards. Overall, card receivables are pretty stable. If I look at the data that comes out in RBI, the spend market share for you is doing well, CIF market share is doing well. So why is it not reflecting in the receivables? Is it just transactors running down, or is it something else?

Sashidhar Jagdishan: No, actually, great question, Abhishek. I think if you really look at it, the segment that we are patronizing is more the middle and upper middle segment. Therefore, slightly higher-end cards is what is in our portfolio. The proportion of that is large. And a large part of that, over a period of time, as you know, the credit card, what shall I say, the behavior has also changed over a period of time.

Today, we look at it not as net receivable from a revolve perspective, from an asset perspective and an earnings perspective, we are looking at it as an enabler for our liabilities or deposits. Srinivasan has mentioned in the past, and that is something that we are extremely proud of, the spends in the cards actually provide a significant portion of our deposit momentum.

Today, 20% to 25%, maybe in the mid of 20% to 25%, I can say, is the range at which, out of the total deposit basket, the kind of momentum that you're seeing, whether it's on the healthy balances and what it contributes to total, it's somewhere around that 20, 25.

So the credit card focus today is more not from a net receivable basis, but from a transactor basis. And as I said, I mean, whether it's a lot of you on the call or people in this room that we are, we all pay on a standing instruction basis on due dates. So this is s

omething that we are very happy

with. So this is the kind of a new strategy that we are evolving.

Obviously, we are also recalibrating some of the business model in cards. We have been doing that, and we probably have come out with something which is very encouraging and something that the organization will really benefit from our card strategy.

Abhishek Murarka: Thanks for answering my questions.

Srinivasan Vaidyanathan: I want to add one thing on the card, particularly the card revolving aspect of it, right, which is if you go back to 2020 or before and compare to today's revolvers, they are slightly under 2/3 level, right, slightly under 2/3 level. So that means of the pre-2020 levels revolvers, right, at level. And so the profile of the customers, and that is why you see the deposit balances of those customers, which is a little more than 5, 5.5x was slightly under 4x at that time. So the profile of those customers are also different where they do transact, they do keep balances and the revolver balances are lower for certain other segments. And we have not liberally offered the credit line increases and made more and more revolvers to tip them off into delinquency. Credit has been cautious on that.

Abhishek Murarka: Got it. Got it. Thank you so much for answering all those questions and all the best. Thank you.

Classification - Internal

Classification - Internal Moderator: Thank you very much. Next question is from the line of Jayant Kharote from Axis Capital. Please go ahead.

Jayant Kharote: Thanks for the opportunity. Sir, one question is on your loan growth broad guidance of above system next year. Sir, I just wanted to understand when we are saying we'll grow above the system, what is our range of assumption for system growth? Because we are seeing some acceleration in the system growth itself where we are moving from this 11 to 13 band to maybe closer to 13, 15. If we were to move in that band, would we have accounted for that kind of system growth and we say we can grow above that pace?

Kaizad Bharucha: So our understanding as of now is next year, we expect system growth to be between 12% to 13%, when you look at nominal GDP and the credit growth that's required to support nominal GDP. So if we're talking about 12% to 13%, we are talking about a couple of percentage points above that going into the next year.

We see distribution on the retail side, you've been seeing over the last 2 quarters coming up, our positioning also in the MSME space, given our geographic coverage as well as our suite of products that we have out over there and the wholesale piece, which you would have seen in this quarter again coming back. We do believe that we have the customer segmentation to be able to grow at a couple of hundred basis points over system growth next year.

Jayant Kharote: Great, sir. I think this answers you're working with the 12 to 13 range at least. Second part is, on a broader 3-year or 4-year question. We have seen products like mortgage getting a lot of competitive intensity. PSU banks being well capitalized are probably being more aggressive in vehicle, increasingly auto. Do you see this competitive intensity eroding profitability for the larger players over the next probably 3 years, not a 6-month or 12-month question?

Srinivasan Vaidyanathan: See, we are addressing competition only through relationship and not through pricing. Mortgage product, as you've seen that in the last 12 months, we are not leading through a mortgage product. We are leading through relationships where the mortgage product could be a fulcrum around which we can operate.

Same with auto. I do want to let you know that our auto loans are almost a little more than 80% self-funded, which means the customers when they take auto loan, we want their liability accounts, we want them to have balances in that and the loan self-funds itself for

the most part within the balance sheet. So it is about relationship offering, and that is part of the engagement in the branch, and it's not just a product and a loan balance sheet building approach.

Kaizad Bharucha: Having said that, Srini, absolutely in order. I think we do continue to be the largest financiers in the auto loan space in the country, not only in terms of the disbursements but also the book size as well as if you see our year-on-year growth in the entire automobile space, I think that is reflective of what our position is and the target market that we will have. So it is relationship. It is also ensuring that we have the right pricing for the product based on the customer segmentation, and we don't feel any need to do business at price points which don't make economic sense.

Jayant Kharote: And your market reading is, as of now, we are not in that situation where aggression is eroding margins for the broader system, at least in auto?

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Classification - InternalKaizad Bharucha: I'm sorry, I didn't catch your question. Can you repeat it, please?

Jayant Kharote: So not for HDFC, but probably for broader system. Are you seeing that aggression in the auto segment from the public sector or maybe the broader system aggravating in the last couple of quarters?

Kaizad Bharucha: Yes. We've seen it not only in auto, but also in the home loan product. So these are two products where we have certainly seen some amount of, if I may say, a bit of irrational pricing, but irrational pricing has never sustained. It will play itself out and bury itself in a couple of quarters on the outer side, if not earlier.

Jayant Kharote: Great. This is very helpful. Thank you and all the best.

Kaizad Bharucha: Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we have come to the end of the allotted time for the call. I would now like to hand the conference to Mr. Vaidyanathan for closing comments.

Srinivasan Vaidyanathan: Okay. Thank you, Nirav, and thanks to all the participants for taking the time to attend. At the outset, I again want to mention that we did come 15 minutes late. We did extend to be there. Further questions, any more comments, Investor Relations team will be on standby to guide and help and explain or clarify anything you need today or over the weekend or next week, whenever you desire, we are available. With that, we'll sign off for today. Have a great weekend. Bye-bye.

Moderator: Thank you very much.

Sashidhar Jagdishan: Thank you all. Thank you very much for all the hard work.

Moderator: On behalf of HDFC Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Mar 2026

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

Ref. No. SE/2025-26/205

March 19, 2026

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051
Scrip code: 500180 Scrip code: HDFCBANK

Dear Sir/Madam,

Sub: Transcript of Analyst/ investor call in relation to the intimation made by HDFC Bank Limited
("the Bank") on March 18, 2026

In continuation to our intimations dated March 18, 2026 and March 19, 2026, we wish to inform you that the transcript of the call with analysts and investors held on March 19, 2026, in relation to the intimation made by the Bank on March 18, 2026, is annexed herewith.

The said transcript is also being made available on the website of the Bank at the below link:

<https://www.hdfc.bank.in/about-us/investor-relations>

This is for your information and appropriate dissemination.

Thank you.

Yours faithfully,
For HDFC Bank Limited

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"HDFC Bank Limited
Investor Conference Call"
March 19, 2026

MANAGEMENT : MR. SASHIDHAR JAGDISHAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – HDFC BANK
LIMITED

M R. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
OFFICER – HDFC BANK LIMITED

M R. KEKI MISTRY – INTERIM PART-TIME CHAIRMAN ,
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COMMITTEE – HDFC BANK LIMITED

M R. HARSH BHANWALA – INDEPENDENT DIRECTOR -
CHAIRPERSON , GOVERNANCE AND NOMINATION
COMMITTEE – HDFC BANK LIMITED

D R. (MRS). SUNITA MAHESHWARI – INDEPENDENT
DIRECTOR - CHAIRPERSON , ESG COMMITTEE – HDFC
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M RS. LILY VADERA – INDEPENDENT DIRECTOR -
CHAIRPERSON , RISK POLICY AND MONITORING
COMMITTEE – HDFC BANK LIMITED

M RS. RENU KARNAD – NON-EXECUTIVE (NON-
INDEPENDENT) DIRECTOR – HDFC BANK LIMITED

HDFC Bank Limited

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Classification - Internal

Classification - Internal Moderator: Ladies and gentlemen, good day and welcome to HDFC Bank Investor Call. As a reminder, all

participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Srinivasan Vaidyanathan. Thank you and over to you Mr. Vaidyanathan.

Srinivasan Vaidyanathan: Okay, thank you, Renju. Good morning to all. Thanks for joining at short notice. We have with us Mr. Keki Mistry, Interim Part-Time Chairman and also, he Chairs the Stakeholders Relationship Committee. We also have few other board members on this call. We have Dr. Mrs. Sunita Maheshwari, Chairperson of the ESG Committee. We have Mrs. Lily Vadera, Chairperson of the Risk Policy and Monitoring Committee. We have Mr. Harsh Bhanwala, Chairperson of the Governance and Nomination Committee and also a member of the Audit Committee. We also have Sashi Jagdishan, our CEO and Managing Director. We have Mrs. Renu Karnad who Chairs a couple of committees and member of several committees in the board. Without much ado, I will hand it over to Mr. Keki Mistry for his opening remarks and take the call from there on. Keki, thank you and over to you.

Keki Mistry: Thank you very much, Srini and good morning and thank all of you for joining us at such short notice. We would like to address the recent development regarding the resignation of Mr. Atanu Chakraborty as Part-Time Chairman and Independent Director of HDFC Bank Limited. The board has accepted his resignation with appreciation for his guidance and contribution during his tenure. We wish him the very best in his future endeavours.

On behalf of the board and in full concert with the executive leadership, I wish to assure all stakeholders that there are no material matters at this point of time. Based on our discussions, there was no specific happenings and practices that were brought to our attention. There were no specific operational or other issues that have been highlighted.

The board's oversight mechanism remains fully operational and our collective commitment to protecting the interest of the institution, depositors, shareholders, and all stakeholders is completely and totally unwavering. This disclosure made is complete and transparent in line with regulatory requirements. The board and the management oversaw the largest merger in recent years in India's corporate history.

The merger's successful completion and continued results have not only boosted the bank's balance sheet but also given it a stronger presence in key products and services. The merged entity continues to build on its shared values and realize the full potential of its market synergies. The board remains fully committed to safeguarding institutional resilience and investor confidence.

The bank operates with strong governance standards, robust internal controls, and an extremely experienced management team. Our strategic direction, business priorities, and execution capabilities continue to remain as always. The Reserve Bank of India has approved my appointment as the Interim Part-Time Chairman for a period of 3 months. The governance

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Classification - Internal architecture that HDFC has built over the decades is grounded in transparency, institutional integrity, and long-term value creation.

We remain focused on building on our strong legacy and working towards continued value creation for the bank's stakeholders. We share strong value systems, and I am confident of camaraderie and collaboration with the executive management and steadfast

st execution to meet

all stakeholder objectives in an optimal manner.

I also want to emphasize, and this is the last statement I will make, that I would not have taken on this responsibility at the age of 71 if it did not align with my principles and the level of integrity that I would expect from the bank. So, thank you everyone. And Sashi, would you like to say something?

Sashidhar Jagdishan: No, thank you so much, Keki. I think you have said it all. As I said, we have all put in years of experience here. Our biggest treasure that we all have collectively with the members of the board, each of them are extreme professionals, and you as a Part-Time Chairman, is the trust and the integrity. I mean that is a value system with which we have all grown up and we have all been mentored in this wonderful umbrella of the brand HDFC and we are proud of that.

We will continue to ensure that this particular trust is maintained not just now but sustained for several years going forward. We will not do anything that will bring in ignominy. Of course, there will be, a large organization will have errors and omissions. We will continue to address them as we go along but never will the tone at the top have anything which will have any kind of embarrassment to anyone including our own conscience. Thank you so much.

Srinivasan Vaidyanathan: With that, Renju, we can open up the lines for questions.

Moderator: Thank you. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on your touchtone phone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. The first question comes from the line of Kunal Shah with Citigroup. Please go ahead.

Kunal Shah: Yes. Thanks for taking the question and doing the call at the short notice. Firstly, maybe you indicated that at least there are no material matter that bank is aware about or no specific happenings or operational issue. But maybe for such a strong wording in the resignation letter, what do you think would have actually triggered that maybe that it is mentioned that it is not in congruence with his personal values and may be ethics. So, if you can highlight if there is something which would have triggered the friction which would have got created?

And the second question is again. maybe it coincides the reappointment term of MD and CEO which is now due in next 7 months. So, how since there are like board members also who are there on the call, maybe in terms of whether what would be the impact with respect to the MD and CEO reappointment and maybe the application which would be made to the RBI and any timeline which you can suggest in terms of how should we look through in terms of this development over next two-three months?

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Classification - Internal Keki Mistry: So, let me try and answer that question and then maybe some of my colleagues on the board can

also step in. Firstly, let me say that we are not, none of us as board members are aware of what are the specific issues which Mr. Chakraborty wrote in his letter. The board members asked him yesterday and he didn't have any, he didn't give any specific explanation.

As regards Sashi's appointment, it is something that will be considered by the remuneration committee, by the nomination and remuneration committee. There is still time to do that and obviously at the appropriate time, the committee will meet and we will take it up in the board.

Nothing changes as far as that is concerned.

Kunal Shah: Okay and in terms of timeline, so maybe generally 6 months prior to the reappointment we see it getting applied?

Keki Mistry: I am sure the NRC will meet in the near future and take a call. But Sashi is very much part of the bank. He has been running the bank successfully

for the last many years and we all hope that

he will continue to work with the same devotion that he has over these years.

Kunal Shah: Sure. Okay. Thanks. That answers the question, yes.

Moderator: Thank you. Next question comes from the line of Kaitav Shah with Anand Rathi. Please go ahead.

Kaitav Shah: Hello. Sir, in terms of, hi, am I audible?

Keki Mistry: Yes, you are.

Kaitav Shah: Yes. Good morning, sir. Thank you for having such a quick call. So, in terms of timeline, there was an additional message that was received by the investors that you all received the resignation day before yesterday and the Board received it...

Keki Mistry: It was yesterday.

Kaitav Shah: And sir so within that timeline, you were also approved by the RBI to become interim Chairman. So that happened very quickly. If you can just tell us what happened within that timeline?

Keki Mistry: All right. So let me answer that. I am right now in Delhi. I am not in Bombay. I was in Delhi yesterday also. There was a Board meeting in the evening. After the Board meeting got over and Atanu-ji gave his resignation letter, some of the directors of the bank went and met RBI, spoke to them and that is the time RBI approved. So it happened at very short notice. It did not come with a one day lag or a two day lag as you may have indicated. The letter was received by the bank yesterday evening and they met the RBI later on in the evening after the meeting was over.

Kaitav Shah: Thanks sir. The speed really helps. Thank you. That was the question.

Moderator Thank you. Next question comes from the line of Suresh Ganpathy with Macquarie. Please go ahead.

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Classification - Internal Suresh Ganpathy: Yes. So Keki, was the issue with Mr. Chakraborty there for a long period of time? You definitely

would have minuted in all the Board meetings the kind of disagreement that he would be having because these things don't happen overnight, right, Keki? So it has been a two-three year process perhaps. The press is quoting there is a power struggle, and he wanted to operate on an executive style, again strictly going by what CNBC is saying. Has there been a long period point of differences over the course of last three, four years?

Keki Mistry: Well, differences on minor issues do come up from time to time but there was nothing material whatsoever, let me reassure you. In no Board meeting has there been any kind of a complete differences of opinion or anything of that sort and the Board minutes will reflect that.

Relationship, I mean human beings are human beings, there will always be some relationship issue between individuals. Those kind of things happen. There was no power struggle in the bank as you put it, Suresh. The entire bank works, the management team in the bank works as a cohesive unit and to my mind will continue to work as a cohesive unit.

When this thing happened yesterday evening, the first thing the Board members did, people who were in Bombay, they met RBI, spoke to RBI. RBI gave their approval for making me interim Chairman for a period of 3 months to just stabilize things and then move on. So that's the background. And differences of opinion or differences of views may always be there between individuals but there was nothing, I repeat, nothing substantive. Nothing whatsoever. And believe me as I mentioned earlier, at the age of 71, I would not take on this responsibility for 3 months if the systems, processes, governance practices in the bank did not align with my principles and my level of integrity.

Suresh Ganpathy: Thanks, Keki. That's reassuring. Just one more thing. Of course, we talked about power struggle at the Board.

Keki Mistry: There was no power struggle. There was no power struggle at the Board. Absolutely nothing.

Suresh Ganpathy: But what about power struggle at the employee level between the CEO or the DMD or the CXOs?

Just again that also comes in. Is this also functioning well?

Sashidhar Jagdishan: No, no. Keki, you can join but I would like to address that question of young Suresh. Number one is, Kaizad is a very dear colleague, and I have the highest regards and respect for him. We have worked together. Unfortunately, I do not know what kind of stories are going around. But today that man handles the entire business, the asset business of the balance sheet which reflects the kind of respect and stature that he commands within the organization, both at the Board level and at the at the management level as well. So that will continue. In fact, he will only get more responsibilities as we move forward. And the very fact that we were all unanimous both at the Board level to send his name for yet another term as a Deputy Managing Director reflects that and we are extremely happy that the approvals have come and he's going to be there for next three years which is going to be one of our best years in the history of the bank. Thank you.

Suresh Ganpathy: Okay. That's clear. Yes. Keki, you want to add something, or this is fine?

Keki Mistry: No, I would add to what Sashi said. There is complete, let me repeat, complete and absolute unity in the management team.

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Classification - Internal Suresh Ganpathy: Sorry. Just one last question I have to squeeze in. How are the regulators? You are in Delhi, you

have of course met. How are the regulators, the government, the SEBI, the Board, everybody is looking at this particular thing because you need to get the shoe in of the regulators at this point in time, right? So can you give us a clarity on that matter?

Keki Mistry: I have not come to Delhi to meet anyone. I had come on a personal visit with my wife. So I am strictly on a holiday today. So I have not met anyone in the government. And RBI, my colleagues on the Board went and met them yesterday and maybe someone may want to speak on that.

Sashidhar Jagdishan: So there were two whole-time members and two independent members who had visited the regulator. The regulator heard us out. He obviously, you know, was very supportive of the fact by his demonstration of approving Keki Mistry's appointment as an interim part-time Chairman in the shortest possible time. That reflects, as Keki mentions, a very strong messaging to the world at large. And I think you know they have been undertaking in their supervisory cycle, a lot of examinations both off-site and on-site which we have navigated right over the last five years in the recent past. And I think whilst these examinations are not in the public domain, but I guess the fact that we continue to remain in our position says it all, where there has been extreme amount of confidence to the respective independent committees whether it's the Audit Committee, whether it's the Risk Policy Committee which are the fulcrum in terms of governance, controls and of course we have the NRC committee. These are all manned by independent directors with strong vintage, credibility, experience, and stature. And some of them are on this call and they have, as I said, they have very comfortable with the functioning of these committees who in turn oversees the operations in every aspect of it, whether it's risk management, whether it's compliance management, whether it's audit management, etcetera. Yes, any organization whether small or big will have issues but these are all addressed at every point in time and whatever is pending would have a lot of timelines and these are the things that goes on in a very normal and a calm manner.

Suresh Ganpathy: Okay. Thank you.

Moderator: Thank you. Next question comes from the line of Prashant Teriwal with Blackrock. Please go ahead.

Prashant Teriwal: Hi Sashi and team. Look, so far whatever I heard on this call doesn't make me any wiser than I was an hour ago, right? S

o like we've not seen like Chairman in India resign and quoting that they did not like what was going on. It's basically a very scratchy remark. People could resign because of personal reasons, generally that's what we see in India. So there is something. Would you would you kind of open up and try and build some confidence with your investors like what would exactly was it? Because he was the Chairman of the of the bank. I mean he was not like any other employee that resign saying something and means nothing. Thank you.

Keki Mistry: Look, I can only say that at the board level, there has never ever been any kind of a discussion on any matter which is contentious in terms of governance where appropriate if there is been any minor issue here and there, these issues have been tackled appropriately. What caused that letter to be sent yesterday is something which really to my mind defies logic, but any of my

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Classification - Internal board members would like to or any of my colleagues would like to step in and say something. I'm not aware of any issue in the bank.

Prashant Teriwal: Sorry to interject here. So look if it is too early and you guys have no idea why it was happening, so how can you say there is nothing behind it?

Keki Mistry: Because the bank has a very strong risk management process. The bank has a very strong audit process. The bank is a systemically important bank and therefore gets supervised continuously by RBI on a regular basis. We the board carries out various kinds of audits of different functions and there has never been anything from a governance standpoint to my mind which has come to the attention of the board.

Prashant Teriwal: And Sashi you have anything to add here?

Sashidhar Jagdishan: No, I think Keki has sort of added whatever very well. It just encompasses all our thoughts and feelings on the same.

Keki Mistry: If any other board member would like to speak up, please do so.

Harsh Bhanwala: I am Harsh Bhanwala. I head the GNRC. And I can assure you we hold highest regard for our conduct rules, and we believe strongly in sound governance. He was a member of the committee, the outgoing chairman, and all the discussions that happened within the committee, the resolution was unanimous. There was no difference of opinion by anyone.

And bank and the management of the bank, whatever various committees have said have taken

due cognizance of that in line of the principles of regulation and governance which are required and has come up to the expectations of employees as well as independent directors on almost all issues.

Prashant Teriwal: Thank you. So you were in the board meeting. Let me ask you this, right? I mean the chairman tenders a resignation saying there is something he's not happy with. And you guys say okay fine resignation accepted without asking him like what is it. This is what we are asking like what is it like small or big, material, severe, serious, whatever that is?

Harsh Bhanwala: I think Sashi was there in the meeting yesterday, and all the members who were there and Keki joined over phone call. All of us had asked him what are the reasons behind this and he says personally I have no issues. It could be my value systems etcetera which are different, but he didn't say anything on regulatory aspects of the bank. It was it was all sound, he agreed with us.

Renu Karnad: In fact, we had repeatedly asked him for, you know, to tell us why what had triggered this and if there was anything we have to set it right, but he said there was nothing and that was a bit baffling.

Prashant Teriwal: Okay. Thank you.

Moderator: Thank you. Next question comes from the line of Prashant Poddar with ADIA. Please go ahead.

Prashant Poddar: Hello. Am I audible?

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you are.

Prashant Poddar: Yes. Hi Keki, Sashi. It's quite strange, this is from ADIA, it is quite strange that we are getting these kind of letters from Chairman of the largest private bank in India. So if someone has to kind of insinuate towards something, there should be explanation in the letter else this is scathing and rather than sending regards, the bank should ask RBI to investigate what, because this is, banking business is that of reputation right. You cannot let someone -- this is reputation maligning kind of letter. That's all we felt after seeing the letter. That's all from my side.

Keki Mistry: Yes. Thank you very much. Obviously, the board will meet soon, and we will take a call on what to do. But as I mentioned to you, many of the board members went and met RBI the regulator, and RBI is fully in the picture, fully in the loop and the fact that they are comfortable with what is going on in the bank is reflected in the fact that within a short period of time, they approved my appointment for three months just to stabilize things.

Prashant Poddar: No we appreciate, and our best wishes are with you. We agree that it's a, I mean it's not some consumer business, it's a banking business fully governed by a good board, I mean members of RBI are on the board. So best wishes and hope that the bank comes out as clean as always out of it.

Keki Mistry: I am extremely confident the bank will come out very clean. We have really truly the highest standards of governance and as I said, I believe very strongly in governance personally, I would never remain on the board if I had the slightest doubt about governance.

Prashant Poddar: Thank you, Keki.

Moderator: Thank you. Next question comes from the line of Ankur Mishra with ET Now. Please go ahead.

Mr. Mishra, please go ahead.

Ankur Mishra: Hi. Hello. Am I audible?

Moderator: Yes. Please go ahead.

Ankur Mishra: Just wanted to make a sense of the comments which has been made so far regarding HDFC Bank chairman resignation. You have said that the board is not aware regarding what are the reasons which Atanu Chakraborty would have had. Fair point. But it is also kind of a reputation loss when somebody has mentioned in the letter that these are ethics issues, and he has clearly mentioned even the time period of 2 months. So I want to understand that will board in the capacity will seek an answer from Atanu Chakraborty? And second question is that what are the learnings so far from this incident?

Keki Mistry: Well, I'll be trying and answer that very quickly. Look, I think to my mind there could be a relationship issue between him and the management. That may have been manifested over a period of time but leave aside that. Let's talk about governance in the bank. The bank has the strongest form of governance that is possible in a financial institution. Number one.

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Classification - Internal Number two, we are very, very strong on ethics. And as far as our seeking some explanation from Mr. Chakraborty, the Board will of course meet very, very soon and take a call on how to take it forward.

But as some of my colleagues mentioned, I was not in Mumbai yesterday, so I was partly in the meeting on the call. As my colleagues mentioned, he was asked why he, what were the issues which we had, what were the lapses in governance that he sort of indicated and again you heard from my colleagues, they, he did not say anything.

Moderator: Mr. Mishra, are you done with the question?

Ankur Mishra: Yes, one more thing I want to understand when you are saying appointment of the new chairman so how soon the process will start if you can apprise on that as well? Thank you.

Keki Mistry: Well, these are too premature questions now. The Board will of course meet in due course, take the various regulators into confidence, and then take a call on the new chairman. There is s

till 3

months to go. For 3 months, I will remain the interim Chairman.

Ankur Mishra: Thank you so much.

Keki Mistry: Thank you.

Moderator: Thank you. Next question comes from the line of Seshadri Sen with Emkay Global Financial Services Ltd. Please go ahead.

Seshadri Sen: Thank you for the opportunity. Two questions. One was just asked in terms of timelines for the replacement because also wanted to clarify that you will have to appoint a new independent director in place of Mr. Chakraborty. So how long do you think that would take and what is the process for the entire appointment of the new Chairman and the new Independent Director?

Keki Mistry: Well, this is too premature at this point to talk about this incident I mean this resignation happened yesterday. There is a full 3-month period during which period of time the Board will meet, take a call on who should be the full-time or the Non-Executive Chairman or the Independent Director will become a chairman in future. There is plenty of time to do that and the Board will of course meet and take a call in consultation with the regulator, in consultation with RBI and SEBI.

Seshadri Sen: Thank you. Second question is just seeking a reassurance that, operationally the bank has been starting to report incrementally very strong performance and there is been conversation in your conference calls that you are looking to step up growth. Just want to reassure that this will not impact that operational performance and the plan to step on the gas as it were in terms of growth in the in the coming quarters is unchanged?

Keki Mistry: So Seshadri, Sashi will answer that question but before he does, let me reassure you that what happened yesterday has nothing whatsoever to do with operational profitability of the bank.

None of that changes and the bank will commit to do whatever it has said in its calls that it would do. Sashi, would you like to step in and say something.

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Classification - InternalSashidhar Jagdishan: Sure. Thank you, Keki for that. Seshadri, number one, I think this is an unfortunate event. But

as I said, we are in an economy which is very strong and resilient amidst the turmoil. So, I think we should be very proud of the positioning in our economy. The bank has had a wonderful merger. Any merger takes time, but the fruits of the merger will start to play out, and we have committed, are very well positioned to move ahead in the manner that we have committed earlier. We have a strong Board with professionals who have really been the eyes and ears from a governance, risk management, etc. and compliance and audit controls. So, we are grateful that, that oversight is very strong. We have a strong depth in management which is something that is always one of our fortes. We have technology which is going to surprise us over the next couple of years. So, the best of the bank is going to come, and we are all very eager. At least now, as Keki just mentioned the camaraderie and the cohesiveness that this Board and the management is going to have is going to be very positive for the institution. Thank you.

Seshadri Sen: Thank you. And appreciate your doing a call at such short notice and I am sure the bank will bounce back very strongly.

Keki Mistry: Thank you.

Moderator: Thank you. Next question comes from the line of Shiva Natrajan with Principal Asset Management. Please go ahead.

Shiva Natrajan: Yes hi. Thank you. I think a lot of others have also asked the same question, but it just seems puzzling that the outgoing Chairman has written some strong words, like happenings at the bank for 2 years, congruence with personal or not in congruence with personal values and ethics.

These are very, very strong words. And all I'm hearing is there was nothing specific. Just seems very difficult to believe that there was nothing that you can tell us. But I h

ave heard your answer

so, I just wanted to give my view at this point. Thank you.

Keki Mistry: Well, I agree with you. It is a little baffling at this point of time. We will of course get to the root

of it in due course, but as I mentioned earlier and as some of the other Board members also mentioned, the board inquired or checked with Mr. Chakraborty on the specific reasons which were - where he believed that there was difference between his thinking and the bank's thinking and he did not have anything specific to respond to. There were relationship issues, -Human beings, there are relationship issues between people but that is not material at this point of time. Let me tell you that the Board is completely cohesive, the Board is completely united, and the management team most importantly is also completely united.

Srinivasan Vaidyanathan: Renju, we'll take one more last question, please.

Moderator: Thank you. Next question comes from the line of Gopika from Reuters, please go ahead.

Gopika: Hi. Good morning, sir. Thanks for taking my question. You mentioned that Kaizad does not have, will be given further responsibilities, but I believe he is not on the call?

Sashidhar Jagdishan: Kaizad has had to go for a health check-up, his routine health check-up today which was pre-organized. I think the members did not want that to be changed. I think but otherwise he would

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Classification - Internal have been on the call and he will be probably on the call, if at all we have other calls from tomorrow onwards.

Gopika: Right. And could you describe what more responsibilities he would be given?

Sashidhar Jagdishan: Yes, as I said, as we move forward, we will sort of re-examine our organization structure and with the consent and the advice of the board, we will announce it at the appropriate time.

Gopika: Can you tell us what that could be?

Sashidhar Jagdishan: No. Not at this juncture without the approval of the board, which I will take it up to them at the right time. Post the financial year closure.

Gopika: Could we expect it before March end? When could we expect it?

Sashidhar Jagdishan: No. No. No.

Gopika: Yes, sir.

Keki Mistry: Yes Gopika, what I am saying is in a large organization, there will always be some organizational restructuring that happens from time to time which is what Sashi was alluding to. There is nothing specific in mind.

Gopika: Right. There have been several tweets by an anonymous Twitter handle regarding various senior members of the bank and the kind of cases that have come up against them. Have these issues been discussed at the board level? Have these concerns been looked at?

Keki Mistry: These are looked at consistently, continuously by the Remuneration Committee, the Nomination and Remuneration Committee. Mr. Bhanwala who is the Chairman of the committee is on the call and I would request him to speak for a couple of minutes. But let me reassure you every issue that has been brought to our attention has been discussed in detail and appropriate action has been taken in every single instance. Harsh ji, would you like to say something.

Harsh Bhanwala: Yes, yes for sure. Thank you, Keki. I am Harsh Bhanwala, I have been earlier the Chairman of NABARD. And ever since we joined here, I found in this bank a very well laid out process of handling complaints as well as anonymous complaints. So, all of these complaints or references in social media which impact bank, the prominent ones, are examined and brought before the Audit Committee. Audit Committee deliberates on it and sends it to whistle-blower if it is that or some other kind of mechanism which exists in the bank. They examine all these things in details, and the inquiry is put up to the Audit Committee, I am a member there, and we examine it thoroughly, and based on some of the things found, if at all, then the same is forwa

rded for

accountability fixation in the normal course. And there is an advisory committee within the bank which is headed by Kaizad and another whole time member is a member of that committee and ethics officer of the bank is there, and after all that process, if some things are there which emerge as charges or culpability, etcetera, we take due note of the same and we will not hesitate if something adverse is found against individuals and we have done that in the past as well.

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Classification - Internal Gopika: Right. Does this indicate to an extended tenure that you have given to some of these members

who have been with the bank for so long? Is the bank looking at, when you say reorganization, is are you looking at giving shorter tenures to some of these members going forward?

Harsh Bhanwala: I would request Sashi to answer that because that's management's prerogative and after that we take into consideration the recommendations of the management and examine it.

Sashidhar Jagdishan: Yes, Harshji, I think these are too premature questions. If at all there are any such proposals, we

will take it to the Nomination Remuneration Committee with the proposal and we collectively will agree with what are the structures that will benefit the organization.

We do not have anything that is there in our minds at this juncture, but surely, we will have a very intense and a cohesive engagement between the Management and the Board now, which was always the fulcrum for all these years, but even more now in the events that have just developed. And we will assure you that it is going to be a kind of a joint partnership that will come out at the end.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question-and-answer session. I would now like to hand the conference over to CFO Mr.

Srinivasan Vaidyanathan for closing comments.

Srinivasan Vaidyanathan: Thank you very much. Sashi, any closing comments from your side before we can close this. I will go to Keki after that.

Sashidhar Jagdishan: Yes, I would like to thank all of you to have joined in at a short notice. I would also like to thank the Board members who are on the call, who have also joined at a very, very short notice. Thank you for that. Last but not the least is the fact that, we all have to move on. We have Keki Mistry as the part-time Interim Chairman. The management shares a great camaraderie and cohesiveness with him and the Board members. We believe that this is going to be extremely positive from a fructuous relationship with the bank. I continue to maintain and I am sure you have heard Keki in the past; the economy probably is in a sweet spot amidst turmoil in the world. The bank is now well positioned. We had a trajectory and we are on path to that trajectory. I think you will see the kind of growth that we have used to pre-merger coming back. We have a strong board which is what everyone, probably had not seen in the past. We're very fortunate that they have been a pillar of governance all these years and I am extremely proud of the member who come out with lot of instructive, suggestion and advise, on the board and take very dispassionate decisions, and we have always worked on pillars of trust and value system, we continue to do that, and that will be one of our strongest points, you know, in this foundation of this organization and the brand.

Technology is going to be differentiator, and you will see it more happening over the year and two. And that is going to be kind of a surprise to all of us, and to you as well. So, the best of the bank is going to now start, and we are all eagerly waiting for that particular opportunity to unveil and unravel, as we move forward.

Thank you very much. For all your support.

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Classification - InternalSrinivasan Vaidyanathan: Thank you, Sashi. We will get back to Chair Keki.

Keki Mistry: Srini, I will just make one closing comment which is that the HDFC Group over the last, I have been working in the Group, I was I joined in HDFC in 1981 and then we started the life insurance, general insurance, bank, asset management, all of that. And the one fundamental belief that all of us have had over the years is good governance. So please believe me, we have the strongest form of governance in the bank. There is nothing wrong from an ethical perspective and we will in the coming years and coming months, the performance of the bank will also reflect that. Thank you.

Srinivasan Vaidyanathan: Thank you very much, Keki. With that, we can conclude today's call. Appreciate you all dialling in. Have a great day. Bye-bye.

Sashidhar Jagdishan: Thank you all.

Keki Mistry: Thank you.

Moderator: Thank you. On behalf of HDFC Bank, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Apr 2026

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

Ref. No. SE/2026-27/26

April 24, 2026

BSE Limited National Stock Exchange of India Limited

Dept of Corporate Services The Listing Department

Phiroze Jeejeebhoy Towers, Exchange Plaza

Dalal Street, Fort, Bandra Kurla Complex,

Mumbai 400 001 Mumbai 400 051

Scrip code: 500180 Scrip code: HDFCBANK

Dear Sir/Madam,

Sub: Transcript of Earnings Call in relation to the audited standalone and consolidated financial results of the HDFC Bank Limited ("the Bank") for the quarter and year ended March 31, 2026

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on Saturday, April 18, 2026 with respect to the audited standalone and consolidated financial results of the Bank for the quarter and year ended March 31, 2026, has been made available on the website of the Bank at the below link:

<https://www.hdfc.bank.in/about-us/investor-relations>

A copy of the transcript is also annexed herewith.

This is for your information and appropriate dissemination.

Thank you.

Yours faithfully,

For HDFC Bank Limited

Ajay Agarwal

Company Secretary

Group Head – Secretarial & Group Oversight

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"HDFC Bank Limited

Q4 & Full Year FY 2026 Earnings Conference Call"

April 18, 2026

MANAGEMENT : MR. KEKI MISTRY – INTERIM PART-TIME CHAIRMAN –
HDFC BANK LIMITED

MR. SASHI DHAR JAGDISHAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – HDFC BANK LIMITED

MR. KAIZAD BHARUCHA – DEPUTY MANAGING
DIRECTOR – HDFC BANK LIMITED

MR. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
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Classification - Internal Moderator: Ladies and gentlemen, good day, and welcome to HDFC Bank Limited Q4 and Full Year FY 2026

Earnings Conference Call on the financial results presented by the management of HDFC Bank.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Vaidyanathan, Chief Financial Officer, HDFC Bank. Thank you, and over to you, Mr. Vaidyanathan.

Srinivasan Vaidyanathan: Thank you, Neeerav. Good evening, and warm welcome to all the participants. Today, we have with us our Interim Chairman, Mr. Keki Mistry; our CEO, Mr. Sashidhar Jagdishan; and our Deputy Managing Director, Mr. Kaizad Bharucha. I will hand off for opening remarks to Sashi. Over to you, Sashi, then we can get on to the other agenda.

Sashidhar Jagdishan: Thank you, Srini, and thank you all. Good afternoon to you, and welcome to the full year FY 26 annual results call. Let me dive straight into the key aspects of FY 26 performance. We had estimated the system credit growth to be around 10.5% to 11.5%. We did 12%, up from 5.5% last year. As you can see, there is positive momentum as we had expected. Deposit growth rate at 14.4% continues to grow faster than the credit growth, which is what we've always been doing. The growth rate is better than the system growth rate yet again.

Net income growth clocked at 11%, similar to the last financial year, whilst EPS growth of 10% versus 3% last year. The yield on assets had a faster transmission as against deposits on a full year basis, leading to a NIM drop. Despite the drop in NIMs, the return on assets continue to be stable at 1.9% due to cost efficiencies with cost-to-income declining from 40.5% to 39.5% on a core basis and focus on quality growth reflecting in lower credit costs.

I would like to remind the sizable investments we made over the last 5 to 6 years, which will bear fruit in the coming years. These investments were despite we witnessing significant events such as COVID, a complex and one of the largest mergers in corporate history. The distribution nearly doubled to 9,700 branches. The number of customers nearly doubled to 100 million customers. Our tech investments more than quadrupled to around \$1 billion. The merger with mortgage company, HDFC Limited too is an investment for the future. The bank navigated the same in a stable manner over the last 3 years despite changing economic outlook and regulatory stance. The above is going to provide a huge operating leverage in the future. Sometimes all of us have short memories and forget the core business foundation, which remains our moat and strength.

Customers at 100 million, we continue to acquire about 6 million to 8 million customers a year. This will be the funnel for future growth. 22% of our customers are actually 30 years of age, 42% are less than 40 years of age. This enables us an opportunity to engage through their life cycle, which would be the future engine of growth. We continue to be market leaders in our core franchise offerings such as cash management. In the Capital Markets segment, we continue to hold about 35% to 40% of the account settlements. In the bankers to issue we hold about 40% to 50% of the escrow settlement. In the trade part of the business, almost 18% to 20% of the country exports

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out 35% to 36% of the acquiring comes through the bank. On the issuance of credit cards, 21% to 22% of the issuances of the system is from us. In the spends, almost 26% to 28% of the card spends in the market is through our cards. We are a dominant salary relationship bank in the private sector. We are amongst the top 2 MSME banks in the country, so as in the mortgages, we are among the top 2 mortgage bank in the country. In the wheels business, whether it's auto or transportation, we're the top wheels bank in the country.

The above, despite intense competitive environment, reflects the excellence and execution capability of the bank. Our financial parameters reflect strength and resilience of the bank. We have a strong capital position at 19.7%. Our asset quality is extremely healthy at 1.15% gross NPAs. This has been tested across 3 decades of business cycles. The bank has created a large provisioning buffer of almost 125 basis points to absorb any shocks in the future, where this is obviously contingent upon any future events that may occur in the future, we don't have any stress in our portfolio as we speak.

Our focus is on profitability while pursuing growth opportunities. The loan deposit ratio is not a constraint. The regulator has come out and talked about it. We have demonstrated our ability to gain market share on deposits every year, almost around 30 to 50 basis points over the last 5 years. Hence, it's no longer a binding constraint. We have been building granular and sustainable deposit franchise, which is reflected thus. In the less than 3 crore retail liabilities, we have moved up from 31% of the net total accretion to about 47% of the total net deposit accretion for the year. This reflects the focus on granular and sustainable deposits. Having said that, the bank will continue to improve its quality of deposit franchise over the years to come.

The bank witnessed an unprecedented event recently, but its strength and resilience was seen with

stable and strong deposit flows. I would like to take this opportunity to thank the Government of India, the Reserve Bank of India and SEBI for their unequivocal support during that period. However, the most important strength will be our leadership in the technology space. Over the past few years, we have focused on strengthening the bank's long-term competitive position anchored heavily in our technology architecture to operate as a technology-first institution. A large share of our investment has gone towards improving the digital front end customer experience. We have been upgrading our interfaces, simplifying acquisition and service journeys, and modernizing our digital platforms. We launched in the year our new net-banking, mobile-banking platforms and also our payment platform, which we probably did about a couple of years ago, all of them are at a population scale.

Today, our mobile app serves over 60 million registered customer offerings. The USP of our build focuses on security. We have an OTP-less authentication. We have a lock, which is for enhanced security, and we have a full stack UPI-enabled wallet, which we call the Zapp account.

A combination of the above will make it extremely secure and probably one of the most secure offerings in the country today.

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Classification - Internal The efforts have increased digital adoption to 97% for payments and service transactions and 92% for acquisition journeys. Our goal remains simple; offer customers a seamless, reliable, friction-free experience across all touch points. The next layer after the customer layer is the intelligence layer. This is principally to build an AI-ready engine. We have built a strong intelligence layer that brings automation and analytics to the core of our operations. By decoupling our front-end and back-end through a modern API gateway and orchestration layer, we now have a strong foundation

for the emerging agent-driven AI model. AI is only as strong as its data. We have built a robust data foundation anchored by a customer level, enterprise-level, single source of truth from a customer perspective. We went live with our Lakehouse Architecture, a centralized scalable data lake, reusable, enriched data marts. While not always visible externally, this work is essential to our long-term scalability and AI aspirations.

But the big story is how we've created in-house the unified AI platform, which is going to be the center that spans across the entire organization. It allows us to deploy AI agents quickly without building custom interfaces between systems. The platform brings together enterprise search, document extraction, voice-based agents, and a full AI development lifecycle. It supports multi-foundational and open models, and includes a unified evaluation model for strong governance, compliance and security. We have an independent unit in the risk team that adds a second-line safeguard. The key components include the Model Context Protocol, the Agentic Studio and Agentic Mesh. This will enable us to deploy AI agents to scale, placing us amongst the small group of Indian and global banks with such advanced in-house capabilities. We already have 5 use cases in production and 14 more in development, improving turnaround times, first-time right outcomes, and freeing mid-office and back-office capacity for customer-facing roles.

The above leadership position will enable us to harness efficiencies across the organization and will be a key driver to enhance return on asset over the next 1, 2, 3 years. The guiding principle is return on assets, loan growth and deposit growth, and quality of the balance sheet from a risk standpoint. All of it should culminate in a consistent EPS growth.

Let me also take on the subject matter relating to some of the matters that we witnessed during the quarter, including the resignation of the former part-time Chairman and the Dubai branch-related matter. I and the members of the Board did provide statements post the 18th March 2026 event. The Government of India, the Reserve Bank of India and SEBI came out with statements in favor of the bank. The legal review, which is what we had committed at the time when we went to the press, is in process. As and when this happens, we shall provide a summary of the same. The audited financial statements of the bank for the year ended March '26 carry notes, which are self-explanatory.

On the Dubai branch-related matter, the same has been covered in the notes to accounts as well. There is also an NCDRC order, which came out on the 23rd of March, which highlights that the complainants are not retail in nature or are not uninformed investors, and they had a clear intent to pursue high-yield, high-risk investment products. So we do not have anything incremental other than the above.

So we would like to pause out here and probably take on questions from here. Thank you.

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Classification - Internal Srinivasan Vaidyanathan: Thank you, Sashi. Nirav, with that, we can open it up for questions, please.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Mahrukh Adajania from Tara Capital Partners. Please go ahead.

Mahrukh Adajania: Hi. I just have a few questions. Firstly, in terms of growth next year, what would be the key drivers? So first of all, where do you see your growth? You said possibly above sector. So what could that be? What range could that be? And then corporate growth has been a good driver, I guess, for everyone for the fourth quarter, and that's partly to do with yields as well. So do you see corporate growth sustaining? Or do you see

retail growth picking up from these levels? So that's my question.

Kaizad Bharucha: So Mahrukh, Kaizad here. If I got your question as to what would be the growth drivers. First, on the corporate side, I think you would have seen in our release the increase that we have done over the previous year. We do see this sustaining as there has been demand. Of course, we will have to temper it given the fallout of what we see in the geopolitical area, which hopefully should not be more than a couple of months going into this financial year. But we do see an opportunity in corporate across sectors, in electronics, food processing, auto, auto ancillaries, the renewable sector and the semiconductors. Also, it opens up, as you well know and aware of, the different opportunities which are now available from an acquisition financing point of view, including what was already there for project finance and supply chain. So we see the corporate sector, the emerging corporates and corporates holding up in the year ahead.

Coming to your point on retail growth, Mahrukh, if you really see our retail growth has certainly stepped up from where we were last year. And we have seen a better step-up if you've followed our results in the last 3 quarters. And this step-up has been there across our wheels business as well as on the personal loan, business loan side.

To add to that, we've also seen consistent holding of demand on the mortgage book, and that has also performed well. So we've seen a growth overall, if you look at it or if you look at the balance sheet, we've been about 53%, 54% in the retail and the balance coming out of wholesale.

Mahrukh Adajania: Got it. So what kind of growth trajectory should we look at for FY27? Because I guess the earlier guidance was of above sector growth, but the sector growth has also moved up substantially?

Kaizad Bharucha: Yes. So Mahrukh, if you really see, our loan growth last year was 5%, and our loan growth this year is 12%, right? So I think we will continue to have a good momentum and trajectory in our growth. But you have to keep in mind what the geopolitical situation and that fallout is going to be. But we are confident that we see the positivity continuing. We've not seen any alarm bells go up as yet. And therefore, we will continue to focus on all these areas that I covered earlier.

Moderator: Next question is from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: So firstly, congrats on a good quarter in a very challenging environment. So my question is like 2 questions. Firstly, on the deposits. So how do you look at the deposit market share? We have done very well in this quarter but if I look at it in context of how the system itself has done, we have seen a very sharp pickup in the deposit accretion for the system overall.

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Classification - Internal So how do you kind of look at the market share that HDFC Bank has been able to garner this quarter in context of system number? And any color if you can also share on what has driven this huge surge in the business numbers over the last fortnight?

Srinivasan Vaidyanathan: Okay. Let me take that, if that's okay. See, if you look at the quarter, the INR 2.45 lakh crores of deposits that came in, typically, you see that the market is pretty active and accretes maximum, almost more than half, close to half or slightly above half of what the year accretes in the last quarter. In this year, it's no exception. If anything, it has been more squeezed towards the last month of the quarter rather than the full quarter because January was still tight all across. Somewhere from latter part of February to March, it has been quite easy and liquid and the possibility of deposit gathering is there. So that's one. There's a market tailwind that is there. I think the system growth as we saw somewhere

reported a couple of days ago was about at an aggregate level, 11.5% or so system type of growth.

Now when you look at the composition of the deposits between retail and wholesale, there is some level of wholesale deposits that come in March quarter naturally because of relationships as well as how the corporates manage their balance sheets towards the end of their financial year. And you'll see that the average of the retail versus wholesale is about a percentage point or 2 different in this quarter, which in our earnings deck, you will notice that it is 82% against 84% or something, 82%, 83% against 84%. So retail, I'm talking about retail. So retail continues to power and stays ahead of the 80% mark. And within that, when we look at the composition of the deposits between the core retail, when I say core retail, I mean the higher ticket size, NRIs or certain other institutions that are managed through the branches and so on. when you look at it, the core retail is faster and

almost close to the total despite there is a good power coming from the wholesale business, but core retail is also almost at that level. So we feel quite enthused by the relationship managers gathering and engaging to get these things done. So we are quite positioned for continued growth on this area.

Nitin Aggarwal: Right. And Srini, like also the other part of the question is like any color if you can share on the - what has driven this huge surge in the business numbers over the last fortnight of the year? I mean this time, the setup is exceptionally strong across the system?

Srinivasan Vaidyanathan: Yes. If you look at it, the liquidity, you look at the system, what kind of funds that have been available in the system, I think the last time we did quite a significant volume was like INR 1,75,000 crores or INR 1,80,000 crores or something like that. And this year, given that we have added much more customers and much more distribution strength and more stronger corporate relationships because we've been lending this year. Remember that we have grown corporate loans by 13%. So we get higher levels of share from each one of them.

Moderator: Next question is from the line of Kunal Shah from Citigroup.

Kunal Shah: So firstly, again, touching upon on the growth side. So, we indicated like we will try to grow in line with the industry average, but we are seeing industry average being upwards of 15%, we are still at 12%. So we have been below it. And next year, would we retain the guidance of growing

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And on the deposits, how much of this is transitory in nature? And how much of this it can sustain?

Because last year, we indicated that we will more focus on the sustainable deposits even during the period end. So I just want to get the sense because the difference between the end of period and average deposit is quite high during this quarter?

Sashidhar Jagdishan: Okay. Let me take one by one. The first one is on the growth in the system. At least if you see through large part of FY26, the nominal GDP growth expected was somewhere around the 9%, 9.5%, so one consensus until the large part of the year was a system credit growth of around 10.5% to 11.5%. This is what we had expected, and we calibrated our strategies and our growth in line with that, and that is why we grew at 12%. The system, you have said 16% or 15%. But actually, when you compare the period-end numbers as of 31st March, which is published by the Reserve Bank of India and you make the math, it comes to somewhere around 13.5% to 13.9%. That's the system growth. Obviously, it has been faster. It is something that we have to navigate, but it's not

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too far away from the momentum we have seen from a 5.4% growth in FY25 to a 12% growth.

So, I think as Kaizad was mentioning, we are very well positioned to continue that kind of a momentum in a manner that we do responsible growth. And we don't want to overstretch beyond what could potentially have some landmines in the future. So that's the reason -- because of this dichotomy in terms of the growth being slightly more than what one expected in relation to the nominal GDP growth. I think we would like to sort of just leave it at that to say that our trajectory is in the right direction and we will do what is appropriate from our risk and reward perspective.

So that's part one.

Part two, on the deposits. Let me first take the granularity of deposits. The retail has always been, as a proportion of total deposits has been about 80% to 85% of the total bank's deposits. You have three significant verticals where we have a lot of close relationship whether it's corporate banking or whether it is the capital markets segment as well.

Now let's talk about the 80%, 85% which is the retail segment. You know within that, there is definitely a focus on trying to see how we can garner more granular time deposits. If you see, as I mentioned in my opening remarks, the granularity of the deposits has stepped up significantly. In fact, the less than INR 3 crore deposits have grown, which has been mobilized in 2026 on a net basis, has grown up almost about 74% over the net incremental deposits for FY25 on that less than INR 3 crore bucket. So what constituted 31% of the total net accretion in FY25 now constitutes 47%. It's a very significant number because these are all very less volatile and very sustainable and that is something that we are emphasizing as we move ahead and this particular number should go up even in future.

Kunal Shah: 47% is less than INR 3 crores?

Sashidhar Jagdishan: On the time deposits.

Kunal Shah: On incremental?

Sashidhar Jagdishan: Of the incremental.

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Classification - Internal Kunal Shah: Got it.

Sashidhar Jagdishan: So if we have mobilized INR 3.9 2.7 lakh crores for the full year, 47% is that. Now in terms of the volatile or the high frequency deposits, it's quite natural when you have corporate as a significant part of a corporate and capital markets, which contribute 55% or 53% of the balance sheet, you will have large relationships which you need to patronize. And that aspect of the 15% of the total deposits will be volatile in nature. You will see that moving out and probably coming back during every month end or quarter end as well. But the endeavor is to try and see how on a full year basis, we try and inch upwards the net incremental mobilization and that is what we are all working towards.

Kunal Shah: So that gives the confidence on LCR at 114 %-odd because now we are below 115%. So how would we look at LCR because now LDR is not in focus, but obviously, we would want to manage LCR.

So what range we would want to sustain the LCR?

Srinivasan Vaidyanathan: Kunal, in the past, we have mentioned that our endeavor for LCR is to be between 110% and 120%. We are somewhere in the middle. Last quarter, I think we were about 116%. Now we are 114%. So thereabouts, that's the kind of range at which we intend to operate, to be in the middle. Sometimes it goes higher, sometimes it comes below, but somewhere in the middle is where we endeavor.

Kunal Shah: Got it. Thank you.

Moderator: Thank you. Next question is from the line of Pranav from Bernstein. Please go ahead.

Pranav: Thanks for taking my questions. My first question, Srin, is more on the guidance. I think if I heard you right, you said LDR is no longer kind of relevant or a constraint. And I also heard you saying that loan growth, you would rather focus on improving momentum rather than benchmarking the

system? So is there one metric that you use internally to assess performance, which kind of captures some of these pushes and pulls you have on the different metrics that would also be helpful, I guess, for investors to track performance? That's the first question. And second question is on your NIMs? The borrowings have come off almost 11% year-on-year, but the NIM trajectory is broadly similar with what some of your peers have reported. So is that something you expected a year back, meaning borrowings come off, but NIM doesn't really get impacted or has something changed in that front? And more importantly, will a reduction in borrowings have a meaningful impact on NIM going forward? Is that the lever that you are thinking about? Those are my two questions?

Srinivasan Vaidyanathan: So let me talk about what you ascribed to the borrowings mix changing. But yes, changing of the borrowings mix is a favorable item where costs that are higher, essentially the spreads that you pay, you can save on that and get to the bottom. However, if you see what has happened, the rate cycle, when you go back about a year, when you were in March, April of last year, the rate reduction cycle has just started in February. And there was no kind of an indication that it would end down 125 basis points in the cycle so far. Rate reduction of 125 basis points was not something that was anticipated last March, last April. And when that happens and a little about 70% of the loans are floating rate and immediately the transmission takes place, deposit as you know is

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Classification - Internal managed. And so, within the deposit, when there is a higher propensity for time deposit, which we have seen, the time deposit rate of growth was 15.5% year-on-year when you see now when the total deposit rate of growth was 14.4%, the time deposit was 15.5%. And so there is a higher propensity towards the time deposit, which is, again, on a relative basis, higher priced than the CASA, of course. And so that is where it is sitting, and it needs to unlock itself both from how the rate cycle plays out as well as how the mix of the deposits change. So essentially, it is morphed from one type of funding, which is borrowing into another type of funding, which also in the funding stack is of a higher order than the CASA. And so that is where it has gone to be and still yet to unlock fully. So that's on the borrowings and where it is.

On the question of the NIM, I think we talked about how to think about NIM. See the policy rate when it started to come down, the assets came down faster and more or less fully there. The deposit has moved. The pricing on the deposit, if you look at the transmission that has happened, it is only about 40 to 50 basis points that has come into that so far. So it's not fully compensated for what the asset pricing has moved down. And as we see now due to the geopolitical situation and uncertainty that is there, the rate cycle is currently paused. If anything, the tendency, at least we are seeing from the securities market, is that the rates have gone up a bit, right? And so, while we don't want to hazard a guess whether the rate reduction cycle is done and it's bottomed and now it's going to start going up, I don't want to hazard. But at least by all indications, looking at the securities market, it seems to be going up. It depends on how the geopolitical situation settles. And so thereby, country's liquidity and borrowing needs, depending on how the oil prices settle, will

determine our trajectory of the NIM. But then more important, I think what Sashi alluded to in his opening remarks is that what we are focused more than on the NIM is on the returns. And when any of those on the NIM that we manage as best as we could, given the market environment, we do have

those levers of enhancing our efficiency, both from an operating side as well as on the credit side to realize. And that is what in the recent time periods you have seen where when the NIM has been in a small range bound minus or plus, the offsets have come from these to keep the returns stable in that range. And the quarter was 1.96, but the year was 1.94, similar to the full year that you saw last year on the return on asset.

Pranav : Understood. See, if I may just ask a follow-up. My question is more on relative. So hypothetically, if, let's say, borrowings would decline by 75%, right? So let's say, your borrowings just come off to 6% or 7% of liabilities today, do you think NIM will improve very significantly?

Srinivasan Vaidyanathan: Yes. If all else remaining same, that means no other factors play in, borrowing percentage coming down will change the NIM trajectory upwards and all else on the other side also remaining same will boost the returns.

Pranav: Okay. Got it. On the first question on the metric, I think I heard you say that you focus more on returns rather than just NIM. So is some version of PPOP the metric that would be appropriate? So what would be the best metric then?

Srinivasan Vaidyanathan: ROA is what we should focus on. PPOP is an intermediate, right? I mean you take higher risk and take it in the top line, you give it away in the credit cost below the PPOP. But PPOP doesn't determine what returns you can get. So, we focus on the return on asset.

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Classification - Internal Pranav: Okay. But that doesn't capture growth, right?

Srinivasan Vaidyanathan: Yes, profit growth and returns. Top line growth and returns

Sashidhar Jagdishan: Which culminate in EPS.

Srinivasan Vaidyanathan: EPS, that's what we already do.

Pranav: Understood. Thank you, sir. Thank you. That's helpful.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you. Next question is from the line of Seshadri Sen from Emkay Global. Seshadri, can I request you to unmute your line and proceed with your question?

Seshadri Sen: Thank you for the opportunity. Two questions. One is, I was hearing Sashi with interest in terms of the investments that are being made in the last 5 years. Are we now entering a cycle where the cost-to-income ratio has peaked and we can expect significant benefits to come through?

I know part of it will come from revenue growth itself because loan growth is bouncing back. This should be a better year for margins, etcetera. But on the opex side, is there a possibility that the overall opex could slow down from here because a large part of these investments that you made are done? Or do you think this is an ongoing process and there's not too many levers?

Srinivasan Vaidyanathan: Yes. Seshadri, if you look at the cost growth that we have, we have seen that at a level almost at, call it, 6.5%, 7% or so is the full year, right? Quarter-to-quarter variations happen, but full year, call it, 6.5%, 7% rate of growth is lower than the top line growth, and you're seeing that benefit coming in. Having said that, the cost-to-income is a relative ratio, as you know, as you also just alluded to, even the top line moves faster, you get that relative ratio. But more important is also to look at cost to assets. Cost to assets is at about 1.9 or so. We do think that the cost to asset at 1.9 is best-in-class. But however, we do see that there is an opportunity space even in that aspect of it due to various technology implementations.

Sashidhar Jagdishan: Which is what I mentioned, Seshadri, that if we just focus on the investments that we have made in technology and implement them across the organization, you should see operating leverage kicking in and enhancing your ROAs.

Seshadri Sen: Thanks. The second question is on retail loan growth. You've done well in terms

of recovering the

overall loan growth, but retail still I think it's in the single digits. I think it has some upside for a franchise like yours. Going forward, what would be the levers to accelerate retail loan growth, which products, which channels, more harvesting of cross-selling within your existing customer base? Should we expect some forward momentum in that part of the business in the coming FY27 early in the year? And would it be back-ended or front-ended?

Kaizad Bharucha: So I think I did cover it in my opening response to Mahrukh. We have seen good traction across our products in wheels, personal loans as well as in the mortgages space over the last 3 quarters sequentially. And in terms of levers today, if I just take mortgages, we were doing mortgages earlier out of about 6,800 locations. We are now covering mortgages from more than 7,800

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So, if you look at our physical distribution of branches, if you look at the better penetration and utilization of our digital channels as well as you look at the increasing acquisition that we have in what we call our pre -approved base because we have the history of the client because of the salary relationship , has obviously created the momentum without going down the asset quality ladder.

Yes. And okay, I'm being prompted by Sashi on a very important metric. We have seen our disbursements go up quarter -on-quarter, which is another parameter on the retail space. And you do know that on the mortgages side, I do believe that we would be amongst the top two with hardly a gap in terms of the quarterly disbursements that we have been doing. In the auto loan space, we have grown well. We continue to be market leaders, and we have the largest engagement with all the OEMs as well as their dealer base, which acts as the real feeder for the retail loans.

So, between the physical channels, between the digital channels, between the customer acquisitions and across the set of our core retail products, we do see that growing well. We also see ourselves doing well in a product that we have launched over the last year and has come up very well, has been our gold loan business. We've built a good quality book out over there, and I do see that also continuing to contribute.

The last lever I may touch upon to give you a sense, has been on our SME business. We have been market leaders in our SME business. And today, we are number one in the country on the entire SME space —or MSME space. And to give you some granularity, we are number one in 15 out of 28 states, and we are in the top two in 25 out of the 28 states in MSME.

If you also see the pack, which my colleagues have put out, we have grown our business banking, which is mainly representative of our MSME, we've grown at about 20% year -on-year, and that will continue to also be in that range of 18% to 20%, 21%, depending upon, obviously, some of the developments in the economy. So that should give you, I hope, a good sense of what will be the levers on our consumer bank and the channels through which we will get in.

Sashidhar Jagdishan: Can you talk about the merger synergies as well

Kaizad Bharucha : That wasn't the question, but I'm happy

to cover it. So, another aspect just to leave on the consumer side and the mortgage business as well as some of the benefits that have accrued over the last couple of years from this business that we acquired. So let me touch on a few of the levers, and I'm sure separately, we could give you more color otherwise.

So, from the book we inherited, we had roughly a penetration on the liability side, which was about 36% share. So, 36% of the people who had home loans with e-HDFC had their liabilities with us.

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Classification - Internal

Classification - Internal Net of attritions, net of acquisitions over this journey, this 36% has come as high as 50% within the last 2.5 years. And that tells you the liability franchise that we've got.

As we had mentioned in our calls earlier in October and January, happy to update you that we continue to have 98% of all home loans that we disburse , our customers opening a liability account with us. And therefore, you've seen the shift move from 36% to 49%, 50% of stock as we sit on today. More importantly, more than the 50% stock that we sit on , today approximately a little over 60% to 65% of that stock pays their EMI through my own account and which tells you the synergy which a home loan and a liability bring from a value accretion perspective as well as from a risk perspective.

The second thing out over there would be apart from the actual CASA balances that have grown. And at that point in time, we roughly had about INR 50,000 crores value of the CASA balances. We have today grown that to INR 86,000 crores. So that's been the growth in the 2.5 years, not only in the numbers , in terms of the engagement of the CASA accounts, mainly S A, but also of the value accretion that has happened.

A thing I had mentioned in the past, which had come up and that continues to hold good as the book matures, as the engagement matures, that the average balances that we see of customers that keep their liability with us who have their home loan goes up 2 x to 2.25x compared to the standard average balances that would otherwise be witnessed in the banks.

Apart from that, finally, there is what we call the cross -sell thali internally, which consists of a

host of products, which whilst not limited to indicatively are the cross -sell that we do on the credit cards business to this portfolio, the insurance policies that they take to insure their homes, the wealth accounts that we open as well as engagement on our digital properties, including the SmartWealth and the PayZapp accounts or the PayZapp gateway of our wallet that they use. So, the engagement is all around. And today, nearly 23% of our home loan customers on stock have our credit cards, which are active. So I hope that rounds up, Sashi, as you were mentioning, a flavor of how this has grown and in the manner it has grown and the way it will continue. Sashidhar Jagdishan: Thank you, Kaizad. That's extremely important as to what we are looking at from a mortgage book perspective. It's not just the book, but the kind of primary relationship that we are all focusing on, and that's going to really be a large sustainable franchise over a long run and quality. Kaizad Bharucha : We have the lowest NPA percentages as we understand in the industry on a book of our size on the home loan book.

Moderator: Next question is from the line of Rikin Shah from IIFL Capital. Please go ahead.

Rikin Shah: So, I had three questions. The first one is on the yield on investments. So this number is down about 60 basis points in the last two quarters and the overall yields have gone up. So why is the interest income on investment yields going down? So that's one. Second, if you could just highlight what's the cost of deposit? And what is the residual repricing, if any, remaining from the current levels? And thirdly, it's on the treasury gains.

So similarly , there
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Classification - Internal seems to be no impact on the treasury gains or FX despite the yield movements and the RBI move. So how should we think about it as we move into the next year on these particular two points?

Thank you.

Srinivasan Vaidyanathan: Okay. One thing that you touched upon is about the investment yield. Investment yields have been coming down, as you know, until the geopolitical risk started to increase, right, at which time it started to go up. So, it's an effect of what some of the maturing book that goes out and what the new book comes in is one aspect of it. And the second one is in terms of how the yield spike is now, and you will not see that because given the size of the book, when you pick up a new security at this new yield, it's a drop in the ocean, right? It will take time to bring it in. So all you are seeing is the effect of the previous rate cycle moving in.

Rikin Shah: Srin, If I can, even though the geopolitics, the 10 -year G -Sec were decisively moving up, right, in the last 6 months specifically, but the book yields have kept going down. So just wondering what's the missing part here?

Srinivasan Vaidyanathan: See, Rikin, I do want you to realize that you should appreciate that there is something called duration. And in the rate cycle, up or down, treasury manages the book they want to do. There are certain duration aspects, which is previously 5 -plus years of a duration goes to 4 -plus something. So you come on the curve different parts and different cycles. That's one. And second thing is that you don't instantly see , if you look at what the last 2 quarters of rate that has changed. And if you look at the 2 quarters of accretion of investments, you will not see , that it's going to be a fraction of the total book that you are seeing. And then the way you need to look at it is the movement. What is the security that is moving out , that means maturing or participating in OMOs that move out, and what is the security that is coming in. And so that's the in and out. That's a different equation. It's not a simple equation of what you see on the screen of the current yield that you are seeing.

Rikin Shah: Yes, fair enough. And on the other two questions sir?

Srinivasan Vaidyanathan: The other one you talked about the cost of funds, I think we published the cost of funds, which is about 4.4% or so, marginally come down. And then from last year to this year, I think so far, it has come down by 50 basis points or so. And cost of deposits is part of a component of that and very similarly, it moves down in line with that.

Rikin Shah: But the residual repricing, if any, any comments on that? Or are we already at the bottom in terms of the cost of funds?

Srinivasan Vaidyanathan: Residual repricing , if everything else remains the same, there will be further reduction coming on the residual because the time deposit takes 5, 6 quarters or so to go. And so some residual, again, remains to be seen in terms of the preferences for what type of deposits coming. Yes, all else remaining same, there is a tendency for the repricing to factor in more.

Rikin Shah: Got it, sir. And so the last question on the treasury and FX, any comments, if any, there seems to be no negative impact in this quarter. So how do we think about it going ahead ?

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Classification - Internal Srinivasan Vaidyanathan: There is some negative impact. If you see that the rate of growth on the treasury income is modest.

And the reason for that being modest is that , I'm talking about the FX component of the treasury. It's modest because there is a volume impact. So due to various risks on the foreign exchange trade, there have been lower volumes and lower spreads too. And

also there is some impact of the unwinding that is also there, yes.

Rikin Shah: Got it. Thank you, sir .

Srinivasan Vaidyanathan: Thank you.

Moderator: Next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Hi, good evening. Thanks for taking my question. So I had a question on the third -party distribution fee. Actually, if I look at it on a full year basis, the growth has been hardly 3.5%. And this is lagging the overall customer growth. This is also , when you compare it to the retail asset, retail liability fee growth, this is lagging quite a bit. So what is really leading to this? Is it just a slowdown or cross -sell has become more difficult or refocusing on some products? What's really leading to this lower growth in this line? That's point number , question number one, sorry.

The other one is on margins. So you said that there's some repricing of TDs left, which should be positive. But on the other side, the loan mix is gradually changing more towards corporate. How should we look at margins from here for, let's say, the next year? Does it trend down? Or does it flatten out?

Srinivasan Vaidyanathan: Again, I'll first take the third -party products. Yes, the third -party products revenue growth has been modest. Both of those components, which is the volume growth, has also been modest. It's positive, but modest given that , whatever preferences the customers have. I think last year was somewhat , there was a good amount of spike that we saw as we entered into the fourth quarter FY 25. And so there's some volume kind of tepidness that we have seen.

The second thing is in terms of spreads. That is the mix of products that determine the spreads has also impacted. So we have seen that the earnings , that means our earnings on the third -party commission is also subject to mix of products that get taken. And so there was a mix also had an unfavorable impact. So that means lower realization of income there. That's the reason for the contribution.

Abhishek Murarka: So Srin, on the mix, so lower life sales, is it? And is that like temporary? Or is some change in process or something which has led to it or is it just coincidental and nothing really to read into it? How do we look at it?

Srinivasan Vaidyanathan: Nothing really to read into it. It's just a question of our RMs are engaged as much as they are engaged today versus they were engaged last year. It's a function of what the preference is. And that is why you saw even the product preferences somewhat different. So it's a question of how we get on more customers and spread it around to be much more penetrated. We still have only a mid - single -digit penetration in our base. And so the opportunity space continues to be there. Enormous opportunity space continues to be there.

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Classification - Internal Again, you talked about the NIM, which is the second part of the question. Again, just to repeat, right, the transmission has happened on the assets and the mix of assets can impact depending on what it is. The cost of funds , while time deposit repricing can continue to be there. Again, it depends on the rate cycle, what happens. You see that there's a stiffness in the rates across, right? For the last, I think, at least 4 months, we have not seen a time deposit rate change in the market, right? And we are fairly priced with the competition. And we're not seeing since 4 months any kind of a change that has happened . Which again, as one would give some time for change, you have seen that there are other things in the month of March , the geopolitical things that come about that has hardened the rates again. So it remains to be seen, but it's range bound is what I would say, but focus more on the returns because if this becomes kind of where it continues to be within a small

range bound , then we work towards getting returns to be stable to going up through other levers.

Abhishek Murarka: Got it. Thank you and all the best .

Moderator: Ladies and gentlemen, we will take that as the last question as we have come to the end of the time allotted for the call. I would now like to hand the conference over to Mr. Vaidyanathan for closing comments.

Srinivasan Vaidyanathan: Thank you. Thank you all for participating today. We are closing at the appointed time, which is 5:00 p.m. because we have another meeting scheduled soon after this. If there are any more questions, comments to be provided, please feel free to contact our Investor Relations team. We'll be happy to engage with you over the next few days, weeks, whatever it takes. Thank you. Have a

great weekend. Bye -bye.

Moderator: Thank you very much. On behalf of HDFC Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2026

Regd. Office: HDFC Bank Limited, HDFC Bank House, Senapati Bapat Marg, Lower Parel (West), Mumbai – 400 013

Ref. No. SE/202 6-27/77

July 24, 2026

BSE Limited National Stock Exchange of India Limited
Dept of Corporate Services The Listing Department
Phiroze Jeejeebhoy Towers, Exchange Plaza
Dalal Street, Fort, Bandra Kurla Complex,
Mumbai 400 001 Mumbai 400 051
Scrip code: 500180 Scrip code: HDFCBANK

Dear Sir/Madam,

Sub: Transcript of Earnings Call in relation to the unaudited standalone and consolidated financial results of the HDFC Bank Limited ("the Bank") for the quarter ended June 30 , 202 6

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on Saturday, July 18, 202 6 with respect to the unaudited standalone and consolidated financial results of the Bank for the quarter ended June 30 , 202 6, has been made available on the website of the Bank at the below link:

<https://www.hdfc.bank.in/about-us/investor-relations>

A copy of the transcript is also annexed herewith.

This is for your information and appropriate dissemination.

Thank you.

Yours faithfully,
For HDFC Bank Limited

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"HDFC Bank Limited
Q1 FY27 Earnings Conference Call"
July 18, 2026

MANAGEMENT : MR. SASHIDHAR JAGDISHAN – MANAGING DIRECTOR

AND CHIEF EXECUTIVE OFFICER – HDFC BANK LIMITED
M R. KAIZAD BHARUCHA – DEPUTY MANAGING
DIRECTOR – HDFC BANK LIMITED
M R. SRINIVASAN VAIDYANATHAN – CHIEF FINANCIAL
OFFICER – HDFC BANK LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to HDFC Bank Limited Q1 FY27 Earnings Conference Call on the financial results presented by the management of HDFC Bank. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Vaidyanathan, Chief Financial Officer, HDFC Bank. Thank you and over to Mr. Vaidyanathan.

Srinivasan Vaidyanathan: Thank you, Neerav. Good evening and a warm welcome to all the participants. We have today with us our CEO, Sashi Jagdishan, and our Deputy MD, Kaizad Bharucha. I'll hand off the call to Sashi and then we can take it forward from there.

Sashidhar Jagdishan: Thank you, Srini, and thank you all for joining in on this investor call for the Q1 results for FY27. As you know, we navigated during this period certain challenges over the last four months. Our people have kept steadfast focus on customer needs and further built the franchise. It's been a very tough period, but I really am proud of them and thank you to each one of them who really stood behind in continuing the strength and resilience of the institution.

I also sincerely thank the board for their guidance and more so Keki Mistry for chairing as the Interim Chairman during this period. I also heartily welcome our new Chairman, Rajiv Kumar. We look forward to taking the franchise to the next growth stage. With the appointment of Mr. Rajiv Kumar, there is a sense of stability and a clear signal to minimize uncertainties in a very short time period.

Coming to some of the accomplishments in Q1, the deposit growth continues to be relatively better than the historical Q1 trends. We continue to gain market share both on an incremental basis and on a stock basis as well. Our productivity at the branch continues to move up and we realize benefits of the investments that we've done over the last five, six years.

Advances, as we had envisioned a while ago, I think we are on the verge of pressing the pedal. As you have seen, the advances have done very well over the last three, four quarters and that trajectory continues. We are focusing on certain customer segments to manage more longer-term opportunities.

Our focus now, as I may have mentioned in the past and also in our annual report, we are trying to take customer service to a different level, especially in focusing on the turnaround time of product and service offerings. We're now measuring it at a more granular level across the length and breadth of the country. We are reimagining our digital journeys analytics so that we are able to have a new levels of adoption. That should sort of bring in fair amount of efficiencies in the quarters to come.

As regards environment, we see our policy responses have been very timely and effective. There is a very healthy credit demand that we are seeing in the system as we speak. We believe that the FCNR policy window that has been offered to the banking system is a great opportunity and we are focusing on that. We've spent a large part of the month of June in completing the documentation

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and approvals necessary from our side and also from the counterparty banks across various jurisdictions. The ECLGS scheme 5.0 is also a very good opportunity and you will see a fair amount of growth that we will pick up in the mid-market segment.

Competition has been very intense, both on the corporate side where the spreads continue to be very thin and we have been rather selective, but we are also looking at a holistic primary relationship engagement. The deposits rates on

the granular side has been reasonably stable, but on the non-granular side, I think rates have continued to remain elevated.

This quarter, you may see some amount of mix change in terms of more non-retail shorter-term asset mix, the cost of funds moderation, these are all elements which I believe are just tactically being managed. Fundamentally, the franchise continues to be extremely strong and we will be

stepping up the multiple product offerings and one customer view and you will see the changes happening in the quarters to come.

Productivity is a very key focus and you would see the outcomes of the efficiencies from our focus on digital adoption, the process re-engineering, the kind of customer focus by the senior supervisory architecture which will ensure that we are able to turn around the delivery times much shorter than what we have ever enjoyed and what the best-in-class market is offering today. We have provided a fair amount of tools for deeper customer engagement as I did allude in terms of technology. We are on the cusp of harnessing some of the GenAI technologies on our processes and we do have a fair amount of lighthouse programs that will go into production during the course of the year. Obviously, all of us realize that security is going to be an extremely important part of our strategy and we are focusing on seeing how we can leverage on AI to augment our defence mechanisms as well.

Of course, there are risks in the horizon in terms of the weather-related disruptions like El Nino and also the geopolitical situation in West Asia. But I think the country has weathered these reasonably well. I think we continue to remain very sanguine. We are prepared for as the country and hence as a company in terms of weathering any such challenges in the near future.

I once again thank everyone for a wonderful performance despite a lot of challenges that have happened over these several months. I think good times are here to come and we stay committed towards customer and other stakeholders in terms of what HDFC Bank has always been to all these stakeholders over these last 30 years.

Thank you so much and over to Srin.

Srinivasan Vaidyanathan: Thank you, Sashi. Neerav, with that, let's open up the line for questions. We go straight into the questions relating to the earnings of the quarter. Please go ahead.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Mahrukh Adajania from Tara Capital Partners. Please go ahead.

Mahrukh Adajania: Yes, hi, good evening. My first question is on margins. Do you think margins have bottomed out now? That's my first question. And, what are the headwinds or tailwinds for margins? How would HDFC Bank Limited

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the FCNR mobilization impact them? So that's my first question. And my second question is that HDFC Bank does require one more ED, right? So when will we hear of that appointment?

Srinivasan Vaidyanathan: Okay, first probably I'll take the first part of the question, how to think about the margin. There are two aspects as you know, one, the cost of funds is the biggest opportunity on the margin where compared to our historical norms as well as compared to what we have seen in the industry as such, there can be 40, 50 basis points change, but it is not going to change in a hurry.

And the elements of that is one is the liquidity, country's liquidity scenario needs to be slightly different than where it is. For example, even in the recent quarter, the average liquidity in the system was about 2.08 trillion. However, the peak was 5.5 trillion and the trough was a negative 0.43 trillion. So there's a big difference between the peak and the trough and on an average it is 2.08. We need that standard deviation to that average to be minimal so then there could be an active market where the rates can stabilize well. And that's part of wha

t the policy is also envisaged

and you've seen that FCNR or the swap window and all of that is in the direction to ensure that there's adequate flows and there is a stabilization of the rates there.

So it depends on that and that's what determines both the deposit cost, particularly the non-retail deposit cost. The retail deposit costs, us as well as various players in the industry, have been circumspect and have been steady there. But the non-retail deposit costs have been elevated.

And similarly, the borrowing mix has not come off yet. We still remain at about 11%. That continues to be a space that we keep watching, but again it doesn't change in the short term and doesn't change in a hurry. CASA mix again, we've been relentlessly following up on the CASA. I mean on a quarter-to-quarter basis we can't see and we don't judge, but on a yearly basis for the year that went by, for example, March 26, for which data got published across the industry, while we grew between 9.5% - 10% or so, we still gained market share on that, right, on that front. And so we do envisage and we are positioned with our distribution and customer addition to get that, but again that is a journey and not a shorter-term impact. So that remains on that. On the asset yield, asset yield is a function of whether if you ask me whether the margins have bottomed out for the year we can talk about. Quarter-to-quarter we cannot and we don't manage for the shorter term. The reason is there are timing in the year through which various types of loans get booked and so we have to wait for the year to see, but we do think that on a full-year basis, we are well positioned with our reach and with our customer selection to be better.

Sashidhar Jagdishan: As regards the second question that you asked about, enhancing the number of the Whole-Time Directors on the Board. Yes, there are several milestones which the Board is seized of, including, with the appointment of the new Chairman, from a new part-time Chairman. Some of which all of

you know. I think a fair amount of action will be visible in a short time period and I would like you to sort of wait for the same.

Mahrukh Adajania: Okay, thank you very much. Thanks.

Moderator: Thank you. Next question is from the line of Pranav Gundlapalle from Bernstein. Please go ahead.

Pranav Gundlapalle: Hi, good afternoon. Thanks for taking my question. Question is largely on the branch network where we had a big boost in FY22, '23. Do you think all the branches that were added in that period

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are scaling up the way or have scaled up the way you would have initially expected? And the related question is on the SA market shares, which have been -- the incremental market shares have been largely flatlined despite the branch additions. So what should change for us to once again start seeing meaningful gains in SA market share?

Srinivasan Vaidyanathan: Yes. I'll first talk about the branch as such, right, from a branch vintage model. Yes, about close to 40% of the branches are less than 5 years and yes, those time period that you mentioned, we did make a significant addition to branches. If you look at the per branch metrics, we are about INR 330 crores per branch currently. And if you go back to the FY'23 time period, we were INR 266 crores per branch. And if you go back even further, right, it's less than INR200 crores. So the point is the branch addition at an aggregate level, the early vintages are performing to the legacy branch vintages and the legacy branch vintages are also progressing towards what a 10-plus years and a 15-years plus years will do, which is what is demonstrated in the average per branch when you see it INR330 crores per branch is extremely productive and one of the best in class in the industry on a per branch basis. So, the branches are behaving according to the model that is envisaged. One thing I want to m

ention is that while it's very important that the branches are the key arm to get the deposits in, branches are a very significant part of how we grow part of the retail assets and the small and medium enterprises loans, SME loans. The wholesale and the top corporate mid-corporate loans get centrally managed through various relationships, but branch level is where all the other segments operate and the growth that you see there, these branches do deliver all of those things, right? I just want to leave the thought there.

And in terms of the SA, the savings account that you mentioned, one thing that if you look at the household deposit growth in the country as such, when you're looking at the data that gets published by RBI across various categories, segmentation of deposits, household deposit growth is one of the lowest among various, right? When you look at the corporates, when you look at the government and institutions and when you look at the households, the household deposit growth is one of the lowest. That doesn't mean that that's how it's supposed to be, that's it's going through that phase of how it's remaining in the single digit. And the way we have approached to address this is there will be only certain level of savings accounts anybody will have. And that is why the distribution reach and addition of the customers is about increasing the unit and so thereby the unit value can marginally go up. We need the unit. So, this is about the unit economics that we need to drive and at the same time as we drive the unit economics, we are today little more than 100 million customers, and as we drive the unit economics, keep the cost in check and under control on efficiency so that we scale this. That's what is happening, the scaling is happening with unit economics slightly moving. Because we are not counting on the household deposit growth to go from 8%, 9% to a 15%. That may happen, may not happen, but that's not our approach. Our approach is to increase the units to get that benefit. Sashi, you can add.

Pranav Gundlapalle: Srin, if I can just follow up, like my question was largely on the relative basis. So you obviously had a very, very high productivity to start with, but if you see it relative to the system, it's actually come off a bit in the last three years. Same with, you know, deposit growth, SA growth, etcetera. You had a very big delta with the system with the peers. That seems to be narrowing.

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So, some color on what has changed. Like are you adding the same number of accounts? Is it balances that are coming off? Some color there that will reassure that you'll eventually get back to industry-leading growth.

Sashidhar Jagdishan: So, Pranav, thank you for that. I mean, number one is you yourself alluded the fact that we've had a fair amount of investment in distribution over these five years. So our denominator has a fair amount of branches which will start to, you know, generate more and more customers and hence balances as we start to move into the 0 to 5, 5 to 10, 10 to 15 vintage of these investments that will happen. And you have seen in the in our presentations how the economics work for different vintage branches. Number two is despite that, the productivity may have come down relatively,

but it's still one of the best in class in the industry. The second part of it is, as Srini was saying, it is a fact that in the last couple of years or more so three years, the industry and the system were also plagued with a fair amount of number of accounts which were not necessarily behaving in an orderly manner. And what I meant by that is you did see a fair amount of fraudsters using accounts as mules and that sort of started to increase in the banking system significantly. We needed to, you know, we use a fair amount of our algorithms and rule engines to try and see how we can bring in some amount of quality ac

quisitions over the periods of FY24, '25 and '26. I think these are the three or '25, '26, which is what we did and that was pretty much reflected in the slowdown in the new acquisitions because we were gearing ourselves to the new realm of better quality acquisitions. As we now move forward, you will and one should see a step up in as what Srini calls it unit economics in terms of the numbers moving up at the quality and the kind of diligence that one would necessarily need in this kind of an environment, digital environment, and that is what we are trying to do. So, I guess it was a matter of correction to ensure that we put in a guardrails not to bring in unwanted accounts.

I think as we move forward, I think we are reasonably confident that we not only should reach reasonable healthy numbers in terms of annual momentum depending on the capacity of the overall 9,700 branches, but also the quality acquisition value unit value as well. So my hunch tells me that I think you should see reasonably healthy growth over a one, two, three-year period in the savings account as well.

Pranav Gundlapalle: Very clear. Thank you, Srini and Sashi. Thank you.

Moderator: Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes, thanks for taking the question. So firstly on margins, so now we are almost down to 3.4 odd percent. Borrowing has also come off to 11 odd percent and we had highlighted that it can come down to 8, 9, so not much room left out there. Obviously, it's a competitive environment, but with this franchise, where should we eventually see margins settling down because earlier the expectations were much higher, but now it's trailing a bit and what would actually lead to this? What are the levers available for the same? So that's the first question.

Second is when you look at it on the FCNR deposits, last time we were quite active, we mobilized the largest chunk. So if you can just guide in terms of you mentioned like documentation is on, but what is the kind of number which we would look at or maybe the market share in the overall FCNR deposits that we would want to target at this point in time?

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And thirdly on CEO reappointment, if you can just highlight in terms of where the process is because it's now due, so has it been already applied to RBI or would there be announcement from the board in terms of the approval and then we would see the application to the RBI? So, if you can just highlight in terms of the process where we are in terms of the CEO appointment?

Srinivasan Vaidyanathan: Okay, I'll handle the margin then. First is, Kunal, thanks for asking that. One is I do want to mention that the borrowing mix which is at 11%, we don't expect that it will just settle at 8% or 9%, right?

The industry is more like a 5% or a 6%, right? So we do think that the maturity should take care of that to some extent and the overall growth should also take care of it to the balance of the extent because as the growth happens and you don't need to fund only through borrowing, so then the borrowing percentage will dwarf and come down.

Now, that's one. Second thing connected to that you asked is what is the longer-term margin, where does this settle, right? See, the again as I mentioned both from a when you benchmark and see against us and against the peer group and so on, the cost of fund elements that needs to play out are very much intact and those are being...

Moderator: Participants, please stay connected while we check the management connection. Ladies and gentlemen, thank you for your patience. We have the line for the management reconnected. Kunal, may I request you to help serve where the line dropped, please?

Srinivasan Vaidyanathan: Okay. Thank you. Kunal, where did it get dropped?

Kunal Shah: So, you were mentioning that cost of funds benefit is yet to play out, yes.

Sriniv

asan Vaidyanathan: Yes. Cost of funds benefit will play out and it is very much in the works, both in our annual review of plans and as well as our strategic review. It's very much where we envisage and receiving the attention of various verticals to get that, right? Both from a mix of products within the deposits as well as mix of borrowings within that, very much there to get.

On the asset side, the mix of assets is also an important contributor for a longer-term margin. Today we are at a 52% retail mix. At our kind of an experience that we have seen, we were at about 60% or so and we always have thought that India's consumption component of the GDP is at about 60% and that's where we want to be as far as the retail mix is concerned because that's where we will

mirror the economic growth and fortunes in the country so we can be going in tandem with that.

And so, that mix of the asset is also an important contributor on that.

Kaizad Bharucha: As regards the third question that you had on the reappointment of the MD, I can, share with you that the GNRC and Board is fully seized of the matter and that is work in progress and as they arrive at a conclusion, we will certainly make the necessary announcements in that regard.

Sashidhar Jagdishan: And as regards FCNR (B), as I mentioned, even in 2014, the pace started to pick up only in the second month of the announcement. The first month, like in 2014, I think we have spent fair amount of time in the documentation part of it and the approvals both internally and also the respective counterparty banks. And you will see in the month of July, August, September, we have certain milestones. I'm sorry I can't sort of put a number to that in the public domain, but you will

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see a very handsome, or that's the endeavor to ensure that we are reasonably strong and significant market share in the market.

Srinivasan Vaidyanathan: Okay, thank you. Nirav, we can go to next. Thank you, Kunal.

Moderator: Thank you very much. Next question is from the line of Seshadri Sen from Emkay Global. Please go ahead.

Seshadri Sen: Hi, thank you for the opportunity. Can you hear me?

Srinivasan Vaidyanathan: Yes, yes, Seshadri.

Seshadri Sen: Thanks for the opportunity. So, a little bit of a follow-up on Pranav's question on deposits. So am I to understand that this, you know, decline in the CASA ratio is temporary or is a passing phase and as your, customer acquisition engine starts to fire in, we will see a restoration also seeing, you know, the share of wholesale deposits rise albeit not by a large amount, but it's gone up from 17% to 20%. And you're right that does reflect what the RBI has been talking about in change of the composition of deposits. So, being a large bank, do you think that even if the system, you know, continues to gravitate towards wholesale and non-CASA deposits, you'll be able to get back to your earlier ratios once your customer acquisition engine starts to bear fruit?

Sashidhar Jagdishan: Okay, let me let me try and attempt that, Sesh. For a start, the endeavor and our vision is to reach to somewhere near the pre-merger levels or just around the time of the merger, which was around 38.

Srinivasan Vaidyanathan: Post the merger we at we were 38 and before that we were 40.

Sashidhar Jagdishan: And as Srini had alluded, obviously there has been a significant change in the household savings pattern over the last three years more so. So, what are we trying to do? We're trying to see how we can gain more incremental market share on our low-cost funds much more than what we have as as a stock share. That's the first part of it.

Obviously, our appetite to grow is much more, so there is a need to, you know, even grow our time deposits and the result is because if you need to grow, then you would need a certain amount of time deposit growth which invariably over the last couple of yea

rs has been much higher than the

low-cost funds growth rate. So therefore, the CASA ratio has been a little bit on the lower side.

So, the thought process that we have as Srini did mention is that we are probably now after putting in our guardrails in terms of what kind of customers need to come in into the institution from an acquisition perspective, I think we are now ready to press the pedal. I think that is what the entire franchise is driving about and maybe over the next nine months we hope to see a fair amount of change in the acquisition numbers and hence value.

If that sort of really changes the growth rates to be much better than our time deposit growth, I think that will be wonderful. But obviously, you know, world is not so perfect. And having said that also, I mean if you are also 50% of your balance sheet is non-retail which is wholesale, you know, you cannot really ignore that particular franchise as well. We cannot sort of pick and choose

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what we want. We need to ensure that we are there for all the needs of the corporate customer, whether it is for deposits, whether it's for cash management, whether it's for any other type of facility as long as the appetite is there for us. So yes, as I said we we're now not looking at a quarterly measurement. We want to see at the medium to long term.

I think while this quarter it could be a 20% mix in terms of deposits, etcetera, but I guess these things then normalize and in the medium to long term, I think it's been more or less stable, which is what we have seen over the last 10 years. Our focus is going to be on retail because that's where you get the advantage on deposits, on the cost of funds. But at some point, in time from a holistic relationship perspective, even we need to patronize some of the capital markets and also the

corporate segments as well. But be as it may, whilst margin is something that a lot of us have been focusing on, for us there are areas that we want to first, because margin will play out as we move forward. I'm sure assuming all things remaining same from next year there will be the base effect will wear off and how this sort of plays around is not something that I'm necessarily focusing. I need to be in the market, we need to be competitive, but we want to be competitive in such a way that we are able to garner a lot of efficiencies arising out of our enhanced and stepped-up focus on customer service, which will bring down turnaround time and hence will bring down the capacities in the back end which will move to the front end, which will see a fair amount of efficiencies over the next two, three years. This is how we are planning strategically and if in the bargain in the process, the outcome also sort of helps us in getting a better low-cost funds proportion and hence better margins, I think that's kind of a bonus as well. So, we are very focused on three or four things. Customer focus, to the level of obsession, riding on technology, especially in terms of embedding AI in our journeys. Three is trying to ensure that our daily operating rhythm just reduces the turnaround time for product and service delivery.

Four is stepping up and releasing a lot of capacity at the customer-facing end to be able to engage more with the customers and hence more of business momentum coming about, which is growth. And then the very fact that we are cutting down on turnaround time, efficiency should lead to better cost-to-earnings efficiencies as well. So this is an offset which is what we are looking at. And if in the bargain that we also sort of get the benefit of improved CASA ratios, CASA mobilization in the over the next two, three years, I think that's going to be a jam in over our strategy.

Seshadri Sen: Thanks. Just a quick follow-up. Given your investments in front-end tech and customer service, do you think there's also an opportunity to increase

wallet share in existing and vintage customers?

You were talking about customer acquisition being a driver, but do you think that that's also an opportunity?

Sashidhar Jagdishan: Yes, absolutely. Because see, the moment we start to focus on that and when we try and create a kind of a best-in-class experience, why would any customer move out? I mean, that's one of our key objectives. Gain market share within our existing base itself or even from a new-to-bank acquisitions as well.

So that's going to be our next two, three-year journey and we're all seized of this. We're not sort of too worried about the segmentation. I mean, we need to be agile in any customer segment that we are participating. Today we are focusing more and more in the retail and MSME segment. I'm sure we have a strong hold in the corporate segment, but even on that with the implementation of new

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technologies over a period of time. We have been prioritizing more on the retail and MSME segment, but I'm sure even the wholesale corporate and capital market segment will also get that and that will also sort of see a kind of a change in terms of the wallet share increase.

Seshadri Sen: Thank you so much. Thanks and all the best for the rest of the year.

Srinivasan Vaidyanathan: Thank you, Seshadri. One thing I do want to add is that while there is a relentless pursuit for CASA, granular CASA, that includes current account too from the retail merchant type of customers, time deposit continues to be a very big opportunity because only 14% of our customers have time deposits with us. So there is an enormous opportunity for a deeper penetration on that. And so it's not this or that, it's both. I just want to mention.

Moderator: Thank you very much. Next question is from the line of Suresh Ganapathy from Macquarie Capital. Please go ahead.

Suresh Ganapathy: Yes, sure. Thanks. Just two questions. One thing is your PAT growth or your earnings growth has been lagging your balance sheet growth, right? Look at last year, if I look at this quarter, it's been just 5%. Balance sheet growth is well upwards of 13%, 14%. So are you confident over the next two, three years you can get earnings growth above balance sheet growth? Because if you're going to grow at 15%, would earnings grow well above that? Are you confident of doing that? That's the first question.

The second question, I mean one of the biggest aspects post the merger is that sharp decline in CASA down to 34%. I know there are several reasons for it. All of your peers are at 40%. I know even RBI's own financial stability report has explicitly talked about that the correlation between rates and CASA is breaking down completely. So it doesn't mean that if rates are going to go down, CASA may go up or anything like that as per Reserve Bank of India's own report. So how can you go back to the levels of 40%? So just wanted an answer for these two questions.

Srinivasan Vaidyanathan: Okay. The first one in terms of the profits, Suresh, just to mention that, Suresh, you asked about the profit. The reported profits when you compare last year this year, it does show 5%. But last year included certain one-timers like HDB gains and then we had a floating provision counter-cyclical buffer that we added and some contingent provision and so on. So adjusted for that, I think in one of our reports that we filed, it shows 9.8% profit growth, yes. But 9.8% profit growth is still

lower than the overall balance sheet growth correct. We do think that in the longer term that the profit growth should be at or above the balance sheet growth. Yes, that's still in our plans and that's how we approach. Again, please don't look at quarter-to-quarter, but since you touched upon the five, I talked about the 9.8, but you should look at the full year. And yes, that's part of how we envisage to do.

The second aspect that you touched upon is

also where CASA correlation to the rates. Yes, we're cognizant of that fact and we have seen over the last few years about the household deposit growth and how that is functioning. We are also aware that you and me included, every individual is going to keep only certain level of their individuals' working capital, so to say, their needs in the savings account and similarly the small merchants, which is our target for current account, into their current account. And so the way I was describing to another person was that it is about the unit increase.

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And that is why the distribution is important and we are adding customers into that and we are more than 100 million, 101 million, 102 million customer relationships. We'll keep building on that and that's an important ingredient to get that. Yes, can it organically go by the nominal rate of a 10%? Yes, it can go. Nominally 10%, but anything more gaining on the market share comes from the unit economics here, which is get more units for the same average balance.

Suresh Ganapathy: Thank you.

Srinivasan Vaidyanathan: Thank you.

Moderator: Thank you very much. Next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Yes, good evening and thanks for taking my question. So I'll just squeeze in few short direct questions. One, can you quantify how much of the bonds are maturing this year and probably this quarter? And what is the rate differential, what is the rate benefit you are getting on the maturing bonds versus the retail TD rates? So that's one.

The second one is, if I look at your interest income breakup, and if you look at the interest on balances with RBI and others, there are pretty high balances over there. So is there any one-off or some kind of refund or anything else? So why is that growing at, 50% Q-o-Q, 20% Q-o-Q? So that's just some explanation around that.

And the third is on ECL, can you quantify what will be the one-time impact and also on an ongoing basis how much would your credit cost be impacted? So yes, those are the three quick questions. Thank you.

Srinivasan Vaidyanathan: The annual report we just published few days ago will show you the profile of maturity of borrowings. You'll see that INR40,000 crores or INR50,000 crores over the next couple of years you'll see that. And it does have a differential in rate. It's a little more than 7%, if you get a retail, it could be 6%-odd. So you can pick up 100 basis points, 125 basis points depending on the source of the time deposit.

If you just replace borrowings with time deposit or you envisage to replace with a mix of time and CASA, but only time little more than 100 basis points you will see. Second question we didn't get that second question you can repeat, but we'll go to the third on the ECL.

ECL method, see there are two aspects. On the ECL method, the overall provision that we are carrying seems adequate and sufficient for the ECL methodology, which is going to kick in in 1st of April'27. One thing on the ECL that you need to take into account is that at that time, it depends on the pool position, it depends on the behavior, historical behavior of that pool position, and that is various pools of assets I'm talking about. And then you look forward from there for 12 months, right? That means whatever is the various categories of pools, from that you look forward for 12 months from then on and then you have a modeling. Then on top of that, there is a flexibility for management overlay. And there are floors to take into account.

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Considering where we are today and looking 12 months down the line, we do believe that our reserving process and the reserving methodology is quite adequate. And for us to think about the stage 3 assets which is equivalent to the NPA today that you have, that coverage is quite

adequate

there. Stage 1 and stage 2 which are in various buckets of delinquencies or stage 1 is not in any delinquency, stage 2 could be in various buckets of delinquency, the floors that are there, for example, the floor in the unsecured category is 1% and the floor in the secured category is 5% --

no stage 2 is 5% and so on.

So if you look at that, the standard asset carries a 40 basis points provision, but then here the floor is 1% for unsecured and for stage 1 and then for stage 2 it is 5%. So there will be enhancement. But then those enhancements are adequately covered in various manner through various contingent provisions and others that we have. So we feel confident of working through this process on the reserves. The second question we didn't get if you can repeat.

Abhishek Murarka: Sure, so just to clarify on ECL at the time of transition you don't see much of an impact, you have enough provisions for that. After transition on an ongoing basis, do you think there will be a material increase in credit cost like I don't know, 5, 10 basis points or 15 basis points, anything of that sort?

Srinivasan Vaidyanathan: I don't think there will be anything material, but there will be some because as exactly I described, standard assets today are approximately 40, there are some 25 basis points, some 100 basis points, but on an average 40 basis points standard assets. And that by definition because of the floor which are there, unsecured floor is 1% in stage 1, which is standard, stage 2 in any delinquency bucket the floor is 5% and so on. So because of the floor there will be enhancement, but then the way we look today and look forward from here, it would be some impact but nothing material in terms of the impact.

Moderator: Thank you. Next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Yes. Hi, good evening everyone and thanks for the opportunity. I have two questions. One is around growth. Now with this like we have started Q1 on a healthy note with this FCNR opportunity that is there, are we looking at a improved growth run rate this year? We earlier talked about that we'll want to grow higher than the system, but I believe with the system in a different tangent, I'm not sure we'll want to really go by that? So any number if you can share or growth estimate outlook that we are targeting at. That's one.

And second is on the PCR, provisioning coverage we have seen some downward drift on in this number over the last few years. So post ECL transition, where we would like our coverage ratio to be maintained?

Kaizad Bharucha: So Nitin, I'll answer your first question and ask Srini to take the second. In terms of growth we've seen growth if you see the pack that we've already released and the advances mix, we have seen, very good growth happen in our corporate and wholesale segment. We've seen that grow at about 18% and this is continuing from the growth that we had seen in the previous quarter as well, which was around those levels.

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We've also continued to see very good growth come in our MSME segment and out over there, we have seen a business banking which is the largest component of our MSME segment grow at 22.3% this year. And this even tops what we had done in the March quarter. Typically June is a little softer quarter, but what we have done in June in the MSME segment tells you the traction that we are seeing out over there.

We've also in the MSME, as you would be aware, the scheme of ECLGS 5.0 was launched and we have participated in that scheme and we have already as of 30th of June had a disbursement in that scheme of close to INR14,000 crores under the ECLGS scheme. And I think and I believe that's amongst the highest in terms of the participating banks because of the spread of customers and the quality of the portfolio that we have out over there.

So we've

seen even the MSME segment grow very robustly and I mentioned to you the pace of growth that has taken place over there. In addition to the wholesale and MSME, we've seen good growth also come through in our core retail segment. We've seen on a year-on-year basis very strong growth in our disbursements in the wheels business. We've also similarly seen a strong growth in our unsecured business on disbursements in terms of the personal loans and business loans that we do out over there, as well as touching upon finally the mortgages piece. Again, we've seen a growth of close to 14% in terms of disbursements on mortgages on year-on-year and the earlier two pieces that I talked about, we've seen disbursement growth approximately of about 20% odd. So that should give you a flavor of how we've participated in each of these segments and we do see credit demand holding. We do see a lot of resilience which has been there in the economy even post what we have seen in terms of the geopolitical situation. Yes, we have to wait for the full impact of the El Niño and see because that does have a bearing which plays out in the third quarter of the financial year. So therefore we're well positioned across most of our business segments in terms of how we have approached them and there continues to be an opportunity and a relationship which we will continue to mine whether on the wholesale segment or in the mid-market and retail segment.

Srinivasan Vaidyanathan: Okay, thank you, Kaizad. I want to take your second part of the question relating to the coverage. See, the overall coverage that you see now is 66%, right? I would draw your attention to go back

to 2019. And the reason for that is in between there could be COVID, somewhere up, somewhere down in terms of coverage and subsequently there was a merger, somewhere up and then subsequently down in terms of various coverage. There are several other nuances in between. So you go back to a longer term what the coverage is, it was 71, now it is 66. That is the headline coverage. If you peel that and get to what is it, if you look at the coverage excluding the agricultural book, agriculture is a secured part of the book, at that time it was 71 was the total and today excluding agri it is 70.

So it's the proportion of the agriculture book which is at a higher proportion right now, that is the difference that you are seeing in the coverage. That's number one. Number two in the shorter term, shorter term means when you look at a quarter or a year kind of a shorter term, it is the secured-unsecured mix that shows the difference.

If you look at the unsecured mix, the provision coverage will be in the 70s, mid-70s or higher. The secured will be lower, the unsecured is in the mid-70s or above. And the reason for that is if you

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look at our rate of growth that we've had over a 2 year period on some of those retail type of unsecured loans have been modest.

Even now when you look at the book growth on cards is 2.3% or something, while the spends growth at 13%, but the book grows at 2% to 3%. And similarly the unsecured on personal loan and so on and so forth still remains in the in the single digit there, right? And it is the disbursements are in healthy double digit, but it's yet to catch up on that.

So the PCR is a function of the composition of the book and where there is a necessity to build reserves, it is there, it's formulaic, it doesn't go through any kind of a discretion, it goes through formula and gets it done. And same when we benchmark this to an ECL method also, which is the which is the stage 3 ECL provision, we seem to be adequate there too even in the go-to model.

Nitin Aggarwal: Right. Thanks for this. I have one small question one more question if I can squeeze in. The other question is on the FCNR, well you talked about that this will gain traction, but how should we benchmark the

whatever quantum we raise to what number should we benchmark that to? Should it be to the outstanding deposit share? Should it be to what you raised in FCNR (B) [Inaudible] that, in terms of total quantum at HDFC Bank.

Moderator: Nitin, sorry to interrupt we lost your audio in between.

Nitin Aggarwal: Hello am I audible?

Sashidhar Jagdishan: Nitin, we're just commencing the drive. Whilst demand is there, we just don't want to commit any number. Let it start to flow and you will see it. But definitely if the system is X, we will be a significant portion of the system as we were in the 2014, '15 period. That is our endeavour and I think we are all, you know, the entire team is quite gung-ho to mobilize that kind of we're all energized and I think we are on track towards that.

Nitin Aggarwal: Sure. Thanks, Sashi and everyone so much. Thanks a lot.

Moderator: Thank you. Next question is from the line of Piran Engineer from CLSA India. Please go ahead.

Piran Engineer: Yes, hi, thanks for taking my question and congrats on the quarter. Firstly, just on cost of funds, can you highlight how much cost of funds are down quarter-on-quarter as well as year-on-year?

Srinivasan Vaidyanathan: Piran, I think it's in whatever page the team will tell you, it's the cost of funds is published along with the yield too. Sequential quarter I think it's almost there flat a couple of basis points plus-minus, it's within the range. And over a period of a year, I think it's about call it 40, 50 basis points, 40 basis points or so year-to-year, Yes.

Piran Engineer: Got it. Okay, sorry, if it's published I might have missed it. I thought otherwise. Anyway, sorry for that. Secondly, just in terms of loan growth, barring MSME, which segments are you confident that will result in a pickup in loan growth from current levels? Because our retail growth has been fairly, you know, range-bound at 7%, 8% and it doesn't seem to be picking up.

Kaizad Bharucha: So Piran, the growth, you know, as we have always said, is going to be a function of how the growth is being seen in the economy in the segments which are bankable by our credit underwriting

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standards. So I just alluded to an earlier response, you know, where I talked about the fact that we've seen good traction year-on-year on the disbursement side in terms of our core retail book, which consists of our wheels business, the unsecured as well as the mortgage business.

So we do see that certainly picking up over the next several quarters. It doesn't happen overnight, it's a journey and we're well on the path to see that really moving forward. We've also seen good traction in the system on the mid-market and corporate side and we have a very good franchise

and presence in that segment where we are market leaders and we see that also continuing to contribute in the year ahead.

So there are several drivers, including, you know, other products that we've got in our basket on the retail side such as gold loans, which have started contributing. Yes, right now it's a little more smaller part of the whole retail basket, but growing very well. We've also got other micro loans that we've started in terms of our dukandar lending, which is bringing up the core retail. So we do see it being well diversified within the retail space, but I think both corporate and retail along with mid-market should continue to drive growth in the coming quarters.

Piran Engineer: Understood. And just lastly, you'll have a good leash on costs over the last two years now. Now some part of it is technology, etcetera, AI, but how do we get comfort around you'll not under-investing in the future of the business?

Sashidhar Jagdishan: No, Piran, I think on the contrary, I think, the kind of investments that we have done over a period of five years has been one of the most despite the fact that, there have been a lot of events that have hap

pened during these five years, I mean, whether it's the merger, whether it is COVID initially, then merger, and then fair amount of investments but distribution, investment in resources, and investment in technology has been there.

Now, probably as you may have heard Srini in the past, there's always an investment phase and then a harnessing of the investment phase that will happen. So, we also want to enjoy some of the things that what we have invested is it sort of giving us a kind of returns as envisaged, and I think you will see a whilst investments will be slightly muted, especially in distribution for now, but technology we're continuing because security and AI is going to be a very significant part of any organization which wants to really thrive into the future, that will continue to be there.

It's just that what you're not seeing is that, we have up-fronted a fair amount of investments, and therefore you don't need that kind of a large incremental investments, but the investments will continue into the future. As I had mentioned, I think, we are probably at the cusp of harnessing these investments, whether it's on the branch distribution or in terms of the technology investments, and over the next two to three years, returns in terms of efficiencies will start to play out and which is what is going to be our key strategy in terms of how we balance growth and efficiencies offsetting some of the margins, if at all there is in the same levels as we are today.

Piran Engineer: Got it. Okay, that was useful. Just lastly, if I may request, I do this with all corporates and this is probably the first chance I'm having here, but if we could go back to weekday reporting rather than Saturday reporting, it would really help us a lot and it would help you'll because you'll will get much more investor participation across the globe if you report on a weekday.

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Sashidhar Jagdishan: There is a reason why most of us are all doing on Saturdays. It's not that we have a joy in coming to work on a Saturday, I can assure you that, or to spoil your weekend. There is a reason why because since the markets are closed and a fair amount of people will get exposed to this kind of information through the day, we just want to minimize some of the regulatory transgressions that may happen, if we do it on a weekday. So that's why all of us, a large part of the banking system, I think is now gravitating towards weekend as a disclosure for this very reason. It's not that we're not going to be ready on a weekday, we would be, but it's a little bit of a high risk during that period.

Piran Engineer: No, that's true, sir, but I think, this argument is true for all banks, not just all companies, not just financials or all banks all over the world. I think it's just that Indian banks stand out especially on this front, and more so in an era where you'll manage trillions of rupees of money and trillions of transactions per year which are safe, I'm sure you'll can keep your information safe while reporting. So this is just a request. I hope you'll consider it with all due seriousness and thought. But my questions are done and all the best.

Srinivasan Vaidyanathan: Thank you, we'll give a thought to that. Thank you.

Moderator: Thank you very much, ladies and gentlemen. We have come to the end of the time allotted for the call. I would now like to hand the conference over to Mr. Vaidyanathan for closing comments.

Thank you and over to you, sir.

Srinivasan Vaidyanathan: Thank you all for participating. With this, we'll close the call, and if there are any more open questions, we'll be continuing the dialogue with any of you that you need to talk either today or any other day. Our investor relations team will be available. We'll stay in touch. Thank you. Bye-bye.

Moderator: Thank you very much. On behalf of HDFC Bank Limited, that concludes this conference. Than

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you all for joining us, and you may now disconnect your lines. Thank you.